

Cera Sanitaryware (CERA)

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Call: Aug 2022

CSL/2022-23/229

10th August, 2p22

To,

BSE Limited

Corporate Relationship Department

1st Floor, New Trading Ring

Rotunda Building, P J Towers

Dalal Street, Fort, Mumbai -400001.

Scrip Code: 532443

Scrip.ID: CERA

Dear Sir/Madam, To,

National Stock Exchange of India Limited

Exchange Plaza

Sandra Kurla Complex

Sandra (East)

Mumbai -400051.

Scrip Code: CERA

Subject: Transcript of the Conference Call held on 5th August, 2022

Reference: Regulation 30 of the SEBI (LODR) Regulations, 2015

With reference to our letter CSL/2022-23/197 dated 27th July, 2022, intimating you about the Q1 FY2023 Earnings Conference Call held on 5th August, 2022, please find attached the transcript of the aforesaid conference call.

The same is available on the website of the company i.e. www.cera-india.com

We hope you will take the same on record.

Thanking you,

Yours faithfully,

For Cera Sanitaryware Limited,

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Company Secretary

Encl: As Above

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Cera Sanitaryware Limited

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CIN:L26910GJ1998PLC034400

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Cera Sanitaryware Limited

Q1 FY23 Earnings Conference Call Transcript

August 5, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY23 earnings conference call of CERA Sanitaryware Limited. As a reminder, all participant lines will be in listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" and "0" on your touch tone phone. Please note, that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh of CDR India. Thank you, and over to you, Mr. Singh.

Devrishi Singh: Thank you. Good morning, everyone, and thank you for joining us on the earnings conference call for CERA Sanitaryware Limited for Q1 FY23 earnings, which were announced yesterday. We have with us today, the management team comprising Mr. Ayush Bagla, Executive Director and Mr. Rajesh B. Shah, CFO and COO of CERA Sanitaryware.

We will start with brief opening remarks from the management, following which we will open the call for Q&A. A quick disclaimer before we begin. Some of the statements made in today's conference call may be forward-looking in nature and

a detailed note in this regard is contained in the result documents that have been shared with all of you earlier.

I would now turn the call over to Mr. Ayush Bagla for his opening remarks. Thank you, and over to you, sir.

Ayush Bagla: Good morning, everyone. The earnings for the first quarter for the period ended 30th June 2022 were adopted by the Board of Directors yesterday, 4th August 2022. The earnings documents have been released to the stock exchanges.

During the quarter gone by, we continued to witness strong demand for our products as the overall replacement demand remained quite positive, with consumers continuing to spend on home upgradation and improvement. The velocity of sales in residential apartments continues to see good momentum, with new project launches getting announced by many real estate players across most regions. We are well positioned to monetize current and ongoing demand. We are positive that this scenario will lead to sustained new demand generation for CERA's products.

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At present, our manufacturing facility continues to function at high utilization levels. Capacity utilization for Q1 FY23 for sanitaryware was at 109.53%, and we

endeavor to operate the plant at similar levels all through FY23. In Faucetware, the capacity utilization was 102.65% during Q1 FY23 and all efforts are on to maintain these capacity utilization levels.

As indicated in our previous earnings call, our average production at the Faucetware plant was 1.8 lakh pieces per month up to H1 of FY22, which in March 2022 increased to an average of 2.5 lakh pieces. Current production in July 2022 is 3 lakh pieces, an all-time high, almost 67% over the previous year's numbers. This development has set new volume benchmarks, enabling us to sweat our existing assets more extensively and also allow us to cater to the increasing demand over the next twelve months. The Faucetware expansion program commenced in July 2022, and current indications are that the program will be completed in Q1 FY24, and an enhanced capacity of another 1 lakh pieces, totaling 4 lakh pieces per month will be available for in-house manufacturing.

During the expansion phase, no disruption to current manufacturing is envisaged and a comprehensive risk mitigation model has been implemented envisaging various scenarios to ensure that the market need for Faucetware products are continuously met from the existing plant.

For fresh capacity for manufacturing in sanitaryware, the Company has carried out extensive surveys of water, gas and labor availability for a greenfield facility. A few land parcels have been shortlisted and the Company is currently conducting due diligence for those land parcels. Since capex will commence post land acquisition, the detailed plan of the phase wise capital expenditure will be made available in due course.

As on 30th June 2022, our cash and cash equivalents stood at Rs. 566 crore against Rs. 433 crore in June 2021, registering an increase of 30.72%. Positive cash flow for this quarter is Rs. 49 crore. In FY22, for the full year, positive cash flow was Rs. 164 crore, therefore, going forward, internal approvals will be deployed to fund the two capex programs, and we also have the flexibility to use some part of the accumulated cash and cash equivalent if required. I would like to reiterate that no debt raising, or equity dilution is planned or required for the entire capacity expansion.

Q1 FY23 also continued to witness a stable to slightly upward bias in prices of raw materials. To counter these cost pressures, the Company undertook necessary price hikes in the month of May 2022. In sanitaryware, a price hike of 3% and in Faucetware, a price hike of 5% was implemented in May 2022.

Despite the external environment witnessing an increase in prices of inputs and raw materials, CERA has not witnessed a material impact during Q1 FY23. On the Sanitaryware side, key items like China clay, Feldspar and Plaster of Paris, which constitute more than 95% of Sanitaryware's raw material mix had a combined impact of 2%. In the Sanitaryware business within the glazing recipe, which constitutes less than 2% of Sanitaryware's raw material mix, the key constituents of color and zinc have moved up 11% during Q1.

Due to availability of gas from isolated wells near our plant, the pricing of gas from GAIL continues to remain below market and will do so in the future. Price has increased at Rs. 25.69 per cubic meter in June 2022, which was Rs. 13.26 per cubic meter in March 2022. In Q1 FY23, GAIL provided 49% of the gas requirements of the Sanitaryware business. Sabarmati Gas, a JV of BPCL and GSPC's pricing went down from Rs. 75.01 per cubic meter in March '22 to Rs. 73.58 per cubic meter in June 2022, supplying 51% of the gas needs of the plant for Q1. Gas costs constitute 3.06% of CERA's top line.

There have also been price increases in some ancillary cost items like transportation cost at 2% to 3%. Cost of

corrugated boxes have gone up by 6%.

Our reliance on in-house renewable energy for over two decades has significantly benefited us, given that 65% of our electricity needs are met from in-house, wind and solar power sources. As a result, we have been able to keep significant parts of our cost basket stable.

There has been significant innovation in marketing and sales. A retail engagement and loyalty program was launched unlike any other in the building materials industry. In a span of three months, 11,500 plus retailers have adopted this platform. More than 5,000 plus, or 40% of those retailers are regular users of the app-based software. Various artificial intelligence tools and algorithms are used to curl out meaningful insights from this program.

The Company has rewarded retailers on a well thought out matrix of sales and profitability. The dealer, distributor is also fully on board with this program as the retailer service by the dealer receives an incentive, with no cost to the dealer. There is full transparency in margins and discounts that a dealer offers the retailer. The Company has access to valuable data, which is being monetized by mining, to cross sell and upsell. This is one unique step in CERA getting very close to the retailer, to the point of sale and to the ultimate consumer.

In that backdrop, we can go over the financials :

Revenues from operations in Q1 FY23 were Rs. 396 crore versus Rs. 223 crore in Q1FY22, an increase of 77.6%. EBITDA, excluding other income was Rs. 62 crore in Q1FY23 versus Rs. 20 crore in Q1 FY22, a growth of 210.6%. The EBITDA margin is higher by 660 basis points at 15.5% in Q1 FY23 versus 8.9% in Q1 FY22. Therefore,

margin expanded by 74%. PAT was Rs. 40 crore in Q1 FY23 versus Rs. 13 crore in Q1FY22, an increase of 207% Y-o-Y. Earnings per share for Q1 FY23 was Rs. 30.47 versus Rs. 9.93 in Q1 FY22.

For Q1 FY23, 54% of the top line was from Sanitaryware, 35% from Faucetware, Tiles represented 12% and Wellness, 1%. On a Y-o-Y basis, Sanitaryware revenues registered an increase of 89%. Faucetware revenues increased by 99%, Tiles increased by 9%, and Wellness increased by 49%. The Sanitaryware and Faucetware verticals remain the bedrock of the business with the contribution of 89% to CERA's overall revenues.

We continue to witness encouraging demand for newly launched products. During the last three years, the new product development program contributed close to 22% of revenues.

Inventory days in Q1 FY23 was 72.76 days compared to 60.86 days in Q1 FY22. Receivable days in Q1 FY23 was 26.38 days versus 38.51 days. Payable days in Q1 FY23 were 38.94 days against 29.11 days in Q1 of FY22. Therefore, net working capital days in Q1 FY23 was 60.20 days versus 70.37 days in Q1 of FY22.

After a fairly low capex last year, where against the capex budget of Rs. 17.19 crore for FY22, the total capex spent was Rs. 11.12 crore. In the current year, the capex budget other than the Faucetware and Sanitaryware expansion programs is Rs. 24.7 crore, of which Rs. 7.7 crore is for Sanitaryware automation, Rs. 6.4 crore is for Faucetware automation, Rs. 6.6 crore for land and building, and Rs. 4 crore for logistics and IT. During Q1, Rs. 0.26 crore was spent on Sanitaryware automation, Rs. 0.02 crore on Faucetware automation, Rs. 0.01 crore on land and building, and Rs. 0.03 crore on logistics and IT.

In conclusion, I would like to say that today, there are multiple industry tailwinds, which we believe would enable the Sanitaryware and Faucetware industry to maintain its steady and consistent growth. CERA's growth plan remains intact as it plans to expand its capacities and be at the forefront to capture this rising demand.

After taking a few years to break the Rs. 1,250 crore to Rs. 1,350 crore topline band, i

n FY22, CERA touched a top line of Rs. 1,446 crore. The impact on PAT and EBITDA margins was clearly visible. Going forward, CERA is set on a new top line trajectory, which is reflected in the Q1 numbers.

Every decision made at CERA is from the shareholders point of view, with ROCE, payback period, impact on EPS fully considered before being placed for deliberation before the Board of Directors. The positive macro factors in our industry coupled with the Company's strong balance sheet, distribution channels, R&D capabilities, comprehensive offerings, high brand salience, and others such

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strong inherent strengths of this four-decade old Company would not only enable it to face any macro level uncertainties but also continue to support its growth and its leadership position going forward.

I would now request the moderator to open -up the line for Q&A. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Naysar Parikh from Native capital. Please go ahead.

Naysar Parikh: Two questions. One is, can you talk a bit about your market share in both, Sanitaryware and Faucetware and how that has been moving and how you see that going forward?

Ayush Bagla: We would like to but there is no third-party published data on market shares in both, Sanitaryware and Faucetware, but I can give you some rough estimates. CERA have been for the last four years, the largest player in sanitaryware in the country and our growth is, let's say, 25% higher than industry growth. And industry growth for the last four or five years has been in high single digits. So, if you take a mix of price and volume, you will find that we are growing in the teens. And going forward, that growth number will increase. In Faucetware, we are the second largest player. But let's say the market is growing by 9%, 10%, and we are growing, let's say at 40% but our share of incremental market share is 15%. So, we are growing at 1.5 times the growth in industry in Faucetware.

Naysar Parikh: Understood. Got it. And the second question was on, in terms of your pricing and margins, right, you mentioned the 3%, 5% price hike that you have taken. So going forward, for this fiscal, are there any other projected price hikes and with where the raw material prices are, what should we expect on the margin front going forward?

Ayush Bagla: See, the bulk of price hikes was also due to the ability of the market to bear these price hikes. So, last year we took 21% price hikes in Sanitaryware, 26% in Faucetware. On the back of that, a 3% and 5% make s Sanita ryware closer to 26%, 27%, and Faucetware closer to 31% in about 15 months. And you're seeing no dent on sales velocity. So, you can see how strong the markets are. How strong the brand promise and brand recall and brand salience is. So, our strategy tow ards price hikes is very simple. There is in most cases in Sanitaryware very little push from raw materials. Sometimes, there is a push on other costs like transport, gas, labor, and packaging. So, we take a very nimble and agile decision as and when the situation presents itself. And in the past, there have never been a ny price rollbacks. But you are seeing raw material prices cool off. So, we do expect margin expansion on that front. As far as the next price hike is concerned, earlier, we used to review pricing twice a year. But last year, we reviewed pricing three, four

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times a year. So, we'll just be very nimble about it, as and when there are changes in the market.

Naysar Parikh: Got it. And this last question, what would be your mix between retail and projects?

Ayush Bagla: See, our B2C business is now 68% of sales. And this is a very important question because it takes 15 years to get there. So, I'll just give you another example based on the question you have asked. 13 years, 14 years ago when large sized companies entered sanitaryware and faucetware, there was a threat. But to bulk up, they immediately went the other way. They went the B2B way. And there is a lot of temptation to do that to bulk up your volumes. But the problem with that is when you enter a business and start negotiating your pricing, i t dilutes the brand so much, you can never be a B2C player. Same thing is happening with newer entrants now. In the temptation to bulk up and show some immediate benefits, they are all going the B2B way.

Moderator: The next question is from the line of S aurabh Shroff from QRC Investment Advisors LLP. Please go ahead.

Saurabh Shroff: Congratulations on a very strong show. You mentioned something interesting on the trajectory of Faucetware, where we've gone from 1.8 lakh pieces a month to 3 lakh, and eventually 4 lakh. So, if you could sort of maybe help us understand better what has le d to this massive expansion? What steps has the Company taken to be able to do this, with very minimal capex? And also , the second question , overall, is sort of we look at, let's say, economy, or luxury, and what is the sales mix across Faucetware and Sanitaryware and is there a shift and is there a benefit of sort of more premium products in the mix that has already happened, or we anticipate happening, whic h should also help margins going forward?

Ayush Bagla: So, in Faucetware, the Company was growing between 25% and 35%, annually, for the last four , five years. We are the second largest player and last year, we grew 37% to 40%, almost four times the growth in industry. And there was some addition of talent in Faucetware manufacturing facility. SOPs were changed. And some processes were changed, some a utomation projects which were completed last year, helped in this increase from 1.8 lakh to first, 2.5 lakh and now 3 lakh. So, with virtually close to zero capex , this was achieved. And you know , I mean, there was a lot of question and answer for t he last seven, eight quarters , - why aren't we expanding Faucetware, when the Faucetware business is doing so well? And we kept saying that without really having to invest through money, there are other changes that can take place in the business which will make the business even more profitable and that is exactly what has happened. With minim al capex , we have achieved 3 lakh pieces per month and now with just expenditure of Rs. 69 crore in the brownfield expansion, we will go to 4 lakh a month. So, this is all I

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think, outcome of managerial decision making, and trying to optimize and

maximize every rupee spent both on opex and capex .

The second question was on upselling. So, I'll give you some data which will add color to your question and also give you some initiatives that the Company is taking. So, same quarter last year, entry level products were 14.5% of sale. And you know, we've done a full reclassification of what is entry, what is mid, what is premium based on all the price hikes. So, the base values have always been taken up dramatically. So, what was considered mid last year is now entry. What was considered luxury last year is now mid. So, from 40.5% of sales value, entry level in Sanitaryware, it's 46.7%. In the mid -category, last year, we had 49.9% which is 43.1%, and in the premium category we had 9.6%, which is 10.2%.

In Faucetware, entry level was 59.5% last year, which is down 51.7%. Mid -level was 22.8%, which is now 30.4%, and premium was 17.6%, which is now 17.9%. So, we are consistently taking the bar up on a ble nded basis for the overall Company . Last year entry level was 48.5%, which is now 48.8%. Mid -level was 38.5%, which is

37.8%. And premium was 13.0%, which is now 13.4%.

Saurabh Shroff: Okay. Got it. And initiatives that we are taking on the retailers, etc., as one would imagine that all of that and the data analytics that you spoke about, that should eventually help us drive getting more of a premium push as well over time ?

Ayush Bagla: So far, this industry has been dealing only with dealers or distributors. And there was across the i ndustry and also for CERA, there was very little engagement directly with retailers, and very little data collection of consumer behavior, or retailer. So, we also would rely on our sales team which is on the ground in all the States , that was one, a nd lots of feedback from the dealers. But we wanted to go one step beyond and now with AI tools and software -based apps available, we rolled out a fairly large program. Got onboard 11,500 dealers. We are getting consumer behavior, point of sale behavi or, the interplay between dealer discounts and margins, retailer discounts and margins, all of that data. So cross selling is the obvious thing that we are having to do and we want to do but upselling is going to be a huge theme this year.

Moderator: The next question is from the line of Shrenik Jain from LIC Mutual Fund. Please go ahead.

Shrenik Jain: Sir, basically, I want to understand that over the longer term what is the view for the Company ? Will we continue to be a bath ware player, or we will also plan to get into other adjacent products like currently in the industry we are seeing like the Pipe players are getting into bath ware and paints. The tiles player are getting into wood panels and different groups. So, what is our view on longer term basis? As we are making healthy cash flows, how do we plan to deploy it effecti vely?

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Ayush Bagla: See, currently, you would have heard that we are expanding the Faucetware facility on a brownfield basis at a cost of Rs. 69 crore . And we have estimated that a greenfield facility for Sanitaryware will cost Rs. 129 crore . So, we see tremendous opportunities in Sanitaryware and Faucetware going forward, not only in the short -term, in the medium -term. And there are significan t advantages in profitability being the largest player in Sanitaryware . And, of course, taking our market share in Faucetware up, I mean, it's 37% to 40% growth, no industry, even in building material they are seeing that kind of growth that CERA's Faucetware is seeing.

So, there are tremendous opportunities available. And currently there are no plans. And for other companies, of course, they are also profitable. They want to deploy th eir cash in newer businesses. But this is a temptation to start a new business and then become a B2B player. That is a very risky temptati on. Because then you're always a marginal player, with marginal profitability and the return metrics on capital deployed, it might get lost in the overall balance sheet. But on a standalone basis, it is not more than single digit.

Shrenik Jain: Sure, sir . But over the longer term, if we plan to get into any other adjacencies, which are the products that we can get into, which uses similar channels as we are currently having?

Ayush Bagla: Currently, there are no plans. There is no discussion in front of the Board or even at a nascent stage. Currently, the discussion is, maximize the throughput in your current manufacturing facilities and put-up new capacities. See, there's another angle to this. Product lifecycle is reducing. The industry average for new product development is 10% to 11% of sales. CERA's is 22% of sales. That is like entering a new business. This incremental 11% of sales that CERA is getting is purely new business, which was not there. So, managing a shorter product life cycle is a full-time department and a full-time understanding of the consumer, dealer, retailer

all of that. So currently, there are no plans of entering any new businesses, not even at the nascent stages.

Shrenik Jain: Sure, sir. Got it. And sir, we talk on margin. So, over the next three, four years, our own capacities will improve and our topline will grow. I am sure operating leverage benefit will sweep in. So, where do we see our EBITDA margins in normal scenario, three years down the line?

Ayush Bagla: Steady state EBITDA margins for the last many years has been 14%. That went up dramatically in Q4, and also for the year last year. So now our steady state EBITDA has crossed, let's say, 15.5%, which was the number for last year. So going forward, you could see between 50 to 75 basis point increase annually. And I am saying this annually, because in 40 months, the company will definitely double its FY22 top line. So, you can calculate the absolute impact it will have on numbers.

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Moderator: We'll move to the next question from the line of Pritesh Chheda from Lucky Investment. Please go ahead.

Pritesh Chheda: Sir, just a clarification. We exited Anjani Tiles in quarter four, right, so the number that we see and the margin that we see is now ex of Anjani Tiles? Is that correct? Because that portfolio for us was a lower margin.

Ayush Bagla: Yes, see, about six years ago, the Company took a decision, never to have any tiles manufacturing on its own balance sheet. So, it took stakes in two ventures, one was Anjani Tiles, and one was Milo, where our risk was restricted to our equity investment. So, once Anjani put up the plant, and it's become large enough, and is profitable and doing well, the Company decided to exit its investment at the optimum time, at the peak of the performance of the last four, five years. And that's what happened in August, September last year. So, when the agreement was signed, in that rules were followed. The turnover was consolidated in the first three quarters and in the fourth quarter, whatever amount was added, was deducted. So, you will see a note by the auditors in Q1, Rs. 5 crore has been deducted off from Q1FY22's turnover, so, as to give investors and shareholders a like-to-like comparison between Q1FY22 and Q1FY23.

Pritesh Chheda: So, now instead of consolidation, we will have a trade (inaudible), right?

Ayush Bagla: Now there is no consolidation with Anjani after last year, after Q3.

Pritesh Chheda: And what is the margin impacts on it?

Ayush Bagla: See, Anjani was making EBITDA of Rs. 5 crore, Rs. 6 crore for the year. And the topline CERA was consuming 70%, 80% of the product. So, it was getting added to topline of CERA on a consolidated basis and a standalone basis.

Pritesh Chheda: Okay. Sir, my another two questions, I missed your revenue target for FY23. And you were mentioning that with this capacity expansions that you have lined up, what is the revenue, you mentioned that the revenue will double, right, but over how many years?



Ayush Bagla: 40 months. 3.5 years.

Pritesh Chheda: 3.5 years it will double. And what is your revenue target for FY23?

Ayush Bagla: That you know, we've been careful about giving forward -looking numbers for the year. But those who have built the financial model, if you put the Q1 numbers, and you normally 22% of the annual top line is Q1, you will get the annual number.

Pritesh Chheda: Okay. And lastly sir, if you could tell me again, the Sanitaryware and Faucetware revenues for the quarter? Just the absolute revenues?

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Ayush Bagla: Yes, I'll give you that, and I'll also give you one more data point that will help you about outsourcing. The absolute number in Sanitaryware was to Rs. 211.63 crore, which is 53.56% of sales. Out of which, outso

rcing was 50.03%. Last year, the same outsourcing figure was 58.62%.

Pritesh Chheda: This time it is 53%?

Ayush Bagla: 50.03%. And it's a dramatic change because of the throughput increase. For the year was 58.62 % last year for Q1 it was 55.21%. So, 10% change. In Faucetware, the absolute number for top line for Q1 FY23 is Rs. 136.32 crore i.e 34.50% of sales. Outsourcing is 54.80%. Last year outsourcing was also 54.55%.

Pritesh Chheda: And lastly, sir. Can you give us the tiles revenue?

Ayush Bagla: Yes. Tiles revenue for the quarter is Rs. 40.48 crore, which is 10.25% of sales. And the same number last year was Rs. 37.2 crore, which was 16.73% of sales.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Just taking forward the earlier participant's question. So, for the current year for '23, our capacities are more than 100% utilized. So, any kind of volume growth will only be by increasing the share of outsourcing?

Ayush Bagla: Till fresh capacity comes on instream in Faucetware, which will be Q1 of FY24, there might be some increase in outsourcing. And similarly, in Sanitaryware. So, for the next two, two and a half years, there will be increase in outsourcing percentage, but that percentage doesn't tell you the entire story. There are a lot of SKUs which the Company was making, and they may decide to outsource because the Company wants to adopt the new development program and make those in-house, because those are too complicated for vendors to make. So, the Company might decide to free up certain capacity to make new products.

Alisha Mahawla: So, is this expected to have any negative impact on the margins as the share of outsourcing increases?

Ayush Bagla: In fact, outsourcing partners and vendors have a dramatically lower cost base than the Company, which is why they choose to make low-end products in large quantities. And for the Company to buy and sell, the margins are the same as own manufacturing.

Alisha Mahawla: Okay. And my second question is, couple of quarters ago, you'd highlighted that for most players in this industry were facing challenges because we were importing from China and other countries and hence, the supply side

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disruption. Can you just share with us the latest update on the competitive intensity in this industry now?

Ayush Bagla: Yes, please. I'll give you some background of what is happening in China. After the Chinese New Year, there are two clusters, the Cheng-Yu cluster and the Hinang

cluster. In the Hinang cluster, which is a much larger cluster, due to frequent lockdowns, capacities are still between 60% and 70% operational. In the smaller cluster, the Chengdu cluster, there is more or less 90% availability. But again, the largest impediment to importing from China continues to be the container cost, which pre-COVID was USD600, currently it is US D6,400 in June. And one container of sanitaryware imports only contains USD18,000 worth of sanitaryware products. So, from a landed cost perspective, one-third of the landed cost is freight.

Moderator: Next question is from the line of Sudarshan Mall of Dhunseri Investment. Please go ahead.

Sudarshan Mall : I got your comments on the margin thing that we should expect the 50 basis points to 75 basis point improvement every year. But like last year, our exact margins were 19%. So, what should be the starting point for say, FY23? Should it be like I think in your TV interview, you mentioned something between 17% to 19%. Is that correct?

Ayush Bagla: See, margins have been very susceptible to increases in top line. When you saw a significant jump in top line in Q4 last year, you saw a significant jump in EBITDA margins. And that is the trend going forward. As you see sl

ight changes in top line, you will see massive changes in EBITDA and PAT margins. And that happened not only for Q4 last year, it happened for the calendar year last year, the financial year, and for Q1 of this year. So, the steady state, which was 14% has already moved to 15.5%. And I'm talking about an increment of 50 basis points to 75 basis annually on a full year basis on 15% to 15.5%. And the driver of that is 80:20 mix between variable costs and fixed costs. So, fixed costs are increasing maybe at a nominal rate of inflation. And variable costs may increase, but they are completely linked to sales.

Sudarshan Mall : Sir, I understood the operating results. All I'm trying to understand, in a TV interview, I heard that margin guidance for FY23 stands between 17% to 19%. Is that a correct thing I heard?

Ayush Bagla: We will be careful about giving out any number for the full-year FY23.

Moderator: The next question is from the line of Mithun Aswath from Kivah Advisors. Please go ahead.

Mithun Aswat h: Hi, a couple of questions. One was on, kind of revenue growth we expect in the current year because (inaudible) last year was a low base . Just wanted to

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understand how the market dynamics are faring? And do you see robust growth this year as well? And number two on your expansion plans, when do you think these will come on board? So, those were the two questions that I had.

Ayush Bagla: See, over the last 30 months, which includes some part of pre-COVID, the industry was dealing with a shortage of products. So, in Sanitaryware, the industry size is very small, and that is why the four largest players command such a sizable market share. More than 60% plus combined market share is divided amongst four players and that has not changed for decades. And the size of the industry does not allow for external entrant to suddenly disrupt the industry. It does not allow it. It's not that big. That is one reason. So, dealing with shortage was something all four players were grappling with. Now, at least I can speak for CERA. CERA has come out of that problem over the last 12 to 15 months. There is no shortage of any Sanitaryware or Faucetware product, and that will remain for the foreseeable future. So, our ability to monetize all the opportunities coming from the market that is going to be important and that is available. There are very strong tailwinds, both, in the B2B and B2C business. We restrict our involvement in the B2B business because we don't want to change this ratio too fast. After so much efforts over the last 15 years, we somehow reached 68% of sales as B2C sales. We don't want to change that ratio. Second question was when will we get access to product from our expanded capacity. So, in Faucetware, we expect Q1FY24 to be the time where capacity expansion goes on stream. So, our 3-lakh

current production will become 4 -lakh. And in Sanitaryware, it will take a little more time because once the zero date is set, which will be set sometime in this calendar year, once land is acquired and permissions for water gas and a few other regulatory permissions are obtained, since from the zero date, it will be another 24 months to completion of the plant.

Mithun Aswath: Right. And just one last one. On your raw material, not raw material, on your energy costs because of natural gas going up, have you taken any further price hikes in the last few months or are you planning anything? Just wanted to know?

Ayush Bagla: Yes, in May of this year, which was part of the quarter, we took a price hike of 3% in Sanitaryware and 5% in Faucetware, but, unlike tiles companies, where some tiles companies have an impact of Rs. 200 crore or Rs. 300 crore in changes in gas cost, in CERA's case, the impact is always between Rs. 5 crore and Rs. 10 crore annually in a rising gas

cost environment. So, gas is 3% of sales. It's very different metrics to be applied for CERA and other tiles companies.

Moderator: The next question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude: Ayush, congrats on very decent set of numbers. So, I have two questions. Firstly, on the competitive intensity, so, a very strong player in pipes has entered into bathware, and the two tile players have been very aggressive on increasing the

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sales from this segment. So, is the demand at the retail end is strong enough to support the pricing and margins going forward? How we should look at the competitive intensity going forward? I know you had replied this earlier, but what should give us the assurance that we should not be too much worried about CERA's growth, like how we have delivered in the past?

Ayush Bagla: See, we welcome any new entrants. You know, the same topic was raised when the top two tiles' companies entered this business 12, 13 years ago. Then a very large paints Company, a giant, entered this business nine years ago. Again, the same question was asked, and the last mile between paints and sanitaryware is very different. And again, the last mile between tiles and sanitaryware is very different. And tiles is a predominantly B2B business. A B2B player entering a B2C segment is almost like a new business, which has to face all the challenges. You cannot just replicate the entire distribution model. Even the brand, the brand transferability is not that simple. So yes, you're seeing some tiles company, sorry, pipes companies are entering the business. If they come up with good designs, that will be good for the consumer. That's great. But globally, we have not heard of any success stories of companies who have replicated a behind-the-wall strategy to front-of-the-wall. We've not really heard of those success stories. And behind-the-wall strategy is selling to a plumber. Front-of-the-wall strategy is selling directly to the consumer based on aesthetics, design, and functionality. So, they are very different models.

Archana Gude : Sure . Ayush, I missed out on the number. What is the percent of tiles in total sales for Q1?

Ayush Bagla: It is 10.25%. Rs. 40.48 crore, which translates into 10.25%.

Archana Gude: And should we assume the same kind of run rate going ahead?

Ayush Bagla: See, tiles the what we've done is we've changed the complete product mix. So, now triple fired tile, then full body double charged. Now, even GVT, the way prices of GVT has been declining, it is no more a premium tile. So, I'll give you one example. Our Double Charge, which is now pretty much the most expensive tile that we are selling, share of Double Charge has moved from 16% to 22% of sales. Share of Soluble Salt, which is commoditized remains at 6% of sales. Share of wall tiles has moved from 26% to 30% of sales. Those are the initiatives. So without really going into a top line number, we are focusing totally on the bottom line number because this is a pure outsource model, a trading business.

Archana Gude: Sure, that's helpful. And lastly, Ayush, I guess many would like to know, what is the succession plan for CERA? Who would be taking over from Mr. Vikram Somany as and when he retires?

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Ayush Bagla: I think the promoters have already made their intent clear with Deepshikha Khaitan is already Joint Managing Director. She has been on the Board for more than 10 years. She is running the business already for many years. So that is already an event that is behind us.

Archana Gude: So, Deepshikha will be the next, in the shoes of Mr. Vikram Somany?

Ayush Bagla: No. That I am not saying what will happen in the future. I'm saying succession plan can be analyzed from the intent and past actions.

Archana Gude: Right. But if the management can give a slightly more clear guidance to us, that will be really helpful.

Ayush Bagla: The promoter team is Ms. Deepshikha Khaitan and Mr. Vikram Somany, and they are running the business currently. And as Joint Managing Director, Ms. Khaitan is running every aspect of the business for the last many years.

Moderator: The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: So, my question was on the volume growth. So, if we compare our top line with pre-COVID levels, our Sanitaryware has grown at 15%, Faucetware at 25% and our Tiles business has declined. So, in this number, if you could spell out the volume growth, which you have seen, that will be helpful.

Ayush Bagla: See, volume growth is important and without volume growth the business really can't grow, but there's a reason why we don't discuss SKU-wise growth simply because now, the number of SKUs, I'll just give you the number. Total SKUs in Sanitaryware are already 515. Intentionally, the Company might decide to lower the sales of some SKUs, and increase the sales of newer SKUs, because the profitability matrix is completely different. In Faucets, we are now 978 SKUs. So, if we only restrict our discussion to volumes, it will not give a good flavor on this new product development, because product lifecycle has come down dramatically. And those who know the marble industry and they can take up the best references, the marble industry where designs come in and out of fashion. So similar trends are now visible in Faucetware and Sanitaryware.

Deepak Lalwani: Okay, so if you could just give us a ballpark range that will be useful because it would help us ascertain the quality of growth and help us forecast better result.

Ayush Bagla: The best way to look at it is, let's say, the industry grows at 7% to 9% or 7% to 10% and CERA's Faucetware will grow at almost 50% to 75% higher than industry growth. Half of that growth will be volume; half will be value. And Sanitaryware will grow 25% above industry growth. Again, half of that will be pricing-led and half will be volume-led.

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Moderator: The next question is from the line of Akash Shah from UTI Mutual Fund. Please go ahead.

Akash Shah: Congratulations on a good set of results. So, on a three-year CAGR basis from Q1FY20 to Q1 FY23, what would be the price increase in Sanitaryware and Faucetware segments?

Ayush Bagla: See, over last year, Sanitaryware pricing went up by 21% and Faucetware by 26%.

But last year was an extraordinary year. But normally, you will find that we have been a little ahead of the inflation curve. So, if you look at right from 2015 to up to COVID, we just would review our pricing twice a year, every March and October and we would stay ahead of the inflation curve. So, early teens you would say.

Akash Shah: Okay. So, around 10%, 11%, 12%?

Ayush Bagla: Yes. Yes.

Akash Shah: Yes. Sure. So, if we look at on a year -on-year basis, standalone gross margin numbers, so our gross margins actually reduced from 55.8% in Q1 FY22 to 53.7% in Q1 FY23. So, even though the product mix would have improved some bit and outsourcing portion would not have been not changed materially. So, still there was some pressure on gross margins. So, will you please help us reconcile or maybe understand why this was so?

Ayush Bagla: So, inward freight, gas and labor were the three variable costs that went up. So, in COGS you will find that the fixed costs which were 20% of costs more or less were stable. Amongst the 80% basket, there was slight increase. And if another price hike is to happen, it will come with a slight lag effect. Having taken so many price hikes in the last 15 months,

we will wait to see because now, bulk of the raw materials including brass, and many other raw materials are now declining. Even gas from Sabarmati has declined by Rs. 2.5. So, in a declining RM environment, we'll wait to take any more price hikes, because there'll be a sufficient cushion. You are right 55.78% has become 53.7%, but that's the impact of slight changes in the variable cost, which is part of the COGS.

Akash Shah: Sure. And going forward, maybe the price hikes that we have taken would help us come back to normalize the gross margins?

Ayush Bagla: See, normalized was always between 48% and 52%. Because we saw 55% plus last year, that has become the new water mark. But if you go back to last eight, nine years, you will see between 48% to 52% was the normalized gross margin.

Akash Shah: And just last bit on rural demand. So how is the demand situation in Tier -3, Tier -2 towns, because predominantly, I mean, our large chunk of sales comes from these

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towns. If you can just help us understand, I mean, are there new smaller projects coming up and is there a visibility over next three, four years that we will be able to drive Sanitaryware and Faucetware sales in these towns?

Ayush Bagla: See, Tier -3 and below are exactly where the meat of the market lies. So, I'll give you some data to add color to your question. Export is 1% of sales this quarter. Tier-1 sales, which are population centers about 25 lakh is 30% of sales. Tier -2 cities with population of between 10 lakh and 25 lakh is 13% of sales, and Tier -3 towns with population up to 10 lakh is 56% of sales. So, though our definition of Tier-3 is very high, but that's where the meat of the market is, and bulk of the efforts, whether it's opening new showrooms, new dealer engagement, appointing new dealers, creating infrastructure sales team, all is directed in Tier -3 markets. But at the same time, you saw a share of Tier -1 go from 27% last year to 30% this year. And that's again the outcome of new product development program and newer, higher -end SKU is being launched by the Company and being accepted by the marketplace.

Akash Shah: Sure. Sorry, so, are we seeing new projects coming up? Just this last thing.

Ayush Bagla: Yes, the new projects in Tier -3 towns are self-funded projects, and they don't have multiple stage approval processes like we have in Bombay and other cities. So, the lifecycle of those projects is six months, nine months, and they are not dependent on external Bank funding, construction finance etc. So, there is much lower risk, and we are not dealing with those projects directly. Our dealers are, as and when required. There is no negotiated pricing, there is no credit risk. So those are the pluses of those projects, and the velocity is very strong in those cities.

Moderator: This was the last question for today. I now hand the conference over to management for closing comments.

Ayush Bagla: Thank you. I would like to thank everyone for attending this call and for showing interest in CERA Sanitaryware Limited. CERA remains positive that its strong positioning in the industry, improving macros will help it deliver steady and consistent growth going forward. Should you need any further clarification or would like to know more about the Company, please feel free to reach out to me or CDR India. Thank you once again for taking time to join the call and see you all next quarter.

Moderator: Thank you very much. So, on behalf of CERA Sanitaryware Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level

of accuracy.

## Call: Nov 2022

CSL/2022-23/373

15th November 2022

To,

BSE Limited

Corporate Relationship Department

1st Floor, New Trading Ring

Rotunda Building, P J Towers

Dalal Street, Fort, Mumbai – 400001.

Scrip Code :532443

Scrip ID: CERA To,

National Stock Exchange of India Limited

Exchange Plaza

Bandra Kurla Complex

Bandra (East)

Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 9th November , 2022

Ref: Regulation 30 of the SEBI (L ODR) Regulations, 2015

With reference to our letter CSL/2022 -23/348 dated 27th October, 2022, intimating you about the Q 2 FY2023 Earnings Conference Call held on 9th November, 2022, please find attached the transcript of the aforesaid conference call.

The same is available on the website of the company i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records .

Thanking you,

For Cera Sanitaryware Limited,

Hemal Sadiwala

Company Secretary

Encl: As Above

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Cera Sanitaryware Limited

Q2 FY 2023 Earnings Conference Call Transcript

November 9 , 2022

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY23 earnings conference call of Cera Sanitaryware Limited. As a reminder all participant lines will be in listen - only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing “\*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mayank Vaswani of CDR India. Thank you, and over to you.

Mayank Vaswani: Thank you, Yashasree . Good morning, everyone, and thank you for joining us on the earnings conference call for Cera Sanitaryware Limited for the Q2 FY23 earnings, which were announced on Monday.

We have with us today the management team comprising Mr. Ayush Bagla, Executive Director; Mr. Rajesh B. Shah, CFO and COO; and Mr. Vikas Kothari, Deputy CFO of Cera Sanitaryware. We will begin the call with brief opening remarks from the management, following which we shall open the floor for Q&A.

A quick disclaimer before we begin , some of the statements made in today's conference call may be forward -looking in nature and the detailed note in this regard is contained in the earnings documents that have been shared with all of you earlier.

I will now turn the call over to Mr. Ayush Bagla for his opening remarks.

Ayush Bagla: Good morning, everyone. The earnings for the second quarter and half year ended 30th September 2022, were adopted by the Board of Directors on 7th November 2022 . The earnings documents have been released to the stock exchanges.

At present, our manufacturing facility continues to function at high utilization levels. Capacity utilization for Q2 FY23 for Sanitaryware was at 115%, and we endeavor to operate the plant at similar levels all through FY23. In Faucetware, the capacity utilization was at 116% during Q2 FY23 and all efforts are on to maintain these levels. As indicated in our previous earnings con call, our current production for September 2022 at the Faucetware plant has been 2.9 lakh pieces. In FY21, it was 1.25 lakh

pieces per month. In FY22, it was 2.18 lakh pieces per month. The current production is a 132% increase over the production level of FY21 and a 33% increase over FY22.

The faucetware expansion program to take capacity to 4 lakh pieces per month commenced from July 2022. Requisite approval from the Gujarat Pollution Control Board were obtained. The enhanced production is scheduled to go on stream in July 2023. The total cost of project is INR 69 crore to be funded entirely from annual operating cash flow. The cost breakup is , 'Building and Civil work ' IN

R 37 crore,

'Equipment and Plant' INR 24.75 crore, 'Electrical substations ' INR 7.5 crore. The product mix planned is colored SKU 's, quarter turn SKUs, PVD SKU 's and a few more SKU's that can be taken in, from outsourced partners.

So far, not a single day of disruption of current manufacturing has taken place. The market has been continuously fed with products from the existing plant. We expect to end FY24 with an output of 4 lakh pieces per month. In April 2022, newer value - added SKUs in Faucetware were introduced at the National Dealer Meet. SKUs in 4 ranges and in 6 colors were introduced to the trade. These value -added products included Black Matte finished faucets, Red Matte finished faucets and other PVD products. An intensive range of Rose Gold, French Gold, Yellow Gold products were part of the event. These new products are being gradually rolled out with a grand display at 100 dealer's outlets. Over time, these new ranges will provide 319 SKUs.

The Sanitaryware plant is operating at a capacity utilization of 115%. This is the highest utilization in the past 10 years for Cera. If you look beyond the numbers, the capacity is very agile allowing shifting between outsourced SKUs and manufacturing SKUs, some of which may require shorter runs . Certain products, which used to be outsourced within India and from China are now taken in and are being manufactured in -house. The plant can, in a cost -effective way, manufacture short batches of SKUs whenever required.

China imports in FY21 were IN R 57.2 crore or 4.76% of sales. In FY22, China imports was INR 67.87 crore or 4.71% of sales. In H1 FY23 China imports were INR 27.66 crore, only 3.41% of sales. Cera was already one of the lowest users of products Made in China and with availability of manufacturing infrastructure in -house, the percentage of Chinese imports to sales have been continuously declining. In a business, which is brand driven, the fulcrum of success is now completely manufacturing and plant efficiency.

For fresh capacity for manufacturing Sanitaryware , the Company has carried out extensive surveys of water, gas and labor availability for a greenfield facility. A few land parcels have been shortlisted and the Company is currently i n discussions for those land parcels. Since capex will commence post land acquisition, the detailed

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plans of the phase -wise capital expenditure will be made available. So far, no binding or nonbinding documents have been signed for any land parcel.

As on 30th September 2022, our cash and cash equivalents stood at INR 573 crore against INR 485 crore in September 2021 registering an increase of INR 88 crore or an 18% inc rease. Positive cash flow for Q2 FY23 has been INR 50 crore as compared to INR 45 crore in Q2 FY22. Therefore, going forward, only internal accruals are being used to fund the two capex programs. And we would also retain the flexibility to use some part of the cash and cash equivalents, if required. I would like to reiterate that no debt raising , or equity dilution is planned or required for both the capacity expansions.

Q2 FY23 also continued to witness stable raw material behavior in Sanitaryware and a downward bias in raw materials for Faucetware. During Q2 FY23, no price hikes were undertaken.

On the Sanitaryware business, key items like China clay, feldspar, Plaster of Paris, which constitute more than 95% of Sanitaryware's raw material mix had no impact. Within the glazing recipe, which constitutes less than 1% of Sanitaryware's raw



material mix, the key constituents has moved down by 16% during Q2.

Due to the availability of gas from isolated wells near our plant, the pricing of gas from GAIL continues to remain below market and will do so in the future. Price has remained stable at INR 25.72 per cubic meter in September 2022, which was

as INR

25.69 per cubic meter in June 2022. In Q2 FY23 GAIL provided 54% of the gas requirement of the Sanitaryware business. Sabarmati Gas, a JV of BPCL and GSPC's pricing went from INR 73.58 per cubic meter in June 22 to INR 75.38 per cubic meter September 22. Sabarmati supplies 46% of the gas needs of the plant. Gas costs constituent is 3.12% of Cera's top line. There have been no changes in the price of ancillary cost items like transportation cost. The cost of corrugated boxes have remained stable.

Our high reliance on renewable energy for over 2 decades has significantly benefited us given that 63% of our electricity needs are met from wind and solar power sources. As a result, we have been able to keep significant parts of our cost basket stable.

On to some further developments in the retailer loyalty program, which was launched by Cera in Q1 FY23, which is now almost completed 6 months. More than 13,000 retailers have already used the retailer app. These retailers form the bulk of Cera's distribution reach. We expect the total number of retailers to be around 15,000 plus who most likely will be part of this loyalty program by end FY23.

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The feedback received from retailers has helped us in the understanding the consumer's changing demands, geographical segmentation of SKUs and evolution of the rewards program to retailers. Besides standardizing invoices in H1, more than INR 145 crore of sales to retailers have become eligible to receive rewards through this program. Many below-the-line marketing activities such as displays at the point of sale are being driven by this program. The Company's ability to tweak trade practices, trade pricing and ability to steer the direction of the dealer and retailer equation have all undergone a sea change. We have also seen an improvement in multi-brand retailers who have undertaken various initiatives to sell Cera products.

This ties in very well with our new product development. As product life cycle reduces, new product offerings at higher price points with dramatically new aesthetics and functionality are core to our top line and margin expansion. In H1FY21, 81 new products were introduced. In H1 FY22, 3 new products were introduced and in H1 FY23, 59 new products have been introduced.

In that backdrop, we can go over the financials :

Revenue from operations in Q2 FY23 was INR 414 crore versus INR 393 crore in Q2FY22. EBITDA excluding other income, was INR 66 crore in Q2 FY23 versus INR 58 crore in Q2 FY22. The gross margin has improved at 56% in Q2 FY23 against 51% in Q2FY22. The EBITDA margin is higher by 120 basis points at 15.9% in Q2 FY23 versus 14.7% in Q2 FY22, a growth of 14%. Profit after tax was INR 51 crore in Q2 FY23 versus INR 42 crore in Q2 FY22, an increase of 20.5%. EPS for Q2 FY23 was 38.99% versus 32.36% in Q2 FY22.

For Q2 FY23, 54% of the top line was from Sanitaryware, 34% from Faucetware, Tiles represented 10% and Wellness 2%. On a Y-o-Y basis, Sanitaryware revenues registered an increase of 10%, Faucetware revenues increased by 7%, Tiles decreased by 20% and Wellness increased by 10%. The Sanitaryware and Faucetware verticals remain the bedrock of our business with contribution of 88% to Cera's overall revenues.

We continue to witness encouraging demand for newly launched products. Products launched during the last 2 years contributed close to 24% of the revenues.

Products launched during the last 3 years contributed to close to 36% of revenues. Inventory days in Q2 FY23 were 81 days compared to 60 days in Q2 FY22. Receivable

days in Q2 FY23 were 26 days versus 36 days last year. Payable days in Q2 FY23 was 36 days against 35 days in Q2 of FY22. Therefore, net working capital days in Q2 FY23 was 71 days versus 61 days in Q2 FY22.

After a fairly low capex last year as against the capex

budget of INR 17.19 crore for

FY22, the total capex spend was INR 11.12 crore. In the current year, the capex

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budget other than the brownfield Faucetware expansion and the proposed greenfield Sanitaryware capacity expansion programs are INR 24.6 crore of which INR 7.7 crore is for Sanitaryware automation, INR 6.4 crore for Faucetware automation, INR 6.6 crore for land and building and INR 3.9 crore for logistics and IT.

Cera's growth plan remains intact as it plans to expand capacities and to monetize rising demand. After taking a few years to break the INR 1,250 crore to INR 1,350 crore top line band, in FY22, Cera touched the top line of INR 1,446 crore. We all saw the impact on EBITDA and PAT margins. Going forward, Cera is set on a new top line trajectory, which we can all witness in the Q1 and Q2 numbers. Every decision made at Cera is from the share holders' point of view with ROCE, payback period and impact on EPS fully considered before being placed for deliberation amongst the Board of Directors.

The classification of sale in FY22 was 42% in the premium category, 28% in the mid-category, 30% in the entry category. In Q1 FY23, the data classification had an error and should be read as 43% premium category, 30% mid category, 27% entry category. There is now standardization of classification based on price point and positioning of SKUs and therefore, the data for classification of sales in Q2 FY23 is 43%, in the premium category, 30% in the mid-category and 27% in the entry category.

Cera has launched a new ad campaign with brand ambassador Kiara Advani and Vijay Devarkonda titled, "It's your space, Play it your way". We have received very positive feedback on the campaign as the brand moves up the pricing and design pyramid.

I would now request the moderator to open up the line for Q&A. Thank you very much.

Moderator: We have our first question from the line of Disha Seth from Anvil Research. Please go ahead.

Disha Seth: Sir, our top line has grown by 5% and our volume growth in Sanitaryware and Faucetware is upwards of 10% and 7%, respectively. Sir, is there any price hike we have taken, if you can throw some light?

Ayush Bagla: So, Disha, the Company is now at a very crucial stage of metamorphosis. Normally, the number of new products and the new products we always used to classify as the products launched in the last 3 years used to be around 22% to 24% of sales. This quarter it is 36% of sales. So new products with complete change in aesthetics and functionality and therefore, at a much higher price point is the way to go. And, you know, we are a market leader. So, we asked ourselves a question, who is looking

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out for the consumer? The leader has to guard the price. And with softer raw materials, softer cost base, there was no compulsion to increase the price, even though we have pricing power, the brand promise and brand salience are so strong, we could have taken a price rise in Q2, just like we had taken at the beginning of Q1. But enough price rises were taken all through the last 15 months. So, we believe for the short term, there is no compulsion to take a price rise. And in case, our peer group takes a price rise, we will gain a tremendous market share. So, these are some of the efforts being made to not only remain as a leader but gain market share.

Disha Seth: Okay. So, we are not even planning to decrease it because of the market leadership?

Ayush Bagla: No, decrease has never really happened even in the past.

Disha Seth: Okay. So, sir, the sales are 5% but volume growth is 10% for Sanitaryware. So that's why the difference is because of the Wellness, Tiles degrowth, is my understanding, right?

Ayush Bagla: No, the value growth

in Sanitaryware is 10% and Faucetware 7%. And overall, the company's top line, if you add all the income, it has grown 6.25%. So, Tile, as you know, we have virtually no capital employed in that business. We have no fixed assets in that business. There is just a little bit of capital deployed in working capital. It's a pure trading business, and we retain the flexibility to keep changing our product mix to get to an optimum EBITDA number. So, the gain for us in Tiles is not to gain, reach a certain number in top line, but to reach a certain EBITDA percentage number.

Disha Seth: Okay. Sir, also as a shareholder, we would like to see volume growth, but just stressing on that what you mentioned 10% and 7% is a mix of volume and price or only value growth, then what would be the volume growth?

Ayush Bagla: It is purely value growth. And I'll tell you the reason why I emphasized on that. See, right now, we are dealing with in Sanitaryware 518 SKUs, with almost 100 SKUs being added every year. So, it is not difficult for a Company like Cera to increase volumes by continuing to sell mid-level products. But as the Company moves up the value chain, the pricing chain and design chain, volumes will not be the driver of growth. Value is the best way to look at the Company. Again, in Faucetware, you're dealing with 994 SKUs.

Disha Seth: Okay. Sir, our volume growth this quarter would be how much then?

Ayush Bagla: Again, the volume growth is not the way to look at the Company.

Disha Seth: Okay, sir. And sir, going forward, margin, if you can throw some light since you mentioned they are on the downward trend. And we do not plan to increase price

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and keep it stable. So, we can see our gross margin expansion and also EBITDA margin expenses. My understanding is right?

Ayush Bagla: Yes, what you said was raw materials are on a downward trend, especially brass. So, zinc, brass and faucetware, they have declined, and I can give you some details on that. In Sanitaryware, 95% of the RM is these 3 items: feldspar, China clay. So here, there has been no increase in Q2. In zinc, there has been a slight increase last year, but that's less than 1% of the RM basket. In the glaze recipe, there's a 10% increase last year and no increase in Q2. So overall, there was almost a reduction in the Sanitaryware basket. In Faucetware, the reduction was even more pronounced because zinc and brass both declined, sorry zamak and brass both declined. Brass declined from INR 545 to INR 495 per ton. There was a saving of INR 3.82 crore in the quarter. And zamak declined INR 371 to INR 317 per ton and the savings only in this quarter was INR 30 lakh.

Disha Seth: Okay. So, we can expect a gross margin expansion, or it will restate even going forward?

Ayush Bagla: Again, gross margin has already expanded. The 56% is our all-time high. And the way that has been achieved is not only through RM decrease but sweating the assets more and making sure that the efficiencies have increased.

Disha Seth: Okay. And sir, operating leverage must be also at the peak since we're sweating it so nicely. So, more leverage may not be possible because we're already running at plus 100 capacity?

Ayush Bagla: No, more leverage is possible because the SKUs at the bottom end will be

continuously moved out to our vendors and higher -end SKUs be taken. And some SKUs, which we used to import from China have also been taken in. The reason for import from China was not that we couldn't make it in-house, the reason was the quantities of those SKUs were very small. We didn't want to have short runs in the factory. But now the factory manufacturing capability is agile enough to allow for these short-run SKUs.

Disha Seth: Okay. And sir, your medium-term guidance for the sales growth if you can specify this?

Ayush Bagla: So, once we achieve INR 1,440 crore in March '22, we had said that we will double in 40 months, and that remains intact. And the best way to look at this is if you look at the H1 numbers now, normally, H1 is 45% of sales. So, you'll have a pretty good estimate of FY23 and then beyond. The numbers we are looking at is a dramatic, H1 is 30.52% over last year's H1.

Disha Seth: Yes. Because of the lower base in Q1 FY22 maybe because of COVID?

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Ayush Bagla: Correct.

Moderator: We have our next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Sir, I wanted to know the asset turn on the capex of Faucetware of INR 70 crore? And what would be the capex in the greenfield Sanitaryware whenever you plan finally and what will be the assets turn there?

Ayush Bagla: Asset turn Faucet will be higher simply because we're getting a lot of advantages of the current facility. There's no cost of land, et c. Cost of civil is also maybe half of what it would have been in a greenfield facility. So, on INR 69 crore, asset turn will be between 2 and 3 once it's commissioned. But a lot will depend on which SKUs are made. So, this number can be reinvested once the plant has been operating for 6, 8 months, but current numbers based on what we plan on producing will be about between 2 and 3.

In Sanitaryware, we had identified the two land parcels, but we didn't reach a conclusive end of a binding or nonbinding document. So, we are looking at a few more locations. Land prices in Gujarat have gone up, availability of labor, water and gas, all 4 factors confluencing has not been so easy. So that is why I mentioned that no document has been signed for any land so far. So, we hope to complete something before March '23.

Pritesh Chheda: But what approximate capex in Sanitaryware would happen?

Ayush Bagla: Land would cost INR 25 crore, and the overall plant we estimate right now will cost INR 129 crore.

Pritesh Chheda: An asset turn on this INR 150 crore?

Ayush Bagla: No, together, it's INR 129 crore. So, asset turns will be above 2. But again, it will be a function of which SKUs are made in a current manufacturing facility and which SKUs in the newer one.

Pritesh Chheda: So, until this capacity comes, you have the scope of improving your product mix within your existing capacity, right, sourcing versus buying from outside?

Ayush Bagla: Yes, that's right. And that is the reason you are seeing improvement in gross margins.

Pritesh Chheda: Okay. So, if I have to look at your strategy incrementally on having slightly more premium products and also better utilizing our own asset by what to purchase and

what to make in -house, the 1.6% margin that we see have actually a scope for an upside buyers and can improve as you double your revenue over the next 40 months?

Ayush Bagla: Yes, we would be, I would say we would be satisfied with the 50 to 75 bps annual increase in EBITDA margins in this journey. And that has already happened between '21 and '22, more than that has happened. Even currently, you're seeing more than that happens. So, we will just say on an annualized basis, anything above 50 would be a very welcome development.

Pritesh Chheda: Okay. And sir, lastly, if you could give for H1 '23, what was the Sanitaryware, Faucetware, Tiles and Wellness revenues? And for Q2 also?

Ayush Bagla: Yes, I can give you H1 numbers, INR 436.82 crore in Sanitaryware versus INR 315 crore last year in H1. Faucetware was INR 278 crore this year versus INR 201 crore last year. Wellness INR 14.46 crore versus INR 11.5 crore last year, Tiles INR 79.21 crore versus INR 85.66 crore last year, that was H1. I'll give you Q2. Q2 S

anitaryware

was INR 225.19 crore this year versus INR 203.97 crore last year. Faucet was INR 141.76 crore this year versus INR 133.01 crore last year, Wellness INR 7.81 crore this year versus INR 7.11 crore last year, Tiles INR 38.72 crore versus INR 48.46 crore last year.

Pritesh Chheda: And any reason for a slightly slower growth, what we see this quarter?

Ayush Bagla: Again, this is the outcome of a metamorphosis that the Company is going through. You have seen our latest ad campaigns. That completely repositions Cera and the consumer's mind. We are now trying to compete both with MNCs with companies which import not only from China, but from Western European countries and also from our traditional peer group who are large sanitaryware players. So, we will have already product approach the entire pricing pyramid. And the emphasis of the Company is to make sure the share of premium items continues to increase.

Pritesh Chheda: You mentioned that H1 is 45% of the revenue, right?

Ayush Bagla: Yes.

Pritesh Chheda: Okay. I was not convinced by the answer which you gave for slower growth of 7%. So, was there a distribution change or anything because of which, was there product SKU realignment where you are slowly migrating to a premium SKU? That's the reason, I couldn't actually comprehend the answer that you mentioned for slower growth.

Ayush Bagla: See, we were always like higher growth and we would like industry -beating growth, but that has to be looked at in all from 360 degrees. You can't have growth with

increasing receivable days. You can't have growth with suddenly expanding in a geography after spending INR 10 crore on launch. So being a listed Company and a highly disciplined financial Company, we take all those factors into account before making any moves in the market. The name of the game is retain your core base, your core identity of SKUs and keep on launching new SKUs, so that share of new SKUs may not necessarily take place in volume, but tremendously in value. So, I would only request you to look at one statistic that I read out, share of new products were always between 22% and 24%, share of products launched in the last 3 years, but now they are at 36%. That is a tectonic shift in the Company's functioning.

Moderator: We have our next question from the line of Shrenik Bachhawat from LIC AMC. Please go ahead.

Shrenik Bachhawat: Sir, my first question is, as we have seen recently, pipe players like Astral and Prince have entered the Bathware segment. And these guys have strong distribution in Tier-2 and below markets, which is the core market for us, which is 80% of our

revenue, right? And also, there is the overlap benefit they have, where the hardware stores who sell the pipes also sell the bathware products. So, we were reducing our focus on metros because of the competition of MNC, but do you see an increasing competitive intensity in the Tier -2 and below cities because of these pipe players coming in our business?

Ayush Bagla: You're in the market, you know the numbers. The pipe companies have not really been able to achieve scale so far, maybe they make all the correct moves going forward. The kind of pressure that the financial community has put on them, they are more to become B2B suppliers. And transferability of a brand from behind the wall to front of the wall is very, very difficult. We are seeing that even tile companies with such strong financial muscle, distribution muscle have not been able to transfer their brand from Tiles to Sanitaryware and Faucetware over the last 15 years. So, transferability from a low-end product, which is completely commoditized to a high-end design and aesthetic-based product is not easy. And I mean I'm waiting to see more evidence on that. So far, there's no evidence that has been put i

n front of us,  
whether the consumer has accepted them or not accepted them.

As far as Tier -3 is concerned, you see the census says all population centers above 1 lakh is in Tier -1 town. But our definition for easy understanding, we have said Tier -1 towns of population centers above INR 25 lakhs. And Tier -2 cities are between INR 10 lakh and INR 25 lakh and Tier -3 cities, we classify for discussion purposes only as population centers below INR 10 lakhs, which is a very broad range. Which is why you see that number. So currently, the number this quarter was 27, 12 and 60. And that 60 number if we were to further reduce the band from INR 10 lakh to INR 5 lakh or even INR 2.5 lakh, that number will get more evenly distributed between Tier-1 and Tier -2 cities.

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Shrenik Bachhawati: Could you also throw some light on the demand scenario in metros versus Tier -2 cities, like is there any sharp gap or broadly similar?

Ayush Bagla: I would say demand continues to be strong and most important is the B2C demand where interest rates are not a deciding factor, unlike in the B2B demand and the new apartments offtake category where interest rates are, of course, one of the factors that determine velocity of sales. So, Cera's focus is completely on the B2C category, where the consumer is neither taking a loan nor is trying to time his home improvement with any kind of economic cycle. So that's our focus that remains strong in all categories.

Shrenik Bachhawati: And basically, we're talking about sharp growth in our numbers, but where do we see our Tiles segment? How should we as analysts look at the Tiles segment? Is it just a side segment where we will not concentrate or how will we see that growth?

Ayush Bagla: The Tiles segment, in any case, for the last so many years, we derisked our balance sheet from the Tiles segment. We participated in equities in 2 JVs. One we have exited, the other one is not currently working. But our total exposure to the JV is only INR 8 crore. So other than that, there are no assets on the books. It's a purely trading venture. Currently, the Tiles industry is going through a lot of upheaval and that you are seeing in the results of many tile companies. The upheaval is because there is tremendous overcapacity of tile players in Morbi and other places.

There is no pricing power even with the brands, and there is no product differentiation between different players. So, till that upheaval subsides, it's a very difficult call to try and increase your share of tiles. And in any case, it's the lowest contributor to profits in Cera. So, you are seeing that when Tiles was 17%, 18% of the P&L, the margins were much lower than what it is now when Tiles are 9% to 10% of the P&L. So, the focus right now is to be a niche Tiles player, try and sell double charged, triple fired GVT, some walls, some paving tiles, a mixture of tiles, which are not fully commoditized.

Moderator: We have our next question from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: I have 3 questions. Firstly, on capex, I understand the regular part of it, which is a INR 25 crore breakdown you gave. On the Faucet's side, INR 70 crore largely should be spent in this year, but I'm seeing the first half at INR 10 crore. Could you help me with time lines for Faucet expenses purely on cash capex, and then I'll come down to Sanitaryware capex.

Ayush Bagla: Faucet is a total of INR 69 crore, and we started in June, July this year after requisite approvals were in place. So, so far, a very small portion of that INR 69 crore, a bulk of it has been spent in advances to plant and equipment manufacturers, technology

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suppliers and a little bit in civil works. So, but

likewise it will be more end loaded and you'll see bulk of it in Q3, Q4 and also Q1 and Q2 of FY24, a total of INR 69 crore.

Rahul Agarwal: So, by census by June of 2023 Faucet starts, so bulk of it should be done by April, May of 2023. Is that correct?

Ayush Bagla: That's right.

Rahul Agarwal: So, second half, obviously, will be capex heavy on Faucet?

Ayush Bagla: That's right. Out of the INR 69 crore.

Rahul Agarwal: Right. And on Sanitaryware, obviously, it's not finalized yet, but you will spend INR 25 crore on land which should happen by March and then bulk of the balance of (inaudible) should come down in fiscal '24. Is that correct?

Ayush Bagla: '24 and '25. It will be 18 to 24 months of capex post land acquisition.

Rahul Agarwal: Okay. 2-years post land acquisition.

Ayush Bagla: That's right.

Rahul Agarwal: Okay. Got it. Second question was on growth. So, Sanitaryware plant obviously will come much later. Right now, you've fully utilized, the plant is full for second half. So, the growth next year is taken care of from outsourcing. Is that understanding correct?

Ayush Bagla: No, you see, if we look at our commentary from before COVID in Jan '19, even in March '19, we had said that the industry faces a problem of availability. And at that time, that message didn't find too much resonance because nobody, no other listed players talk about availability problems. But we said the pace at which demand is growing, capacity across the board for the industry has not kept pace. And that is something we witnessed in the first half of the COVID period as well, not because of factory disruption, but demand completely excluded. Now this is the first time this year that we have had no shortage of a single SKU in a single geography. And it has been our aim to keep on increasing inventory days just because there is no cost of carry. There is no cost of obsolescence. So, it was an important objective to have achieved. And going forward, we will keep this 80 to 90 days inventory days. We will keep on outsourcing lower-end products to third-party vendors. Incidentally, I just wanted to share with you that the cost of Indian vendors is 35% to 45% lower than Chinese imports even after container costs have come down from INR 6,000 per container to INR 1,500 per container in September. So Indian vendors and Indian outsourcing is a way to go and to keep freeing up infrastructure and capacity in the own plant to make newer SKUs.

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Rahul Agarwal: Sir, the question is, next year, for Sanitaryware, if you, let's say you grow between 10% to 15%, where does this growth come from? Because you're anyway at 115%, you will still be the same in second half. So, do we go to like another 15% on that overcapacity utilization, that's how we should look at it?

Ayush Bagla: We'll be making newer SKUs, which were launched last year and this year in our own plant, and our vendors will be making the traditional SKUs. But in rupee terms, you will not see an outsourcing increase. Because the value increase in in-house production will be much more disproportionately higher.

Rahul Agarwal: Okay. Now I get it. I get it. And lastly, on the other income, the first quarter was negative. That question remained unanswered last time. Second quarter is INR 10 crore. What is really happening there? Why is the fluctuation?

Ayush Bagla: Because we take as per IndAs, we did M2M valuations of all our mutual funds, which are all in safe instruments. So even GOI bond funds had fluctuations when the interest rate cycle in April and May spiked, but they settled down. So, this was all noncash charge. Even out of the INR 10.95 crore you see, INR 8.34 crore is M2M changes. Only INR 2.61 crore is actual cash flow.

Rahul Agarwal: Okay. I get it. And lastly, just to clarify on the capex

x. So, about INR 25 crore in

Sanitaryware land, above INR 25 crore in regular capex, that's INR 50 crore and another, let's say, INR 30 crore, INR 40 crore on Faucets, that's close to INR 90 crore this year. Then there will have another INR 20 crore regular next year and about INR 100 crore, about, let's say, INR 70 crore, INR 80 crore of Sanitaryware. So that's another INR 100 crore. So, about INR 100 crore average this year, next year capex is fine from a cash perspective?

Ayush Bagla: Yes. And that will be just half of our annual operating cash flow. So, they most likely will not be a need to depend on the treasury reserves.

Moderator: We have our next question from the line of Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh: Ayush, my first question is on the mix in terms of in-house manufacturing versus outsourcing for this quarter and how it was in 2Q of FY22, for the 2 categories, basically Sanitaryware and Faucetware?

Ayush Bagla: The mix in terms of premium and ...

Akhil Parekh: No, the in-house manufacturing versus outsourcing you mentioned?

Ayush Bagla: Okay. In-house in Q2 was 40% in Sanitaryware, outsourcing was 60%. In Faucetware, in-house was 48% and outsourcing was 54%. Versus last year, in-house in

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Sanitaryware was 41%, outsourcing was 59%. In Faucetware, in-house was 43% and outsourcing was 57%.

Akhil Parekh: Okay. And what you just commented like previously, that this contribution from in-house will kind of go up mainly because of better product next year, FY23?

Ayush Bagla: That's right.

Akhil Parekh: Okay. And second question is a general demand trend, right. There is mix reviews that we keep hearing in terms of the real estate market, given the interest rates are going up. If you can just qualitatively highlight how it is in a Tier-2 and Tier-3 market vis-a-vis premium markets or urban market basis?

Ayush Bagla: We find no change in any demand trends. And maybe what you have heard is more tiles driven because the tiles industry is going through once in a lifetime or once in 30, 40 years upheaval with too much overcapacity. And no product differentiation between the lowest end players and the brands who charge a higher price. So that really reduces the pricing power. Those are the reasons for the upheaval in Tiles rather than any demand-led upheaval. In Sanitaryware and Faucetware, we have not found any trends so far, which are different in Q1, Q2 or even in October.

Akhil Parekh: Okay. Sure. And second question is on this Faucetware capacity, which we're going to commence. Like I mean this 4 lakh pieces per month. So that complete absorption



will happen by end of FY24 or probably by first half of FY25?

Ayush Bagla: So, after July '23 when the plant starts producing those numbers, it might take a few months to reach that final INR 4 lakh per month destination but that will definitely happen during that financial year.

Akhi Parekh: Okay. So '24 itself basically, end of '24 itself, we should see complete absorption?

Ayush Bagla: Yes.

Akhil Parekh: Okay. And last question on the Tiles segment, we are kind of defocusing from this segment. And I believe this year, '23 will kind of be flattish vis-a-vis FY22. So, going ahead, should we anticipate this category to remain at that level or probably even decline, say, for FY24 and '25?

Ayush Bagla: First of all, the first filter we use is we don't want to deploy more capital in Tiles. That's the first filter. Second filter is we need a certain EBITDA percentage in every sale that we do. So that is only possible in high-end double-charged and triple-fired GVT. And that's where the concentration is. So, we are not that focused on a certain top line to be achieved in Tiles. And Tiles have gone through a major upheaval and Cera has been

completely spared of that upheaval. If we were a larger player, then

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we would have somewhere gotten flinched like all other players have gotten flinched.

Akhil Parekh: Sure. This is helpful. Sorry. And one last piece, I missed the gas prices at Sabarmati and GAIL for this quarter, how it was and how it was last year?

Ayush Bagla: The cash number?

Akhil Parekh: No, no. The gas prices.

Ayush Bagla: Okay. I'll just give you the gas prices. Average from GAIL which is about 56% of our consumption was INR 25.70. And from Sabarmati, which is 44%, 45%, was INR 74.87. Weighted average after considering the respective shares is INR 48.56, which is dramatically lower than anybody's average.

Akhil Parekh: And how it was last year in GAIL and Sabarmati?

Ayush Bagla: GAIL last year I'll give you the number for the full year '21, '22, GAIL was INR 11.13; Sabarmati was INR 59.46 and the weighted average was INR 32.93.

Akhil Parekh: Okay. So, from INR 32.9, it has gone up to INR 48.5?

Ayush Bagla: Yes. So, this INR 16 in Cera's case works out to about INR 15 crore. The annual impact is INR 15 crore.

Moderator: We have our next question from the line of Akash Shah from UTI Mutual Fund. Please go ahead.

Akash Shah: And I just had two questions. One, from Q2 FY22 to Q2 FY23, what would be the price growth that we would have taken in Sanitaryware and Faucetware segment?

Ayush Bagla: I'll give you the breakup also of the price. After Q2 last year, in November was the first price hike of 10% in Sanitaryware, 5.5% in Faucetware and then there was no price hike till May 2022, 3% in Sanitaryware and 5% in Faucetware. And both came with the lag effect because dealers rush to place orders when there's an announcement of price hike and some orders need to be fulfilled at the old price as well. So, with a slight lag, there have been 2 price hikes between the two Q2s.

Akash Shah: Yes. Understood. Ayush, so going forward, how should we think percentage contribution of Tiles would be to our overall top line? Would it be 10%, 15% of revenue? Or I mean, or would it go to 20%, maybe 1 or 2 years down the line?

Ayush Bagla: I would say any number between 8% and 12% would be a very comfortable number because that would make sure that our estimate of margin increase at the EBITDA

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level of 50 to 75 basis is maintained. And if the Company adds between INR 350 crore to INR 400 crore of top line annually, so Tiles could be anything between INR 150 crore, INR 180 crore business.

Akash Shah: Yes. Understood. And so, we have around , please correct me if I'm wrong. We have around INR 485 crore of cash as of September 2022. So, any thoughts on how we are planning to utilize this cash because internal accruals would be able to fund the capex plan that we have. So, any thoughts around that?

Ayush Bagla: INR 485 crore was the number in September '21. In September '22, it's INR 573 crore. And in any case, last year, there was a special dividend on the 40th year of the Company in addition to the regular dividend. So, dividend is normally 17%, 18% of PAT last year, of course, the number instead of INR 20 crore was INR 46 crore. So, let's see, based on the capex needs, the growth of the Company , the working capital needs, the Board will decide on this year's dividend. Normally, that ratio of the last 6 years has been 17%, 18%. But other than that, growth is something that the Company is more interested in rather than using the cash for any other purposes.

Akash Shah: Yes, understood. And just one last question, if I can. So, if I look at H1 FY23, we have clocked around 54.8% gross margins, which was higher than even H1 FY19. So broadly, can we build this gross margin as a sustainable number g

oing forward? Or this may once again may revert to 50% to 53% that we have seen in past?

Ayush Bagla: There are a lot of activities being carried on in the Company . The trade margins are being negotiated wherever they can. The cost basket is being analyzed on a regular basis. The aim is to keep on increasing the gross margins, unless something volatile happens in the RM basket, labor basket or transport basket. We don't see the gross margin changing. Only one addition that I'd like to highlight to you is that the Company has embarked on a new advertising and publicity campaign that will play out over the next 6 to 8 months and that will be an extensive campaign, but that will upgrade the brand tremendously, the benefits of which the company will get at least over the next 5, 6 years in higher sales. And the company is trying to increase its sales by 1.25 times annually. So, this kind of brand upgradation and repositioning upwards, this was an exercise that was required, and you're seeing the benefits of that. So that is the only major change, but that will not influence COGS or gross margins that will come right at the selling and marketing expenses and other expenses side.

Akash Shah: Yes. Sir, and just one last bookkeeping. Ad spends for the year for FY23 would be how much percentage roughly?

Ayush Bagla: Normally, they are 3.5%, 4%. This year, we could look at 5%, but that is subject to further discussion during Q3 and Q4.

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Moderator: We have our next question from the line of Udit Gajiwala from Yes Securities. Please go ahead.

Udit Gajiwala: Just broadly you have answered all the questions. Just one thing that for H2, we are aiming , just revising the number that you said that H1 is 45%. So, if I just do a simple math, we are aiming for an 18% year -on-year growth in H2. So how much , I know you don't would like to comment on the volume thing. But given that we are not looking at any price hikes, what gives us the confidence of achieving such growth?

Ayush Bagla: See, price hike is not on the table at the current moment. So, I mean, we're talking about early November. In the short term, there is no discussion on the price hike. In the medium term, which is end of Q3 or Q4 is too long a time period to talk about

price hikes given the changes in RM mix that we see. But the growth will come from new product introduction. And which is why we are not that focused or not that hung up on pure volume growth because we want to keep on increasing our share of premium products, where the margin profile, the brand image all come into play.

And there are 3 -4 other things that have been done in the background. Cera is the only Company which has not outsourced its aftersales service to third -party contractors. We are the only Company which has pierced a 10 -year ceiling in Faucetware warranties. Our Faucets comes with a 15 -year warranty on the forged brass piece in the Faucet. So those are the things which have been done behind the scenes to make sure that our share of new products continue to grow and our market share grows.

Udit Gajiwala: Understood. So, sir, would that imply that the dealer inventory would be at a normalized level or they are stocking up or what would be the on -ground scenario, currently?

Ayush Bagla: First of all, the Company has to have inventory, and we have less than 19 distributed warehouses, which have to carry so many SKUs. So, if the Company has inventory, then there will be availability to the dealers, which is a very important metric for the way we look at sales. We have achieved that over the last 12 months. After many years, we want to keep that intact. The 80 days of inventory that you see does not include the dealer inventory. And dealers, they have access to just in-time inventory, in most cases, 2 -3 hours away from them

because it's the Company depots and warehouses which stock a very large scale of inventory. For them to have a high need for inventory is not there, because once the Company raises an invoice, the dealer has to pay. So, for them, there is no need to have a high inventory.

Moderator: We have our next question from the line of Akshay Chheda from Canara Robeco Mutual Fund. Please go ahead.

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Akshay Chheda: My question was on the down -trading aspects. So how do you see that down trading happening in Sanitaryware and Faucetware going forward? Because at least in other categories, there are a lot of companies which are , atleast in other, say, building material categories, even the paint Company or even a plywood Company , so they are talking about a lot of down trading happening. So wouldn't that happen in our case because at least a large part of our focus is on the premium side. So, I mean, how do you see that?

Ayush Bagla: In fact, we have seen trends which are contrary because the bulk of our new products like I explained in Faucetware, PVD, Black Matte, French Gold, Yellow Gold or water turns, all our premium category launches and over time, they'll be 319 SKUs. And share of new products has been increasing. New products are primarily in the mid and premium segment. So new product development, brand repositioning, new ad campaign all have tied in very well together. So, we are seeing exactly the opposite of the commentary many other companies have been providing. And there's one more reason for that, a lot of these companies are more focused on new home sales, which Cera is not.

Moderator: Thank you. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Ayush Bagla: Thank you. I would like to thank everyone for attending this call and for showing interest in Cera's Sanitaryware Limited. Cera remains positive and its strong positioning in the industry and improving macros would help it deliver steady and consistent growth going forward.

Should you need any further clarification or would like to know more about the Company , please feel free to reach out to me or CDR India. Thank you once again for taking time to join the call and see you all next quarter. Thank you very much.

Moderator: Thank you. On behalf of Cera Sanitaryware Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: Feb 2023

CSL/2022 -23/476  
9th February, 2023

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers,  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 3rd February , 202 3  
Ref: Regulation 30 of the SERI (L ODR) Regulations, 2015

With reference to our letter CSL/2022 -23/455 dated 24th January, 2023 , intimating you about the Q 3 FY2023 Earnings Conference Call held on 3rd February, 2023 , please find attached the transcript of the aforesaid conference call.

The same is available on the website of the company i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.

Thanking you,  
For Cera Sanitaryware Limited,

Hemal Sadiwala  
Company Secretary  
Encl: As Above

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Cera Sanitaryware Limited  
Q3 FY 2023 Earnings Conference Call Transcript  
February 3 , 202 3

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY23 earnings conference call of Cera Sanitaryware Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mayank Vaswani from CDR India. Thank you and over to you Mr. Vaswani.

Mayank Vaswani: Thank you, Rutuja. Good morning, everyone and thank you for joining us on the earnings conference call of Cera Sanitaryware Limited to discuss the Q3 FY23 earnings , which were announced yesterday.

We have with us today the management team comprising Mr. Ayush Bagla, Executive Director; Mr. Rajesh B. Shah, CFO and COO and Mr. Vikas Kothari, Deputy CFO at Cera Sanitaryware.

We will begin the call with brief opening remarks from the management, following which we shall open the call for Q&A. Some of the statements made in today's conference call may be forward -looking in nature and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier.

I will now turn the call over to Mr. Ayush Bagla for his opening remarks.

Ayush Bagla: Good morning, everyone. The earnings for the quarter ended 31st December 2022 were adopted by the Board of Directors yesterday 2nd February 2023. The earnings documents have been released to the stock exchanges.

During the quarter gone by, we continued to witness strong demand for our products, as the overall replacement demand remained quite positive with consumers continuing to spend on home upgradation and improvement. The velocity of sales for newly built homes and for existing residential apartments continues to be very strong.

At present, our manufacturing facility continues to function at high utilization levels. During the quarter, the sanitaryware plant had a 15-day annual maintenance period, despite which capacity utilization for Q3 FY23 for sanitaryware was at 105%.

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In Faucetware, the capacity utilization was at 115% during Q3 FY23 and all efforts are on to maintain these levels. Our current monthly production for December 2022 at the Faucetware plant was 3 lakh pieces, in FY 2022, it was an average of 2.18 lakh pieces per month. In FY 21, it was an average of 1.25 lakh pieces per month. The current production is a 38% increase over the production level of FY 22 and a 214% increase over FY 21.

The Faucetware expansion program to take capacity

to 4 lakh pieces per month

commenced from July 2022, requisite approvals from Gujarat Pollution Control Board has been obtained. The enhanced production is scheduled to go on stream in July 2023 and in a staggered manner will result in an increase in monthly production to 4 lakh pieces per month by March 2024. The total cost of project is INR 69 crore to be entirely financed from annual operating cash flow. Building and civil work out of INR 69 crore is INR 37 crore, equipment and plant is INR 25 crore, electrical substation is INR 7 crore. We expect to complete the project in time and well within the cost of INR 69 crore. The product mix planned is coloured SKUs, quarter turn SKUs, PVD SKUs and a few more SKUs that can be taken in from outsource partners.

So far not a single day of disruption of current manufacturing at the faucetware plant has taken place. The market has been continuously fed with products from the existing plant. In April 2022, newer value-added SKUs in faucetware were introduced at the National Dealer Meet. SKUs in four ranges and in six colours were introduced to the trade. These value-added products included black matt finished faucets, red matt finished faucets and other PVD products. An extensive range of Rose Gold, French Gold and Yellow Gold products were part of the event. These new products are being gradually rolled out with a grand display at 100 dealers outlets.

In FY 22, China imports was INR 67 crore or 4.71% of sales. In nine months, FY 23, China imports were INR 47 crore, 3.74% of sales. Cera was already one of the lowest users of products made in China and with availability of manufacturing infrastructure in-house, the percentage of Chinese import to sales have been continuously declining. In a business, which is brand-driven, the fulcrum of success is manufacturing quality and plant efficiency.

For fresh capacity for manufacturing sanitaryware, the Company has carried out extensive surveys of water, gas and labor availability for a greenfield facility. A land parcel in Gujarat has been short listed and the Company is currently undertaking due diligence. We expect title documents to be executed and land conversion procedures to take place over the next six to nine months.

As on 31st December 2022, our cash and cash equivalents stood at INR 597 crore against INR 523 crore in December 2021, an increase of INR 74 crore or a 14% increase. Positive cash flow for Q3 FY23 has been INR 58 crore as compared to Q3 FY22 which was INR 48 crore. Therefore, going forward only internal accruals are

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being used to fund the two capex programs and we would also retain the flexibility to use some part of cash and cash equivalents if required. No debt raising or equity dilution is planned or required for both the capacity expansions.

During Q3 FY23, no price hikes were undertaken. Our peer group companies increased prices in October and November 2022, while Cera did not. During 2021 and 2022, many price hikes were undertaken by Cera which were all a demonstration of pricing power. Currently, we are capitalizing on the market share

gained over the last two years.

On the sanitaryware business, raw materials like China clay, Feldspar and Plaster of Paris had a moderate increase in pricing of between 5% and 7%. Within the glazing recipe, zinc moved down by 6% and glaze moved down by 9% during Q3. In faucetware, brass prices declined by 1.4% in Q3 and 10% over nine months of this financial year.

From 1st February 2023 a price rationalization exercise has been implemented.

There is now a single MRP across the entire country. The impact on pricing for sanitaryware is an increase of 0.5% to 1% across some markets and in faucetware, a decrease of 0.5%. Due to availability of gas from isolated wells near our plant, the pricing of gas from GAIL continues

to remain below market and will remain so in the future.

Price has increased from INR 26 per cubic meter in September 2022 to INR 35 per cubic meter in December 2022. Normally GAIL supplies 50% of Cera's gas needs. However, in Q3 FY23, GAIL provided 67% of gas requirement for the sanitaryware business.

Sabarmati, a JV of BPCL and GSPC's pricing went down from INR 75 in September '22 to INR 67 per cubic meter in December 2022, supplying 33% of gas needs of the plant in Q3. In January '23, another round of reduction took place in Sabarmati from INR 67 to INR 59. The Q3 weighted-average cost of gas is INR 47, much lower than industry. Gas costs constitute 2.53% of Cera's top line. There have been no changes in the price of ancillary cost items like transportation. The cost of corrugated boxes have remained stable.

We launched a retailer loyalty program in Q1 FY23 which has now almost completed nine months. More than 13,500 retailers have uploaded 1.1 lakh invoices. These retailers form the bulk of Cera's distribution reach. We expect the total number of retailers to be around 15,000 plus, who most likely will be part of this loyalty program by FY 23. The feedback received from retailers has helped us in the understanding of consumers' changing demands, geographical segmentation of SKUs and evolution of the rewards program to retailers.

Of the total retail sales of INR 747 crore in nine months, more than INR 240 crore of sales which is 32% of retail sales in sanitaryware and faucetware have become eligible to receive rewards through this program. The Company's ability to tweak

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trade practices, trade pricing, an ability to steer the direction of the dealer and retailer equation have all undergone a sea change. We also have seen an opportunity in multi-brand retailers who have undertaken various initiatives to sell Cera products.

This ties in very well with new product development, as product lifecycle reduces, new product offered at higher price points with dramatically new aesthetics and functionality are core to our topline and margin expansion. In Q3 FY22, 67 new products were introduced. In Q3 FY23, 614 products, including 496 of the Lustre series have been introduced. New products launched in the last three years constituted 39% of Cera's top line in Q3. Our highest ever advertising spends in FY 19 was INR 52 crore and in this financial year it is likely to be INR 55 crore. Cera's share of voice was lower than its market share and now with increase in advertising expenses, its share of voice is getting closer to its share of market.

Publicity spends which were INR 5 crore in Q3 FY22 were increased to INR 17 crore in Q3 FY23. The ad campaign will continue into Q4 FY23. In Q3, sales to Tier 1 markets were 27% of sales, Tier 2 were 11% of sales and Tier 3 was 62% of sales. We classify markets based on population. Population centers of above 25 lakhs are classified as Tier 1 markets and population centers between 10 and 25 lakhs as Tier 2 markets and below 10 lakh, as Tier 3 markets. The large number of 62% in Tier 3 is more a function of this classification, rather than the Company's focus on Tier 3 markets. If we calculate population center of 17 lakhs and above as Tier 1, population centers of 3 lakh to 17 lakhs as Tier 2 and below 3 lakhs as Tier 3, then the ratio would be 32% of sales for Tier 1, 24% of sales for Tier 2 and 44% for Tier 3.

In that backdrop, we can go over the financials :

Revenue from operations in Q3 FY23 was INR 456 crore versus INR 387 crore in Q3 FY22. EBITDA excluding other income was INR 73 crore in Q3 FY23 versus INR 61 crore in Q3 FY22. The gross margin has improved, is currently at 54% in Q3 FY23 against 52% in Q3 FY22. The EBITDA margin is higher by 20 basis points at 16% in Q3

FY23 versus 15.8% in Q3FY22 . Profit after tax

was INR 56 crore in Q3 FY23 versus

INR 42 crore in Q3 FY22, an increase of 33.3% Y-o-Y. EPS for Q3 FY23 was 43.34 versus 32.50 in Q3FY22 .

In Q3 FY23, 54% of the top line was from sanitaryware, 33% from faucetware, tiles represented 12% and wellness 1%. On a Y-o-Y basis, sanitaryware revenues registered an increase of 19%, faucetware revenues increased by 12%, tiles increased by 34% and wellness increased by 5%. The sanitaryware and faucetware verticals remain the bedrock of the business with contribution of 87% to our overall revenues. The classification of sales in Q3 FY23 was 45% in the premium category, 28% in the mid category and 27% in the entry category.

Inventory days in Q3 FY23 were 83 days compared to 67 days in Q3 FY22. Receivable days in Q3 FY23 were 30 days versus 30 days, payable days in Q3 FY23 were 37 days

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against 36 days in Q3 FY22. Therefore, net working capital days in Q3 FY23 was 76 days versus 61 days in Q3 FY22. This number is around the optimum number of inventory days that Cera has been making efforts to achieve for many quarters. In this quarter, availability of product ensured there was no element of lost sales. This is the seventh straight quarter with no element of lost sales. In the current year, the capex budget, other than the brownfield faucetware expansion and the proposed greenfield sanitaryware capacity expansion programs are INR 25 crore, of which INR 3 crore are spent in nine months of which INR 1 crore was spent in Q3. In conclusion, I would like to say that due to the combination of internal factors, production throughput maximization, brand salience and design differentiation, as well as macro factors of home improvement, Cera would be able to monetize all the growth drivers that present themselves. Cera growth plans remain intact as it plans to expand capacity rather than to monetize rising demand. After taking a few years to break the INR 1,250 crore to INR 1,350 crore topline band, in FY 22 Cera touched a topline of INR 1,446 crore. We also had the impact on EBITDA and PAT margins. Going forward, Cera is set on a new topline trajectory, which we can all witness in the nine-month numbers. Every decision made at Cera is from the shareholders point of view with ROCE, payback period and impact on EPS fully considered before being placed for deliberation amongst the Board of Directors. I would now request the moderator to open the lines for Q&A. Thank you very much.

Moderator: Thank you very much. The first question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: What I wanted to check was in terms of the outlook, how do you see FY 24, given the capacity constraint on the sanitaryware part? So, if you can give some colour as to how you see FY 24 in terms of the growth?

Ayush Bagla: See, currently capacity is not a constraint both in in-house and outsourced. And if you can see from this year, in the current quarter outsourced in sanitaryware is 63%, in faucetware is 51%. So, a combination of internal and external resources are available first. Secondly, even within the internal resources, lot of capacity is being freed up to make higher-end SKUs. So, inventory days have been moving up and inventory days have been moving up because of this distributed inventory model that is unique to Cera. We would like to have all SKUs which are relevant for those markets available at all times in those markets. So that was the aim. We are not looking at any kind of constraints right now, as far as capacity is concerned, whether for the balance three months of this financial year or for FY 24.

In faucetware, of course, the capacity is coming on stream in July and to reach 4 lakhs it might take a few months from July. And in sanitaryware, the land acquisition program is well underway, due diligence is currently

on. So both due diligence and conversion and other approvals from the State Government, we expect all that to

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get over within this calendar year. And then work to begin by the end of calendar year or latest by March 2024. But in any case, so there is no case made out for any kind of capacity constraints. At the same time, China imports are reducing. So, all these initiatives have been tackled in a multi-dimensional manner.

Achal Lohade: Any number you would like to, like can we do double-digit or high-single-digit, mid-



teens any broad number?

Ayush Bagla: You can calculate based on this velocity of sales, what are FY 23 numbers are going to be looking like. So other than that, that same 40 months doubling from 1,440 to 2,900, that remains intact, and investors and analysts should get the requisite confidence from these numbers in a market that was not maybe that conducive to these numbers that we'll achieve or beat those numbers.

Achal Lohade: And just in terms of the market share, any ballpark number you would like to share for sanitaryware and faucet?

Ayush Bagla: See we get more anecdotal return market share rather than any industry published report. So Cera is definitely the market -leader in sanitaryware and the number two player in faucetware. In sanitaryware, we are gaining from the next three players, the second, third and fourth player, that is one. In faucetware, we are capturing a larger share of the growth in the market. So, whatever our incremental market share number is, 1.5 times that.

Achal Lohade: Sir, if you could give a ballpark number for nine months or for FY 22 or FY 23 whatever you can be set in terms of market -share would that be 20%, 15%, anything of that?

Ayush Bagla: So there is no authenticity of the data, so I'll be very careful before I give any data.

Achal Lohade: Yeah, I mean, at least your own estimate you may not call it as industry publication, but...

Ayush Bagla: We have never done it in the past, you've known this Company for so many years, it's never happened in the past that we gave out industry data or even market share data.

Moderator: The next question is from the line of Rakesh Wadhvani from Monarch AIF.

Rakesh Wadhvani: Sir, I wanted to understand, what is Cera doing differently or the things that they have done in the past that are benefiting them, because if you see the results of the peers, they have not grown, but Cera has grown in sanitaryware, faucetware and tiles also. So just want to understand what is Cera doing differently with respect to product, pricing, distributions, promotion. One point that you mentioned, you have now a new scheme for the retailers, if you can give your thought on what Cera is doing differently on the product, pricing point that is giving them edge in the market.

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Ayush Bagla: So the question you asked is very important and this is all a outcome of the efforts that have gone over the last five years. First of all, was manufacturing efficiency.

Very few plants and especially we have the largest sanitaryware plant in the country, can operate at high 90s or 100 or even above 100% capacity utilization. So we tackle the industry -wide problem of product availability first, we ensured availability. That was one.

Second was, new product development. On an industry -wide basis, new products constitute 10% of sales for any Company. In Cera that number has always been around 20%, 22%, 24%. This quarter that number was 39%, last quarter that number was 36%. So new product development ensuring we are able to reduce product lifecycles and innovate on the basis of design differentiation and functionality. That was our second (inaudible). So 39% of sales are being captured or monetized that were not a

available, maybe to the industry and definitely not to the Company. Third, this retailer loyalty program that you mentioned. This industry had never practiced any kind of outreach beyond the dealer distributor. So now we have gone directly to the retailer. So, we get very granular data on consumer demand, consumer preferences, the equation between the dealer -retailer and what the retailer is looking for retailer rewards. So that is a direct program to the retailer, that is the absolute cracking of the last mile problem, which is there in most industries and definitely in the building material industry.

And you compared us to other peer companies, see the peer companies, they may be operating in more commoditized businesses, where slight changes in price and slight overcapacity in the industry have huge reflections and outcomes for companies. In sanitaryware and faucetware, it is a smaller industry, more dependent on quality, brand promise and those factors. So, Cera has clearly stood out, Cera is an outlier in each of those departments. On the financial front, top line growth, EBITDA growth, PAT growth and margin growth, on all the fronts we have delivered.

Rakesh Wadhvani: One point just wanted to clarify on the retailer. So you said Cera has started a retailer that loyalty program. So, what was happening earlier, what used to happen

in a channel like you, Cera will be selling the products to the dealer and distributor, dealer and distributors will be in touch with the retailers, so they will be having inventory in their own depots. Now Cera is directly going to the retailer and who will be stocking inventory – the dealer, distributor or the Cera?

Ayush Bagla: There has been no change in business practices. We still sell to the dealers who sell to retailers. So, our equation with dealers has not changed. In fact, dealers have welcomed this program because Cera is rewarding their retailers. So, the stickiness between retailer and dealer has increased because of this program. So, no change in either stocking or inventory management or transactions between Cera and the dealers. This is just identification of all dealers, high-performing retailers and how to reward loyalty to Cera.

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Rakesh Wadhvani: Just thought, like we have from 2010 we have adopted one strategy that in order to enter into any business, we will always start with outsourcing, the moment we think we are doing very good, we go in-house. But we've always maintained that strategy of 50% in-house and around 50% outsourced, that strategy has worked for us in the decade amazingly. Just wanted to understand, but if we do it in-house also, we will have a more profitability compared to like outsource will have a lesser profitability, your thoughts on that whether because now we have a cash also, now we have understood the business very well. So just your thoughts on that?

Ayush Bagla: See, currently there are no plans to enter any new industry. And as far as sanitaryware and faucetware is concerned, many industry players have tried with fully in-house manufacturing and full outsourcing. So, those haven't worked, that business model requires the Company to have large-scale own manufacturing and make high-end pieces in-house and outsource products where vendors can do a better job in terms of price. So, this is a very delicate business model, that's why it's very difficult to succeed in sanitaryware and faucetware and that's why we say this business is completely muted. And if you remember over the last five, six quarters, there were lot of concerns that there are going to be so many new entrants in sanitaryware. They have not been able to put up capacities and they have not been able to achieve scale because dealers don't take them seriously and consumers transferability of a brand from a commoditized business to a completely brand-driven business is very difficult.

Moderator: Thank you. The next question is from the line of Sudarshan Mall from Dhunseri Investments. Please go ahead.

Sudarshan Mall: Ayush ji, you said this you guys have very high proportion of new inventory of 39% versus industry standard of say around 10%, 12%. Just wanted to get some colour on how do you manage the old inventory? So, let's suppose my question is, if you have such high proportion of new innovative products, how do you deal with the older ones?

Ayush Bagla: The new products, it's not inventory, it's new sales, so the new products which were introduced in the last three years constitute 39% of sales. And most often you will find that new products which replace old products come with added design differentiation or functionality differentiation and also often at higher price points. So not only do we cannibalize our competitors SKUs, we are quite ready to cannibalize our own SKUs. And...

Sudarshan Mall: I was trying to understand, how do you manage this cannibalization from our own inventory?

Ayush Bagla: That is planned, well-planned exercise production, sales, inventory managed, management is all aligned to when a product will be suddenly phased down and a new product with a higher price point will be introduced. So, in the last seven quarters, you are seeing no element of lost sales, no element of sales where a dealer or a consumer or retailer was asking for a particular SKU and Cera couldn't

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provide it. And as far as inventory management is concerned, you see this is a unique industry where the product is neither perishable nor the standard product, the high selling SKU's change due to change in consumer preferences. So, a high-level of inventory is one of the key to success in this business.

Sudarshan Mall: Sir, after having delivered such stupendous performance for last couple of quarters, you just now mentioned that you stick to your 40 months doubling of top line. Just I guess that you have been somewhat conservative, is that correct?

Ayush Bagla: See, if you look at the industry growth, the number I have mentioned is almost 1.8 times industry growth. So...

Sudarshan Mall: Certainly, certainly. I'm not saying on absolute basis that it is conservative, but in the backdrop of the stupendous performance that you guys have delivered in the last couple of quarters which is I feel taken away a lot of mistakes, so that's why, in that backdrop I wanted to understand that maybe I feel that you will play out some (inaudible) or something like that (inaudible) to grow in this industry in such a phenomenal way.

Ayush Bagla: See when I mentioned that 1,440 will become 2,900, it was met with some degree of scepticism and I'm glad to hear now that the financial community is saying that 2,900 is a conservative target. So that is a great achievement for the Company.

Sudarshan Mall: Does that mean you also agree that it's a conservative number?

Ayush Bagla: No, I think we will want to surpass any kind of guidance first and then look at fresh number or fresh target. So, this trajectory of sale has convinced everybody that 2,900 in 40 months is definitely achievable. We might surpass that. So I think that is a more immediate short-term goal after which newer benchmarks will be set.

Moderator: Thank you. The next question is from the line of Pranav Mehta from Equirus Securities. Please go ahead.

Pranav Mehta: Sir, firstly on the outsourcing mix I wanted to understand; till the stated expansion comes in, where do you see this mix going up for Cera?

Ayush Bagla: I think it will stay steady and this has been the normal number. Normally, it's 60:40 this quarter, it is 63:37 and in faucetware 51:49 which is almost fifty-fifty. So, this number will remain constant for the time being, because in value terms, the output

from the factory is also increasing by taking in certain products which were either imported from China or made from even domestic partners, those are all being taken in the factory, which are in some cases, higher-value products as well. So, in value terms, the factory will not decline from 40%, even over the next 24 months or so till the new greenfield sanitaryware capacity comes on-stream.

Pranav Mehta: This is largely because of replacement of products manufactured at the factory, right, moving to higher-priced products or?

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Ayush Bagla: Yes, in any case the high-end products are made only in a manufacturing facility. And the low-end ones which vendors can do a better job at a lower-cost are given to outsourcing partners, that has always been the philosophy. But within these hundreds of SKUs now specific SKUs are being identified to be taken in-ward. And if any low-end products are being made in the manufacturing facility that are given to vendors, freeing up some capacity. So, as you can see, our inventory days target was between 80 and 90, that has been achieved, that was very important to get this growth correct and increase in top line it was very important to have requisite products available on a distributed model across the country.

Moderator: Thank you. The next question is from the line of Aashish Uppanlawar from InvesQ Investment Advisors. Please go ahead.

Aashish Uppanlawar: Ayush, I mean commendable with the way Cera is executing the plans that you've shared earlier. So just wanted to check I mean target that you shared are pretty good, but what risk do you see maybe in the external environment, especially I mean what can maybe soften these kind of growth that you are achieving therefore, I mean any risk that you see on the margin or the top line front?

Ayush Bagla: See, the numbers that you're seeing is outcome of the last five years effort in all spheres, whether it's marketing, brand positioning, getting the pricing right, increasing the number of SKUs and bringing down our overall cost structure dramatically by increasing productivity at the manufacturing facility. So, we kept the market abreast of all the activities that were going on over the last five years and it took some time for each of them to translate into numbers. Now going forward, we don't see any changes to this overall strategy, the brand will continue to be strengthened, brand salience will perform, the brand promise to the ultimate consumer will perform and the manufacturing facilities will continue to work at high productivity, newer designs in faucetware, you know the black matt faucets have been introduced this year, the PVD faucets have been introduced, production is being increased from 3 lakhs to 4 lakhs eventually, the overall infrastructure is being created for further capacity expansion up to 6 lakhs pieces per month. So on all these fronts there are enough initiatives being undertaken. I don't see any macro or internal risks to our targets. And we as a Company, we have never been dependent on real estate demand, we are more B2C Company, which is more

focused on home -improvement rather than just a developer demand. So even the interest -rate cycle, now you see we are let's say at the highest end of the interest - rate cycle and this is our best Q3 ever. So if interest-rate cyclicality would have impacted the Company , you would have not seen this result. And you heard the question earlier that other home -improvement companies have been saying that the demand has not been conducive, we never found any of those reasons in this quarter.

Aashish Uppanlawar But I mean what would be the difference because then it would mean that others are not finding ways to grow, if you are growing, it means that most of the growth

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is market share gain driven or value addition driven, I mean that will be the right way to look at it probably?

Ayush Bagla: It's a mix of industry, it's a mix of industry growth and market share gains, yes, you are absolutely correct. And others might find them, others doing more commoditized businesses. So that is why, sanitaryware and faucetware which is 87%, 88% of our sales is very different from tiles industry. Sanitaryware industry has not seen too many entrants which have been sizable in nature. If you look at the history of the industry over last 20 years, there is hardly any new entrant which has been sizable in nature maybe one or two names.

Aashish Uppanlawar: I don't know whether you shared the growth, I mean business wise on the faucets and sanitaryware etcetera, if you could let me know what growth rate was for this quarter?

Ayush Bagla: Sanitaryware grew by 18.95, so 19% and faucetware by 12% Y -o-Y.

Aashish Uppanlawar: Any reason that faucetware has grown lesser because that's been the most prominent business for us?

Ayush Bagla: Yes, faucetware over the last 1.5 years has seen price rise of 27% and now brass prices have come off 9% to 10% in nine months now things will change again.

Aashish Uppanlawar: So volume wise the growth would be there, but value wise that would be , this 12% is not representative figure for the volumes?

Ayush Bagla: The growth is both volume and value and again because more than one third sales is from new products. The pace of new product introductions in faucetware is very high. So this Lustre series, the Lustre series has almost 496 SKUs, which were launched this year. Normally, we launch 10, 15 or 20 SKUs per quarter. This time out of 614 total SKUs launched, 496 were Lustre, the bulk of which are faucetware.

Moderator: Thank you. The next question is from the line of Sangameswar Iyer from Consilium Investment. Please go ahead.

Sangameswar Iyer : I just wanted to clarify, in your endeavour to bring down the inventory levels at the Company level to 80, 90 days, how much is the current channel inventory at the retailers end, can you help us understand so that would help us to gauge how the incremental primary sales would look like going forward?

Ayush Bagla: See, Cera is a very unique player in the industry for the following reason. More than 55%, 60% of sales are cash and carry. So , the retailer and dealer keep a minimal inventory at their end because they've already paid for it, they want to have very short working capital cycles. So the bulk of the inventory is only at the Cera end , at the retailer dealer end because of the distributed warehousing model strategy, sometimes the dealer can go to the same depot owned by Cera or warehouse owned by Cera twice a day to pick -up material. So , at the retailer and dealer level, you will find minimal inventory. So , it is really just -in-time has been implemented by Cera

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for the dealers. Otherwise , we could not have this 55%, 60% cash and carry model, that is something that every Company wants to achieve, but never gets there.

Sangameswar Iyer : Secondly, sir, you also mentioned about from February 1st onwards, competition is embarking on price rationalization. How much would be the price differential now given the fact that in Q3 we did not take any price hikes, while they took. So even post rationalization, what would be the differential, just to get a sense?

Ayush Bagla: Between Cera and the peer group?

Sangameswar Iyer : Yes because in Q3 we did not take any price hike, while they did, so when in February when they are taking a rationalization journey, we need not do anything, but still post that what would be the kind of discount, what would be the kind of differential that we would be at

compared to the larger peers?

Ayush Bagla: From 1st February, Cera took a price rationalization exercise.

Sangameswar Iyer : Oh, we took it, okay, I thought the industry is taking, yeah.

Ayush Bagla: And the rationalization exercise was aimed more at not at price increase or decrease, but to have a single MRP across the country. The result of that exercise was sanitaryware prices increased by 0.5% to 1% across some markets and faucetware decreased by 0.5%, so it was a negligible increase or decrease for the Company. But I am saying in Q3, most of the companies took a price rise which Cera did not and that was also one reason why market share was gained. So maybe those companies had cost pressures, which Cera did not and cost pressures come from the manufacturing end. Some Company is dependent on Chinese imports for large part of their high-end SKUs in sanitaryware. For them it is inevitable to keep on taking price rises. Now I'll give you example. Freight costs from China have gone down to \$900 to \$1,000 per container. Even with that container cost, there is no money to be made in Chinese imports.

Sangameswar Iyer : Is this because of the duty structure, is it because of the sequential pricing that come...

Ayush Bagla: Even the current freight duty, the changes in the Chinese currency and the cost of procurement from China. If you add those four factors, nobody is making any meaningful margin in Chinese imports. So for the financial community to worry that what will happen when freight rates go down; they have already gone down to 900 to 1,000, but the Indian market has not seen any impact.

Moderator: Thank you. The next question is from the line of Akash Shah from UTI Asset Management, please go ahead.

Akash Shah: So firstly, I have two bookkeeping questions. What would be the capex for FY 23 and FY24 and what would be the ad spend for FY 23 and FY24?

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Ayush Bagla: Capex for FY23 is Rs. 24 crore, of which only Rs. 3 crore has been spent so far.

Akash Shah: And FY24?

Ayush Bagla: And FY24, of the existing capacity it's worked out, of the new brownfield capacity the overall capex is INR 69 crore and that will get completed in July 2023, well within time and well within cost. As far as the land for sanitaryware is concerned, the current budget is about INR 25 crore, so there would be a 5%, 10% plus or minus in that number.

Akash Shah: And just one thing, so land acquisition, you said, we will be sort of acquiring that land within next about three to six months, right?

Ayush Bagla: Land acquisition, plus all approvals from the State Government will take between six to nine months.

Akash Shah: Yeah and ad spend...

Ayush Bagla: I think your voice was muffled.

Akash Shah: Yes, I was saying ad spend number, please.

Ayush Bagla: Ad spend this year is INR 55 crore, last year it was much lower, I can give you that number. Ad spend last year was, just taking a minute to dig out that number.

Akash Shah: Hello?

Ayush Bagla: We can get back to you offline.

Akash Shah: No problem. So just one last thing. So on faucetware, I mean in faucetware segment, we took a price increase of about 5% in Q1 FY23 and about 6% in Q3 FY22 and revenue growth in faucetware segment was about 11%, 12% on a year-on-year basis in this quarter. So roughly, it implies that volume growth in faucetware segment was I mean low-single digit. So would you please help us understand the reasons behind that?

Ayush Bagla: We took the last 5% increase in May '22 and before that was 5.5% in November '21. So very little of that, some part of that price increase also came in Q3 FY22, November 2021, right. So, it's not as if the entire price increase 5.5 plus 5 has emerged in Q3.

Akash Shah: Right, but if I look at on a year-on-year basis, the price increase would be some

where around 10-odd percent, so that implies that volume growth was low single digits.

Ayush Bagla: 10-odd percent if you consider the November increase which had some impact on the base of Q3 FY22. If you don't consider that it was only 5% of May '22. That's why

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the 12% consist of both price and volume. And I finally got that number of total ad spends 2021-2022 was INR 32 crore and this year will be INR 55 crore .

Akash Shah: And just this one last thing. So , in faucetware segment, are we planning to take some price cut given the fact that brass prices have corrected by 9%, 10% in last nine months?

Ayush Bagla: Currently, we are not planning to change the pricing upward or downward, but we'll wait for this quarter to pan -out and then decide.

Moderator: The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Firstly, can you please indicate the rough volume growth in our sanitaryware and faucetware segment, roughly how much would be the volume growth in this quarter? And can you please share the number for the tile revenues and the other segment?

Ayush Bagla: Yeah, those who know this Company well, they know that the number of SKUs are expanding at a very fast pace and looking at volume will not give a correct picture of what the Company has achieved, because the number of SKUs that are being launched are in most cases at higher price points. Manufacturing those SKUs take - up a larger share of labor input, gas input and overall manufacturing efficiency. So value is the only way because you know I'll give you first SKU introduction and total number of SKUs that will give you some colour .

So new launches in FY 23 in sanitaryware was 72 products, in faucet were 573 products, a total of 673. So that's why, you know, unlike a typical Company which makes one product and therefore volume growth is easily indication of how the company is performing in this case is very different. Tiles, I'll give you the number one second, the tile number is increase of 34%. So last year it was INR 40 crore , this year is INR 53.71 crore topline. And the tile strategy is simple, tiles, I'll just give you what the Company has executed. The Company doesn't have any manufacturing capacity because they didn't want to deploy it's capital in a completely commoditized business. And now with a significant overcapacity in the tiles industry, it has access to low-cost product and available product of all designs. So in Q3, the vendors prices were stable and substantially declining also due to decline in gas costs at Morbi. So , neither did the Company have to take a price hike nor did any vendor ask for a price hike. And our overall strategy is to be a niche player in tiles, a boutique player not to compete with large tile companies in the commoditized tiles, but to concentrate on GVT tiles, triple fired slabs and double charged and also wall tiles. So , our share of the commoditized soluble salt etcetera is only 6% of our tiles business.

Deepak Lalwani: And, sir, if you could communicate the revenue part you already said that doubling in 40 months is possible, but the margin expansion of 50 bps to 75 bps every year, if you could indicate what would be the drivers in this journey?

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Ayush Bagla: Increase in productivity at the plant , product mix moving upward at the plant -level, slight changes in MRP every year and spreading on the fixed cost over a larger base, so these would be primarily the four factors. And overall, the Company has moved to a 80:20 mix, so 80% of all costs are variable in nature and less than 20% of costs are fixed in nature that 80% will keep on increasing and 20% will keep on reducing.

Deepak Lalwani: And sir any impairment do you access

for the Milo agreement we had, with Milo...

Ayush Bagla: Yes, I'll give you the update. Milo again, we had taken a decision in 2015 never to have manufacturing capacity of tiles on our books. We invested INR 8 crore for a 26% share of equity in Milo and we were also their customer. So their governance standards and other standards were not according to Cera's liking and we served them a legal notice. All efforts are on for a resolution and to get our INR 8 crore invested back, in any case their plant is non -operational, so we have switched to other vendors to feed tiles requirement. So our entire risk in all the worst -case scenario is limited to our equity exposure.

Moderator: The next question is from the line of Hrishikesh Bhagat from Kotak Mutual Fund.

Hrishikesh Bhagat: I just wanted to check; you mentioned 24 months will be the time line. So just it is fair to assume that the revenue from the new plant will largely flow, so 24 months is largely I guess is probably March 2025 assuming even if we start to work from March '23 or so and everything. So fair to assume that large part of this revenue will start flowing in 2026 from the new plant?

Ayush Bagla: Yes, but currently given what is happening in the Company, there is full access to availability. And our optimum level of inventory level has been reached, so we feel

that till whatever March '25 or FY 26, there is no need for this new capacity because capacity is being freed up in our current manufacturing facility. You saw what happened in faucetware, 1.5 lakhs of monthly production has already become 3 lakhs, 3 lakhs is now becoming 4 lakh, there is provision to go up to 6 lakhs. Similarly in sanitaryware, the productivity is increased and the product mix has increased dramatically. Otherwise, the Company would not have been able to reduce its imports from China. And we are probably the only Company to give out China import numbers. I have not seen any other Company in the peer group discuss their China import numbers.

Moderator: The next question is from the line of Mihir Damania from Ambit Asset Management. Mihir Damania: So I have only one question. So, what is the Company's stance on utilizing cash in the books, so your cash equivalents of around INR 600 crore and considering your capex requirements for expansion should not exceed INR 200 crore. And as you already mentioned that they are going to be majorly funded by internal accruals. And there are also no plans to enter any newer segment, so do you not believe that excess cash in the books will be counter (inaudible) to ROE, ROCE metrics which set is hard to and what's the plan for the INR 600 crore of cash and cash equivalent in the books?

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Ayush Bagla: See in March '19, we had INR 83 crore in the books of Cera, so only INR 83 crore were cash and the cash equivalents, now it's INR 600 crore. And not only is our two capex programs underway, last year the dividend to shareholders was increased dramatically from a normal 17%, 18% of PAT to it is the stated dividend policy on our website. We had a special dividend, so a total payout, INR 20 crore was INR 46 crore last year. So going forward, depending on how the Board deliberates on this topic, we could see more payouts. But other than that there is no other topic under discussion of any buyback or any other distribution. And as far as acquisitions or inorganic growth is concerned, the Company is always willing to evaluate any capacity in sanitaryware as long as the capacity comes up with a facility which is similar to Cera's quality standards. If you look at other companies, our peer group, their diversifications have not resulted in ROCE accretion to the shareholders. They have been wealth destroyers.

Mihir Damania: So would it be fair to assume that post this we might see a revision in the dividend distribution policy?

Ayush Bagla: That is for the Board to decide after the annual results.

Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Thank you for the opportunity. Just wanted to know for nine months FY 23, what is the price hike we've taken in sanitaryware and faucetware?

Ayush Bagla: I'll give you the numbers, the last price hike was 3% in May '22 and 5% in faucetware, 3% in sanitaryware in May '22, 5% in faucetware in May '22. Before that, the price hike was only in November '21. So in FY 23, there was only one price hike.

Alisha Mahawla: And I missed the (inaudible) to an earlier participant in light of some softness in commodity prices and raw material inflation also softening. As an industry, any signs that maybe some of this price hikes will be probably be rolled back?

Ayush Bagla: See, we cannot speak for other players, they have just taken a price hike in October, etcetera. So the softening of raw material that trend was visible throughout the year and definitely even more pronounced in Q3 despite that they took a price increase maybe there were other cost pressures like wages or any other input costs for them. For Cera, those factors didn't play out because wages didn't play out because our productivity increased, far exceeded inflation in wages. And RM, which is the other part of COGS decreased, gas price decreased.

Alisha Mahawla: My next question is, in sanitaryware the capacity, the greenfield will come by FY 25 until then, the share of outsourcing will probably inch up a little bit like it has happened from 60% to 63% and probably a couple of points more. How will this impact our margins in the near-term?

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Ayush Bagla: See margins are increasing because of plant productivity, the kind of product mix that is changing at the plant level and fixed costs spread over a larger base. So these are the three reasons and then the fourth reason is of course any change in MRP of

the product.

Alisha Mahawla: A lot of these levers already well-executed or is there scope for more to ensure that it can negate the increase in outsourcing?

Ayush Bagla: See outsourcing, again you have to further go into granular data. Outsourcing of products which the factory will make at a higher-cost and low-end easy to make the vendors have adequate capacity and technology to make, only those products are outsourced. That dramatically increases profitability. And freeing up capacity at the own manufacturing level to make complicated products which vendors cannot make, that provides us an edge in terms of design differentiation in the market. So, it is not purely a financial decision, it is a mix of financial and innovation in terms of design differentiation and functionality of product. So that as you mentioned, it is not fully played out. There is tremendous room for that to continuously change.

Alisha Mahawla: What would be the share of the basic products versus the value-added products currently in our mix?

Ayush Bagla: I will give you that number, overall for the Company, in Q3, entry products were 27% of sales, mid products were 28% of sales and premium products were 45% of sales. And I can give you a further break-up in sanitaryware and faucetware. Sanitaryware entry-level products were 27% of sales, mid products 15%, premium products 58%. In faucetware, entry products were 28%, mid products 47% and premium products 25% of sales.

Alisha Mahawla: And overall, the consol number of 45% premium products, is the re scope for this...

Ayush Bagla: Overall, the number is 45 for premium products yes, for the Company.

Moderator: The next question is from the line of Sanjaya Satapathy from Ampersand Capital.

Please go ahead.

Sanjaya Satapathy: I have two questions, the

first one, sir, you explained that, despite sharp reduction in freight rate from China, it is still not profitable to import and sell in India. Will that change through because of reopening of China now?

Ayush Bagla: As far as, the vendors are concerned, they have been open for quite some time and all the factors that the financial community was worried that China will flood the Indian market post COVID etcetera, those have not happened because it is not profitable to do that. No Chinese companies has tried to promote a brand in India, they were quite happy to remain as vendor to large Indian brands. Indian brands are discovering that without own capacity, sanitaryware is a very difficult industry to crack and importing from China, paying whatever dealing with the volatility of the Chinese currency, then the freight, then 11% import duty, all of that takes not

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only too much time, but doesn't work out at the EBITDA level. So, for Cera again, this is not a decision that is a knee jerk reaction from five years we have been continuously sharing with the financial community that Chinese imports need to go down and we have bought it down to about less than 3.5% of sales.

Sanjaya Satapathy: And sir my last question is that, that I believe you have told TV channels that you will double your revenue from your fiscal '23 level in next three years. So can you just tell us like how will it be achieved and will it be through some new segment entry or something else and what would be your sustainable profit margin that you are looking at because on a quarter-to-quarter basis I have seen it been volatile from 12%, 15% to 19%. So what really is the sustainable margin?

Ayush Bagla: See, this number that you're saying even without other income 15.99% or 16%. That is all-time high number for Q3. Last year was 15.79%, so every quarter you are seeing higher-margin numbers and even gross margins which were always in that 48, 49 category are now 54 levels which were never the case. So margin expansion is taking place and even you'll see that in, I am not talking about any particular quarter, but on a full FY 23 basis or FY 24 basis and my comment to the TV channel was doubling of top line from 1,440 to 2,900 over 40 months, so 3.5 years. And we stand-by that number and this trajectory is higher than that.

Sanjaya Satapathy: Yeah, I agree, but will it be through same products, or you are entering some new segment, new categories?

Ayush Bagla: Currently it is same products. Currently, there are no plans there has been no discussion at the Board level to enter new categories. So, it will be with the three businesses that we currently have and out of which 87%, 88% is sanitaryware and faucetware.

Sanjaya Satapathy: So, what I'm trying to sir takeaway from here is that one is, that you are fairly confident of reaching that 2,900 crore and improve your margin consistently through productivity enhancement and product mix improvement, is that correct,



sir?

Ayush Bagla: That's right and participate in the growth of the market and also move upward in - product mix and pricing.

Moderator: The next question is from the line of Akhil Parekh from Centrum Broking. Please go ahead.

Akhil Parekh: I just have one question. I probably would have missed from the last con call, could you please share more details of our retail loyalty program, the mechanism of it and what is the endeavour or the end goal of executing this program ?

Ayush Bagla: This is a very simple program executed by Cera for the first time in the industry. All retailers have been asked to download a app, within the app, as and when they transact with their dealer, they simply upload the invoice to the Company , the

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Company calculates their rewards

based on volume and the complicated SKUs etcetera , they analyse the retailers on many parameters and declare rewards, which the Company distributes directly to a retailer. So that's why you're seeing 1.1 lakh invoices have already been uploaded, 13,500 retailers have already participated, and dealers are not feeling threatened by this program because the Company is paying their retailers something and their stickiness between the retailers and dealers are increasing. So this gives access of a lot of granular data to the Company, geographical SKU demand, relationship and pricing between a dealer, a retailer, their discount mechanisms, all of that, which the industry had no access to. As far as multi -brand retailers are concerned, this is one more edge that the Company has, they'll be encouraged to sell Cera products first.

Akhil Parekh: And this also helps keep the inventory levels lean across the channels, basically because since you have access to the data, you know which are the fast -moving SKUs and which are slow moving SKUs and accordingly try to sell those products to the distributors as retailers basically.

Ayush Bagla: That is very obvious aspect, but more than that since almost 40% of sales are from new products, it gives new product development a completely new direction on where to focus and where future revenues can be derived from.

Moderator : Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Ayush Bagla: Thank you. I would like to thank everyone for attending this call and for showing interest in Cera Sanitaryware Limited. Cera remains positive that it's strong positioning in the industry and improving macros would help it to deliver steady and consistent growth going forward. Should you need any clarification or further information or would like to know more about the Company , please feel free to reach out to me or CDR India. Thank you once again for taking time to join the call and see you all next quarter. Thank you very much.

Moderator: Thank you. On behalf of Cera Sanitaryware Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: May 2023

CSL/2023- 24/48  
17th May 2023

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 11th May, 2023  
Ref: Regulation 30 of the SERI (L ODR) Regulations, 2015

With reference to our letter CSL/2023 -24/31 dated 3rd May 2023, intimating you about the Q4 FY2023 Earnings Conference Call held on 11th May, 2023, please find attached the transcript of the aforesaid conference call.

The same is available on the website of the company i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records .

Thanking you,  
For Cera Sanitaryware Limited,

Hemal Sadiwala  
Company Secretary  
Encl: As Above

Transcript of CERA Sanitaryware Ltd. Q4 & FY23 Earnings Call Page 1 of 16

Cera Sanitaryware Limited  
Q4 FY23 Earnings Conference Call Transcript  
May 11, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY23 earnings conference call of CERA Sanitaryware Limited. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mayank Vaswani from CDR India. Thank you, and over to you, sir.

Mayank Vaswani: Thank you, Nirav. Good morning, everyone, and thank you for joining us on the earnings call for CERA Sanitaryware Limited to cover the Q4 and FY23 earnings, which were announced yesterday.

We have with us on the call today, the management team comprising: Mr. Ayush Bagla, Executive Director; and Mr. Vikas Kothari, CFO of CERA Sanitaryware. We will start with brief opening remarks from the management, following which we will open the floor for Q&A. A quick disclaimer before we begin, some of the statements made in today's call may be forward -looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier.

I would now like to turn the call over to Mr. Ayush Bagla for his opening remarks.

Ayush Bagla: Good morning, everyone. The earnings for the quarter ended 31st March, 2023, were adopted by the Board of Directors yesterday, 10 May, 2023. The earnings documents have been released to the stock exchanges.

During the quarter gone by, we continued to witness strong demand for our products as the overall replacement demand remained quite positive with consumers continuing to spend on home upgradation and improvement. CERA's product and design emphasis allowed it to focus on the B2C segment where it can truly exhibit pricing power. Over the last few years, all efforts have borne fruit to decouple CERA's revenue growth from fluctuations in interest rates and housing demand, thereby insulating it from cyclicalities.

We have reported strong topline growth. Financial year '23 revenues are higher by 24.6% on a Y-o-Y basis, and CERA's revenue growth has been 3x of the industry growth rate. More importantly, our focus on enhancing the quality of revenues is

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reaping dividends. The topline increase is driven by a higher share of premium and high-margin products. Share of premium products in the incremental turnover is higher than the blended topline. This has aided in further expansion of margins.

The gross margin increased from 52.77% in FY22 to 54.25% in FY23, and the EBITDA margin has increased from

16.66% in FY22 to 17.59% in FY23. Our stated objective

was to increase our annual EBITDA margin by 50 to 75 basis points each year. We have surpassed our stated objective as the increase in EBITDA margin in financial year '23 has been almost 100 basis points, despite advertising spend in the year increasing from INR 32 crore in FY22 to INR 57 crore in FY23.

The industry has traditionally followed an orientation of price increase as a regular response to overcome cost pressures. At CERA, we have responded differently, with the objective to deploy multiple levers to protect and enhance our margins. These include productivity and yield increases in the manufacturing processes, cost optimizations, product mix enhancement through higher share of new and higher value-added products, thereby limiting our reliance on price increases. As a result, we are well placed to capitalize on market share gains made over the last 2 years.

At present, our manufacturing facility continues to function at high utilization levels. During the quarter, the sanitaryware plant capacity utilization was 115%. In faucetware, the capacity utilization was at 118% during Q4 FY23. The faucetware expansion program to take capacity to 4 lakh pieces per month commenced from July 2022. The enhanced production is scheduled to go onstream in July 2023 and in a staggered manner, we'll increase monthly production to 4 lakh pieces per month by March 2024. We expect to complete the project in time and well within the cost of INR 69 crore. The product mix planned is coloured SKUs, water turn SKUs, PVD SKUs and a few more SKUs that can be taken in from outsourcing partners.

During FY22, China imports were INR 69 crore or 5% of sales. In FY23, China imports were INR 55 crore or 3% of sales. CERA was already one of the lowest users of products made in China, and with availability of manufacturing infrastructure in-house, the percentage of Chinese imports to sales has been continuously declining. In a business which is brand-driven, the fulcrum of success is manufacturing quality and plant efficiency.

With regard to capacity expansion for manufacturing of sanitaryware, a fully aggregated land parcel in Gujarat, historically owned by a single owner has been shortlisted and the Company is currently undertaking due diligence. We expect title documents to be executed and other approvals over the next six months.

During Q4FY23, no price hikes were undertaken. Our peer group companies increased prices in October and November 2022, while CERA did not. During 2021 and 2022, many price hikes were undertaken, which were all a demonstration of pricing power. Currently, we are capitalizing on the market share gains over the last

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two years. In sanitaryware, the raw material like China clay, feldspar, POP and the glazing recipe did not have a material price movement. Zinc went down by 13%. In Faucetware, brass prices increased by 5% in Q4 and 10% during financial year '23. Despite changes in input costs, our increasing plant efficiency ensured stable gross margins in Q4 FY23 of 53.26% and in Q4 FY22 of 53.47%.

For the twelve months, gross margin has increased from 52.77% to 54.25% with no increase in product prices. Due to availability of gas from isolated wells near our plant, the pricing of gas from GAIL continues to remain below market and will remain so in the future. Price has remained almost stable at around INR 35 per cubic meter in December 2022 and in March 2023, it was INR 36 per cubic meter. Normally, GAIL supplies 50% of CERA's gas needs. However, in Q4 FY23, GAIL provided 65% of the gas requirement of the sanitaryware business. Sabarmati Gas es pricing went down from INR 67 per cubic meter in December '22 to INR 58 per cubic meter in March '23, supplying 35% of the gas needs of the plant for Q4. Post A

April '23, a price reduction has been carried out by GAIL from INR 36 to INR 31 per cubic meter, and by Sabarmati from INR 58 to INR 41 per cubic meter. The Q4 weighted average cost of gas is INR 43, much lower than the industry. Gas costs constitute 2.68% of CERA's topline. The retailer loyalty program that was launched by CERA in Q1 FY23, which has now almost completed twelve months. More than 14,000 retailers have uploaded 1.46 lakh invoices. The feedback we received from retailers has helped us in understanding the consumers' changing demands, geographical segmentation of SKUs, and evolution of the rewards program to retailers. Besides standardizing invoices, of the total retail sales of INR 1,042 crore in FY23, more than INR 339 crore of sales, which is 33% of overall retail sales in sanitaryware and faucetware have become eligible to receive rewards through this program. The Company's ability to tweak trade practices, trade pricing and ability to steer the direction of the dealer and retailer equation, have all undergone a sea change. We have also seen an improvement in multi-brand retailers who have undertaken various initiatives to sell CERA products. After the success of the retailer loyalty program, a similar program was launched for plumbers across India. CERA had been conducting training workshops for many years now, imparting installation and product knowledge to plumbers. A new program where rewards are provided to plumbers who recommend and facilitate the sale of CERA products is now active from 1st May 2023. The program communications include program posters at retailers, and a mix of communication channels, which includes SMS, phone calls, creatives and in-person meetings by the sales and marketing team. In Q4 FY22, 104 new products were introduced. New products launched in the past 3 years constitute 34% of CERA's topline in Q4. Our highest ever advertising spends were achieved in financial year '23 of INR 57 crore. CERA's share of voice was lower than its share of market, and now its increase in advertising spends, its share of

Transcript of CERA Sanitaryware Ltd. Q4 & FY23 Earnings Call Page 4 of 16

voice is getting closer to its share of market. Publicity spends, which was INR 7 crore in Q4 FY22 were increased to INR 24 crore in Q4 FY23. Despite a 340% increase in quarterly advertising and publicity expenses, there was no major impact on EBITDA and PAT margins.

Population centers of 17 lakhs and above which are Tier 1 cities have 31% of sales; population centers of 3 lakhs to 17 lakhs, which are Tier 2 cities have 22% of sales; and population centers below 3 lakhs of population are Tier 3 cities with 47% of sales.

We can now go over the financials. Revenues from operations in Q4FY23 was INR 530 crore versus INR 439 crore in Q4FY22, an increase of 21%. EBITDA, excluding other income was INR 85 crore in Q4FY23 versus INR 82 crore in Q4FY22, an increase of 3%. The gross margin has remained almost stable; it is currently at 53.26% in Q4FY23 against 53.47% in Q4FY22. PAT was at INR 63 crore in Q4FY23 versus INR 52 crore in Q4FY22, an increase of 21% Y-o-Y. EPS for Q4FY23 was 48.39% versus 40.04% in Q4FY22. For Q4 FY23, 53% of the topline was from sanitaryware; 35% from faucetware; tiles represented 11%; and wellness 1%. On a Y-o-Y basis, sanitaryware revenues registered an increase of 18%; faucetware revenues increased by 29%; tiles increased by 14%; and wellness increased by 15%. The sanitaryware and faucetware verticals remain the backdrop of the business with the contribution of 88% to CERA's overall revenues. The classification of overall sales in Q4FY23 was 43% in the premium category; 31% in the mid category; and 26% in the entry category. Inventory days in Q4FY23 was 77 days compared to 73 days in Q4FY 22. Receivable days in Q4 FY23 were 32 days versus 35 days. Payable days in Q4FY23 were 40 days

against 49 days in Q4 of FY22. Therefore, net working capital days in Q4FY23 was 69 days versus 59 days in Q4 of FY22. This number is around the optimum number of inventory days that CERA has been making efforts to achieve for many quarters now.

In this quarter, availability of products ensured there was no element of lost sales. This is the eighth straight quarter with no element of lost sales. In the current year, the capex budget other than the brownfield faucetware expansion and the proposed greenfield sanitaryware expansion program is at INR 25 crore, of which INR 20 crore was spent in the last 12 months and INR 17 crore was spent in Q4. As on 31st March 2023, our cash and cash equivalents stood at INR 687 crore against INR 580 crore in March 2022, an increase of INR 107 crore or 18%. Positive cash flow for Q4 FY23 has been INR 62 crore as compared to INR 54 crore Y-o-Y. Positive cash flow for FY23 has been INR 219 crore versus INR 164 crore in FY22, an increase of 34%.

Internal accruals are being used to fund the two capex programs, and we would also retain the flexibility to use some part of the cash and cash equivalents, if required. No debt raising or equity dilution is planned or required for both the

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capacity expansions. The Board of Directors yesterday has recommended a dividend of INR 50 per share, which is 1,000% of the face value per share. In conclusion, I would like to say that due to the combination of internal factors, production throughput maximization, brand salience and design differentiation as well as the move across home improvement, CERA would be able to monetize all the growth drivers that present themselves. CERA growth plan remains intact as it plans to expand capacities and to monetize rising demand. After taking a few years to break the INR 1,250 crore to INR 1,350 crore topline band, in FY22 CERA touched a topline of INR 1,446 crore. In FY23, CERA has reached a topline of INR 1,796 crore, a growth of 24.5% over FY22, and a growth of 49.4% over FY21. This trajectory is 3x the industry growth. It increases CERA's market share and pricing power. Achieving the magic number of INR 1,796 crore has reaffirmed our confidence of achieving the targeted doubling of turnover within 40 months from March '22.

I will now request the moderator to open up lines for Q&A. Thank you very much.

Moderator: The first question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: The first question is on the in-house and outsourcing contribution in the sanitary and the faucet segment. How much is that for the quarter?

Ayush Bagla: So for the quarter, in sanitaryware, outsourcing was 60% of overall sales and in-house manufacturing was 40%. In faucetware, the outsourcing was 49% and in-house was 51%. For the year, in sanitaryware outsourcing was 59% and in-house was 41%. And for the year, in faucetware outsourcing was 52% and in-house was 48%.

Praveen Sahay: Okay. The next question is related to the mid-segment contribution as well as your faucet contribution also on the increase in the last 6 quarters, I am continuously seeing. So is it fair to assume your faucet segment is largely in the mid-segment of product segment? And if you also give some indication on the margin differential in the sanitary and faucet?

Ayush Bagla: So Praveen, the thing is I'll just give you some statistics to add more color to the answer. In sanitaryware, our composition of sales is entry level, 25%; mid is 17%; and premium is 57%. In faucetware, entry is 26%; mid is 48%; and premium is 24%. But that's not the reason why you're seeing faucetware growing. The unorganized to organized shift in sanitaryware has more or less played out, whereas in faucetware where it is nowhere near played out. And the unorganized market in fa

ucetware continues to be INR 5,000 crore. That market is fully available over the next many years. And the second aspect is CERA, let's say it's faucetware market share is double digit. It is the second largest player in the industry, but it's incremental market share. So the share of the growth that CERA is monetizing is 1.5x to 2x its incremental market share.

Praveen Sahay: Okay. So any margin differential between these two products?

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Ayush Bagla: See normally, we don't split the margins between our various businesses. We just focus on the blended number. And the reason for that is we don't want to give out our pricing and margin strategy to the market.

Praveen Sahay: Right. Okay. And sir, the question on the growth way forward, because this year,

you had delivered a very high growth in both the segments, around 27% -28% and overall addition of incremental sales in the range of around INR 350-odd crore . What's your guidance for '24 -'25?

Ayush Bagla: See again, I'd like to focus on the overall larger picture that we had painted in March and April '22 of reaching a run rate of INR 2,900 crore by September '25. That required a CAGR of 17%, 18%. We have achieved much more than that. So now most of the investors and people in the financial community are calling us and telling us that, that aim of INR 2,900 crore by September '25 is a very conservative target. So , if you just work backwards from that number, we'll need to add about INR 350-odd crore of topline every year, which we have delivered this year. And going forward, that will be the trajectory.

Praveen Sahay: Great, sir. And the last question, sir, related to your advertisement budget. So this year, definitely, there is a good jump in that. So is there any one -off because you had a new brand ambassadors as well or that will continue on the yearly basis the way forward?

Ayush Bagla: Normally, the spend were 3.5% to 4% of topline . In the manner in which topline is increasing , that number will remain between 4% and 4.5% of topline. But the absolute number will increase in relation to the topline. And the benefits of this expense in Q4 and during FY23 is both in the short -term and in the medium -term. So, we are seeing a difference in pricing power and premiumization of our products.

Praveen Sahay: Okay. Great. And all the best.

Moderator: The next question is from the line of Vijay Kedia from Kedia Securities.

Vijay Kedia: Ayush ji, this is Vijay Kedia. Congratulations for this wonderful numbers. This has really surprised us, at least me. And I just want to understand one thing from you. One thing I would like to tell you that ever since you have joined the Company , the shape and size of the Company has really changed dramatically. And in various occasions, whenever I met your competitors, I was told that you have taken some really out of the box decisions in the last 2 years and your competitors and me both were skeptical whether they are going to bring positive results for the Company or not. But actually you have proved us wrong. And I hope in the future also you will prove us wrong.

So, whatever you have done differently than others, I just have one simple question . Maybe the deficiency of your competitors has also played an important role, if not a significant role, but a little bit of a role in your numbers or in your growth. So , I just want to understand from you that, of course, all of them are very strong,

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capable and compatible. So , what would happen is they will also strike back, which I am sure because most of the problems like gas and all are behind us. So , they will also start recovering. So where would you stand out in that circumstance?

Ayush Bagla: Thank you, Mr. Kedia for taking time to

attend the call and also participating. You

see this is an entirely a team effort by CERA. And right from the shop floor to absorbing new technologies , increasing new products. So I'll just give some background ; new products in the industry are 10% -12% of sales for the industry as a whole and for CERA, they were 22% -24% of sales. Now they are 34% to 39%, depending on which quarter you look at. These are all new sales which were not previously available but are incremental sales at much higher margins. So , all around the CERA team has delivered, and it's a testimony to their execution skills. So as far as competitive intensity is concerned, the competitive intensity, whether from the large Indian players or MNC players or large building material companies was always there. And we expect it to keep on getting fiercer. But we have both the bandwidth in terms of products, manufacturing capability, technological expertise to meet that challenge. And not only is the consumer evaluating us at every step, but even retailers, dealers, we get a lot of feedback from them, we execute accordingly, so those are some of the levers. And there were a few concerns about the Company 5, 6 years ago , but the governance level in the Company would be at par with the best companies of Corporate India, the really blue -chip companies. So those are things that I think the investors have really appreciated. And the Company's debt -free high -cash, decisions have all been ROCE accretive over the last many years. Those are the things which have made the Company perform in the way it has over the last few years. So other than that, I can only say that going forward, we want to maintain the same growth trajectory, both in topline and bottom line, as well as offerings to the consumer. So ultimately, the validation by the consumer results in all the financial metrics being met.

Vijay Kedia: Yes. Okay. There is a last one point only, INR 687 crore line in the safe instrument, when are you going to utilize that fund in some lower risk and high return kind of investment?

Ayush Bagla: So, we are currently just working on our brownfield expansion in faucetware and the greenfield expansion in sanitaryware. Other than that, there is no current capex that is lined up. If there's a good opportunity inorganic, the Company will definitely evaluate it. But other than that, this Company has been very conservative and that's one of the reasons for its success.

Moderator: The next question is from the line of Akshay Chheda from Canara Robeco Mutual Fund.

Akshay Chheda: Just one question. If we see the gross margin, so in Q2, it was a good number of around 55%, 55.5%. But then if you see the last two quarters, it has cooled off to around 53.3%. So, what is it that is, is it the raw material, which is hurting us, how

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should we see it because on one side if we see, raw materials benign and even if we are improving the product mix. So then, how should we look at the gross margins going forward?

Ayush Bagla: If you were able to cherry pick 1 number from 1 quarter, then I could also give you the baseline of gross margin, which has always been between 48% and 50% of the last many years, we are 300 basis above that currently, both for the quarter and also for the year, we have 400 basis above that. So Company is operating at a much higher level in manufacturing efficiencies. And the baseline number of 48% to 50% has been surpassed. In one particular quarter, if it becomes 55%, that is not really, I wouldn't recommend that, that is the new benchmark.

Akshay Chheda: Okay, sir. And how should we look at it going forward?

Ayush Bagla: I think anything above 52% would be a very acceptable number. And that is a number that is optimal because that takes into account the high-capacity utilization, spreading

the fixed cost over a large number of products, management of both raw materials and all other costs associated with manufacturing.

Moderator: And the next question is from the line of Mihir Damania from Ambit Asset Management.

Mihir Damania: I have one question. It was, so we've seen other building material companies catering to a wider basket of products, including one of your closest competitors who has kind of ventured into the lighting front. So, since we have like a huge pile of cash of around INR 700 crore, are we looking to maybe look at hedges and these? Are you open to looking at it and can we see something on that front in the next couple of years or so?

Ayush Bagla: See, currently there are no plans or no proposal in front of the Board to diversify and especially diversification into unrelated areas, you know lighting and electrical goods or even whitegoods are all unrelated businesses. They are like a decision to be taken independent of the current business. And many of these sectors, I'm not talking about any particular Company or business, but are very crowded marketplaces, where margins are much lower than what we are used to in our current businesses. So, till any business achieves a certain ROCE threshold, even on paper, we don't want to even evaluate such an opportunity. So currently there is no such evaluation going on, but let's see if we keep on expanding our current two main businesses, first through a brownfield and a greenfield venture, and maybe there is some inorganic opportunities in those businesses as well.

Moderator: The next question is from the line of Pranav from Equirus Securities.

Pranav Mehta: Congratulations on a very good set of numbers. Sir, I wanted to understand on the incremental dealer and distributor addition that you have done in FY23 versus let's say 3 or 4 years before, so can you just share how the dealer and distributor addition has been a focus area for the Company?

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Ayush Bagla: So I'll give you some numbers. The dealers in March '22 were 4,260 which in March '23 had become 5,462. And the retailers were around 11,300, which are now around 14,600. But at the same time, the size of large dealers have grown. So large dealers are anything between INR 20 crore to INR 40 crore in topline. That is the revelation of the last 2, 3 years. Being a dealer in sanitaryware is a very profitable business, allowing them cash flow to expand geographically, more salespeople increase opex and capex at their end, at the retail end and the dealer end. Some of

our dealers have large warehouses, large inventory of their own. So what we are seeing is the large dealers will continue to expand and that is going to be our focus. So making sure a INR 5 crore dealer becomes a INR 15 crore dealer I think over the next 2, 3 years that is going to be the focus.

Pranav Mehta : Okay, sir. And sir, can we say that Tier 2 and 3 cities are seeing better growth for you versus, let's say, 3 or 4 years before?

Ayush Bagla: There are all different markets for different products and Tier 3 cities maybe 10, 15 years ago was a market for inexpensive products or affordable products, not anymore. So Tier 2 and Tier 3 towns are now consumers of also luxury products. So for us, we are not really that bothered about where our sales go, but I would tell you something that dealers in Tier 2 and 3 towns have a larger footprint. They have better relationships with plumbers, civil contractors, architects, and other influencers. So their ability to sway a customer in those towns is much higher than in a Tier 1 town. And in Tier 1 towns, MNCs are fully focused on Tier 1 markets. So our focus is across all 3 markets. As you can see, even our share of sales in Tier 1 markets is increasing.

Pranav Mehta : Right, sir. And sir, any guidance on EBITDA margin for next 2 years that is FY24 and FY25?

Ayush Bagla: See, we had predicted 50 to 75 basis over 1 year, and we are already at 103 basis for the year. So I think I would say we have achieved what was to be achieved in 2 years in 1 year. Even maintaining this INR 17.96 billion number would be a great number to have with other income and INR 15.88 billion without other income would be a great number to have for FY24.

Moderator: The next question is from the line of Dhananjai from ASK Investments.

Dhananjai Bagrodia : Just wanted to ask you, sir, what would be your market share in both faucetware and sanitary and our market position also?

Ayush Bagla: You see, Dhananjai, for us to give out any number which is anecdotal would not be correct because we don't have any third-party agency like a Technopak or someone making out a report on relative market share. So, we are the largest player in sanitaryware without doubt, and the second largest player in faucetware and growing much faster than all the players behind us in faucetware. So incremental

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market share, which is a more relevant statistic, the highest is CERA's case in faucetware. And in sanitaryware, we are just guarding our #1 position.

Dhananjai Bagrodia : And just to have an idea, how far would the number 2, if you have to ballpark only, any idea what would number 2 be in that sense?

Ayush Bagla: See, it's difficult for me to talk about any other Company.

Dhananjai Bagrodia : Okay. And the good growth we've seen in our numbers, would this be an industrywide phenomenon, or are we seeing some market share gains there?

Ayush Bagla: If you remember during our Q3 call, there were a lot of questions on volatility of demand during Diwali and post Diwali. And we had said that we did not see that kind of volatility in our offtake. The same thing happened in Q4. So different industry players have different dynamics and pricing decisions that they make. In our case, the focus on B2C segment and just focusing on the product rather than any other intangibles has made our numbers work, and we have really come out of the typical housing and interest rate cyclicality.

Dhananjai Bagrodia : Sure. Okay. And I guess then thirdly, last question, just any possible breakup between how much of your revenues come from, let's say, metros or Tier 1 versus Tier 2, Tier 3?

Ayush Bagla: Yes. I will give you that number. Tier 1 is 31% of sales, Tier 2 is 22% of sales, and Tier 3 is 47% of sales.

Dhananjai Bagrodia : Okay. And this is on a combined basis, right?

Ayush Bagla: Yes. And exports are for the quarter 1% of sales, and for the year it's between 1 and 2% of sales.

Moderator: The next question is from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: Just following up on the previous participant. Given that the market you mentioned that the other players have taken price hikes for last two quarters now, so there could be an element that since it is volume driven for us, there could be some element of market share gain. Is it a possibility?

Ayush Bagla: Other players took price rises in October, November '22, which we did not at that time. And our manufacturing efficiencies has beaten the effect of both inflation and RM changes and changes in labor and any other costs. So that we were happy to pass on those benefits to the consumer. And, of course, we also knew that will



increase our market share. So that's exactly what we followed. The last price hike we had was May '22, only 12 months ago.

Udit Gajiwala : Understood. And sir, secondly, your margins, you mentioned that even if at these levels, you will be comfortable. But given that the RM pressure is coming down and with our premiumization basket going up, could we see that you're being

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conservative maybe in terms of maintaining your margin guidance or we might see some 50, 70 basis points uptick, is it a possibility?

Ayush Bagla: Well, we had expected 50 to 75 basis points. We delivered 103 basis points. So that is something that we have delivered for 2 years in 1 year. We'll be happy with these margins if they're stable. And what you said the RM is cooling off, margins may increase if INR 350 crore, INR 400 crore of sales are added this year as well. So we'll wait for those things to play out before guiding.

Udit Gajiwala: Okay. And just last question, if I may squeeze in. Sanitaryware, given that now we are moving more towards the outsourced with the capacity. Do we see some squeezing of growth in sanitaryware or outsource may increase and that's why even margins could be at your...

Ayush Bagla: So outsource, you see, we work with, let's say, there are 50, 60 plants in the country. We work with only 10, 12 who meet our quality parameters. So currently within those 10, 12, there is no capacity constraint and even our in-house manufacturing, the strategy we have adopted is to make sure all complicated products are made in-house and products which were previously made in-house are sent to outsourcing partners, freeing up fresh capacity to take in newer products. So it's a mix and it's an evolving mix of which product to make in-house and which product to take outside. Currently, there is no capacity constraint both in the in-house capacity and from our outsourcing partner. And the proof of that is the inventory days. The sector always had a problem of inventory and availability, and we've had eight straight quarters of no element of lost sales. So, the inventory levels are at optimum level right now.

Udit Gajiwala: Got it. And lastly on capex, you said that '24 will be how much, excluding your brownfield maybe?

Ayush Bagla: So I'll just give you some numbers. For FY23-24, a total of INR 34.78 crore is planned, of which INR 11 crore will be sanitaryware automation, INR 4 crore faucetware automation, INR 7 crore customer touchpoints, INR 7 crore land and building at the current manufacturing facility, and INR 4 crore in logistics and IT. And I can also give you what was achieved last year. We had a budget last year outside of the INR 69 crore for the faucetware brownfield of INR 24.7 crore, of which INR 20.49 crore was spent. And they were spent in INR 6 crore for sanitaryware automation, INR 3 crore for faucetware automation, INR 4 crore on customer touchpoints, INR 2.5 crore on land and building in our current facility, and INR 5 crore on logistics and IT.

Moderator: The next question is from the line of Shrenik from LIC Asset Management.

Shrenik Bachhawat : So basically, I wanted to understand that we are expecting 17% to 18% revenue CAGR for the next 3 years. So, I understand the real driver for our sales, but we are already 1 of the best Company in terms of distribution, as our distribution is quite

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deep in Tier 2, Tier 3, Tier 4 cities. So, what will be the key driver for growth from here? Like what has structurally changed for the industry and for us?

Ayush Bagla: At Cera we don't need to do anything differently. We just have to execute in the same manner that we have been doing for the past 7, 8 years. So that includes enhancing product technology, maintaining the same product quality, and at the price that it's made available, and this distributed logistics, distributed inventory availability. So, we have to continue to do the same things we have done and not do anything differently. The demand from all three Tiers, 1, 2, and 3 towns is available. The replacement demand, home improvement demand is for real, and the industry is expanding, in faucetware the conversion fr

om unorganized to

organized is taking place, in sanitaryware the industry size was so small, that size is increasing dramatically.

Shrenik Bachhawat : Okay, got it. And sir, can you throw some light on how the other large private players in the likes of Kohler, Parryware, Jaquar have performed relative to us? And

say, on that, secondly, as they are increasing the penetration in smaller cities, are we facing increased competition from these brands?

Ayush Bagla: See, the competitive intensity was never low in this industry, whether you talk about the 4 large companies in India or 7, 8 MNCs, the competitive intensity for dealers, for retailers, and for customers was always very high, but for me to talk about any other Company will be very difficult. But you'll find that CERA has been outperforming all other players in the industry on any of the metrics, whether it's product, technology, pricing, placement and, of course, all that translates into investor return and financial metrics. And most importantly, free cash flow, that is one of the most important focuses of this Company.

Shrenik Bachhawat: Got it, sir. And sir, basically again on the cash questions. Currently our ROCE is around 26% with such high cash on books, right. So, going ahead, do you have any plans to better utilize the capital that is available on our books around INR 650 crore in investments which can improve our ROCE and ROE?

Ayush Bagla: Currently they are parked in safe instruments, and you rightly said ROCE is already high. If you take away the liquid cash from the capital employed, then that ROCE number will dramatically increase. So, one of the steps that have been taken is to increase the dividend payments. So over the last 2 years, our average dividend payment which used to be 17%, 18% of PAT, is now 31%, 32% of PAT and PAT has also more than doubled. The average PAT of the last 10 years was between INR 100 crore and INR 110 crore. This year it's INR 209 crore. So, both the absolute number and the dividend payout ratio all have dramatically changed. And having this availability of cash has provided us additional flexibility, so both the brownfield and greenfield capex, we have been able to do without the need to raise any resources or without the need to change any of our business practices to bring in more cash flow.

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Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: Sir, my first question is related to the industry. I understand you cannot share your market share data, but can you please give us the updated numbers of the market size and organized proportion of sanitaryware, faucets and tiles, please?

Ayush Bagla: Again, Sonali, it will be anecdotal data, the data we collect from our sales force and various offices. So again, that is not something that will be correct to give to any outside community.

Sonali Salgaonkar: No problem, sir. Understand. Sir, my second question is about the tile industry in Morbi. Any update on the competition emerging over there? So, are exports on track or are you seeing a slowdown in the exports? And are you seeing them coming with a higher competition in the domestic market.

Ayush Bagla: Sonali, you have been a regular on our calls for many years. You know the commentary we've been making about tiles, that the tile industry is going through very difficult phase, and it will continue to remain that way because of significant overcapacity in the industry and none of the players having any pricing power, so that remains. And the exports have not grown in the same pace that they were growing for the last 4, 5 years. That has resulted in a significant glut in the domestic industry and price is not moving upward, even demand is more or less stagnant. So, the number of plants kept on mushrooming.

There are no barriers to entry for SME entrepreneurs to put up a plant for a very small amount. And that's over fragmentation of the industry, which will take a few years to sort out.

Sonali Salgaonkar: Understand. Sir, and my last question is, could you enumerate what is the approximate average price hike that CERA has taken in FY23 across sanitaryware, faucets, and tile segments separately, please?

Ayush Bagla: So I'll give you some numbers. In FY23, there was only one price hike and that was in May 2022, 3% in sanitaryware and 5% in faucetware. And before that, the last price hike was in November '21. So, in calendar year '22, there was only one price hike, and in the financial year '23, there was only one price hike. There was a price rationalization exercise earlier this year, in calendar year '23, which resulted in a 50 basis point increase in price hike because we went for a uniform MRP across all products and all states, irrespective of the freight costs.

Sonali Salgaonkar: Understand. Sir, and none in tiles, right?

Ayush Bagla: Tiles there are just too many products. I'll just give you some information on tiles. Now the soluble salt commoditized tile is only 4% of sales for CERA. The rest 40% is GVT, 21% is double charged, wall tiles are 24%, and other paving and outdoor tiles are 12%. So, there is a little bit of pricing power in GVT and double charge and the

commoditized version we have restricted ourselves to just 4% of our overall tile sales where we have ongoing commitments.

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Moderator: The next question is from the line of Akash from UTI Mutual Fund.

Akash Shah : Ayush, many congratulations on great set of numbers. Just had a few questions.

One is, how much has been the decline in brass prices and are we planning to cut MRP or let's say the realization of faucetware to ensure that, I mean to stay ahead of competition. Would competition be taking price cut in faucetware?

Ayush Bagla: See, brass, I'll give you the RM behaviour of brass and ZAMAK for the full year first.

There was a 10% increase in brass prices for twelve months FY23, of which 5.12% increased in Q4. And ZAMAK, which is used to make handles of single lever, there was a 24% increase for twelve months, of which 7% increased in Q4. Despite that, we didn't have to take any price hikes since May. So, you can understand that we're passing on all the gains made in efficiency to the consumer and also absorbing any changes in RM increases. So that was as far as the FY23 is concerned. Even if these prices cool off, which they most likely will, there is no proposal or there is no past history or trend of decreasing prices or decreasing MRP.

Akash Shah : Sure. And usually if, let's say, raw material price is correct, then usually discount increase or we take price cut in MRP terms?

Ayush Bagla: Normally, the brands like CERA, which have pricing power, don't have to change any behaviour with changes in RM. So, we don't have to increase discounts or decrease MRP. Yes, sometimes there are combo offers, but that is in the regular course of business, not related to changes in raw materials. So, the whole point of spending the kind of money we do on advertising, publicity, creating a brand, creating the technology, and spending so much on technology and the shop floor is to make sure that our MRP doesn't move along with any kind of RM or any other cost or demand factors.

Akash Shah : Sure. Our EBITDA margin this quarter reduced by about 270 to 280 bps as compared to last year same quarter. One factor was increase in ad spends. But any other factors that led to this decrease in margins?

Ayush Bagla: See, if you look at EBITDA without other income it's INR 16.04 billion versus INR 18.78 billion and the ad spend increase of INR 17 crore for the quarter is if you add that to the EBIT

DA numbers, it increases it to more than last year's EBITDA margin.

Other than that, there was no other change. All other costs were in line with revenues.

Moderator: The next question is from line of Onkar from Shree Investments.

Onkar Ghugardare : You mentioned this to several participants, just wanted to know what's management's thinking on, say, a buyback in this regard, since you have lots of cash. Just wanted to know management's thinking on this.

Ayush Bagla: See, we recognize that a buyback is a very tax efficient way of distributing cash to shareholders, and we are alive to those possibilities, but we've not taken any kind

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of proposal to the Board on buyback. However, the Board is always keen to distribute more to shareholders and that's why you're seeing a INR 18 crore distribution becoming INR 65 crore, INR 66 crore this year, and last year it was about INR 46 crore. So that's one of the ways of distributing cash. Other than that, buyback is not really been evaluated at the Board level so far.

Onkar Ghugardare : Correct. But is the management open to buyback or like what's the thinking, just wanted to know.

Ayush Bagla: See, that is a decision that I think after all the capex, brownfield, greenfield of the Company's play out, that is another decision that can be evaluated seriously. But currently there is no such proposal.

Onkar Ghugardare : Okay, alright. Another question was on the land acquisition which we're supposed to do, I guess, in the next six months. So just wanted to know when can the greenfield project it will be commenced and what would be the addition to the existing thing and how much it can contribute to the overall, like how much sales it can add once it starts up, it becomes operational and working at 100% capacity?

Ayush Bagla: So, the plan is to complete the land acquisition and approvals within this calendar year, and most likely by October -November. That will cost around INR 25 crore.

Another INR 100 crore will be spent on plant, machinery, and technology in the sanitaryware facility which will take let's say 18, 20 months, post all land acquisition

and approvals. And the initial capacity, it will be modular. Initial capacity could be 12 lakh pieces per year and the topline will be close to INR 300 crore . So, asset turns for that will be between 2.25 and 3x. As far as the faucetware facility is concerned, we are almost seeing the end of that brownfield expansion. The cost is INR 69 crore , the addition is 1 lakh pieces per month or 12 lakh pieces per year to take the capacity to 48 lakh pieces a year. And asset turns, because it was brownfield and there was no land cost, etc ., will be around 3.5x.

Onkar Ghugardare : So as far as the sanitaryware is concerned, it will take another 2.5 to 3 years to commence the facility, right?

Ayush Bagla: No, 18 to 20 months after the zero date. And the zero date will be set after the land acquisition is over and approvals are in place. So , we'll wait for the zero date to be set by the end of the year.

Onkar Ghugardare : Okay. And till then what ever you are comfortable with the outsourcing level and whatever the capacity utilization around 115% to 118%, you're comfortable with that to meet the...?

Ayush Bagla: That's right. And that will lead to increase in our inventory days.

Onkar Ghugardare : Okay. And this is fine with you guys to meet the existing demand as well as the future demand.

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Ayush Bagla: That is correct.

Moderator: Thank you very much. I'll now hand the conference over to the management for closing comments.

Ayush Bagla: Thank you very much. I would like to thank everyone for attending this call and for showing interest in CERA Sanitaryware. CERA remains positive

that its strong positioning in the industry and improving macros would help it deliver steady and consistent growth going forward. Should you need any further clarifications or would like to know more about the Company , please feel free to reach out to me or CDR India. Thank you once again for taking the time to join the call and see you all next quarter. Thank you very much.

Moderator: Thank you very much. On behalf of CERA Sanitaryware Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: Aug 2023

CSL/2023-24/151  
9th August, 2023

To,  
BSE Limited  
Corporate Relationship Department 1  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 4th August, 2023  
Ref: Regulation 30 of the SERI (LODR) Regulations, 2015  
With reference to our letter CSL/2023-24/126 dated 25th July, 2023, intimating you about the Q1 FY2024 Earnings Conference Call held on 4th August, 2023, please find attached the transcript of the aforesaid conference call. The same is available on the website of the company i.e. [www.cera-india.com](http://www.cera-india.com)  
We hope you will take the same on your records.

Thanking you, For Cera Sanitaryware Limited,

Hemal Sadiwala  
Company Secretary Encl: As Above

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Cera Sanitaryware Limited  
Q1 FY24 Earnings Conference Call Transcript  
August 04, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 earnings conference call of Cera Sanitaryware Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mayank Vaswani of CDR India. Thank you, and over to you Mr. Vaswani.

Mayank Vaswani : Thank you, Zico. Good morning, everyone, and thank you for joining us on the earnings call for Cera Sanitaryware Limited for the Q1 FY24 earnings which were announced yesterday. We have with us today the management team comprising Mr. Ayush Bagla, Executive Director; and Mr. Vikas Kothari, CFO of Cera Sanitaryware. We will start with brief opening remarks from the management, following which we will open the call for Q&A. A quick disclaimer before we begin. Some of the statements made in today's conference call may be forward-looking in nature and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier.

I would now turn the call over to Mr. Ayush Bagla for his opening remarks.

Ayush Bagla: Good morning, everyone. The earnings for the quarter ended June 30, 2023, were adopted by the Board of Directors yesterday, August 3, 2023. The earnings documents have been released to the stock exchanges.

During the quarter, we witnessed encouraging demand for our products as the overall replacement demand remained positive. Cera's product and design emphasis allows us to focus on the B2C segment where it can truly monetize its

brand promise. Over the last few years, all efforts have borne fruit to decouple Cera's revenue growth from fluctuations in interest rates and housing demand, thereby insulating it from real estate demand cyclicality.

Despite the high base of last year, Q1 FY24 revenues are higher by 7.94% on a Y-o-Y basis. The gross margin increased from 53.70% in Q1 FY23 to 54.71% in Q1 FY24. EBITDA was higher by 38%, as it increased from INR 61 crore to INR 84 crore. EBITDA margin increased from 15.4% in Q1 FY23 to 19.01% in Q1 FY24.

Our stated objective was to increase annual EBITDA margins by 50 to 70 basis points each year. We have surpassed our stated objective, as the increase in the EBITDA

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margins in FY 23 has been more than 100 basis points despite advertising spend in the year increasing from INR 32 crore in FY 22 to INR 57 crore in FY 23.

At present, our manufacturing facility continues to function at high utilization

levels.

During the quarter, the sanitaryware plant capacity utilization was at 100%.

In faucetware, the capacity utilization was at 106% during Q1FY24.

The faucetware facility expansion program to take capacity to 4 lakh pieces per month is nearing completion and will begin enhanced production from August '23 in a staggered manner with full production expected by March '24. The cost of the project was INR 69 crore, with project management techniques used to crunch costs, the completed cost will be close to INR 58 crore. The product mix planned is coloured SKUs, quarter turn SKUs, PVD SKUs and a few more SKUs that can be taken in from outsourced partners. This will enrich our product mix further.

In Q1 FY23, China imports were INR 10 crore or 2.4% of sales. In Q1FY24, China imports were INR 5 crore, 1.2% of sales. Cera was already one of the lowest users of products made in China, and with availability of manufacturing infrastructure in-house, the percentage of Chinese imports to sales has been continuously declining. In a business which is brand-driven, the fulcrum of success is manufacturing quality, plant efficiency and new product-led growth.

With regard to capacity expansion for manufacturing sanitaryware, a fully aggregated land parcel in Gujarat, historically owned by a single owner is in due diligence. We expect title documents to be executed and other approvals over the next three months.

During Q1FY24, no price hikes were undertaken. Our peer group companies increased prices in October - November 2022, while Cera did not. During 2021 and 2022, three rounds of price hikes were undertaken by Cera, which were all a demonstration of pricing power. Currently, we are capitalizing on the market share gained over the last two years. Top line increase and margin expansion are the current goals in sanitaryware.

Raw materials, like China clay went up by 18% and feldspar by 3%, while Plaster of Paris and glaze went up by 2% and 3% in Q1 FY24 as compared to Q1 FY23. The zinc went down by 35%. In faucetware, brass prices went down by 7% and Zamak went down by 31% as compared to Q1 FY23. Despite changes in input costs, our increasing plant efficiency ensured improved gross margins in Q1 FY24 of 54.71% as against 53.7% in Q1 FY23.

Due to availability of gas from isolated wells near our plant, the pricing of gas from GAIL continues to remain below market and will remain so in the future. Average gas prices have gone down from INR 35.97 per cubic meter in March 2023 to INR 29 per cubic meter in June 2023. Normally, GAIL supplies 50% of Cera's gas needs, however, in Q1 FY24, GAIL provided 77% of the gas requirements of the sanitaryware business. Sabarmati, a JV of BPCL and GSPC, pricing went down from

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INR 58 per cubic meter in March 2023 to INR 46 per cubic meter in June 2023, supplying 23% of the gas needs of the plant. The Q1 FY24 weighted average cost of gas is INR 34, much lower than industry. Gas costs constitute 1.83% of Cera's top line.

Our focus on ESG began in 1995 with installation of a wind energy facility. Capacity was added gradually, and a solar plant was installed in 2014. During Q1 FY24, 94% of the energy needs of the two manufacturing facilities were met through in-house renewable energy sources.

The 'Retailer loyalty program' was launched by Cera in Q1 FY23, which has now completed 15 months. More than 15,300 retailers have uploaded 1.85 lakh

invoices.

The feedback received from retailers has helped us in understanding the consumers' changing demands, geographical segmentation of SKUs, and evolution of the rewards program to retailers. Besides standardizing invoices, in Q1 FY24 of the total retail sales of INR 245 crore, more than INR 73 crore, which is 30% of retail sales in sanitaryware and faucetware have become eligible to receive rewards

through this program.

After the success of the loyalty program, a similar program was launched for plumbers across India. Cera has been conducting training workshops for many years now, imparting installation and product knowledge to plumbers. A new program, where rewards are provided to plumbers who recommend and facilitate the sale of Cera products is now active. The program communications include program posters at retailers and dealer counters, and a mix of communication channels, which include SMS, phone calls, program creatives and in-person meetings by sales and marketing teams.

New product introduction is one of the important growth levers for Cera. During FY22, 72 new products were launched. The average number of products launched historically used to be below 100. During FY 23, 699 new products were launched. With the sharp pickup in new design and products launches in the last two years, a considerable amount of resources have been deployed at the manufacturing level, and at the customer experience level. During Q1 FY24, substantial efforts have been made to ensure the products launched in the last 24 months penetrate deeper into the dealer network and in consumer buying decisions. This is very similar to the route adopted by most FMCG companies.

Our highest ever advertising spends was in FY 23 of INR 57 crore at 3% of sales. The budgeted publicity spends for FY 24 is expected to be INR 65 crore, at similar percentage of sales. Cera's share of voice was lower than its share of market, and with the increase in advertising expense, the share of voice is getting closer to its share of market. Publicity spends, which were INR 11.75 crore in Q1 FY23, are now INR 11.02 crore in Q1 FY24.

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Population centres of 17 lakhs and above, which are Tier 1 cities, constitute 33% of sales. Population centres of 3 lakhs to 17 lakhs are Tier 2 cities, with 22% of sales. Centres with population below 3 lakhs are Tier 3 cities with 45% of sales.

We can go over the financials:

Revenue from operations in Q1 FY24 were INR 427 crore versus INR 396 crore in Q1 FY23, an increase of 8%. EBITDA, excluding other income, was INR 68 crore in Q1 FY24 versus INR 61 crore in Q1 FY23, an increase of 11%. The gross margin was at 54.71% in Q1 FY24, against 53.7% in Q1 FY23. Profit after tax was INR 56 crore in Q1 FY24 versus INR 40 crore in Q1 FY23, an increase of 40% Y-o-Y. EPS for Q1 for FY24 was INR 43.35 versus INR 30.47 in Q1 FY23.

For Q1 FY24, 53% of the top line was from sanitaryware, 35% from faucetware, tiles represented 11% and wellness 1%. On a Y-o-Y basis, sanitaryware revenues registered an increase of 7%, faucetware revenues increased by 8%, tiles increased by 11%, and wellness increased by 22%. The sanitaryware and faucetware verticals remain the bedrock of business with contribution of 88% to our overall revenues.

The classification of overall sales in Q1 FY24 was 45% in the premium category, 31% in the mid-category, and 24% in the entry category.

Inventory days in Q1 FY24 were 74 days compared to 73 days in Q1 FY23. Receivable days in Q1 FY24 were 28 days versus 26 days in Q1 FY23. Payable days in Q1 FY24 were 30 days against 39 days in Q1 of FY 23. Therefore, net working capital days in Q1 FY24 was 72 days versus 60 days in Q1 of FY 23. In this quarter, the availability of product ensured there was no element of lost sales.

This is the ninth straight quarter with no element of lost sales. In the current year, the capex budget, other than the brownfield faucetware expansion and the proposed Greenfield sanitaryware expansion program is at INR 35 crore, of which INR 5 crore were spent in Q1 FY24.

As on June 30, 2023, our cash and cash equivalents stood at INR 755 crore against INR 566 crore as on June 30, 2022, registering an increase of INR 189 crore or 33%.

Positive cash flow for Q1 FY24 has been INR 54 crore as compared to INR 48 crore Y-o-Y.

In conclusion, I would like to say that due to the combination of internal factors, product throughput maximization, brand salience, design differentiation, as well as the macros of home improvement, Cera would be able to monetize all the growth drivers that present themselves.

I would now request the moderator to open up the lines for Q&A. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Archana Gude from IDBI Capital.

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Archana Gude: I have 2-3 questions. Sir, in the opening remarks you said that 699 new products were introduced and now the efforts will be on getting the deeper penetration of the products. So, can you help us understand if we should expect a similar trajectory of these new products for coming years? And also, is it possible to give some colour in terms of the new products launched by our key competitors?

Ayush Bagla: Normally, we would launch between 75 to 100 products every year. Last year, we launched 699, so 700 products were launched last year. Now, making 700 products part of the consumer psyche, then part of dealer displays, dealer promotions and manufacturing those 700 new designs with completely different functionality and on design aesthetics is a whole mammoth exercise that is currently going on. So, this will occupy, I think, all of this year, which is why in this quarter we chose not to launch a single product.

Now in the past, you know that the industry has an average of 10% to 12% of sales from new products. That number for Cera has historically been 22% to 24%. Last year, in some quarters, it was 36%, in some quarters it was 39%. So, this quarter this number is around 29% for Cera. So almost one-third of our revenues are revenues which we did not have earlier. So new products are responsible for that. And in most cases, you'll find that new products are coming in with higher functionality and design aesthetics at higher price points.

So whatever margin movement you're seeing is all because of product mix changes and that will be the focus for the next medium term for the Company. Keep changing the product mix. Now, in any case, our faucetware number of products have crossed 1,000 products. And sanitaryware, I can give you the exact number of products for both sanitaryware and faucetware. In sanitaryware, we are 572 products, in faucetware we are 1,584 products. So, keeping this kind of product portfolio and there's plenty of opportunities to upsize the consumer to higher price points. So that's where the focus is.

Archana Gude: And sir, my second question is what is Cera's role while assisting channel partners to build the brand stores, and how many number of brand stores currently we have across, like Style Galleries and Hub and Cera Tile centres, etcetera?

Ayush Bagla: So, we have 3-4 formats currently. One is a 7,000 to 15,000 square feet Company-owned format. We have eight of those in large cities and centres where we have large sales. Then we have around 1,500 and 1,000 square feet model, which is dealer owned and dealer managed where Cera is not really part of the opex or capex. We have 184 of those. And then we have a retailer model, some are shop-in-shops, some are exclusives, some are multi-brands. We have 781. So, the aim is to double these 184 and 781 over the next three to four years. And we are also toying with various models, hybrid model, then 1,500 square feet and above model. There are plenty of models that we are toying with.

Archana Gude: Correct. And sir, lastly, how much expenses should we expect for the 3 Company-owned Style Studios at Bangalore, Morbi and Chandigarh?

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Ayush Bagla: See, for the dealer-owned, dealer-managed, there is no capex or opex from Cera, nor is it for the retailer-owned, retailer-managed. For the Company-owned, in bulk of the cases, the real estate is not bought anymore. It is all leased. So, it is just the maintenance costs and, of course, the rental, electricity costs, sales people cost, technicians and the rental. So that is all part of the P&L, there is no real capex involved. It becomes a lot less than INR 1.5 crore, INR 2 crore per store.

Moderator: Our next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: The first question is related to the growth in the sanitary and the faucetware. This quarter we had given a single digit of a growth. So, way forward, also the guidance is of 17% to 19%. So next nine months are you expecting higher than 20% of



growth? And from where actually you are expecting such kind of growth?

Ayush Bagla: So, if you look at the Q1 numbers, the growth percentage looks at 8%, but the absolute number is still INR 50 crore. Last year's Q1 has had a high base effect because it was a 74% increase from FY 22. As far as growing 17% to 19% annually, we said that from INR 1,440 crore we will become INR 2,900 crore by September '25, that goal remains intact, and there might be some seasonality effect in some quarters. That is why we do not give out a Q-on-Q guidance or even annual guidance. But this year's annual guidance, last year we grew at 25%. This year, even if we grow by 20%, it will mean adding INR 360 crore of sales. So, it will all equalize at the end. In any case, you will find that Q3 and Q4 are about 60%, 62% of sales each year.

Praveen Sahay: Okay. And also in the opening remark, you said about the replacement demand were very strong. So how much that contributes to your revenue? And the way forward also, you are expecting a very strong growth. And can you give some numbers to that as well?

Ayush Bagla: Currently, both the project demand and replacement demand are very, very strong and we resist the temptation to take on significant portion of project demand because that results in change in the margin profile. So, I can give you some numbers as well. Project demand was about 35% of sales and replacement demand was about 65% of sales. Now going forward, there is no thinking to really change this ratio because that impacts the margin profile.

Praveen Sahay: Okay. So, this is a historically level, 65% is the replacement for you and you wanted to continue with this, right sir?

Ayush Bagla: Right. But I'll tell you why this is important. In periods where there is a surge of project demand, this ratio can change. But to be able to resist that surge in project demand is very difficult, but we do not fall prey to any of those sudden market trends. We make sure that, hovers around 60% to 65%.

Praveen Sahay: And can you quantify the numbers for advertisement expense for this quarter and last year the same quarter?

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Ayush Bagla: This quarter, FY 23 was INR 11.02 crore. Last year was INR 11.74 crore.

Praveen Sahay: And also, can you give the capex for a brownfield and the greenfield for this year and next year?

Ayush Bagla: So, capex for faucetware, which was earmarked at INR 69 crore is now completed at INR 58 crore, and that started in July '22, it will get completed in August '23. In addition to that, there is a capex in our current facilities and in customer touch points all totalling INR 35 crore for FY 24. The breakup of that is sanitaryware automation - INR 11 crore, faucetware automation - INR 4 crore, customer touch points - INR 8 crore, and land and building in and around the current manufacturing facilities of INR 8 crore, logistics and IT - INR 4 crore. In addition to

o all of these, the

sanitaryware greenfield plant where the land will cost around INR 25 crore, the manufacturing facility, civil work, plant and machinery will cost another INR 105 crore. So, it will be a INR 130 crore project.

Praveen Sahay: And some part of that will come in this financial year?

Ayush Bagla: The land portion.

Moderator: Our next question is from the line of Dheeresh Pathak from WhiteOak Capital.

Dheeresh Pathak: Sir, you were mentioning 780 dealer-owned, dealer-managed and then; sorry retailer-owned, retailer-managed and then 180 dealer-owned, dealer-managed, and then few Company-owned Company-operated. So, all that adds up to roughly 1,000. So, the total retail touch points would be more than this, right or there is 1,000 touchpoints?

Ayush Bagla: No. These are the large format dedicated, where you can see some huge amount of Cera branding, large LED displays, dedicated corners, shop-in-shops, that is the retailer format. In the dealer, it is in most cases exclusive. So a dealer who is making the kind of investment for a 1,000 or 1,500 square feet, in most cases, more than 95% you will find they are exclusive Cera dealers, and this is a huge working capital investment by them as well, because they have to give credits to large and medium-sized customers. They buy from Cera on cash and carry. So, for them the financial commitment, the opex is very, very high.

A normal dealer who has a 1,500 or 1,000 square feet display area, would be servicing anything between 30 to 60 retailers, which we are not even counting, because these would be hardware stores and many other types of stores that, I mean there is no way for us to keep a track, other than through this retailer loyalty

program. Our financial transaction ends with the invoicing on the dealer and getting paid, which is why this whole retailer loyalty program was launched to begin with. We want to understand the pricing relationship between the retailer and the dealer, the kind of SKUs that are moving, velocity of sales, all of that. And in our model, we want to have the dealer with as close to zero inventory as possible, which

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is why we had these 19 distributed warehouses across the country with a large number of SKUs.

Dheeresh Pathak: Okay. So, these 184 dealer-owned, dealer-managed, so they have these showrooms, as well as they manage the retailer relationship also, like you said, each dealer will have 30 to 60 retail touchpoints. So, they do duals, right?

Ayush Bagla: That's right. And in fact, these dealers have a very large infrastructure of 3-wheelers, 4-wheelers, own warehouses, sales people, bank lines and dedicated customers. They also have the ability to bundle sanitaryware and faucetware with many other things, maybe construction, chemicals, plywood, sometimes even cement.

Dheeresh Pathak: You gave a spend on ad spends. What was spend on loyalty programs last year?

Ayush Bagla: So, the loyalty program will be, the annual cost will be below INR 18 crore. That was the retailer loyalty program. The plumber loyalty program, which has just been launched, that cost I think we'll get to know in six to nine months from now, because there are a lot of tweaks that take place along the way.

Dheeresh Pathak: Okay. Retailer loyalty program has been running for how many years?

Ayush Bagla: One year. It just completed 15 months.

Dheeresh Pathak: One more question. Just to understand, you mentioned a lot of SKUs and products you have in both facet and sanitaryware, but just to understand the skew. The top 10, 20 SKUs in, let's say, faucet as well as sanitaryware, they would contribute what percentage of that category's revenue?

Ayush Bagla: See, that we analyse, but we do not really give out because that would be sharing a lot of data with the peer group. And that list in

any case changes very rapidly with the introduction of new products.

Dheeresh Pathak: Okay. But is it fairly fragmented or is it skewed in ...

Ayush Bagla: Very fragmented. In fact, consumer demand is such, for similar looking SKUs, higher priced SKUs are moving faster.

Moderator: Our next question is from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: Sir, firstly, could you give a split of what is our outsourced and in-house manufacturing for this quarter, for both sanitary and faucet?

Ayush Bagla: For sanitaryware, for this quarter, outsourcing constituted 59% of sales.

Manufacturing at our own plant was 41% of sales. For faucetware it was 50 and 50, 50% - outsourcing and 50% own manufacturing. If you want to compare that to the whole year last year FY 23, in sanitaryware outsourcing was also 59% of sales and

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own manufacturing, 41%. In faucetware, outsourcing was 52% of sales, own manufacturing 48%.

Udit Gajiwala: And sir secondly, when we look at the new sanitaryware plant, if we are able to complete the land acquisition in this fiscal. By when can we expect the plant to start commercial and what is the capacity size that you all have in mind for as of now?

Ayush Bagla: See, the expectation is the land formalities could be completed sometime in Q2 or Q3. And then that will set the zero date, and initial production will be 18 months from zero date. The full production will be 24 months from zero date. There is no point discussing a rated capacity of, even if I say it's a rated capacity of 12 lakh units per year, it does not mean anything because that number will change dramatically depending on the kind of SKU (inaudible).

Udit Gajiwala: Okay. But do we expect a similar 3.5 to 4 times asset turn for the said capacity?

Ayush Bagla: I'll just give you the exact number. Based on the current estimates, the new sanitaryware plant at a cost of, let's say, INR 130 crore will have asset turns of close to 2.5 times. And the faucetware plant at a cost of, at INR 69 crore the asset turns were 3.5 times. Now that we've completed at INR 58 crore, the asset times will increase further.

Udit Gajiwala: Okay. So, sir, just lastly this new sanitaryware plant, though it is in proximity to our current land, but there we will not get the gas advantage that we are getting from GAIL right?

Ayush Bagla: But there are many other options that are being looked at besides the typical natural gas. And gas, in any case, is now a very small portion of manufacturing costs. As we are upsizing our SKUs and going higher in the value chain, these individual RM costs are declining in percentage.

Moderator: Our next question is from the line of Omkar Ghugardare from Shree Investments.

Omkar Ghugardare: Yes. In the commentary you mentioned that the premium category constitutes around 45%, right?

Ayush Bagla: That's right. So, I'll give you the exact number and I'll split it up for sanitaryware and faucetware. For the Company as a whole, the premium category is 45%, mid category is 31% and entry 24%. When you split that up in sanitaryware, the number is premium 59% mid 18% and entry 23%. And faucetware is premium 25%, mid 49% and entry 26%.

Moderator: Our next question is from the line of Aasim from DAM Capital Advisors.

Aasim Bharde: Just one question on future growth. Of the 17% to 19% expectation in the near term, rather the next 2 years, fair to say that faucetware should be the key driver for growth since sanitaryware is running at full utilization and you have been

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moving up the value chain in-house for a while. So sanitaryware growth would be flat line or be sub -10% in the near term?

Ayush Bagla: See, manufacturing capacity is not the best determinant of top line growth

, simply

because the products that are made in-house, that list changes dynamically, and products that are given to outsourced partners also change dynamically. So, availability of capacity from outsourced partners is always there for low-end products. And we provide a lot of training and QC to our outsourced partners. Depending on that, that list can be modified. So, whether the plant at one point, you know last quarter and the quarter before that was running at 115% as well. Currently, it's running at 100%, but there is enough flexibility to change the product mix within the plant. So manufacturing is not a constraint, which is why we've been sharing with each other that the optimum inventory level has to be maintained in a distributed manner. So, we have distributed our availability of products across the country, which is why that 70-plus days of inventory is the correct number. So, this is the ninth straight quarter with zero loss of sales of any SKU with full availability. So, I take your point, faucetware will grow much faster because the faucetware industry is double the size of the sanitaryware industry. And the theme of unorganized to organized has not fully played out in the faucetware business. Only half the INR 11,000 crore or INR 12,000 crore market is currently organized. So that theme is also playing out at a very rapid pace. So, the percentage growth in faucetware will be higher than sanitaryware, but it's still 33% of our business versus 52%, 53% being sanitaryware. So, it has some catching up to do. And sanitaryware will also be growing at the same time.

Aasim Bharde: But any hint of a number for sanitaryware growth, I'm sure everyone appreciates what you've done despite utilization being peak for quite a while in terms of growth. I just want to know how much more can the growth be strong enough before your new capacity actually hits in.

Ayush Bagla: So, adding that 17% to 19% growth when we said that 2 years ago, it seemed like a difficult task to most people who know the Company, but we delivered in the last 2 years. Even this year, it is possible. Adding 17% to 19% will be INR 340 crore to INR 350 crore of sales.

Aasim Bharde: Sure. Got it. And just last question, any comments on the tiles business growth, even though it's a smaller business now, how would that grow from here on?

Ayush Bagla: So, tile is now a fully outsourced business with no real assets on our books, other than maybe some receivables. We are operating almost at a zero-inventory model. It is now 10.5% of sales. This quarter the number was INR 44 crore. For FY 23, the entire number was INR 190 crore. So, I mean, it's an independent business and we view it only as a complementary business to sanitaryware and faucetware as a trading business. So, it has its own P&L et cetera and so on, its own sales channels, which are sometimes different from sanitaryware and faucetware. So, there is no

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real emphasis to grow that business given that there is such a significant overhang of overcapacity in that industry and your prices sometimes soften.

But one more thing I just wanted to highlight about tiles. Our soluble salt tiles which

was a fully commoditized business is now only 4% of sales, and GVT, which is the industry standard and also the most profitable portion of the business, has grown by 29% over last year. Then double-charge, full-body, which is also a very profitable tile segment, has grown by 41%. So, the emphasis is to go upsizing again in design, in slabs and in full-body and in GVT, rather than the soluble salt or wall tiles which are more commoditized and more pricing-driven.

Moderator: Our next question is from the line of Akash Shah from UTI Mutual Fund.

Akash Shah: I do not know whether my data is correct, but actually brass prices have corrected by about

5% on a year-on-year basis or let's say, 9% on a Q-o-Q basis. So, any thoughts, are we planning to increase discounts or let's say, how is the competition behaving?

Ayush Bagla: So, I'll just give you some colour on all raw materials. On a Y-o-Y basis, brass has gone down by 7% and Zamak, which is another key raw material ingredient in the handles of single lever faucets, has gone down by 31%, but pricing at the MRP level or at the dealer landing level has not changed. So, you will find in our history that there's never really been an instance where MRPs or dealer landings change. Sometimes when there are slow-moving items, there are combo offers with sanitaryware or with other slow-moving items and fast-moving items to liquidate the stock, that's about it. But at the same time, in sanitaryware, bulk of the raw materials have moved up. So, China clay, which is a key raw material, has moved up 18%, feldspar 3%, colour and glazed 2% and 3%, zinc which is one of the very small constituents of RM, has moved down 35%. So, in the basket of both, you will find sanitaryware and faucetware are sold together most of the time. In the basket of both, there has not been any meaningful or material change.

Akash Shah: Sure. So, we are not sort of increasing discounts? I mean, we are broadly keeping the prices?

Ayush Bagla: See, increasing discount for a brand like Cera is never really an option, because the brand is so strong, and increasing discount is a desperate attempt by newer entrants in the business. Those increased discounts may or may not reach the ultimate consumers. So here, in this Company, we would like to talk to the ultimate consumer, which is why you're also seeing many companies which operated behind the wall in the pipes or PVC pipes business, have not really been successful in sanitaryware and faucetware, because they're talking to civil contractors, civil engineers and plumbers, whereas Cera would speak to the consumers directly. It's a completely different business model.

Akash Shah: Right. And my second question is, so in faucet, now that we have commenced the brownfield capacity, I mean, do you think that we will see a significant decline in

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outsourcing and there will be significant increase in own manufacturing in faucetware business?

Ayush Bagla: There might be a slight decline in outsourcing, but we expect sales to pick-up in a manner that the ratio may or may not change, and it's not really anything that makes a difference to profitability. We will continue to outsource lower-end products. So, 1.25 lakh pieces of lower-end products, which were outsourced, we do not expect to make those in-house because they really do not complement our skill set and technologies.

Akash Shah: So, do you foresee enough demand that we will be able to ramp-up capacity very soon or do you see that the ramp-up of the capacity will take some time?

Ayush Bagla: To give you an example, we were producing 1.5 lakh units faucetware in our facility till September '21. Now we are at 3 lakhs. That 3 lakhs is now fully absorbed. Similarly, 3 lakhs is going to 4 lakhs. That 4 lakhs will get absorbed with no changes to that 1.25 lakh outsourcing number. And these are all that pink, gold, then black matte, which is all sought-after by the new consumer. So, these PVD SKUs, yellow gold, pink gold. The pricing is much higher than the typical chrome products, but their demand is also much higher. So, we are addressing a completely different market now.

Moderator: Our next question is from the line of Omkar Ghugardare from Shree Investments.

Omkar Ghugardare: My question was regarding the 45% premium category which you mentioned in the commentary, I just wanted to know how has been the trend for this in the last three, four years? From what percentage it has moved to 45%

and what will be the trend you assume for that?

Ayush Bagla: We can of course, make a trend chart and share it with all shareholders and investors and analysts. But this number has been increasing for 2, 3 reasons. First of all, bulk of the new product introductions have been at the mid and premium end of the business, at higher price points, and with higher degree of design difficulty. Now that is one of the barriers to entry. So, for a brand like Cera, higher design, aesthetics and design difficulty provides higher realization. So that's something that is exclusive to us. If you look at our catalogue, it's on the website. You will find a lot of new designs in faucetware, sanitaryware. In sanitaryware, you'll find a lot of non-cavity-based straight-line products, whether it's floor-standing WCs or wall-hung WCs or thin-rim sinks. These are the products that are selling well at dramatically higher price points. So right from engineering, R&D and manufacturing, then educating the sales force, dealers, how to push, how to explain the benefits to the consumer is a whole new process which is why you're seeing the increase in share of premium products.

Omkar Ghugardare : Okay. Can you just quantify in terms of number for this, just a ballpark number, not exactly ...

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Ayush Bagla: That I'll have to make for the last few years, and then I'll have to share it with everybody, so that everyone has access to the same information.

Omkar Ghugardare : Okay. But the trend has been rising and you would see that continuing, right?

Ayush Bagla: That's right.

Omkar Ghugardare : Okay. The second question is on the pricing front. As you mentioned there was no price hike, but the competition increased the price. So, this is because you earlier had a price hike, at that time they did not hike the price or what was it like?

Ayush Bagla: I'll give you some background on our price mix. Our last price hike was in May 2022 of 3% in sanitaryware and 5% in faucetware. Before that was November '21, also a gap of about eight months, 10% in sanitaryware, 5.5% in faucetware. So, you are seeing that our price hikes are lower than inflation. At the same time, the margins are moving up, top line is moving up, because our plant efficiency is making up for any increase in inflation which includes RM inflation, wage inflation, electricity or gas costs. So, I cannot comment about other competitors and their manufacturing efficiency, but like I've been saying number of times, the fulcrum of this business is manufacturing efficiency.

Moderator: Our next question is from the line of Mohit Agrawal from IIFL Securities.

Mohit Agrawal: So, Ayush, I had two questions. So, one is on the 17% to 19% revenue growth guidance. Now what is the price growth assumption that you are taking or is it entirely due to value mix and volume growth?

Ayush Bagla: Last year it was entirely mix change, because the last price hike was negligible of 3% in sanitaryware in May 2022. This year, we have gone through almost 15 months with no change in price. So, I mean, I would not like to speculate about the future and the pricing decisions that are taken by the sales and marketing team going forward, but it's best to assume that this 17% to 19% will be half mix and volume and half inflation led.

Mohit Agrawal: And you mentioned in one of the previous questions, answer to a previous question that the new entrants have not been so successful because of their focus on B2B. So, is it fair to conclude that the competitive intensity has not at all changed on ground, especially considering that you have 35% demand coming from project business also or is it limited to some specific segments or SKUs? So, could you give some colour on that?

Ayush Bagla: See, the competitive intensity between the 4, 5 large players has been very high

across the last, let's say, 15, 20 years, that has not changed. But newer entrants who may have been successful in other businesses, they have found this industry very difficult, because the consumer who is installing a product worth 10,000 or 15,000 and the consumer is going to use it for the next 10 years, does not want to experiment with brands. That is why there is a huge element of repeat businesses

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in sanitaryware and faucetware. And at the same time, if any Company comes from a B2B orientation, they cannot succeed in this business. So, in that respect, it is not really a buildings material business, more a FMCG business where you're speaking directly to the consumer and explaining the design and other differentiation of your product. That is the only thing that will sell.

Second thing is warranties. You see, in faucetware why did Cera suddenly become in less than 10 years, the second -largest p layer . Because we started offering a 15 - year warranty. No one else was able to pierce a 10 -year warranty for a faucet. This is a 15 -year full replacement warranty for the main forged brass piece in the faucet. And finally, newer companies that come in, they outsource their after -sales serv ice to third -party contractors.

Cera has more than 400 technicians on its own rolls, which visit customers in any part of the country within 24 to 48 hours of receiving a call. That is again a huge differentiator, b ecause our technicians are , their KRAs are totally linked to customer satisfaction, whereas a third -party contractor is more inclined to try and sell some spares or charge for the visit, thereby leaving behind a more disgruntled customer.

Moderator: Our next question is from the line of Anil from SMIFS Ltd.

Anil Chaurasia : I have just one question. In FY 23 annual report, I saw a bad debt of INR 5.5 crore . Can you please tell us, I mean, what was it on account of?

Ayush Bagla: This is in the normal course of business; we just take a hit of any kind of receivables beyond a certain date. So, any receivables where the dealer has not been cooperating or the field staff gives us feedback that there's not going to be repeat business and whatever outstanding that remains should be written -off, we take a write -off. And even our auditors have define d certain parameters. So based on that, and you saw the numbers last year, on INR 1,800 crore , a INR 5 crore write -off on receivables happening is very negligible number, first. Second, we have the lowest receivable days in the industry and the highest percentage of cash and carry sales.

Anil Chaurasia : It was not there year before. That's why I was wondering. So, this must be something to do with project business, right, because the retail anyway will be cash and carry, right?

Ayush Bagla: The retail delinquencies are on the dealers; they are not really related to the Company . Only dealer delinquencies are on the Company . And for the portion that is not cash and carry. But individual accounts would be INR 1 lakh, INR 2 lakh, INR 3 lakh. So, within the INR 5 crore if you see the composition, no single number would be more than a couple of lakhs.

Anil Chaurasia : And secondly, you retain your target, right, INR 2,900 crore by September '25?

Ayush Bagla: That's right.

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Moderator: Our next question is from the line of Lalit Kumar from LKR Advisors.

Lalit Kumar: Ayush, what is the faucetware market share which we have currently?

Ayush Bagla: Again, giving a number is very speculative because there is no third -party authenticated report, but we are the second largest player after the market leader, and our market share is in double digits and o ur share of incremental market share is 1.5 times our current market share, because we are captur

ing a significant portion

of the growth of the faucet market. So just for illustration purposes, if our market share is 10%, 11%, our incremental market share would be 16%, 17%.

Lalit Kumar: Got it. And what's the cash balance and inventory days you had mentioned, currently?

Ayush Bagla: Your voice was a little muffled.

Lalit Kumar: What's the cash balance and inventory days you had mentioned?

Ayush Bagla: Right , I'll give you that numbers. Inventory days are 74 days, and the cash balance increased from INR 566 crore to INR 755 crore .

Lalit Kumar: Okay. So, what is the plan. Do we have a much better utilization plan for reduction of our working capital days from 72 to 60, given that you are at 100% capacity both in sanitaryware and faucet?

Ayush Bagla: The 12 -day increase that you're seeing in working capita l days is primarily because of the 9 -day decrease in payable days. So payable days, many companies have 70 days and 75 days as payable days. Cera has traditionally have a very low payable days because we keep it aligned to our receivable days, which is now between 26 and 27.

Lalit Kumar: Got it. And on the capex , how much is the internal accruals and how much is going to be the debt?

Ayush Bagla: There will be zero debt taken, and, in fact, even this cash balance, all best attempts will be not to touch the cash balance, but to finance all capex from that quarter operating cash flow. So, this quarter we had INR 58 crore of operating cash flow. I mean this year we'll definitely have close to INR 250 crore of operating cash flow, which is much more than the capex on any financial year.

Lalit Kumar: And the last question, you had mentioned for this capex the asset turn has been 2.5 times. So, I think you're giving a conservative project number, given that we are already on a blended asset turn of 3.4, 3.5 times?

Ayush Bagla: No. I will give you the exact number. For financial year '22 -'23, asset turns were 6 times.

Lalit Kumar: No, for the capex .

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Ayush Bagla: Yes. For capex for the faucetware project, at INR 69 crore , the asset turns were 3.5. So, at INR 58 crore , that number will be 4 or higher than that. So sanitaryware, we are only estimating that based on INR 128 crore asset turns are 2.34 times, but that number will dramatically change once we get the final product mix and selling price, which is , no point to finalizing a product mix for a plant that is more than 18 months away.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question of our question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Ayush Bagla: Thank you very much. I would like to thank everyone for attending this call and for showing interest in Cera Sanitaryware Limited. Cera remains positive that it's strong positioning in the industry, improving macros will help it deliver steady and consistent growth going forward. Should you feel any further clarification or would like to know more about the Company , please feel free to reach out to me or CDR India. Thank you once again for taking time to join the call and see you all next quarter. Thank you very much.

Moderator: Thank you. On behalf of Cera Sanitaryware Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

## Call: Nov 2023

CSL/2023 -24/299  
8th November 2023

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 2nd November, 2023  
Ref: Regulation 30 of the SERI (L ODR) Regulations, 2015

With reference to our letter CSL/2023 -24/264 dated 23rd October 2023, intimating you about the Q 2 FY2024 Earnings Conference Call held on 2nd November, 2023, please find attached the transcript of the aforesaid conference call.  
The same is available on the website of the company i.e. [www.cera-india.com](http://www.cera-india.com)  
We hope you will take the same on your records.

Thanking you,  
For Cera Sanitaryware Limited,

Hemal Sadiwala  
Company Secretary  
Encl: As Above

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Cera Sanitaryware Limited  
Q2 FY24 Earnings Conference Call Transcript  
November 02, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY24 earnings conference call of CERA Sanitaryware Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mayank Vaswani of CDR India. Thank you, and over to you, Mr. Vaswani.

Mayank Vaswani: Thank you, Sagar. Good morning everyone and thank you for joining us on the earnings call of CERA Sanitaryware Limited for the Q2 FY24 earnings, which were announced yesterday. We have with us today the management team comprising Mr. Ayush Bagla, Executive Director; and Mr. Vikas Kothari, CFO of CERA Sanitaryware. We will start with brief opening remarks from the management, following which we shall open the call for Q&A. A quick disclaimer before we begin. Some of the statements made in today's call may be forward-looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier. I will now turn the call over to Mr. Ayush Bagla for his opening remarks.

Ayush Bagla: Good morning, everyone. The earnings for the quarter ended September 30, 2023 were adopted by the Board of Directors yesterday, 1st November, 2023. The earnings documents have been released to the stock exchanges.



Some of the objectives the Company has made significant progress in for this financial year are - Number 1, enabling CERA to be further entrenched across consumer demand trends with varied product offerings. Number 2, gaining market share and making deeper inroads into the B2C consumer consciousness. Number 3, capitalizing on manufacturing efficiencies to realize product differentiation while delivering value to consumers. And number 4, upgrade and refresh consumer perception of the brand.

I am pleased to share that we continue to make substantial progress on these objectives. During the quarter, we witnessed steady demand for our products as the overall replacement and project demand remained positive. CERA's product and design emphasis allows it to focus on the B2C segment where it can truly monetize its brand promise.

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Over the last few years, all efforts have gone through to decouple CERA's revenue growth from fluctuations in interest rates and housing demand, thereby insulating it from real estate demand cyclicality. Despite the challenging backdrop characterized by persistent in

flation and inclement climatic conditions across the country, as well as the high base of revenues and other financial parameters from last year, we reported double-digit growth in revenues. Q2 FY24 revenues were higher by 11.43% on a year-on-year basis. In view of our strategic objectives to gain market share, deepen the B2C presence and deliver value to consumers, no price hikes have been undertaken since May 2022, a period of nearly 17 months, the leader guards the price. In view of adequate inventory levels in Sanitaryware, where we slightly reduced the pace of manufacturing this quarter. During the quarter, the Sanitaryware plant capacity utilization was at 91%. The Faucetware facility expansion program could take capacity from 3 lakh pieces to 4 lakh pieces per month was commissioned on 25th September 2023. In Faucetware, the capacity utilization was at 122% during Q2 FY24 after considering added capacity of the brownfield expansion. With this expansion, which was completed within time and below cost, the Faucetware needs of the Company are secured for the next few years. The product mix plan is coloured SKUs, quarter-turn SKUs, PVD SKUs and a few more SKUs that can be taken in from outsourced partners. This will enrich our product mix further. The gross margin decreased from 55.78% in Q2 FY23 to 52.72% in Q2 FY24. Historically, the gross margin has been between 48% and 52%, and the 55% last year was an outlier. EBITDA was higher by 13%, as it increased from INR 77 crore to INR 87 crore. EBITDA margins increased from 18.11% in Q2 FY23 to 18.39% in Q2 FY24.

Our stated objective was to increase annual EBITDA margins by 50 to 75 basis points each year. We have surpassed our stated objective as the increase in EBITDA margin in FY23 has been more than 100 basis points despite advertising spend in the year increasing from INR 32 crore in FY22 to INR 57 crore in FY23.

In Q2 FY23, China imports were INR 18 crore or 4.3% of sales. In Q2 FY24, China imports were INR 11 crore or 2.4% of sales. CERA was already one of the lowest users of products made in China and with availability of manufacturing infrastructure in-house, the percentage of Chinese imports to sales has been continuously declining.

In a business which is brand driven, the fulcrum of success is manufacturing quality and plant efficiency and new product-led growth. With regard to capacity expansion from manufacturing Sanitaryware, a fully aggregated land parcel in Gujarat, which has been historically owned by a single owner, has been in due diligence. We expect title documents for a substantial part of the land parcel to be executed over the next one to two months.

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During Q2 FY24, no price hikes were undertaken. During 2021 and 2022, three rounds of price hikes were undertaken by CERA, which were all a demonstration of pricing power. As a strategy, the Company focuses on multiple levers to drive profitability and does not rely solely on price hikes. At the same time, future price hike is a continuous evaluation.

In Sanitaryware, raw materials like China clay went up by 18% and feldspar by 4%, while plaster of paris and glaze went up by 1% and 3% in Q2 FY24 as compared to

Q2 FY23.

Operating efficiency at the manufacturing level has gone up, as have the overall yields, which have negated a substantial portion of input cost increases. Zinc went down by 28%. In Faucetware, brass prices went up by 2% and Zamak prices went down by 24% as compared to Q2 FY24. Due to the availability of gas from isolated well near our plant, the price of gas from GAIL continues to remain below market and will remain so in the future. Average gas prices have gone up to INR 29 per cubic meter versus INR 26 per cubic meter in Q2 FY23. Normally, GAIL supplies 50% of CERA gas needs. However, in Q2 FY24, GAIL provided 70%

of the gas

requirements of the Sanitaryware business, Sabarmati gas. So, pricing went down from INR 75 per cubic meter in Q2 FY23 to INR 45 per cubic meter in Q2 FY24, supplying 30% of the gas needs of the plant for Q2. The Q2 FY24 weighted average cost of gas was INR 33, much lower than industry. Gas costs constitute 1.51% of CERA's topline.

Our focus on ESG began in 1995 with the installation of a wind energy facility. Capacity was gradually added and a solar plant was also installed in 2014. During Q2 FY24, 94% of the energy needs of the two manufacturing facilities were met through in-house renewable energy sources.

The retailer loyalty program that was launched by CERA in Q2 FY23, which has now completed 15 months, more than 16,500 retailers have uploaded to 2.22 lakhs invoices on the retailer loyalty app. The feedback received from retailers has helped us in understanding the consumers' changing demand geographical segmentation of SKUs and evolution of the rewards program to retailers. Besides standardizing invoices in Q2 FY24, of the total retail sales of INR 251 crore, more than INR 96 crore of sales were eligible to receive the rewards through this program. These are 38% of retail sales.

After the success of the retailer loyalty program, a similar program was launched for plumbers across India. CERA has been conducting training workshops for many years now imparting installation and product knowledge to plumbers. A new program, where rewards are provided to plumbers who recommend and facilitate the sale of CERA products is now active.

New product introduction is one of the most important growth levers for CERA. During FY22, 72 new products were launched. The average number of products launched historically used to be 100 annually. During FY23, 699 new products were

Transcript of CERA Sanitaryware Ltd. Q2 FY24 Earnings Call Page 4 of 15

launched. With the sharp pickup in new designs and product launches in the last two years, a considerable amount of resources have been deployed at the manufacturing level and at the level of customer experience. During Q2 FY24, substantial efforts have been made to ensure the product launches in the last 24 months penetrate deeper, do the dealer network and in consumer buying decisions. It is very similar to the route adopted by most FMCG companies.

Our highest-ever advertising spend in FY23 of INR 57 crore at 3% of sales. The budgeted publicity spend for FY24 is expected to be at INR 65 crore at similar percentage of sales. Cera's share of voice was lower than its share of market. And now with the increase in advertising expense, the share of voice is getting closer to its share of the market. Publicity spends, which were INR 4 crore in Q2 FY23, were INR 15 crore in Q2 FY24, an increase of 375%.

Population centers of 17 lakhs and above, which are Tier 1 city, constitute 33% of sales. Population centers of 3 lakhs to 17 lakhs Tier 2 cities came up with 22% of sales and centers with population centers below 3 lakhs, which are Tier 3 cities were at 45% of sales.

We can now go over the financials. Revenue from operations in Q2 FY24 were INR 462 crore versus INR 414 crore in Q2 FY23, an increase of 11%. EBITDA excluding other income was INR 74 crore in Q2 FY24, vs. INR 66 crore in Q2 FY23, an increase of 12%. The gross margin came in at 52.72% in Q2 FY24 against 55.78% in Q2 FY23. Profit after tax was INR 57 crore in Q2 FY24 versus INR 51 crore in Q2 FY23, an increase of 12% Y-o-Y. EPS for Q2 FY24 was INR 43.74 versus INR 38.99 in Q1 FY23. For Q2 FY24, 51% of the topline was from Sanitaryware, 36% on Faucetware, and tiles represented 11% and Wellness 2%. On a Y-o-Y basis, Sanitaryware revenues registered an increase of 4%. Faucetware revenues increased by 16%. Tiles increased by 34%, and well increased by 14%. The Sanitaryware and Faucetware verticals remain the bedrock of

the business with contribution of 87% to CERA's overall revenues.

The classification of overall sales in Q2 FY24 was 43% in the premium category, 32% in the mid-category and 25% in the entry category. Inventory days in Q2 FY24 was 72 days compared to 81 days in Q2 FY23. Receivable days in Q2 FY24 were 29 days versus 26 days in Q2 FY23. Payable days in Q2 FY24 was 41 days against 36 days in Q2 FY23. Therefore, net working capital days in Q2 FY24 was 60 days versus 71 days in Q2 FY23.

In this quarter, the availability of product ensured there was no element of lost sales. This is the tenth straight quarter with no element of lost sales. In the current year, the capex budget, other than the brownfield faucetware expansion and the proposed greenfield Sanitaryware capacity expansion program is at INR 35 crore, of which INR 7 crore was spent in Q2 FY24.

As on September 30, 2023, our cash and cash equivalents stood at INR 751 crore against INR 573 crore as on September 30, 2022, an increase of INR 179 crore or a

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33% increase. Positive cash flow for Q2 FY24 has been INR 57 crore, as compared to Q2 FY23, which was INR 50 crore.

In conclusion, I would like to say that due to the combination of internal factors such as production, throughput maximization, brand salience and design differentiation, as well as the sustained macro of home improvement, CERA will be able to monetize all the growth drivers that present themselves.

I would now request the moderator to open up the line for Q&A. Thank you very much.

Moderator: Thank you so much. The first question is from the line of Sangameswar Iyer from Consilium Investments. Please go ahead.

Sangameswar Iyer: So what I was trying to understand is the demand scenario currently for both for Faucetware and Sanitaryware. Given the macroeconomic situation where inflation has gone up, your discretionary spend and consumer sentiment has gone down. So can you help us understand, how do you see the demand scenario over the next 12 months?

Ayush Bagla: So thank you for the question, and it's a very important point that you have raised.

Most important, the Company and the sector has gotten used to the tailwinds of the last 24 months. And at CERA, we knew that the tailwinds and market being so buoyant are not a constant feature. So, from our end, there were certain building blocks that were put into place. First of all, we make sure that we remain the B2C focused Company. So, demand does not fluctuate so much in the B2C end and at the same time, pricing power can truly be exhibited at the B2C end. So, the focus was not project orders, which were generally all available, continue to be very, very strong. We limit that to about 1/3 of our P&L annually. That's the first thing. Second, new product introductions and new designs. So new product introductions on features, functionality and aesthetics. Those were the things that dealers were given a lot of training on, which they could explain to retailers and retailers to the end consumer. So, the discussion was not only pricing, pricing, pricing. As far as demand is concerned, we don't see any headwinds. We see consumers who have been hit by inflation, maybe postponing their decision. But again, the markets have come back again in October. The trends of October are very encouraging. There's been a dramatic increase in topline again in October. So, I think, this is just a question of seasonality. And though we have exhibited an 11%, 12% increase in topline, it's from a very high base. So, this year's Q2 has been the best Q2 ever. Last year's Q2 was also the best Q2 up till that point in time. So, we are dealing with a very high base there. But the numbers on an absolute basis of INR 474 crore are an excellent number to have with every engine of the Company firing -

manufacturing,

Sanitaryware, Faucetware. And then tiles, you know there's been a dramatic shift in the tiles. Though the tiles industry has reduced some pricing power due to over capacity, CERA's tiles have exhibited the reverse trend, and I'll give you some more data to give you know add more color to that. 41% of our tiles sales are on

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GVT. GVT is the highest end of tiles. Only 3% of CERA's sales are soluble salt, which is the commoditized tiles. Then double charge tiles, which are the most expensive, long slabs with the full body, sometimes half body, again, expensive tiles are 15% of sales and wall tiles are 25% of sales. So, the more expensive tile categories for

CERA are increasing. But at the same time, we want to limit that business to 10%, 12% of our topline. Otherwise, the easiest way to buy growth were three engines to buy growth - increased project exposure, increased tiles sales, which is easy for us to do because we don't have manufacturing capacity. We are a buyer and seller of tiles. It's very easy for us to do that. And three, increase credit to consumers. So, we have not been tempted by any of the three engines for growth.

Sangameswar Iyer: Right. As a follow-up, given that we have expanded the capacity for Faucetware, can you again and in your commentary, you mentioned that now will be expanding capacity to take care of growth for the next two years, three years. Can you just give a flavour in terms of what kind of growth are you embedding here for the initial take say, for the next two years to three years?

Ayush Bagla: See growth is available when the company was at 1,250 even there, there was a question of growth, and we hit 1,440 then 1,800. So, till we reach 2,900, growth will always be a challenge and it will not be linear. So, markets are not linear, and companies grow, then topline increases is also not linear. So yes, capacity is now available both on Sanitaryware and Faucetware. In Faucetware, the expansion program is complete, and the plant can be expanded further as and when required at minimal cost. So, I would say, for the next three years to six years, Faucetware capacity is done and dusted. At the same time, for low-end Faucetware, our outsource partners are very active and there is no dearth of Faucetware capacity in the vendor ecosystem.

As far as Sanitaryware is concerned, we were operating at 115% capacity utilization. But once we take certain adequate inventory level, we decided to tone it down to 91% this quarter. So even in Sanitaryware, though the new plant is still in the works, there is adequate capacity available currently. And Sanitaryware, you know the vendor ecosystem is not as well developed as the type of Faucetware vendor ecosystem. At the same time, we are taking in a lot of products in-house. We are moving the consumer to higher aesthetics, higher price points, changing the product mix. That is the aim. So capacity was never a constraint except during the brief period of COVID, let's say, 2020 and some part of 2021. Other than that, this is a 10th straight quarter of no capacity constraint.

Sangameswar Iyer: Got it. And final question before I jump back to the queue. In the 11% revenue growth, given the premiumization has moved up to 41% overall in your revenue, how much has ASP blended in this improvement and how much is your volume growth?

Ayush Bagla: See now volume growth is a secondary objective, distant secondary objective versus product mix improvement. So now you'll ask me the next follow-up question

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on how we were able to do that. We held prices for 17 months. We absorbed all the raw material price increases; the labour cost increases and overall inflation in the Company just by improving the product mix.

So, ASP normally, because it's sensitive data that can impact our competitiveness in the marketplace that is not disclosed to the market. But ASP continues to go up every year. The range of products that will also change and volume is not at all an objective currently.

Sangameswar Iyer: Okay. Thank you. I will come back in the queue.

Moderator: Thank you so much. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: Good morning. My question was regarding just now you mentioned that, till the time you hit INR 2,900 crore, the growth will be not linear. I know at INR 2,900 crore, INR 3,000 crore, you will be hitting a certain size. But apart from that, what would be the change that you are stating that, till that time the growth will be non-linear and after that, it would be linear?

Ayush Bagla: So, the best way to look at it is, when it went up from 1,220 to 1,440, we hit about 19% to 20% growth, which was an outlier that time. Then from 1,440 to 1,780, that was also a 25% growth, which is also an outlier. And this year, on a higher base, if the percentage is, whatever, 16%, 17%, in absolute terms, it will be a great number to have. Because to reach 2,880 by September '25, we have to do something around 2,500 by March '25, which is easily on track. But that journey will not be linear.

Onkar Ghugardare: Okay. But after hitting a certain size, you will be gaining certain advantages, right? So can you articulate some of them? What can exactly change operating a certain price?

Ayush Bagla: Yes. So first, let me start with Sanitaryware. We are the number one player in Sanitaryware. We have pricing power. All other companies resort to price increases

to up their revenues. We have not done that. We are the only Company which has held our price for 17 months, forcing other companies also to relook at their pricing decision for the last 17 months. So, the market leader can do that, the second largest player cannot do that. And of course, those further down the chain have to increase their discounts, do other things and down-trade sometimes also because their pricing is now out of tune with the market. So that's our way of consolidating and staying ahead is Sanitaryware.

In Faucetware, we are the second largest player. But our incremental capacity is 1.5x our current capacity. So, we are capturing a larger share of the growth in the market. And Faucetware is, where the opportunity lies simply because the unorganized market is equal to the size of the organized market. And the overall Faucetware market industry size is double the Sanitaryware market. So those are the two things in place. Again, if you look at our catalogue, which is there on the website, and physical catalogues are available with the Company, you

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will see Black Matt, PVD, the kind of product introductions that have taken place, the quality parameters, you can compare them with any of the Western European or American brands, even in their geographies, and we are selling at a fraction of their price.

So, the headroom to take price up and for the brand to grow, keep changing its perception and move upwards in the consumer psyche is tremendous. You will see our latest advertising reach. The positioning of the brand is completely different from what it was earlier. It is an aspirational aesthetic brand appealing to a younger audience. So those are the building blocks that we have put in place.

Onkar Ghugardare: Okay. Thank you. On a second question is on the Faucetware sales. You mentioned that around 36%. So that is INR 170 crore approximate sales have come from Faucetware. So, after the capacity expansion, what kind of incremental sales are you looking at from that at 100% capacity?

Ayush Bagla: First of all, unlike a typical fertilizer

or cement business, where capacity expansion is directly linked to topline, there was no capacity constraints in Faucetware or Sanitaryware for the last 10 quarters. So, there was enough outsourcing capacity available. There was flexibility in the in-house infrastructure to keep on changing the mix of SKUs being made at the shop floor. So topline growth will be a large function of new product introductions and retailer, dealer and finally, the consumer accepting these new products, new design at higher price points.

So let me give you some numbers. Last year, Faucetware was INR 611 crore, which grew at 28%. This quarter, Faucetware was INR 164 crore, which grew at 16%. So even if you take 16% or 20% of INR 611 crore, it will be closer to INR 750 crore for the year-end.

And the industry is growing at single digit, and we are growing at 20%. So that is exactly the phenomenon that's most important, who is capturing a higher share of the incremental growth in the market? Are we taking from the only player larger than us? Are we taking from those players behind us? That's the most important aspects of this business rather than only capacity because capacity is one of the ways to gain an advantage on cost and design and of course, quality. Then of course, your, the sales and marketing team takes over, the brand perception takes over.

Moderator: Thank you so much. The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Yes. Sir, thanks a lot for the opportunity. So, you mentioned that October has been much better. But at the same time, you keep referring to the high base restraining your growth capability. So, net-net, what are we saying that is it like a 15% to 17% annual basis is your sustainable growth and that is something which will pan out in second half as well?

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Ayush Bagla: I would say that the best way to look at it is a medium-term growth target of between 19% to 21%. Now some year will be an outlier, like last year was 25%. This year might be 18%. So, within that band of 19% to 25% is where we would ideally like to be, and some years will be outlier. But at the same time, the driver of that growth will be new products and how the consumer accepts new designs. It will not be manufactured in capacity alone. Yet lack of capacity can hurt growth, but having capacity doesn't mean that whatever you produce will be sold.

Sanjaya Satapathy: Understood. And sir, my last question is that we are hearing about many new players coming in, including Astral and others. And you also are trying to get into, let's say, tiles and some of the other things. So net-net, in medium terms, how do you perceive competition and where, what are new categories that you can really get into?

Ayush Bagla: See, normally, on a call like this, we don't talk about other companies. But I mean, you have studied this sector more than me. You will know how the new players, pipes players and other tile companies have been struggling in Sanitaryware and Faucetware. The numbers that they have shared with the markets, they are very disappointing numbers. In fact, if you see our transcript from four quarters, five quarters ago, I said that new players coming into the industry will be good for the industry. But that has not proved so because these new players in the race to bulk up only approach project players and offer huge discounts. So that ruins their brand. In this kind of short-term thinking, the industry has not benefited, the consumer has not benefited and let these companies show their seriousness by putting up a plant first because that is the first question that any consumer asks us, where is your plant?

As far as CERA is concerned, we have no plans to get into any unrelated diversification, even related diversification,

if you want to call 'tiles' that, it is a fully outsourced trading business where we operate on zero inventory days, zero inventory on our books and zero inventory kept in our warehouses. So, our vendors dispatch directly to the market, and the market sells, and we don't conform to the typical credit guidelines of the tiles industry. So, we have tried to keep our receivable days dramatically lower than the norms in the tiles industry. We don't sell soluble salt more than 3% of our overall 'tiles' revenue. Then 'wall tiles', which also is more of a bulk item rather than a very specialty, very profitable item, is limited. Our focus is large slabs, GVT and double charge full bodies. So, we are in a very niche segment in tile. We don't want to be a very large tiles player. We want to be a very profitable tiles player whereby, we limit our topline in tile by remaining in a small part of the tiles industry. Other than that, Sanitaryware and Faucetware are our only businesses.

Sanjaya Satapathy: Understood. Thanks a lot, sir.

Moderator: Thank you so much. The next question is from the line of Mithun Aswath from Kivah Advisors. Please go ahead.

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Mithun Aswath: Yes. My question was you mentioned that your designs and products on the Faucetware are world-class now. I just wanted to understand and you mentioned that you sell it for a fraction of the price. Is there a potential outsourcing opportunity that you see there using the know-how of CERA and exporting this in a large way? Is that an opportunity that you, see?

Ayush Bagla: Yes, there is a huge opportunity, and we do have our export business. We sell to almost 40 countries. But what we have not done is put up retail touch points in those geographies with our own warehouse on our own books and kept inventory in those markets, nor have we promoted the CERA brand in those markets. The way we have currently been selling is, we have appointed agents and dealers in those markets who open letters of credits on CERA. Once we get fully paid, only then we export. So that's a very conservative way of exporting. But that's how we have started the business. As it bulks up, yes, there will be a need to keep inventory in those markets, keep our own sales staff and then, of course, promote the brand aggressively in those markets. Yes, so the opportunity is very huge. There is a significant cost advantage that we will continue to have in those markets. Now the aim is to see how the brand does over time. But as far as outsourcing is concerned on a white label basis, we have tried it a few times for one very, very high-end niche brand in North America. But that is not really our business. So that is, from an R&D experiment, it proved to be very interesting because we learned that we could make SKUs which sell for a few thousand dollars. But at the same time, it didn't, it wasn't our business to manufacture for someone else.

Mithun Aswath: Right. I'm just trying to understand, obviously, you mentioned the unorganized market for faucets is large, you know headroom for growth in India itself is very big. But do you have some aspiration to go beyond India as well once you cross that INR 3,000 crore revenue size and beyond? Is there some sort of target of a percentage of revenues coming from exports?

Ayush Bagla: See, currently, that number is between 1% and 2% of sales, and this will continue

to increase even before we hit INR 3,000 crore in revenues. So yes, there is a plan. There is an opportunity waiting both in Faucetware and in Sanitaryware. So, it is now up to us how we take that forward. I'm sure, over the next two years, you will hear a lot of new announcements of new geographies being entered and this 1% to 2% number also going up. But we are not waiting for any milestone of INR 3,000 crore to happen before

we take up this opportunity.

Mithun Aswath: And the last question, your Sanitaryware plant, when it will be operational?

Ayush Bagla: See, the plant, the land acquisition will happen sometime in November and then the approval. So, I would say that ground-breaking can happen any time after March '24. So post ground-breaking about 18 months. But I mean, though we can talk about it, and I'm happy to answer any question about the Sanitaryware plant, that is not moving the needle. So, as you heard, we reduced our capacity utilization

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from 115% to 91%. So, there is adequate capacity available even in the current plant. So, capacity constraint is not there in the foreseeable future.

Mithun Aswath: Understood. But what is the reason then that you are looking for setting up this plant? This is going to be, to take you to much higher levels in terms of revenue?

Ayush Bagla: See, this plant is looking at the next five years, 10 years, 15 years. It's a matter of time where the industry size in Sanitaryware changes dramatically. So, the industry size currently is too small. It will change dramatically as the consumers start adopting a shorter life span for their products.

Mithun Aswath: Thank you and all the best, sir.

Ayush Bagla: Thank you.

Moderator: Thank you. The next question is from the line of Akash Shah from UTI Mutual Funds. Please go ahead.

Akash Shah: Yes. Hi, Ayush, sir. Thank you for the opportunity. I just wanted to ask, what is the sustainable growth rate that the Company can deliver in Sanitaryware segment?

The reason behind asking you this question is actually, we have seen about 6% growth in Sanitaryware segment, and it contributes to around 52% of the topline.

So, what is the growth rate that we can deliver in Sanitaryware segment?

Ayush Bagla: So, Akash, you know this Company better than anyone else and you also know this industry better than anyone else. The Sanitaryware industry historically has been growing at 6% to 9%. And CERA has been growing at 2x, 2.5x that number. You'll have to look at the Company over a period of time over a number of quarters. And in isolation, one quarter growth number won't give you the correct picture or the complete picture. So Sanitaryware will continue to grow for us anything between 12% to 17%. And this quarter, it grew by 4.5%. Last year, it grew by 27%. So, if you equate this growth over any kind of period of 18 months, 24 months, that will give you a more informed picture. But yes, 12% to 15%, 17% is definitely possible. And we've achieved more than that over the last 36 months consistently, and we'll achieve it in the balance two quarters of this year. October numbers are very, very promising. And Q3, Q4 is historically the best two quarters for us every year. So, you will see us achieve the same numbers on a 12-month basis.

Akash Shah: Sure, sir. Just two follow-ups. Sir, if you can share, what is the growth rate in October month versus last year October month? And second is, you said 27% growth in Sanitaryware segment. I could not pick that. What was it that you were referring to?

Ayush Bagla: Last year's growth numbers. So, FY23 over FY22 was a growth of 27%.

Akash Shah: In Sanitaryware segment?

Ayush Bagla: That's right.

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Akash Shah: Okay. Understood. Sir, but that also included some element of price hikes primarily because...

Ayush Bagla: Yes. Which is a normal phenomenon every year for the last 40 years. How else will you look at revenues?

Akash Shah: Right. Okay. Sure. Understood. And sorry if you can share October month's growth rate?

Ayush Bagla: See, that is not possible. Akash, you know better than me, that is not possible.

Akash Shah: Sure. No problem, sir. Thank you so much, sir.

Ayush Bagla: Thank you.

Moderator: Thank you. The next question is from the line of Hrishikesh Bhagat from Kotak Mutual Funds. Please go ahead.

Hrishikesh Bhagat: Hi, good morning. Thank you for the opportunity. My first question is in the starting comments, you did spoke about the gross margin band. If you can repeat that, that will be helpful?

Ayush Bagla: See, I'll give you the gross margin numbers for the last many years.

Hrishikesh Bhagat: You spoke about the band, it will about 48% to 52% or 48% to 55%, and I wanted that.

Ayush Bagla: I have the gross margin numbers for every quarter from 2020 to now. In 2020, the gross margin was between 42% to 49%. So, FY21, between the four quarters, the variation was from 42% to 49%. FY22, it was between 51% and 56%. FY23, it was between 53% and 56%. And FY24, the lowest is 53%, the highest is 55%.

Hrishikesh Bhagat: So is this also a function of how your Sanitaryware and Faucetware mix change or incremental sales basis, I'm asking. Just wanted colour on that?

Ayush Bagla: And with no price increases, so this is a unique year of Q1 in Q2 of this year is a unique year. Normally, every March and every October, there is a compulsory price increase. So, this is a unique year, where we've said that we will not increase prices. We'll gain market share. We'll establish our dominance in Sanitaryware. We got a lot of extra room in Faucetware. And at the same time, just by operational efficiencies in shop floor yield increases, we will try and keep our gross margin as close to the previous year as possible.

Hrishikesh Bhagat: Ayush, the other question is fairly on the shorter time frame now. I do understand to the initial participant, you spoke about the medium-term guidance of moving between and growing, aspiring to grow between 18% to 25% or 19% to 25%. Now also in the start comments, you did mention that first half had the impact of high base, which I do appreciate that. But effectively, when I look at the second half of

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this fiscal, rather second half of FY23, we are looking at fairly much higher base effectively from the growth perspective. Then effectively, do you feel that the growth should moderate at least for FY24 and before we start kicking in the aspired growth from FY25 onwards?

Ayush Bagla: No. In fact, the growth is accelerating. So, because of the high base effect, the percentage might be decreasing.

Hrishikesh Bhagat: I am talking about percentage only. Okay, absolute, yes.

Ayush Bagla: On an absolute number basis, the growth is very healthy.

Hrishikesh Bhagat: Yes. I meant up on percentage, what I meant to discuss...

Ayush Bagla: Percentage again, our requirement is a linear growth of 19% to get to our stated objective. Last year, we got 27%. This year, even if we get close to 17%, we are fine.

Moderator: Thank you so much. The next question is from the line of Namita Dige, who's an individual investor. Please go ahead.

Namita Dige: I wanted to understand in the value chain, what is the kind of margins that dealers and retailers make from CERA products? And the second question is that there is a Perito, which is that Top 500 dealers contribute to 80% of the revenue. So, when you look at this statement, how do you think about it? Is there any plan to make the sales more granular in terms of larger base of dealers accounting for growth in revenue? Thanks.

Ayush Bagla: So Top 100 dealers are 42% of sales.

Namita Dige: Right. And 500?

Rahul Agarwal: 77% of sales.

Namita Dige: Right. 500-plus dealers.

Ayush Bagla: So that is very, these are the dealers who have made maximum investments in the brand. They have spent crores in working capital. They have spent crores in receivable financing. They spent crores in putting up a very large infrastructure, of showrooms, three-wheelers,

four-wheelers, salespeople, developing clients. So, they read the benefits accordingly.

Namita Dige: Okay. I mean so then, I mean then as a Company, I wouldn't invest in being more dealers, right? I would just like to make the 500 bigger and stronger to increase my growth?

Ayush Bagla: That's right. But with one addition. Suppose a large cement dealer approaches us or a large plywood dealer approaches us, that I have this ready infrastructure of 30 salesmen, 10 three-wheelers, 5 four-wheelers and 11 showrooms, what I can do



with you ? Then we will present to them a fantastic opportunity of leveraging all that infrastructure into a new business of Sanitaryware and Faucetware. Because he doesn't have to be taught that business. He knows exactly what it takes. So , the new dealer acquisition of substantial size will be from adjacencies, and adjacencies could be as far away as cement and plywood.

Namita Dige: Just my first question is not answered, which is margin for retailer and dealer ?

Ayush Bagla: I'll give you that. So typically, the MRP is, let's say, INR 100, and the Company transacts with a dealer above INR 70. And the dealer, in most cases, transacts with the retailer above INR 77, INR 78. Then the retailer keeps some margins for himself and shares some margin with the consumer.

Namita Dige: Okay. Okay. So 70, 77 and then MRP is INR 100. Okay, got it. Thank you.

Ayush Bagla: Yes.

Moderator: Thank you so much. The next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru: Sir, just one question on , we have been able to contain our fixed expenses, like the operating expenses and the employee costs. So just wanted to understand what goes into (inaudible 0:52:37 ) 5%-odd. So many operating cycle or number of employees have changed? Or how does it work? How have we been able to manage this?

Ayush Bagla: So Lokesh, some of the voice was muffled. But what I understood was you're asking about R&D expense and how it gives us an edge in the marketplace. So, I'll give you some color on that. R&D expense, we have R&D department with senior personnel. It is recognized by the Government of India as a center of excellence. Now we have more than 20 people, and this R&D center is fully funded. They come up with new design. Their new innovation as far as flushing systems in Sanitaryware is concerned, rimless design and the outside straight-line aesthetics that are preferred by most consumers in Sanitaryware currently. That provides us a huge edge in design and aesthetic in the marketplace. So, R&D, yes, though you might say that nothing dramatic has changed in Sanitaryware manufacturing in the last many years. But yes, as far as prototyping is concerned, 3D printing, CAD/CAM designs, all those things have been implemented in the Company for many years. As far as Faucetware is concerned, because you're dealing with a more robust raw material like a metal , there is machining and CNC work, and robotics have completely taken over the entire manufacturing process . So yes, R&D spends, and automation have dramatically helped quality upgradation for the products.

Lokesh Maru: So, on employee expenses and fixed costs, we have been able to manage and contain this cost very well for the first half and for the quarter. Like for example, our employee expenses have gone up by just 5%, right? So , wanted to understand

how were we able to put a check on expenses, which usually would arise on the order of 10% and 20%, right? So , any colour on that?

Ayush Bagla: Yes, please. And the shop floor level yields have gone up dramatically, which more than negate, which dramatically, in fact, beat the inflation of wa

ges. So , wages is a very large component of employee expenses. And the fixed portion is one component. The variable component is, of course, linked directly to output. So that , there is a variable component that doesn't worry us so much. The fixed component, we have to beat each year with increase in yields and throughput in the factory and also changes in the mix. So that is why the Company thinking was completely reoriented. And price hike is not the lever for growth was the new way of thinking. And we've achieved that over the last 17 months.

Moderator: Thank you so much. Ladies and gentlemen, we would take that as our last question. I would now like to hand the conference over to the management for closing comments.

Ayush Bagla: Thank you everyone, for attending this call and for showing interest in CERA Sanitaryware Limited. CERA remains positive that its strong positioning in the industry, overall economic growth would help it deliver steady and consistent growth going forward. Should you need any further clarification or would like to know more about the Company, please feel free to reach out to me or CDR India.

Thank you once again for taking time to join the call. Thank you.

Moderator: Thank you. On behalf of CERA Sanitaryware Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: Feb 2024

CSL/2023- 24/403  
17th February, 2024

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 13th February , 202 4  
Ref: Regulation 30 of the SERI (L ODR) Regulations, 2015

With reference to our letter CSL/2023 -24/389 dated 6th February, 2024, intimating you about the Q 3 FY202 4 Earnings Conference Call held on 13th February, 2024 , please find attached the transcript of the aforesaid conference call.  
The same is available on the website of the company , i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.  
Thanking you,  
For Cera Sanitaryware Limited.

Hemal Sadiwala  
Company Secretary  
Encl: As above

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Cera Sanitaryware Ltd.  
Q3 FY24 Earnings Conference Call Transcript  
February 13, 2024

Moderator: Ladies and gentlemen , good day and welcome to the Q3 FY24 earnings conference call of Cera Sanitaryware Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '\*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Dev rishi Singh from CDR India. Thank you and over to you Mr. Singh.

Devrishi Singh: Thank you. Good morning everyone and thank you for joining us on the earnings conference call for Cera Sanitaryware Limited for Q3 FY24 earnings which were announced yesterday. We have with us today the management team comprising Mr. Vikas Kothari - CFO and Mr. Deepak Chaudhary - General Manager, Finance & Audit of Cera Sanitaryware. We will start with brief opening remarks from the management following which we will open the call for Q&A.

A quick disclaimer before we begin . Some of the statements made in today's conference call may be forward -looking in nature and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier.

I would now like to turn the call over to the management and invite Mr. Deepak Chaudhary to make his opening remarks . Thank you and over to you , sir.

Deepak Chaudhary: Thank you. Good morning, everyone. On behalf of the management team of

Cera Sanitaryware Limited, I would like to welcome you all to our earnings conference call. The earnings for the quarter ended December 31, 2023, were adopted by the Board of Directors yesterday, 12th of February 2024. The earning documents have been released to the stock exchanges. During the quarter gone by, CERA continued to make considerable progress in its strategic initiatives and has strived hard to support the overall business momentum. This quarter's performance, however, was marked by a challenging market-led slowdown characterized by subdued demand across key markets. Overall sales, during the quarter gone by, were muted due to market volatility originating from reduced discretionary consumption which was impacted by increased inflation, hike in interest rates and challenging climatic conditions across the country. In addition to the general softness and consumer spending, there were certain specific local factors in some of our key markets which have impacted the

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demand for our products. For instance, in Delhi, construction was prohibited for an extended period of 40 to 45 days, as compared to

the usual 15 to 20 days. Additionally, in Delhi NCR, the registration of properties exceeding G+3 were banned, impacting demand. In Kerala, the local body introduced a higher duty structure on the housing sector, affecting consumer sentiments and leading to deferred purchase decisions. Further, we understand that the working capital positions of retailers have increased, causing dealers to turn cautious in extending additional credit to retailers and sub-dealers. However, it's essential to note that these challenges are temporary and short term. Despite the current circumstances, we remain optimistic about our strong fundamentals and overall growth prospects.

Q3FY24 revenues experienced a 4.2% decline compared to the corresponding period last year. Aligned with our strategic objectives to boost market share, expand our retail footprint and deliver value added product to the consumers, we have refrained from implementing any price adjustments since May 2022, maintaining a price stability for nearly 20 months now. Now, the Company has recently undertaken a price increase, effective from February 2024. The average price rise taken in the sanitary ware segment is 2%, while no price adjustments have been made in the case of faucet ware.

Effective cost management and improvements in operational efficiencies have empowered the Company to sustain margins without necessitating any major price increases. Given the adequate inventory levels, we moderated the manufacturing pace slightly during this quarter and our sanitaryware plant operated at capacity utilization rate of 85%.

The operating performance remains stable, and the Company maintained its gross margin at 54.2% in the current quarter versus 54.5% in the corresponding quarter of the previous year. EBITDA in the current quarter stood at Rs. 75.41 crore as against Rs. 86.55 crore in the corresponding previous quarter. EBITDA margin decreased from 18.4% in Q3 of the previous quarter to 16.7% in the current quarter. This decline was primarily due to higher advertising spends largely to promote the new products introduced over the last three years, which will enable the Company to capitalize on the premiumization theme. Therefore, our advertising spend has increased from Rs. 17.34 crore, which constituted 3.8% of sales in the previous year corresponding quarter to Rs. 21.91 crore in Q3 FY24. This constituted 5% of sales. Consequently, a 1.2% change in EBITDA can be attributed to the increased advertising expenditure. Additionally, increased sales promotion expenses impacted EBITDA by 0.7% as these expenses rose due to higher product schemes offered by the Company in response to challenging demand conditions. The subdued sales resulting in lower absorption of fixed costs further affected the EBITDA margins by 0.5%.

CERA has been consistently advancing its premiumization strategy by introducing value added products to its portfolio. Notably, the new SKU's introduced over the past three years constituted 32% of the total sales for the quarter.

In alignment with our commitment to elevating the customer experience, CERA has initiated a comprehensive makeover of over 1,500 'display centers'

across the nation. To align with the premiumization trend, a thorough on-ground study is being conducted to spotlight premium products in targeted locations, ensuring a strategic approach to meeting evolving consumer preferences.

Furthermore, CERA is placing increased emphasis on involving various influencers, particularly architects, in our product value chain. Our earlier initiatives, such as the retailer loyalty and plumber loyalty programs, were crucial steps in fostering partnerships and aligning stakeholders to contribute to CERA's growth story.

In Q2 FY24, we successfully commissioned our faucetware facility expansion

program,

enhancing our monthly capacity from 3 lakh pieces to 4 lakh pieces.

In Q3 FY24, our faucetware capacity utilization reached 82% after considering the augmented capacity from the brownfield expansion. The completion of this expansion project was achieved within the scheduled timeframe and at a cost much lower than the budgeted estimate. Furthermore, construction of civil facilities to accommodate the future increase in capacity from 4 lakh to 6 lakh units per month has been successfully completed. With this completion, no major capital expenditure for this faucetware brownfield expansion project is anticipated for the next three to five years. Our confident outlook is based on the robustness of our established vendor ecosystem, which positions us well to efficiently manage any spike in the demand. Additionally, our product mix strategy, which includes a variety of colored SKUs, quarter turn SKUs, PVD SKUs, and additional SKUs sourced from external partners, continues to enrich and diversify our product portfolio.

Furthermore, in our sanitary ware division, a substantial portion of the land parcel was acquired in January 2024 for our greenfield expansion project. This new plant is expected to be operational within 18 months from the go-live date, with an estimated cost ranging between Rs. 125 to Rs. 130 crore. These strategic capacity expansion initiatives in both our sanitary ware and faucetware emphasize our commitment to broadening our portfolio of value-added products. These products will be exclusively manufactured within our facility, leveraging advanced technical capabilities, and adhering to vigorous quality standards.

In sanitary ware, cost of raw materials like 'China clay' went up by 19% and 'feldspar' by 4%, while 'plaster of paris' and 'glaze' went down by 1% and 2% respectively in Q3 FY24 as compared to Q3 FY23. Zinc experienced a decrease of 26%.

At the manufacturing level, operational efficiency witnessed significant improvement, resulting in higher overall yields. This, coupled with cost optimization programs supported to offset the impact of increased input and labor cost.

In the faucetware segment, brass prices recorded an increase of 4%, while the Zamak prices saw a decline of 17% compared to Q3 FY23.

Gas prices remain favorable during the quarter. The average price from GAIL was Rs. 28.78 per cubic meter in Q3 FY24 as opposed to Rs. 35.43 per cubic

meter in Q3 FY23. Similarly, the average gas price from Sabarmati was Rs. 47.56 per cubic meter in Q3 FY24, down from Rs. 71.9 per cubic meter in Q3 FY23. However, it has registered an increase of 7% on a quarter-on-quarter basis.

This positive trend is further supported by increased drawl of gas from GAIL, reaching 82% in Q3 FY24 compared to 67% in Q3 FY23. The weighted average cost of gas in Q3 FY24 was Rs. 32.21 per cubic meter, significantly lower than Rs. 47.33 per cubic meter in Q3 FY23 and notably, below the industry average. Gas cost constitutes 1.44% of the total revenue.

Our consistent commitment to ESG began in 1995 with the inception of our journey through the establishment of a wind energy facility. Evolving over the years, we expanded our capacity, and in 2014, seamlessly integrated a solar plant into a growing sustainable energy portfolio. Notably, in the first nine months of FY24, approximately 80% of the energy needs for our two manufacturing facilities were met through our internal renewable energy sources.

CERA introduced the retailer loyalty program in Q2 FY23, and now, after 18 months, over 18,000 retailers have been enrolled who have uploaded a total

of 2.53 lakh invoices on the retailer loyalty app. The feedback received from retailers has been instrumental in grasping, evolving consumer demands, understanding geographical SKU segmentation, and refining

our reward

program for retailers. In addition to standardizing invoices, a noteworthy achievement was recorded during the quarter; - out of the total retail sales amounting to Rs. 243 crore, over Rs. 82 crore in sales were eligible for awards under this program. This constitutes 34% of the retail sales.

New product introduction stands as an important catalyst for CERA's growth trajectory. In the previous financial year, that is FY 22, we unveiled a total of 72 new products, a notable progress considering that historically on an average 100 new products were launched annually. The momentum continued in FY23, witnessing an impressive launch of 699 new products. In FY24, a total of 202 new products were introduced till December, which includes 74 new products being launched in Q3 FY24.

The sharp increase in new design and product launches over the last three years has led to a substantial allocation of resources, both at the manufacturing and customer experience levels. As a result, New Product Developments or NPDs introduced in the last three years now contribute to 30% to 35% of the total sales. In efforts to further enhance the Company's product portfolio, CERA remains dedicated to developing hygienic and water-saving products. Key focus areas include premium products like 'rimless EWCs', and 'thin rim tabletops', where our manufacturing facilities committed to ongoing innovation, producing these items at costs substantially lower than those imported from China.

In Q3 FY24, China imports were Rs. 15.6 crore, a 3.57% of sales as compared to Rs. 19.6 crore or 4.3% of sales in Q3 FY23. CERA was already one of the lowest users of products 'Made in China' and its capabilities developed in -

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house, the percentage of Chinese imports to sales has been continuously declining.

In FY 23, we recorded our highest level advertising expenditures amounting to Rs. 57 crore, representing 3% of our sales. Continuing the same pace, our publicity spending stood at Rs. 48 crore during 9MFY24 as against Rs. 33 crore in 9MFY23.

In our sales breakdown, tier 1 cities accounted for 34% of sales, tier 2 cities contributed 21% and tier 3 cities led with 45% of the sales.

In conclusion, I would like to say that as we navigate the current landscape and address short-term challenges, our focus is on maintaining leadership in the sanitary ware and faucetware industry and on driving sustainable growth. Today, our Company is dedicated to leveraging its core strengths, which include advanced manufacturing capabilities, a diverse product range and expansive network, exceptional after sales service, robust brand recognition and financial stability. These foundation pillars collectively fortify our market position. We firmly believe that these unique qualities not only empower us to face and overcome broader macro-led challenges, but also strategically position us for continuous growth, delivering value to our stakeholders.

With this, I would like to hand over to Mr. Vikas Kothari – our CFO, who will present the operational and financial highlights for the quarter ended 31st December 2023. Thank you and over to you, Mr. Kothari.

Vikas Kothari: Thank you and a very good morning to everyone. I would now like to address a brief overview on the Company's financial performance for the quarter ended December 31st, 2023.

Revenue from operations stood at Rs. 437 crore in Q3 FY24 versus Rs. 456 crore in Q3FY23, a decline of 4.2%. EBITDA without other income was Rs. 59 crore in Q3FY24 versus Rs. 73 crore in Q3FY23. The gross margin remained stable and stood at 54.2% in Q3FY24 against 54.5% in Q3FY23. Profit after tax was Rs. 51 crore in Q3FY24 versus Rs. 56 crore in Q3FY23, a decrease of 9.7%. EPS for the quarter stood at Rs. 39.12 versus Rs. 43.34 in Q3FY23.

For Q3 FY24,

52% of the topline was from sanitary ware, 36% from faucetware, tiles represented 10% and wellness 2%. On a Y-o-Y basis, faucetware revenues registered an increase of 5%, sanitaryware revenues declined by 8%, tiles decreased by 19% and wellness increased by 29%. The sanitaryware and

faucetware verticals remain the bedrock of our business and contributing 88% of overall revenue.

The classification of overall sales in Q3FY24 was 43% in premium category, 34% in mid category and 23% in entry level category. The changes in the working capital position in the current quarter as compared to the corresponding quarter for the previous year were as follows ; - Inventory days reduced from 83 days to 79 days , receivable days reduced from 30 days to 27 days and payable days increased from 37 days to 46 days. Therefore, the net working capital days were reduced from 76 days to 60 days in Q3 FY24 .

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As on December 31st,2023, our cash and cash equivalents stood at Rs. 768 crore against Rs. 597 crore as on December 31st, 2022 registered an increase of Rs. 171 crore or 29% . Cash flows for the quarter remain positive at Rs. 49 crore versus Rs. 58 crore in Q3FY23 .

In conclusion , I would like to emphasize that , given the various inherent strength and our dominant position within the sector, we are committed to maintaining strong financial discipline . Going forward , CERA remains positive and focused on consistently improving its financial performance.

I would now like to request the moderator to open up the lines for Q&A. Thank you very much .

Moderator: We will now begin the question -and-answer session. The first question is from the line of Praveen Saha y from Prabhudas L illadher . Please go ahead.

Praveen Sahay: The first question is related to your target. So , basically in the last and the previous quarter calls you had given a target that by September '25 some Rs. 2,900-odd crore of revenue and also you had said around Rs. 2,500-crore by March '25. And looking at the (inaudible 21:29 min.) performance so far in the nine month s, is that target quite intact or is there any change in that ?

Vikas Kothari: Regarding the target part what we have given earlier, so the earlier guidance of achieving the revenue target was given and currently we are in the month of February and are in the process of working out our annual operating plan for the next financial year. So , once this exercise will be completed, we will be able to update the guidance . Till such time we are not changing the guidance.

Any comment on this will be expected in the next earnings call. But , let me assure you that we remain committed to the sus tainable growth and the medium and long -term outlook is quite encouraging.

Praveen Sahay: On the segment side on the same note , in the last call for the faucet ware you have given around some Rs. 750-odd crore for this year. But if I look at your run rate so far, you need to do around 50% of a growth in the fourth quarter . Will that be achievable for the fourth quarter?

Vikas Kothari: So for the current financial year, as we all know that Q3 was a tough quarter and we experienced demand pressures across all key markets. Even I would say to be honest, January '24 continues with the sign of moderation and the sales were lower than expected , and we have seen that even the competition was not away from these headwinds, which is evident from the results also. So, the growth projections given earlier for the current financial year have been impacted by the weak demand conditions starting from the month of Novemb er as is evident from our Q3 results . And in October, when we ha d our last earnings call, we were far ahead in terms of the growth part in terms of the previous corresponding period. But from November , the things have changed, the slowness as far as deman

d is concerned was there. So typically, what we understand , March is the best month of the year where we have the higher sales than average. However, considering the nine -month results, it is apparent that the growth for the financial year '24 is likely to be moderate.

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Praveen Sahay: The second question is related to that , is there any market share loss are you expecting because if I look at the players who are in the elite product, even the size is small , but they are growing much faster in terms of incremental sales than the leaders . So, is there a market share loss also in the bathware segment as a whole you are seeing?

Vikas Kothari: So ideally speaking means if you see th e CERA's growth trajectory, we are quite confident as far as sanitaryware and faucetware segments are concerned , and with the long -term strategy with respect to making these two segments which are underpinned by our commitment to innovation,

operational excellence and market expansion, so we do not see any sort of challenge from the other players. And as far as gaining of the market share is concerned, so we are betting on our innovation part and like I told, means, for the last three years, the innovations or the new products that we have introduced are healthily contributing around 32% to 35% of our total turnover. Praveen Sahay: Sir, next question is on the advertisement expenses. As guided for Rs. 65-odd crore for this financial year, you already done around Rs. 48, 49 crore. So that is intact or is there some revision in that as well?

Vikas Kothari: So ideally speaking as far as the market share or the voice of share to cover the part of CERA is concerned in the brand image building, so we are continuing with the same pace of spend what we did last year and almost if we compare in terms of the value, we have spent around Rs. 22 crore in Q3 FY24 versus the previous corresponding Rs. 17.34 crore. With this spend, we are continuing the pace of our brand recognition, and we think, and we expect that all these things will come as a fruitful results in terms of the growth levels for our revenue generations.

Moderator: The next question is from the line of Sayan Das Sharma from Bajaj Finserv Asset Management. Please go ahead.

Sayan D Sharma: Two parts to the first question. I mean, frankly, a little surprised to see a revenue decline in sanitaryware because what I associate, sanitaryware to be a very stable category because the large part of the demand also comes from replacement. So, it will be helpful if you can share some more color, is it only specific to CERA because of our mix in particular States, particular tier 3, tier 2 cities, etc., And how do you see what needs to change for the growth to come back for the entire category, not only for sanitaryware to that extent? And secondly, I mean we see a lot of real estate demand nearing completion, but all these building material categories are not doing well. So, just wanted to understand your sense on how growth should pan out in the next few quarters may not be quantitatively, but if you can make some qualitative comments?

Vikas Kothari: Coming to the part of the growth in sanitary and other segments, so ideally speaking means if we see our H1 figures, so we have the volume growth in total by 10% and Q3 as we all know that we experienced the demand-related issues across all the key markets. So, there was a revenue growth up to the H1 is concerned. And coming to the part of sanitaryware, and if we see the actual figures, we were having the growth of around 5.5%, which was subdued in Q3, decline by 8%. However, in case of faucetware we have a very good increase

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in terms of the growth; it was around 9% to 10%. So overall, if we see

it, because of the short-term phenomena or the temporary phase which is going on means we see some sort of ups and downs within the demand patterns. However, we are very optimistic that this situation will improve from FY25 onwards, which is going to be supported by real estate upswing, retail market improvements and increasing home renovations. And as you all know that real estate market is doing extremely well and it is expected that the same will continue in future, so we do not see any major challenges as far as our products demand is concerned. And like you all know, most of the real estate projects are nearing to completion. And since products like sanitary, faucets, tiles and even paints, they are installed in the final stage. So, we are likely to see the increase in consumption pattern in the FY25. And also adding to it means we are having good number of projects enquiries in pipeline. So, institutional sales from Government projects, educational projects, hospitality and medical, they are also going to add positively to our demand factor. In general, I would say, the general macroeconomic factors remain positive with the GDP growth of the country projected at 7%. So as such means it's a short-term phenomenon and it is experienced by all the industries.

Sayan D Sharma: Have you seen any divergence in demand trends from your tier 1 cities versus tier 2, tier 3 cities, is one growing faster or demand slower in one pocket of this market versus the other?

Vikas Kothari: No so if we see the pattern of the tier cities, largely, there is no major change. It is same as the Q2 what is there. So, no major change in the composition.

Moderator: The next question is from the line of Rahul Agarwal from Incred Equities. Please go ahead.

Rahul Agarwal: First question is on the capex. You mentioned faucet capex was pretty low



than budgeted. You also mentioned that the 4 lakh pieces have now gone to 6 lakh pieces. I wanted to know how much did we spend from 3 lakh to 4 lakh pieces and then from 4 lakh to 6 lakhs? And secondly, what is the potential for sales in out of this increased capacity , and how much time will it take to ramp up to peak utilization?

Vikas Kothari: So I think there needs a clear understanding on this statement what was given.

So ideally the faucetware brownfield current expansion is from 3 lakh to 4 lakh units and this expansion is on the ramp up phase, so almost 60% of this ramp up has been done , and we expect that by March we will be able to reach out to 4 lakh pieces. The second part was means with respect to the civil activity or the civil facility has been developed for the future expansion from 4 lakh to 6 lakh pieces so that the civil work has already been done. And later on, whenever we feel that the demand is getting picked up or where we feel that we need to increase our capacities, it will be just the balancing of the necessary plant and machinery. So , the facility is created for a further boost from 4 lakh to 6 lakh.

Rahul Agarwal: How much did we spend capex for 3 lakh to 4 lakh ramp up for the expansion?

Vikas Kothari: So ideally we are quite within the budget and we have spent around Rs. 41 crore for getting this brownfield part by removing and some of the cost

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optimization savings have come by way of debottlenecking the processes and taking the advantage of the current facility.

Rahul Agarwal: And the incremental 1 lakh pieces should add about what kind of sales because my understanding is 50% is outsourced for the Company in faucets before this expansion ?

Vikas Kothari: So our understanding is , this incremental 1 lakh pieces per month contributing to 1.2 million pieces annually, they are going to contribute around Rs. 240 crore.

Rahul Agarwal: Because the way I am working with the math is currently let's say your

3 lakhs

pieces a month make about Rs. 600 crore of top line. That Rs. 600 crore is 50% outsourced, right? So , if I assume that 3 lakh pieces should deliver Rs. 300 crore topline. So additionally on a 1 lakh piece top line which is 40% addition , the sales number looks pretty high to me.

Deepak Chaudhary: I'll tell you why this is happening is because currently the faucetware which is producing 3 lakh pieces is having a mix of all SKUs, they would be entry level SKUs, they would be middle level SKUs and they would be premium SKUs. So like, as of now we are making a mix of products. But the increased expansion, once it reaches the entire production of 1 lakh units would be catered mostly towards the premium products. So , the incremental revenue that will come in from the 1 lakh units would be different from the revenue which you are seeing from the current plant, which is a mix of all the products which we are producing and selling right now. So , there's a difference in the kind of mix which will be going into the new plant. That's where the differences are.

Rahul Agarwal: Right, I agree, it looks like a twice the difference, right . So, I was just wondering, like what kind of premium products are doing, but I get your logic and I get the understanding. Secondly, similar question is on the sanitary ware. Majority land is acquired . So, could you help us understand how much land is acquired, what is the balance and what is the capex for the land spent right now ?

Vikas Kothari: Regarding this sanitary ware greenfield , so substantial portion that is about 75% of the total proposed area has been acquired and registered in January 2024. For the balance portion of the land , the due diligence is going on and it is expected that it is going to be complete by June '24. The estimated cost of this greenfield will be around Rs. 125 to Rs. 130 crore including land. And once this total acquisition is completed, we shall be able to comment the startup of the construction of this particular plant. So, I think this is largely means the notable you can say achievement in the month of January where the substantial portion has been acquired and registered.

Moderator: We'll take the next question from the line of Raj Shah from Marcellus Investment Managers . Please go ahead.

Raj Shah: When you mentioned that even competition is facing some challenging demand scenario, but if we see results of your listed competitor who is more or less similar in size, they have reported Y-o-Y single digit revenue growth

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number . I was just wondering where is the gap between our outlook and theirs , because they are reporting good revenue numbers ?

Deepak Chaudhary: Your voice was quite muffled. If you can repeat the question again, please.

Raj Shah: My question was our listed competitor who is more or less similar in size , they have reported single digit revenue growth numbers. So, this shows that there is some market share loss for us. So, I was just wondering where is the gap between ours and their demand outlook ?

Deepak Chaudhary: You're looking at a figure of one quarter . So, one quarter you cannot extrapolate it to say that we are losing or gaining market share. This has been true what you're suggesting in the current Q3 quarter , but on an overall basis, if you see comparing the last few quarters, you'll find that there has been a significant difference between the performance of CERA vis-à-vis the competitors, especially the competitors which you are talking about. So, there's a huge gap between the growth numbers that we have done in the previous quarters . This current quarter was kind of a you can say outlier because of the demand conditions. But we foresee that with Q4 and maybe more so in the next financial year , the demand would again be good and will be performing well . So,

the difference which is there is only in the current quarter, should not be reflected in the future.

Raj Shah: If you can repeat about some local duties or taxes that was implemented in Kerala. The opening comment was not clear about it.

Vikas Kothari: In Kerala, the local body introduced a high duty structure on the housing sector which has affected the consumer sentiments and thereby leading to deferment of some purchasing decisions.

Raj Shah: How much Kerala would contribute to our say top two, three States in terms of revenue?

Deepak Chaudhary: Kerala would be contributing with a region of 10% of our total sales.

Moderator: We'll take the next question from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: The first question is like you pointed out; we have been outgrowing most of the peers, including the large one for the last several quarters. Now what I'm trying to figure out is that what has driven that outperformance and how is it changing now ; was it actually driven by more retail expansion and that is now peaking out or was it more driven by the new products and now that is peaking out , any more color on both these aspects please?

Vikas Kothari: Ideally , as far as the outlier is concerned, what we say is the growth is driven by multiple factors, so means innovation is one of the factors which is giving us the growth levers in terms of boosting our revenues . So, if you have seen whatever the products, we have introduced in the last three years , have generated around 32 % to 35% of our total turnover. Secondly, in terms of making us different from others means the operational efficiencies have

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improved which has resulted into sort of the lower cost of production. And in terms of the other part where we see that the expenses and other things what we are doing, we are controlling through our different cost optimization programs which are making us to sustain even in spite of the fact that we have not taken any price rise for the last 20 months.

Achal Lohade: Sorry sir, probably I wasn't very clear in the question. What I was asking is more from the top line growth perspective in bathware which is sanitary ware plus faucet ware. We have been outperforming in the past for several quarters as compared to the peers . In terms of the premium mix if you could guide three years back, what was it and what is it now . You've mentioned the products introduced in last three years but is it fair to assume all the products introduced in the last three years is all premium or you want to give a separate number for premium mix for Q3FY23 and Q3FY24 as well as say three years back ?

Vikas Kothari: So I think as far as mix is concerned between the categories , more or less the mix is maintained in the previous few quarters. So , premium is contributing roughly 43%, mid is contributing 34% and at entry level it is 23%.

Achal Lohade: This is for Q3FY24. How would that be for Q3FY23 sir?

Vikas Kothari: So for FY 23 it was 45% in the premium category and mid category it was 28% and entry it was 27%.

Achal Lohade: So, it is mid which has grown and a decline in the premium ?

Vikas Kothari: So ideally speaking , it's a combination of 'mid' and 'premium ' where we are largely concentrating on improvement in these two particular part s. And if you see there is a decline in the 'entry ' segment , which was earlier 27% and now it is 23%. Lot of value additions have been put under these two categories , 'mid' and 'premium ' . And like composition point of view, if we see 'entry ' is declining.

Moderator: We'll take the next question from the line of Utkarsh Damania from NV Alpha Fund Management LLP . Please go ahead.

Utkarsh Damania: I had a few questions. Sir , in the fourth quarter coming near elections coming up. So , do we see any demand subd

ue d due to this and would it affect our sales and margins profile as well?

Vikas Kothari: So, I think as these elections are going on , so in the coming times means some pressures might be there, but in general means from the FY25 onwards we see that lot of completions with respect to real estate projects will be there , and our products which are at the last stage of the installation , so those things will come out and the consumption pattern will increase. But this is going to be a short -term impact as far as these elections are concerned.

Utkarsh Damania: Does the Company has any plans for any ESOP s programs or is the Company looking after any new ESOP program or some thing ?

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Vikas Kothari: So, regarding the ESOP part and others , the Company is maintaining a healthy cash reserve of R s. 768 crore. And as we have seen, the Company has increased its dividend significantly in the past two years. And I think in the last year the distribution was around Rs. 65 crore . The payout was almost around 31% of the PAT and the Company will continue to maintain this healthy dividend payout in the coming years. The Company may explore options of buyback and other routes to return excess cash or excess money to the shareholders. Currently, no such proposal has been placed before the Board.

Utkarsh Damania: Regarding the Anja ni Tiles divestment, so Anja ni Tiles we were catering to the South ern States . So can you provide what would be the geographical breakup currently, or if the South sales have gone down ?

Deepak Chaudhary: See broadly , there has been no change in the sales in the South on account of closure of Anjani Tiles. The idea behind the Anjani Tiles was that it is a market in the South, so that it will be able to cater to the South market in the sense that the transportation cost would be lower . But we have experienced over there that the cost of production, which was coming in , was slightly higher and the benefit which was supposed to be offset by the lower transportation cost, we were not achieving that. So even otherwise , even while Anja ni Tiles was a part of our portfolio , the cost vis-à-vis Morbi was not lower. Because the cost of production in Anja ni was higher as opposed to the cost of procurement, which we were able to do from Morbi. So , with the divestment in Anja ni Tiles , there has been no loss in the market share on account of the fact that the divestment has happened.

Moderator: The next question is from the line of Priyanshu Agrawal from Unifi Capital Private Limited. Please go ahead.

Priyanshu Agrawal: Just wanted to understand on the near term. So, what has really led to the slowdown? So one you explained that the Kerala State has increased the stamp duty but any other phenomena which is affecting our near -term performance , if you could please explain that ?

Deepak Chaudhary: Priyanshu, we are coming back to the same circle again and again like we are all talking about growth. So , all I would like to say is that macroeconomic factors were not conducive in this quarter, and it has led to a demand slowdown. But to pinpoint what exact reason has been there for this particular slowdown would be difficult because it's not a one factor which has affected , it is a multiple number of factors go to this particular demand weakness. So , we feel that this demand weakness is temporary kind of a situation and going forward it will improve .

Priyanshu Agrawal: My second question is, you mentioned that the dealers are sort of sitting on higher inventory. So , if you could just throw some light on the current inventory in the channel and has it stabilized in January, February months , and what is your sense , will we be incurring more sales promotion expenses because of this higher inventory challenge with the dealers?

Deepak Chaudhary: We had ex

perienced difficulties in the month of November, and it had continued in the month of January also . But now currently in February , we are seeing an upswing, and we hope that this upswing will continue for the month

Transcript of CERA Sanitaryware Ltd. Q3 FY24 Earnings Call Page 13 of 15 of February. And as Vikas ji has mentioned earlier also , like March typically is our best part of the year where the dealers in order to get the benefits of the turnover, discounts and various other schemes which have been launched during the year, they do a large part of their uptick in the month of March. So , we do not see as of now a challenge in that particular month being weak. So , we have already started seeing improved sales from the month of February and we hope that it will continue in the month of March also.

Priyanshu Agrawal: Sure, if you can just give a range of the sort of growth that you're seeing in February and March , that will be useful, sir?

Deepak Chaudhary: That is not possible because these are all kind of numbers which keep on changing and we cannot even disclose them right now. So hopefully once we are there in the next concall, I can give you the numbers.

Moderator: The next question is from the line of Shaurya Shah from Equirus Securities Private Limited. Please go ahead.

Shaurya Shah : So, with our focus on faucet ware segment and expansion of capacity to 6 lakh pieces from 4 lakh pieces earlier and the greenfield capacity coming up for sanitaryware segment, where do we see the contribution from sanitaryware and faucetware divisions from the current 52 % and 36% , going forward ?

Deepak Chaudhary: The proportions more or less would be remaining the same . Like even with the expansion coming in, you'll find that faucetware may go up slightly, but on an overall basis , it will be remaining the same that we're doing right now.

Shaurya Shah: It was mentioned that there was a price hike of 3% for sanitary ware in Q3. I am not sure if it was already mentioned, but was there any price hike for tiles division during the quarter?

Deepak Chaudhary: The tiles is more of a marketing operating price, which keeps on going on . In case of sanitary ware and faucetware, it is more like the prices are revised on a periodical basis. But in case of tiles, we kind of look at the procurement price that we are able to get , and based on that we price it in the market. So , price is a more dynamic kind of a thing, and you will not find the price increase over there the way that we do it in case of faucetware and sanitary ware .

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: Just now what you said is that this demand slowdown in overall market of yours is a temporary phenomenon and the overall growth outlook which you have given earlier remains the same , right?

Deepak Chaudhary: Correct.

Onkar Ghugardare: For how long this demand slowdown do you expect?

Vikas Kothari: What we expect is means it's a short -term phenomenon and maybe year we will see means there may be some impact of elections , but from the next

Transcript of CERA Sanitaryware Ltd. Q3 FY24 Earnings Call Page 14 of 15 financial year definitely being different projects are under pipeline and we see that lot of real estate projects which are near to completion. So , at that stage next year we will be having a more consumption of the sanitaryware and faucetware items. So it's as per our understanding , we take it as a short term and the things will improve from FY25 onwards where we will again have the growth moving forward.

Onkar Ghugardare: So, you expect one more quarter of pain of demand slowdown , that's what you mean to say, right?

Deepak Chaudhary: As of now, you can say maximum Q4 because we already have a good kind of

project bank building up. So, orders are coming in over there which should be executed in the next few months. So , we are confident about the future like FY25 onwards.

Onkar Ghugardare: Another question is on the cash utilization. You have mentioned that you have already increased the dividend payout and we'll be exploring the possibility of buyback, which you haven't done at this meeting but possibly in the future you can do it. So, like what is the management thinking on utilization of cash apart from this , I don't think you will be incurring any major capex apart from this?

Vikas Kothari: I think I have already answered this question. Means as far as management thought process is concerned, so means whatever the expansion programs we

are having, they are through internal accruals. So, brownfield, we have recently completed. In case of sanitaryware greenfield the acquisition has been done and again the complete construction and operationality of that plant will be through internal accruals only. As part of the dividend, we are going to maintain or increase the payout ratios what we are doing. And additionally, like I told means we are exploring the options of buyback also in whatever the best way we can return the excess cash back to the shareholders.

Onkar Ghugardare: The Company is not finding any inorganic opportunities to maybe buy some smaller players?

Vikas Kothari: Firstly as far as these capex expansions are concerned what we are doing, so these expansions will give us a sufficient room in terms of building the capacities to meet out the future demand options, and right now, there is no such thought process. So, in future if it will be there, we will see accordingly. But right now, we are going to have these expansions completed first.

Moderator: As that was the last question, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Deepak Chaudhary: Thank you, everyone for attending this call and for showing interest in CERA Sanitaryware Limited. Should you need any further clarification or would like to know more about the Company, please feel free to reach out to me or Mr. Vikas or CDR India. Thank you once again for taking the time to join the call.

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Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Cera Sanitaryware Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: May 2024

CSL/2024- 25/80  
20th May, 2024

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 14th May, 2024  
Ref: Regulation 30 of the SERI (LODR) Regulations, 2015

With reference to our letter CSL/2024 -25/58 dated 7th May, 2024, intimating you about the Q4 FY2024 Earnings Conference Call held on 14th May, 2024, please find attached the transcript of the aforesaid conference call.

The same is available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.

Thanking you,  
For Cera Sanitaryware Limited.

Hemal Sadiwala  
Company Secretary  
Encl: As Above

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CERA Sanitaryware Limited  
Q4 FY24 Earnings Conference Call  
May 14, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY24 earnings conference call of Cera Sanitaryware Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you, and over to you, sir.

Devrishi Singh: Thank you. Good morning, everyone and thank you for joining us on the earnings conference call for Cera Sanitaryware Limited for Q4 FY24 earnings, which were announced yesterday. We have with us today the management team comprising ; Mr. Vikas Kothari - CFO and Mr. Deepak Chaudhary - General Manager, Finance of Cera Sanitaryware. We will start with brief opening remarks from the management, following which we will open the call for Q&A.

A quick disclaimer before we begin. Some of the statements made in today's conference call may be forward-looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier. I would now like to turn the call over to the management for their opening remarks. Thank you, and over to you, sir.

Deepak Chaudhary: Thank you, Devrishi. Good morning, everyone. On behalf of the management team

of Cera Sanitaryware Limited, I would like to welcome you to our earnings conference call. I will begin by sharing some updates on operations and strategy, following which our CFO; Mr. Vikas Kothari will run you through the key financial highlights.

The challenging market situation, particularly in terms of demand persisted from Q3 through Q4 of FY 24. Despite the tough conditions, Cera not only maintained, but marginally improved upon the sales achieved during the corresponding Q4 of FY23. The Company achieved a revenue of INR 547 crore during the quarter under review, reflecting a growth of 2.6% compared to the turnover of INR 533 crore achieved in the corresponding Q4 of FY 23.

Looking ahead, we anticipate the trend of sluggish demand conditions to continue in Q1 FY25 with a further exacerbated by the ongoing general elections in April and May. Additionally, seasonal factors like prevailing extreme heatwave conditions in many parts of the country, shortage of labor, especially in the real estate sector are expected to pose further challenges. However, we remain optimistic that post Q1FY25, the overall demand situation will improve in the quarter thereafter.

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The Company has finalized i

ts long-term operating plan for 3 years after integrating detailed inputs from sales Executives, zonal heads and the marketing department. We have also taken into consideration prevailing market conditions in the building materials industry. Originally, aiming for INR 2,900 crore in sales by September 2025, the target date has been recalibrated to March 2027, that is a stretch of 1.5 years. This adjustment reflects a compounded annual growth rate of 16.02%, displaying the Company's resilience to navigating tough market conditions while aiming for sustainable growth.

As you are aware, Cera is strongly positioned in the premium segment with a wide array of products. We are also present in the luxury segment. However, in the past, this segment has not enjoyed significant depth and volumes as compared to the premium segment. We believe that this is set to change over the next 3 to 5 years, wherein Cera shall be focusing on increasing its presence in this segment as well as growing the market share.

In the recent past, especially post-COVID, there has been a growing consumer preference towards spending larger sums of money on buying luxury properties and using high-value fittings in the bathroom space. There are a large number of luxury projects coming in the major cities, and it is expected that the segment shall be growing at a very fast pace.

Cera is now strategically positioning itself to strongly capitalize on the growth opportunities in this segment. In this direction, we had recently, already introduced the Luster brand last year and also rejuvenated the existing Senator brand. We intend to launch new products within these ranges to cater to the discerning customers. These new products will showcase innovative and aesthetic designs with value-added features that resonate with the luxury seeking customers. Cera plans to launch dedicated brand stores to showcase these premium offerings and enhancing the customer experience. Furthermore, Cera is actively collaborating with influential architects who play a crucial role in shaping new design trends and project specifications to promote the sale of these products in the luxury developments and high-end projects. While we are advancing towards a more premium market stance at Cera, we are equally committed to honouring our roots in the traditional segments. Our strategy involves seizing opportunities across the board, ensuring that we remain relevant and competitive in all market segments, maintaining our margins. This balanced approach not only strengthens our market position, but also underscores our adaptability and commitment to serving a diverse customer base.

The sharp increase in new design and product launches over the past 3 years has involved substantial efforts and is paying rich dividends with new product development accounting for 30% to 35% of the total sales.

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In Q4 FY24, our China imports total led INR 10 crore, representing 1.8% of the sales. Cera has consistently maintained a strategic approach to minimize reliance on products made in China, leveraging our in-house capabilities. In our previous conference call, we had announced the successful completion of

the faucetware facility expansion program, which raised our monthly production capacity from 3 lakhs to 4 lakh pieces. I am pleased to share that following the completion of the ramp-up phase, our plant is now fully capable of delivering 4 lakh pieces per month. During Q4FY24, our faucetware capacity utilization reached an impressive 90%, leveraging the augmented capacity from the brownfield expansion.

Furthermore, the majority portion of the land for our greenfield sanitaryware project was acquired by March 2024. We anticipate completing the acquisition of the remaining land by June 2024. This new plant is scheduled to become operational within

18 months from the zero date with an estimated cost ranging between INR 125 crore to INR 130 crore.

These strategic capacity expansion projects in both sanitaryware and faucetware underscore our commitment to broadening our range of premium products. All these items requiring specific high-quality expertise and technological precision will be exclusively manufactured in our facilities, utilizing advanced technology and stringent quality control measures.

Our routine capex budget for FY 2024-2025 is INR 25.4 crore. This includes essential upgrades in our sanitaryware and faucetware plants, focusing on machinery replacement, enhancing customer touch points and IT-related developments, ensuring operational efficiency, business continuity and improved logistics.

Cera had introduced the Retailer Loyalty Program in FY 2022-2023 and now after 2 years, we have successfully enrolled over 19,300 retailers, with a total of 2.9 lakh plus invoices uploaded on the retailer loyalty app. The feedback received from retailers has been instrumental in understanding the evolving consumer demand, geographical SKU segmentation and refining our rewards program. Out of the total retail sales amounting to INR 291 crore, rewards eligible sales totalled over INR 109 crore, representing 37% of retail sales.

In FY 24, we recorded advertising expenditure amounting to INR 63.2 crore, representing 3.4% of our revenues. Increasing our advertising expenditure has proven highly beneficial, yielding significant returns across various metrics, enhanced brand visibility and customer engagement resulting from increased exposure have reinforced our market presence.

This year, we focused on a comprehensive 360-degree amplification of our new TV campaign to effectively reach our target audience. We secured premium advertising spaces in key locations such as airports in Delhi and Mumbai, along with prominent outdoor placements. Additionally, we hosted a tiles NPD meet for

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potential dealers to showcase our latest product range. Furthermore, we organized various plumber meets to enroll plumbers in our star plumber reward program, strengthening our relationships within the trade community and enhancing brand advocacy amongst industry professionals. These consistent strategic initiatives have significantly strengthened our market penetration and engagement levels. Effective cost management and improvements in operational efficiencies have enabled the Company to sustain margins without necessitating any price increases. Given the adequate inventory levels, we moderated the manufacturing pace slightly during the last two quarters. During Q4FY24, the sanitaryware plant operated at a capacity utilization rate of 82%.

At CERA, we have a strong track record of retaining top talent. Over 4 decades of journey, our employees have consistently found convincing reasons to stay with us for many years. It's part of Cera's core values to create a supportive work environment, offer comprehensive benefits and nurture a strong Company culture that we have built over the years. These aspects have not only attracted but also helped in retaining the critical talent.

In line with the above, Cera has introduced an ESOP scheme this quarter. This will help to motivate and reward key human resources within the organization on a medium to long-term basis, ensuring stability and longevity in their tenure, enabling them to contribute to the Company's growth plan and retaining knowledge and experience within the organization.

As I have outlined, there are multiple initiatives underway encompassing aspects such as capacity expansion, enhancement of capabilities for complex products, new product development, advertising, and marketing, focus on premiumization, enhancement of network and distribution channels, engagement with influ



encers,

such as architects and plumbers as well as announcement of ESOP plan for greater employee reward. This comprehensive focus has been due to untiring efforts of our promoters to ensure balanced and sustainable growth in the years ahead.

In conclusion, I would like to emphasize that as we navigate through some near-term demand led challenges, the Company remains committed to maintaining its leadership in the sanitaryware and faucetware industry, while promoting sustainable growth. Cera has cultivated unique strengths over the past 4 decades that have set us apart in the industry. Today, we are optimistic about the opportunities arising from positive economic trends and evolving market dynamics. Looking ahead, with increasing economic activity nationwide and sector formalization, we are confident that Cera will continue to experience strong demand from both B2C retail consumers as well as B2B projects, driven by both our traditional and premium offerings. Moving forward, we are confident in leveraging these inherent strengths to support sustainable growth and deliver enduring value to all stakeholders.

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With this, I would like to hand over to Mr. Vikash Kothari, our CFO, who will present the operational and financial highlights for the quarter ended 31st March 2024.

Thank you, and over to you, Mr. Vikas Kothari.

Vikas Kothari: Thank you, Deepak. A very good morning to everybody. It is my pleasure to update you on the quarterly performance of the Company for the quarter ended 31st March 24.

In Q4 FY24, revenue from operations stood at INR 547 crore as against INR 533 crore in Q4 FY 23, reflecting an increase of 2.6%. In Q4 FY24, the Company experienced a notable increase in EBITDA and EBITDA margins compared to Q4 FY23. EBITDA in Q4FY24 stood at INR 109 crore as against INR 98 crore in Q4FY23, an increase of 11.2%. EBITDA margin for the quarter stood at 19.3% as against 18.1% in Q4FY23, an increase of 1.2%.

I will just try to explain the major factors leading to such improvement in EBITDA margins. The gross margin of the Company in Q4 FY24 stood at 50.5% against 53.5% in Q4 FY23, a decline of 3%. This decline in gross margin is mainly due to higher discount offers to address challenging market conditions. Despite the decline in gross margins, the Company managed to offset it by smartly phasing out the publicity spending during the year. As a result, publicity spending in Q4FY24 accounts for INR 15.4 crore versus INR 24 crore in Q4 FY23. This has positively impacted EBITDA margins by 1.7%. Further, the increase in other income from INR 9.8 crore in Q4FY23 to INR 16.4 crore in Q4FY24 contributed positively to EBITDA margins by 1.1%. And lastly, cost optimization efforts resulting into savings in opex cost has further supported the EBITDA margin by 1.4%.

In FY 24, the Company continued its strategy of investing more in publicity with total spending reaching to INR 63 crore as compared to INR 57 crore in FY 23. This deliberate choice underscores the Company's commitment to enhancing its share of voice in the market. Despite challenging economic conditions, this sustained investment reflects the Company's dedication to maintaining strong visibility and market presence, potentially paving the way for long-term growth and competitive advantage.

For the quarter under review, 51% of the top line was from sanitaryware, 38% from faucetware, tiles represented 9% and wellness 2%. On a Y-o-Y basis, sanitaryware revenue registered a decrease of 2%; faucetware revenues increased by 10%, tiles decreased by 10% and wellness increased by 21%.

The sanitaryware and faucetware verticals continue to be the cornerstone of our business, together contributing 89% of the overall revenue. In Q4FY24, 41% of our sales were in the premium category, 35% in the mid category, a

nd 24% in the entry-level category.

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Profit after tax was INR 75 crore in Q4FY24 versus INR 62.9 crore in Q4FY23, representing an increase of 19.2%. EPS for the quarter stood at INR 57.69 versus INR 48.39 in Q4FY23.

The changes in the working capital position in the current quarter as compared to the corresponding quarter for the previous year were as follows: Inventory days reduced from 77 to 70 days, receivables days slightly increased from 32 days to 34

days and payable days increased from 40 to 45 days. Therefore, the net working capital days were reduced from 69 days to 59 days in Q4FY24 .

As on March 31, 2024, our cash and cash equivalents stood at INR 828 crore showcasing an increase of INR 141 crore or 20.5% compared to March 31, 2023 at INR 687 crore .

In terms of our sales distribution, Tier 1 cities accounted for 34% of the total sales; Tier 2 cities - 21% and Tier 3 cities led with 45% of the total sales in Q4 FY24.

During the recent past, internal accruals were utilized to fund the two capital expenditure programs. Looking ahead, we aim to maintain the flexibility to use a portion of our cash and cash equivalents as needed without any plans for debt raising or equity dilution to support the capacity expansions.

Additionally, the Board of Directors announced a dividend of INR 60 per share, representing 1,200% of the face value per share.

In conclusion, I would like to emphasize that given the various inherent strengths and dominant position within the sector, we are committed to maintaining a strong financial discipline. Moving forward, Cera remains steadfast in its pursuit of consistently improving its financial performance.

With this, I would now like to request the moderator to open the line for Q&A.

Thank you very much.

Moderator: The first question is from the line of Jaspreet Arora from Equentis PMS.

Jaspreet Arora: My first question was, if you could just repeat, you said the fiscal year March '27 , now we are looking at revenue target of INR 2,900 crore . Did I hear that right?

Vikas Kothari: Yes.

Jaspreet Arora: Okay. And that's about 16% CAGR from March '24 exit that you've done?

Vikas Kothari: Correct.

Jaspreet Arora: Okay. Great. The other question was , I missed that number. So , you gave the split of FY24 segment -wise, how well you did, right . So, wellness grew 10%, tiles grew 10%, what was the breakup for the other two?

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Vikas Kothari: So, the breakup was as far as the sanitary is concerned, there was a decline of 2%.

Jaspreet Arora: 2%. okay.

Vikas Kothari: Faucetware, there is a growth of 10%, and wellness 21% growth and in case of tiles, decreased by around 10%.

Jaspreet Arora: Tiles was minus 10%?

Vikas Kothari: Yes.

Jaspreet Arora: Okay. Sorry, sir. I heard plus 10. And within this , possible to break it up between volume and price, the trend?

Vikas Kothari: So right now, it is not possible in terms of the breakup of trend between volume.

So, it is a mix of factors resulting into the segmental performance.

Jaspreet Arora: Okay. Okay, fair. And so...

Deepak Chaudhary: Like you can write down the numbers also. I am talking about Q4 FY23-24, sanitaryware was INR 273 crore , faucetware was INR 202 crore , wellness was INR 11 crore , and tiles was INR 51 crore . I'll repeat INR 273 crore , INR 202 crore , INR 11 crore and INR 51 crore .

Jaspreet Arora: Sure. And the trend that you gave the percentage up or down, that was for the full year, right, FY 24, right?

Vikas Kothari: No, this is for the quarter.

Jaspreet Arora: No. Initially, what you gave wellness grew 10%, tiles minus 10%, faucets plus 10%, sanitaryware minus 2%.

Vikas Kothari: Yes, this is for the quarter.

Jaspreet Arora: Oh, this is for the quarter , I a

m sorry. Okay so, what is it for the full year, sir, could you give that as well for the last financial year?

Deepak Chaudhary: For the last financial year FY 23 - 24, I'll just give you the again breakup in numbers in crore . Sanitaryware was INR 959 crore , faucetware was INR 671 crore , wellness was INR 37.54 crore , let's say INR 38 crore and tiles was INR 191 crore . I'll just give you the year -on-year growth also. Sanitaryware is negative 0.3%, more or less stable, faucetware is positive 9.8%, wellness is 21.1% growth and tiles is 0.8% growth.

Jaspreet Arora: Okay. Now the follow -up here, sir, is this muted ness in sanitaryware, I am talking about the full year now , I am not talking about the fourth quarter. I am saying largely the full year , this muted ness in sanitaryware and also in tiles, what are some of the reasons that you could ascribe this to?

Vikas Kothari: So ideally speaking, in terms of the sanitaryware or in terms of the tiles, the question what you have raised in terms of the demand getting muted. So, as you know, as far as the financial year 2024 is concerned, it is impacted by subdued demand across all the regions. And in terms of the sanitaryware, if you see, since we are established in this segment for a larger period than faucetware, and the market size with respect to faucetware is quite big as compared to sanitaryware. So, some impact with respect to this slowness has contributed, and we are hopeful that financial year 2025, I think after these elections are over, we will be again resuming back in terms of the positivity in demand and then the things will improve better.

Jaspreet Arora: Sure. I am actually just trying to get, see what we hear on the ground is and obviously, I am sure you're going to counter that by saying, the real estate activity seems to be very, very high, very active, very buoyant, right? And obviously the following demand will be realized later, but this activity was strong in '23. It's not that FY24 is less strong than FY23. Parallely, the GDP at 7.5 -plus percent, IPA is at 6%. So, GDP will not grow like drastically next year for the, so I am just trying to understand on ground why demand impacted, why is demand flat. I am sure our market share loss not there. If at all, you would have gained market share. But on - ground, what are some of the reasons because the demand is so lackluster, which is like 0%, assuming you have a market share net gain only and not a loss?

Vikas Kothari: So, when we are talking about the real estate upswing, so definitely, there is a real estate upswing. But as far as our products are concerned, sanitaryware and faucetware, generally means these products, if you see, they are installed at last stage of the project. And we see that in the last year, there are projects which are near to completion, and we have a good project bank right now available. So definitely, it's a phasing impact which is there. So, this real estate upswing will provide us sort of the projects and other things, and that will be encashed in this financial year.

Jaspreet Arora: Okay. I mean the real estate activity was equally strong in FY22 - 23. I am just not very clear why is this. Anyway, so I mean, still not very clear on what's exactly leading to this lackluster demand. This year, we are confident that beyond Q1, I understand Q1 will not be great, but I'm still not very clear but happy to hear you talk later on in the call. Thank you.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: The first question is related to the sanitaryware. In the last call, you have said that the average price increase in the sanitaryware taken off 2% and effective from February 2024, so is that taken? And after that, the 2% of degrowth in the sanitaryware you had

observed in Q4?

Vikas Kothari: Yes. So as far as this sanitaryware is in terms of the price rise if you see, means we have not taken any price rise in the past 20 months. The recent price rise, which was taken in February 2024 was 2% in sanitaryware segment to offset the impact

of the increased input costs. So ideally speaking, the price rise has been taken, but it is just to offset this impact.

Praveen Sahay: Okay. Second question is related to the cost saving program you had said, which has delivered the improvement in the margin apart from your cut in the publishing expenses. So, is that continue in the nature, like the way forward, you will see such kind of a margin profile to continue in the FY 25? Maybe comment on that.

Vikas Kothari: So, like you see as far as the margin stories are concerned. So, in this particular quarter, if you see the margins have performed or we have sustained and improved the margins. So ideally speaking, the margins will be sustained and as the demand conditions improve, definitely, the margins will also improve.

Praveen Sahay: Okay. And last sir, on the number. Can you give the gas prices for the quarter?

Vikas Kothari: Yes. So, in terms of the gas prices means gas prices remain favorable during the quarter. So, the average gas price from GAIL was INR 28.35 per cubic meter in Q4 FY24, which was INR 35.67 per cubic meter in the last year's quarter. The average gas price from SGL, Sabarmati Gas was INR 50.12 per cubic meter in Q4FY24 as against INR 57.40 per cubic meter in Q4 FY23. And this positive trail of lower price is further supported by the increase of gas from GAIL, reaching to 80% in Q4FY24. So traditionally, we were having 50 -50 ratio. So, in this year, if you see the draw l from GAIL has improved. And in this particular quarter, 80% of the gas is drawn

from GAIL and 20% from Sabarmati. And the weighted average cost of gas in Q4, considering both GAIL and Sabarmati was INR 32.63 per cubic meter as opposed to INR 43.23 per cubic meter in Q4 FY23, which is, I would say, significantly lower than the industry average.

Moderator: The next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan: So my question is related to the sales. So, I think we have around 6,000 touch points at which we sell. How this has actually moved in the last 1 year. What are any changes you made in your distributor reach as well as the dealer reach? I mean I just want to understand that. And within that, how much is overlapping between sanitaryware and faucetware?

Vikas Kothari: So, regarding the distribution networking, if we see, we are having a base of around 6,200 dealers. And this network, if you see in terms of the growth versus the previous year, so previous year, we were having around 5,400 dealers were there. So, there is a growth of around 800 dealers. And of these if you see the base of the retailers also because our distribution network is largely through dealers. And since we have introduced this loyalty program for the retailers, so from there, we are counting the numbers also. This is the invoice uploaded to the system. So, our retailers base has also improved, which was around 14,500, in March 2023, and it is now increased to 19,300.

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Lakshminarayanan: Okay. And you are tracking sales at the dealer to retailer level? Or you are also tracking sales at the dealer level?

Deepak Chaudhary: Our sales tracking is only to the dealers. It is only through the Retailer Loyalty Program where we have started asking for invoices to be uploaded onto their applications that we start getting to know what kind of numbers of retailers are there and also at what pace that they have done. But per se, we don't have a direct relationship with

the retailers. We are mostly selling to the dealers.

Lakshminarayanan: And what is the mix between, I mean how much is the overlapping between faucetware and sanitaryware?

Deepak Chaudhary: I think most of our dealers are common. Sanitaryware dealers would be selling faucetware and faucetware like vice versa. We don't have separate for sanitaryware and faucetware. Tiles, you'll find there are separate dealers exclusively who are dealing in tiles, but sanitaryware and faucetware are mostly common.

Moderator: We'll take the next question from the line of Achal Lohade from JM Financial.

Achal Lohade: Sir, just a little clarity on this. You said the distribution, if you look at the dealer or the retailer touch points have increased meaningfully yet our growth is weak. How do we explain this? Is there a market share loss in certain pockets and gain in certain pockets, which is offsetting? How do we explain this despite such a significant increase in distribution touch points, the sales didn't see much increase, I am saying from the full year perspective. The growth excluding tiles is just 4%.

Deepak Chaudhary: The dealer distribution network increase, that is a continuous process. Like as a Company, we are always in the process of enrolling new dealers so that we can reach out to newer areas and areas which were not covered earlier. But the demand sluggishness, which has been there in the industry, if the macroeconomic factors are such that they are not supporting and there is a certain amount of demand which is prevailing in the market. The reach outlook that we are doing, the kind of reach that we are able to create, right now, we're not able to see results because the demand was slow. But as we go forward and the demand improves with the kind of increased reach, you'll find that the benefits that we have of the reach that we have created right now will be coming in once the improvement in demand happens.

Achal Lohade: Okay. Understood. The second question I have is with respect to the market size, if you could help us understand, I know it's hard to quantify, but just a ballpark in terms of what is the market size of sanitary and faucet for the full year FY 24? And what kind of decline or increase you would have seen for the full year at the industry level? Just a ballpark number would also help.

Vikas Kothari: So, like you rightly told, it is difficult in terms as such, there is no establishment in terms of the figures. But our understanding, which is on a very global basis. So sanitaryware, we see the market size between organized and unorganized is around

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INR 9,000 crore to INR 10,000 crore. And faucetware being a larger market,

between organized and unorganized, it is around INR 14,000 crore .

And now your second question with respect to the market share and all. So ideally speaking, as far as Cera is concerned, and where our presence is across all the segments. And like the last year and especially from the second half year, the things with respect to the prevailing market conditions and the demand were a little bit sluggish and which is felt across the industry. So those points are there. So ideally speaking, in terms of the short-term fluctuations, which are there, I don't think that there is going to be a loss of market share as the things will improve or the conditions will improve, definitely, in terms of the revenue and the margins, the scenarios will change.

Achal Lohade: Understood. Just one clarification with respect to the premium mix. Currently, you said it is about 45%, if I am not wrong, sir? Aggregate for the quarter, 45%?

Vikas Kothari: Yes. So ..

Achal Lohade: Premium is 24% is for the quarter.

Vikas Kothari: So, I will just give you the split between this entry, mid and premium. So, the entry, I am just giving the figures with respec

t to Q4FY24 . Entry is 24%, mid is 35% and premium is 41%.

Achal Lohade: Okay. Because Q3, I see entry level is 43%, mid is 34% and premium is 23%. There is a significant change. Is that so sir?

Vikas Kothari: No. So even if you see the corresponding previous year quarter, the entry was 26%, the mid was 31%, and the premium was 43%.

Achal Lohade: And for the full year if you could give the premium number, sir.

Vikas Kothari: And for the full year, it is for the FY24, entry is 24%, mid is 33% and premium is 43%.

Vis-a-vis, the last year, last FY23, that is entry is 27%, mid is 30% and premium was 43%. Is that okay?

Moderator: The next question is from the line of Udit from Yes Securities.

Udit Gajiwala : Sir, firstly, on gross margin, if you could elaborate, I mean, even despite the price hike, we had to do some volume push. So , the margins have definitely come down.

So, could you just directionally give us what was the change in ASP or something that has come up because the margins are drastically down?

Vikas Kothari: So, I think the elaborative explanation I have given during the opening remarks, which I have read. But again, since you have raised this question, I just want to clarify you. So historically, our gross margins remain between 52% to 53% or 54%.

This time, the gross margin as compared to the previous Q4FY23, we saw a decline of 3%. So, this decline is largely, like I explained, is on account of the higher

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discounts being offered. And this is mainly the prevailing market conditions to address the prevailing market conditions. So that was there. But however, this decline is largely offset by the other savings or the other initiatives, what we have taken so th at it is reflecting overall in terms of the EBITDA, it is showing a growth of 1.2%.

Udit Gajiwala : Right, sir. And secondly, sir, what will be your budgeted spend for advertisement for the coming fiscal given that you see headwinds to continue?

Vikas Kothari: So as far as you see the trend of the publicity spends are concerned, so means in the last year, we landed at around INR 63 crore . Prior to that, it was INR 57 crore .

So more or less, our spend budgeted for this financial year will be around INR 63 crore to INR 65 crore ..

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Investment Managers.

Dhananjai Bagrodia: Just few couple of questions. Are we seeing maybe some of our competitors who now are entering into the space with offerings of going to builders with pipes and sanitaryware and faucetware, are they having any competition pressure towards us?

Vikas Kothari: Can you repeat your question, it was not clear.

Dhananjai Bagrodia: Some of our competitors now have entered who were earlier in pipes, now they've entered into sanitaryware, faucetware and they are directly approaching builders and giving them the full offering of behind the wall to front of the wall. Are we seeing any of that competition phase up when we speak to builde rs or any of the dealers directly.

Deepak Chaudhary: Your question is in respect to like the competition, which has entered from pipe and other areas in to faucetware . You can just again repeat your question, like what are you really asking.

Dhananjai Bagrodia: So how are they doing? Are we seeing in terms of competition on how they have

been doing?

Deepak Chaudhary: No. We are of the sense that they have been having a very difficult time because what they are doing is, they're mostly trying to , they have not yet set up a factory. Most of them do not have a manufacturing facility. They are trying to source from the outsourcing partners, and they don't have the kind of depth and the range of SKUs that we have been able to offer and also the kind of dealer network that they have is extremely limited and very different from the

kind which is required in the

sanitaryware industry. So as such, we do not feel that they would be posing a major challenge. We are confident that within our space we are more concerned with the traditional players other than the new players who had entered the industry.

Moderator: The next question is from the line of Jenish Karia from Antique Stock Broking.

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Jenish Karia: First question is with regards to your opening remarks where you mentioned that you'll be rejuvenating the Senator brand and you also launched the Luster series of products and will be launching a dedicated brand stores for that phase. So , can you give some color on how does the tier-wise breakup of these brands are, where do we see the margins for these brands going forward? And what would be the revenue contribution from these specific brands in the next 3 to 5 years?

Deepak Chaudhary: The Luster was launched last year and the Senator has been there for roughly like 4 to 5 years now. As we said that we have been trying to concentrate on these particular brands . And number would be difficult to give right now because we have been , we are now just trying to focus on this particular category, the luxury segment. The reason is that we see that till now, the kind of focus which is required for this particular segment was not there. But now with the kind of growth which has been there in the luxury segment in the projects, which have been coming up in the luxury space. We are intended to concentrate on this area. So , the target would be that let's say, by the time that we are reaching 2,900, these brands should be contributing at least, let's say, 8% to 10% of our total turnover.

Jenish Karia: Okay. And what will be the average realizations for this? Like how much premium would it be to Cera brand? Just trying to calculate how much of the value addition can be in the next 3 to 5 years?

Deepak Chaudhary: See again, the kind of premium which will be there for luxury brands vis-a-vis the Cera premium brands would be quite higher. It will be something like 60% to 70%.

Jenish Karia: Okay , great. Sir, second question is with regards to your upcoming price hikes. So earlier, we used to take 2 price hikes each year. So , are we moving to that strategy from this year , or we plan to postpone into the next year considering the challenging demand scenario? And secondly, can you give some flavor on the EBITDA margin breakup for each of the segments for FY 24? That would be all.

Deepak Chaudhary: See, the kind of price hikes that we are going to take will depend upon the market conditions and also the way that the competitors have reactions. Normally, we have been more of a price leader in the segment, like we have been trying to take our own call with respect to what is environment, how much of price hike to take. But the current market scenario is such that price hike as of now is offering limited opportunities to take a price hike. So that will depend upon how the market situation changes in the future. So , we'd not like to comment on right now whether it will be 2 or 3 to something, it's going to be planned. It will depend upon the way that the situation changes. If the demand situation improves, and we feel that the price rise is possible, will take a price hike. But instead, what we have been doing is we have been concentrating on the cost aspect more, try to optimize our cost so that our margins are protected. So that the same effect that would have come from by taking a price rise is achieved by going towards a better cost model.

Jenish Karia: Okay. And sir, on the margin front, any flavor on the segmental margins for the year and going forward?

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Vikas Kothari: No. So as far as the segmental margins are concerned, we present the overall

margin. So segmental margins are difficult in terms of establishment, but being the overall margin that has already been explained.

Jenish Karia: Okay. And going forward, any guidance on the margin?

Vikas Kothari: Going forward?

Jenish Karia: Any future guidance on the margin? Will it remain the same or there will be some.

Vikas Kothari: No. So, like I already told, means we are even in the tougher situations where we are right now, we have sustained our margins. And as the demand situations improve, definitely, the margins will also improve.

Moderator: The next question is from the line of Bhaskar Chaudhry from Entrust.

Bhaskar Chaudhry: So just a question on the cash levels. Currently, they are at almost in excess of 40% of the total assets on the balance sheet. You did announce a dividend for the year.

But any thoughts on the broader level on the level of cash? And have you any plans for that?

Vikas Kothari: So as far as cash levels are concerned, we are having cash reserves of around INR 828 crore as on March 2024. And in terms of paying back to the shareholders, so this time, the Board has approved the dividend of INR 60 per share which is almost 32.6% of PAT. And as far as the projects which are going on, the capex programs, which are going on, they are completely funded through these internal accruals.

And as and when the new scenarios will come, the utilizations will be taken care of.

Moderator: The next question is from the line of Bhargav Buddhadev from Ambit Asset Management.

Bhargav Buddhadev: Sir, if you look at the last 5 -year CAGR for the Company, it's close to about 6%. So, when we are saying 16% revenue CAGR for the next 3 years, what are we assuming on the industry growth rate, are we likely to grow in line with the industry? Or are we assuming any market share gain?

Vikas Kothari: So ideally speaking, in terms of the revised guidance, what we have given regarding this 16% CAGR, which is there, so means the guidance is largely based on the current situation as well as the detailing what we have done in terms of estimating our 3 -years operating plan. So ideally, the factors which are going to contribute to this growth of 16% will be led by volume, which may be around 10% to 13%. And there will be some benefit from mix also, which is going to be around 4% to 6%, and the price will play between 2% to 3%.

Bhargav Buddhadev: Okay. And sir, as we assume a recovery in volumes, is it fair to say that this additional great schemes that you've offered in FY '24, that will be pulled back and will come back to 50% to 53% gross margin range?

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Vikas Kothari: Yes. So is, again, this is a seasonality, which is playing a role where you see the impact of gross margin being slightly lower as compared to the previous year or quarter. So again, like I told, we are quite hopeful in terms of the demand situations being getting improved after Q1. And definitely, the discounts and other offerings which are there because we are not taking any price rise. We are not giving any sort of other things. So, to meet out the situation, this is a seasonal impact, which is there. So that will be taken care of.

Bhargav Buddhadev: And lastly, sir, what is the capex for the next 2 years?

Vikas Kothari: So the capex for the next financial year or the routine capex is around INR 25.4 crore, and this is largely taking care of the routine plant and machinery replacements, enhancing our customer touch points and some IT -related and logistics developments.

Bhargav Buddhadev: And this greenfield is on top of it, the sanitaryware INR 150 crore.

Deepak Chaudhary: So greenfield is which is the routine capex, which I have discussed. As far as greenfield is concerned, so means a majority portion of the land, it is acquired by March 2024 and around 85% of the

land is acquired and balance 20% is under due diligence, and we expect that it is going to be completed by July 2024. And then we will see in terms of the construction of the new plant facility at an appropriate point of time considering the market scenarios and the market dynamics, which is there. And we estimate that it will take around 18 months from the zero date.

Moderator: Ladies and gentlemen, this is the last question for today, which is from the line of Akash from UTI Mutual Funds.

Akash Shah: Just wanted to ask what is the capacity utilization in sanitaryware segment?

Vikas Kothari: In sanitaryware segment, the capacity utilization in Q4 was 82%.

Akash Shah: Okay. So in sanitaryware greenfield expansion, we had a plan of spending close to INR 120 crore to INR 130 crore. Out of that majority of land parcel we have already acquired. So, what would be the cost of that land? And would that be sitting in FY 24 capex?

Vikas Kothari: No. So as far as land is concerned, so it is costing around INR 25 crore out of this INR 130 crore.

Akash Shah: And that has not been spent yet. Is it?

Vikas Kothari: No, that is already spent.

Akash Shah: So that will be in FY 24 cash flow statement, right?

Vikas Kothari: Correct.

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Akash Shah: Okay. sure. And sir, just last question. So earlier, we used to generate close to 30% to 35% of the sales from project segment or, let's say, developer segment and the balance was from retail segment. So, sir, I mean, how is the on-ground situation? I know, I mean, demand is sluggish, but considering the 16% revenue CAGR guidance for next 3 years, I mean even if demand revives, I mean, historically, over last, let's say, around 10 years also, the growth in sanitaryware segment has not been close to 16%. So, any sort of rough reason why we are guiding for 16% revenue CAGR over the next 3 years?

Vikas Kothari: So ideally when you talk about the projects in retail, so more or less, it's a dynamic model. And if we see in terms of means when we say globally, it is 70:30 as far as Cera is concerned. But considering the current sluggish demand and other factors which are there. So, if we see in FY24, the ratio is 65:35 in projects. So that is one part. And secondly, answering your question with respect to the 16% CAGR, what we have estimated on a 3-years operating plan basis, so this is taking into consideration the split, what we understand is going to be there considering the real estate growth and the retail market improvements.

Akash Shah: Sure, sir. So basically, we are saying that even Tier 2, Tier 3 cities, demand will improve from the current level?

Vikas Kothari: Correct.

Moderator: As that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Deepak Chaudhary: Thank you, everyone for attending this call and showing interest in Cera Sanitaryware Limited. Should you need any further clarification or would like to know more about the Company, please feel free to reach out to me or to CDR India. Thank you once again for taking time to join the call. Thanks, and bye.

Vikas Kothari: Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Cera Sanitaryware Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.



## Call: Aug 2024

CSL/2024- 25/215  
20th August , 2024

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA  
Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 13  
th August , 2024  
Ref: Regulation 30 of the SERI (LODR) Regulations, 2015

With reference to our letter CSL/2024 -25/192 dated 5th August, 2024 , intimating you about the Q 1 FY202 5 Earnings Conference Call held on 13th August, 2024 , please find attached the transcript of the aforesaid conference call.  
The same is available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.

Thanking you,  
For Cera Sanitaryware Limited.

Hemal Sadiwala  
Company Secretary  
Encl: As Above

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CERA Sanitaryware Limited  
Q1 FY25 Earnings Conference Call  
August 13, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 earnings conference call of Cera Sanitary ware Limited . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mayank Vaswani of C DR India. Thank you and over to you, Mr. Vaswani.  
Mayank Vaswani: Good morning, everyone, and thank you for joining us on the earnings conference call for Cera Sanitary ware L imited to discuss the Q1 FY25 earnings , which were announced yesterday. We have with us today the management team comprising Mr. Vikas Kothari - CFO; and Mr. Deepak Chaudh ary, - Vice President, Finance and Investor Relations at Cera Sanitaryware. We will start with brief opening remarks from the management, following which we shall open the call for Q&A.  
A quick disclaimer before we begin. Some of the statements made in today's conference call may be forward -looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier. I will now turn the call over to the management for their opening remarks. Over to you, sir.

Deepak Chaudhary: Thank you, Mayank. Good morning, everyone. On behalf of the management team of Cera Sanitaryware Limited, I would like to welcome you to our earnings conference call. I will begin by sharing some updates on the operations and strategy, following which our CFO, Mr. Vikas Kothari, will run you through the key financial highlights.

The first quarter of FY 25 continued to experience challenging market conditions driven by subdued demand across key markets, intense heat wave conditions and the effects of general elections. Despite these headwinds, the Company reported revenues of INR 398 crore and profit after tax of INR 47 crore for Q1 FY 25. Our Sanitaryware and Faucetware business segments contributed 53% and 36% of our total Q1 FY 25 revenues, respectively.

While our sales this quarter did not reflect significant growth, we remain committed to our long-term vision. To be noted that Q1 results do not impact our guidance, since we have already taken into consideration the expected slow performance in Q1 and Q2 of the financial year. We are confident that growth will gain momentum from the later half of the year.

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New product development accounted for 32% of the total sales in this last quarter. Over the past few years, there has

been a growing consumer shift towards luxury properties and high-value bathroom fittings, especially in the major cities. To capitalize on this trend, Cera has been undertaking strategic measures to enhance its offerings and capabilities. We are committed to strengthening our presence in the luxury segment over the next five years. Although we are still in the early stages of seeing substantial numerical progress, our focus remains on laying the groundwork for its long-term growth. Our upcoming product launches will continue to feature innovative designs and value-added features tailored to luxury seeking consumers.

As most of you are aware, Cera currently has four distinct brands: Cera, Luxe, Lustre and Senator. The introduction of new SKUs, the refreshing of existing lines and expanding into new product categories have significantly broadened our portfolio. While our flagship brand, Cera, continues to perform strongly in the key markets, Senator, Lustre and Luxe are poised to make notable numbers into the luxury segment.

Additionally, we are focusing on premiumization in Tier 2 and Tier 3 towns to meet the evolving demand of these markets. This balanced approach not only reinforces our commitment to serving a diverse customer base, but also strengthens our market position and adaptability. By seizing opportunities across all market segments, we ensure our relevance and competitiveness while maintaining margins.

In Q1 FY 25, our imports from China totalled INR 7 crore, representing 2% of the sales. Cera remains committed to reducing reliance on Chinese products, financing our in-house manufacturing capabilities and diversifying our supply chain sources. In the previous financial year, Cera successfully completed the expansion of its Faucetware facility, which increased our monthly production capacity from 3 lakh to 4 lakh pieces. I am pleased to report that the plant is running efficiently after the ramp-up period. With adequate inventory levels, we have optimized our production strategy to achieve an ideal balance between production and inventory resulting in faucetware capacity utilization of 84% in Q1 FY25.

Regarding our upcoming greenfield sanitaryware facility, we have successfully acquired a major land parcel. Due diligence is ongoing to secure the remaining land, which is anticipated to be completed by September 2024. These strategic expansion in Sanitaryware and Faucetware underline our commitment to broadening our premium and luxury product range, ensuring high quality and precision to advance manufacturing technology and stringent quality control.

Our budget for regular and routine capex for FY 2024-2025 is INR 25.40 crore, encompassing essential upgrades in our Sanitaryware and Faucetware plants, including machinery replacement, customer touchpoint enhancements and IT

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developments. These investments are aimed at ensuring operational efficiency with continuity and improved logistics.

Since launching the Retailer Loyalty Program in FY 2022-2023, we have enrolled

over 20,000 retailers and accumulated more than 3 lakh invoices on the application . Of the total retail sales amounting to INR 217 crore , 37% are eligible for loyalty rewards.

In FY 24, we achieved the highest ever advertising spend of INR 63.2 crore , representing 3.4% of sales. In Q1 FY 25, we have spent INR 11.5 crore as compared with INR 11 crore in Q1 of FY 24 towards publicity, which is in line with our projected spending for FY 25.

Our focus on effective cost management and operational efficiencies has enabled us to sustain our margins without implementing any substantial price increases. In Q1 FY 25, our sanitary ware plant achieved a capacity utilization rate of 76%, reflecting our balanced approach to production and inventory management. For the quarter, B2C sales

comprised 64% of our total revenue. Looking ahead, we anticipate continuous strong demand from both B2C consumers and the growing B2B projects market. Strategically, we are leveraging project sales to manage inventory effectively. Maintaining strong margins has always been a priority at CERA. While we recognize the growing significance of B2B project sales and are committed to integrating this channel into our business strategy, we remain selective about the projects that we are undertaking.

I would like to reiterate that CERA is committed to a comprehensive set of strategic initiatives designed to drive growth and strengthen our market presence. These initiatives include expanding our production capacity, enhancing our capabilities for complex and high -value products, and investing in new product development. Our continued focus on advertising and marketing aims to boost brand visibility , while emphasizing on premiumization and improving our network and distribution channels, which will enable us to capture higher market segments. Additionally, we are fortifying industry relationships through engagement with key influencers such as architects and plumbers. Collectively, these efforts are intended to position CERA for sustained success and reinforce our competitive edge in the market.

In conclusion, while Q1 FY 25 continued to present some near -term challenges, CERA Sanitaryware remains resilient and focused on our strategic objectives. We are confident that our comprehensive initiatives will enable us to navigate these challenges effectively. As we move forward, we are optimistic about leveraging our strengths and addressing evolving market demands to continue delivering value to our stakeholders and maintaining our leadership in the sanitaryware and faucetware industry.

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With this, I would like to hand over to Mr. Vikas Kothari, our CFO, who will present the operational and financial highlights for the quarter ended 30th June 2024. Thank you, and over to you, Mr. Vikas Kothari.

Vikas Kothari: Thank you, Deepak, and a very good morning to everyone. I will now provide a brief overview of the company's financial performance for the quarter ended 30th June 2024.

In Q1 FY 25, revenue from operations stood at INR 398 crore as against INR 427 crore in Q1 FY 24, registering a decline of 6.8%. EBITDA in Q1 FY 25 stood at INR 72 crore as against INR 84 crore in Q1 FY 24. EBITDA margins for the current quarter stood at INR 17.5 as against 19% in Q1 FY 24, registering a decrease of 150 basis points.

The decline in EBITDA margins is due to lower fixed -cost absorption caused by decreased sales and higher discounts offered to address the challenging market conditions.

For the quarter under review, 53% of revenue came from sanitaryware, 36% from faucetware, and 9% from tiles, and wellness contributed 2%. On a Y -o-Y basis, sanitaryware revenue decreased by 9%, faucetware revenue decreased by 5%, tiles by 20%, and the wellness improved by 16%.

The sanitaryware and faucetware segments remain the cornerstone of our business, contributing 89% of total revenue. In Q1 FY 25, 44% of our sales were in premium category, 32% in mid -category, and 24% in entry -level category.

Profit after tax was INR 47 crore in Q1 FY 25 as compared to INR 56 crore in Q1 FY 24, registering a decrease of 16.1%. EPS for the quarter stood at INR 36.11 compared to INR 43.35 in Q1 FY 24.

In terms of the working capital, inventory days increased from 74 days to 75 days, receivables days remained stable at 28 days, and payable days stretched from 30 to 37 days. Consequently, the net working capital days were reduced from 72 days

to 66 days in Q1 FY 25.

As on June 30, 2024, our cash and cash equivalents stood at INR 864 crore, marking an increase of INR 109 crore or 14.4% compared to the corresponding previous

quarters.

Regarding sales distribution, Tier 1 cities accounted for 35% of total sales, Tier 2 cities for 22%, and Tier 3 cities led with 43% of total sales.

In addition, I am pleased to announce that the Board of Directors at its meeting held on 5th August has approved buyback of its fully paid equity shares through "tender route" at a price of INR 12,000/- per equity share for an aggregate amount not exceeding INR 130 crore excluding any expense incurred or to be incurred for the buyback.

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In conclusion, I want to re-emphasize our commitment to maintaining strong financial discipline, leveraging our inherent strengths, and solidifying our leading position in the sector.

With this, I would now request the moderator to open the line for Q&A. Thank you so much.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: Sir, regarding the bifurcation you've provided among the Tier 1, Tier 2, Tier 3, as well as the entry and the premium level; if I look at your Tier 1 sales, they've actually increased on a Y-o-Y basis while Tier 3 and Tier 2 have declined. Did you observe greater competition or a demand slowdown in Tier 2 and Tier 3 compared to Tier 1?

Vikas Kothari: So, as per my understanding, as far as the tier bifurcations are concerned and if we compare with the previous comparisons; more or less there is a demand slowness in all the tiers. However, if we see in terms of the breakup means for the Tier 1, it was 35% versus the previous corresponding quarter 33%. Tier 2 it was 22% and the previous corresponding quarter it was 22%. And in Tier 3, the percentage is 43% against the previous quarter corresponding 45%. So as such, if you see in terms of the impact of the slowness of demand is concerned, it has impacted all regions, all cities or tiers and including the market segments.

Praveen Sahay: So, it's just that your contribution has changed. However, everywhere you have seen the impact to be quite equal.

Deepak Chaudhary: Yes correct. What I would suggest is we should not read too much into 1% or 2% up and down between the tiers in between quarter-on-quarter because these changes will keep on finding between one quarter to the next. So more or less the idea is, it is not that one of the sectors are experiencing slowdown vis-a-vis other tiers are expecting less lower than the others kind of a slowdown. Our sense is that all the three tiers are having a kind of slowdown, and we anticipate that this should improve from the second half of the year.

Praveen Sahay: Second question is related to the gas. How has been the gas pricing as an average and if you can give the GAIL and the Sabarmati number as well?

Vikas Kothari: The gas cost as we have seen in the previous year also, the gas has largely benefited in terms of the overall price. So, gas prices remain favourable during this quarter also. The average gas price from GAIL was INR 28.38 per cubic meter as against INR 29.31 in Q1 FY24. Similarly, the average gas price from SGL was INR 51.40 per cubic meter as against INR 50.01 per cubic meter in increased drover of gas from GAIL reaching out to roughly 86% in Q1 FY25 which was 78%. So, the trend was positive in the Q1 and the overall weighted average gas cost in Q1 was at INR 31.64 as against INR 33.91 in Q1 FY24 which is significantly lower as compared to the industry standards.

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Praveen Sahay: The last question is related to the margin profile. So, for this quarter we had seen a correction in the margins. Can you give some guidance for the rest of the year because your guidance of EBITDA margin of 16% plus and INR 29 billion for March 27, as you said you

are sticking to that. So next nine months where you are seeing this margin profile to be?

Vikas Kothari: As far as margins are concerned, as I have already mentioned that the margins were

impacted because of the activity impact, but this we see it to be for a very short term. We are quite confident in terms of the margins which we will keep intact between 16% to 17%. I would say it will further improve as the demand situation will improve. So, it is just one quarter where largely all the major industry players including CERA have seen the slowness on account of different factors. So that has somewhat impacted the margins, but for the rest of the year we are quite confident that the margins will be maintained between 16% to 17%.

Moderator: We will take the next question from the line of Rishi Kothari from Pi Square Investments.

Rishi Kothari: In the initial stage you said that Q1 FY25 was not a good quarter for the Company, but we are maintaining our targets for the coming future. So, do we have any set numbers that we have given that this target are going to be met in two, three years down the line for top line or bottom line?

Vikas Kothari: So, regarding the guidance what we have given earlier was of reaching the target of INR 2,900 by March 27 which will remain intact. We have set this target after factoring for the expected slow performance in Q1 and Q2 of the current financial year. We anticipate that the improvement in the demand condition will start from the second half of the year. So as far as the guidance which we have given of maintaining a 16% CAGR over a period of three years is intact.

Rishi Kothari: In terms of the actual outcome in the market, I see that the real estate market is anyway booming, people are buying homes and all sort of things. CERA Sanitaryware is something that comes secondary to the value chain of the real estate market, but still there is some muted demand if we see the FY23 to 24 results. The revenue top line has not increased that much. So, what's the main problem that you are facing? Is it that people are going more towards the other brands, or the organized sector is emerging or what sort of things are we facing right now?

Deepak Chaudhary: The industry by itself has not been doing too great since quarter three of the last year. So, it is not that CERA Sanitaryware has not been performing well. It is the industry as such which is facing kind of demand challenges since Q3. And Q1 was particularly impacted because of elections and the intense heatwave conditions which was prevailing in the country. As Mr. Vikas mentioned earlier, we anticipate that from Q3 onwards the demand situation should improve. And essentially what we want to stress is, this is not something which is impacting our Company only. It is something which is impacting the market as a whole.

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Rishi Kothari: What is the percentage of organized sector as a sanitaryware industry and as a faucetware industry?

Deepak Chaudhary: You are talking about the size of the organized and the unorganized sector.

Rishi Kothari: Yes.

Deepak Chaudhary: The figures are not very readily available but what we generally estimate is that the sanitaryware industry size of the organized sector would be INR 5,000 for sanitaryware and INR 8,000 for faucetware. The unorganized for the sanitaryware industry would be something like INR 4,000 crore and faucetware would be INR 6,000 crore. So, total would be something like sanitaryware INR 9,000 and faucetware INR 14,000.

Rishi Kothari: How have we seen the change in shift from organized to unorganized? Do we see any increase in terms of the growth targets or do we see any sort of improvement eventually from unorganized to organized?

Deepak Chaudhary: There has been some shift from the unorganized to the organized, like post the

co  
ming of GST there was anticipation that there would be movement from the market share from the unorganized to the organized which has happened also. If you want specific numbers those are not available. But going forward also you will find that shift from the unorganized to the organized is a kind of slow process because most of the unorganized sector is concentrated in the Morbi belt and you will find that as of now, they are facing a lot of challenges in quite a few respects. One in respect of the kind of raw material increases which has happened in the faucet ware where the brass prices have increased significantly in the last, you can say 2 -3-4 months and also because of the fact that the pollution board has started becoming more and more strict in respect of the kind of emissions and effluents which are being discharged. So, this is a continuous process, and you will find that as the market grows it will be captured more by the organized players as opposed to the unorganized players, but it will be a slow process.

Moderator: We will take the next question from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: When you mention that you expect demand to improve from H2, is that based on hope or is it backed by some orders or inquiries that you are already receiving, and if so, from which segment? Largely when you are expecting demand to improve from H2 and you also stated that softness will continue in Q2, what gives you the confidence that demand will improve from H2 because there is already a low base of last H2 since you stated that since last Q3 your demand has been weak. What gives you the confidence that demand will improve from H2?

Deepak Chaudhary: See there are two segments in which we operate, one is B2C and another is B2B. The B2B segment has already started seeing improvements. If you look at our project bank size vis-a-vis December and if I compare December '23 with June '24, you will find that there has been an increase of something like 15% -20% on our project bank size which is indicating that the project business has started picking

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up. Retail has been going slow from Q3 and Q1, which was kind of anticipated also because of the fact that general elections were there. So, the project has kind of already picked up and we are anticipating that the project will be flowing on to the retail side as well. So Q3 we are anticipating, from the flow that we have already received on the project bank, that it should be reflecting on the retail side also.

Udit Gajiwala: That is helpful sir. In terms of the product mix change, the premium segment that constituted around 44%, what was the number in last Q1 and is there any target for this year or coming say by the time you want to achieve INR 2,900 crore topline, how much should premium be as a product portfolio?

Vikas Kothari: So just giving you the numbers in terms of the categories between premium, mid and entry. So, premium is 44% in Q1 FY25 and in Q1 FY24 it was 45%, mid was 32%, in the previous quarter it was 31% and entry it is 24% in Q1 FY25 as against 24% in Q1 FY24. So more or less if you see in terms of the categorization between entry, mid and premium more or less there is no major change.

However, in terms of the efforts what we are putting, in terms of the new category under which the three brands have been put i.e. Luxe, Senator and the Lustre series, which are going to showcase our luxury segment, so that is at a very initial implementation phase. In terms of putting the more product parcels or enriching the product profile, our team is working on that, and we will definitely see in the coming years that this particular category would also be growing.

Deepak Chaudhary: Another thing I like to mention, that as a Company, our entire range, whether it is entry, mid or the premium, enjoys

a very healthy margin profile. Normally, the expectation would be that the entry-level category should be having lower margins and the premium category would be having very high margins. So especially in case of Sanitaryware, across the 3 ranges i.e. the premium, mid and entry, the margins are equally good.

In faucetware, there is a slight differentiation between the margins of entry and the premiums. But otherwise, when we grow and grow in volumes, whether it is mid, entry or premium, the margins could be impacted in a positive manner, irrespective of where the growth is coming from. But our strive is always to move towards premium segment.

Moderator: The next question is from the line of Onkar Ghugardare from Shree investments.

Onkar Ghugardare: My question was basically regarding the loyalty programs, which you have done. Can you quantify the benefits which you have derived so far from that? And what kind of benefits to expect from those loyalty programs.

Deepak Chaudhary: See the main aim of the loyalty program is, as of now, if you look at our distribution model, it is centered mostly towards the dealers. Like we sell to the dealers and the dealers are selling to the retailers or sub-dealers. Now we kind of pass on benefits to the dealers, which they pass on to the retailers. The idea of the loyalty program

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is to pass on the benefits which we pass on to the dealers to be further passed on to the retailers directly.

So, what this loyalty program has done is that we have been able to gather database in respect of what kind of retailer profile we have, what kind of buying that they are able to do. Because whenever they are upcoding their invoicing to get a sense about what kind of product preferences are there. And also, we are able to pass on the benefits directly to the retailers, which earlier we were dependent upon the

dealer s.

So, depending upon how we want to tweak our sales, how we want to tweak and push our products, we can design our loyalty program accordingly. So , the main benefit which is there that instead of relying on the dealer, now we are able to go directly to the retailer t hrough our own programs.

Onkar Ghugardare: So, it is only just to collect the database or any monitoring the effect to the Company in the long term?

Deepak Chaudhary: No, the monitoring aspect is also there. As I told you, it is enabling us to push the products that we really want to . One is, we gather information and gather data about what products are really being demanded by the consumers. And second is, when we want to push something , the benefits , the kind of rewards, which were earlier being pushed to the dealers can directly go to the retailers.

So that is kind of you know we have a direct subsidy program of the Government .

So, you don't have an in-between , the person who was there as a middleman in between has been bypassed and you are going in directly to the retailer and pushing in products which we really want to promote.

Onkar Ghugardare: The second question is on the cash position. You mentioned you have around INR 864 crore of cash. This is excluding the INR 130 crore buyback or including the buyback? Also, after doing the buyback, you will be continuing with the higher dividend payout s, which we have been doing for the last 2 -odd years? Or how it will work out?

Vikas Kothari: So, regarding the cash reserves, so just to brief you the cash reserve position, as on June 30, 2024, is INR 684 crore , which is including th is buyback part what we have recently announced. In terms of the options where we have the distribution of excess cash, so the dividends if you see we have increased the dividend significantly in the past 2 years from around INR 26 crore in 2021 -'22 to INR 65 crore in 2022 - '23. Continuing the same , the Company

has declared dividend of dividend of INR 60 per share which is amounting to INR 78 crore in financial year '23 -'24. So , this tr end will continue in terms of paying out healthy dividends as part of maximizing the benefits or returns to the shareholders. And at the same time, the buyback is also announced. So that is another part. And in terms of the results which are there, there are some capex options which will come. So that can be taken care of .

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Deepak Chaudhary: Just a small correction, the cash reserves was INR 864 crore . This was before buybacks.

Onkar Ghugardare: Okay. So INR 130 crore will be less than that, INR 864 crore .

Deepak Chaudhary: Correct.

Moderator: The next question is from the line of Aasim Bharde from DAM Capital.

Aasim Bharde : The first question was on the Sanitaryware plant capex. So , 85% of the land bank has already been acquired . 15%, which was supposed to be done by June, now that is expected to be done by September. Any change in the timeline by the time the plant is actually commissioned? It was supposed to come by FY 26-end earlier?

Deepak Chaudhary: No, what we had said was that it will take 18 months from the day starting of the commissioning of the plant, it will take 18 months from the zero date . It has not yet started. As you rightly pointed out, the earlier the timing was that we should be completing the balance parcel by June. What is happening is remaining portion of the land which is there consists of extremely small parcel. The acquisition of that land is taking some time. So we anticipate that it should be completed by September, October kind of a thing.

Aasim Bharde : But no civil work or anything I started on the balance land that you already acquired, is it?

Deepak Chaudhary: No, civil work has already been started. That decision to start the civil work would also depend upon the kind of demand situation which we are seeing right now. Once we see an uptick in the demand, we will be starting with the civil work. And the civil work is possible, to start even on the portion of the land which has already been acquired.

Aasim Bharde : But still, while the latest that the plant would be commissioned appears to the October 2026 ; 24 months from October of this year. Assume, we do the land basically acquired the balance land, right?

Deepak Chaudhary: Correct. If you're trying to understand that how we would be able to cater to the demand situation in between ; so the way that we are progressing and how we are seeing it is that we are already in a very good kind of inventory position. We have very good outsourcing arrangements and also the kind of mix that we are having

currently within our plans, it is possible to shift the mix and increase production of more premium products, once we see an upswing in the demand. So we don't see any challenge in terms of meeting the interim situation and the plant is under construction. So as of now, we are waiting for the demand to improve slightly so that we can start with the commission of the plant.

Aasim Bharde : Sure, got that. I think you guys have made that pretty clear earlier also. So, I just was curious about when the new plant starts in. And second, to an earlier question, you just spoke about project sales have picked up. You also mentioned project bank

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that has gone up from 15% to 20%. I just want to understand what exactly do you mean by this project bank? How do you define it?

Deepak Chaudhary: See, what happens is when we are receiving an order for a project that we will receive can say 3 to 4 months to somebody who is requiring immediately, immediate delivery. So, once we are receiving an order the delivery period extends up to 1 year like an order which has been accepted today, some parts of the order

will be delivered today, and balance will be delivered after some time. And it keeps on happening because the requirements of the project also keep on coming up in phases. So mostly when you're talking about the project bank it is that orders which have been received but which are to be executed. And normally, the price validity and the acceptance which we do, remain valid for a period of 1 year.

Aasim Bharde : Okay. So, it just another term for order book?

Deepak Chaudhary: Correct.

Aasim Bharde : Got it. Thank you very much.

Moderator: We'll take the next question from the line of Akash Shah from UTI Mutual Fund.

Akash Shah: Just wanted to check what is the capacity utilization in faucetware plant? I missed that.

Vikas Kothari: So, regarding the capacity utilization, the faucetware plant is operating at 84% of capacity in Q1 in this quarter and the Sanitaryware is at 76% in this current quarter.

And this lowering down the capacity is to have a balancing impact in terms of the inventories what we are having and to see how we can speed up once the demand improves.

Akash Shah: And when you say that we would be trying to achieve INR 2,900 crore revenue by FY27, if you can roughly share how would the growth target look like in FY 25 or if not FY25, what would be the growth target in FY 26, if you can share?

Vikas Kothari: So, regarding the guidance what we have given of the 16% CAGR over a period of 3 years, so like I told, we have already taken into consideration the first half performance of the FY 25, which is going to be slow or muted. And if you see for the whole year basis that is '24-'25 as the full year, growth is projected to be in single digits. And the expected compounded CAGR 16%, it is going to be achieved by the increased run rate when you see that the demand is going to be improved in the next 2 years.

Akash Shah: Okay. So basically, we are broadly expecting healthy growth in FY 26 and FY27.

Vikas Kothari: Correct.

Akash Shah: Sir, you said that project bank size has increased. So roughly over, let's say, the next 9 months or by FY 26, do you see the revenue mix changing in favour of the project

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segment? Or do you still believe that at least 65% to 70% of the overall revenue would come from the retail segment?

Deepak Chaudhary: As of now, the total project to retail ratio, 64:36. It was earlier something like 65:35. So there has been a slight change towards the projects. So that would totally depend upon how the retail market is picking up because once the retail market picks up, we find that it will start going back to the level which was there earlier. If there is like stretch in the pickup of the retail market then maybe the certain percentage might go up slightly again, by a couple of percentage points. And if this retail picks up, we go back to the same level which was earlier.

Akash Shah: Right. So even if, let's say, if project segment comes to roughly 40% of the overall revenue still, we are fine with that.

Deepak Chaudhary: Correct. Because if you see a differential like the kind of margins that we have in retail segment vis-a-vis that we earn in the project segment the discounts would be higher in the project segment by you can say 5% to 6%. So, if you are talking about the kind of 5% movement from retail to projects then the 5% will be kind of 0.5%



impact on our overall margin, which we don't anticipate too much of a challenge as such. So even if it goes up to 60-40 and would take some time for the retail to pick up, we'll be fine with that. It will not impact the margins by too much.

Moderator: The next question is from the line of Raj Shah from Marcellus Investment Managers.

Raj Shah: My question was regarding FY24 annual numbers. There is a significant reduction in power and fuel

costs. So as a percentage of sales, it has reduced to 1.9%, which used to be 3% to 4% in the last decade. This is in spite of the fact that our purchases of finished goods has also reduced. So, the question was what led to this significant reduction and what we can expect in FY 25?

Deepak Chaudhary: I think you'll have to repeat the question. You're saying that the power cost has reduced by 1.9%?

Raj Shah: Reduced to 1.9% of sales, which used to be 3% to 4% of sales.

Deepak Chaudhary: It has reduced to 1.9% of sales as opposed to 3% to 4% of sales. You are asking why there has been a reduction in the power and fuel costs.

Raj Shah: Yes.

Vikas Kothari: This is largely led by the increase in the consumption which we have been able to do from GAIL. We have two sources for gas, one is GAIL and another is from Sabarmati. GAIL is subsidized. Earlier the drawal from GAIL was much lower, so that the weighted average seems to be higher. Now with the increase like as Mr. Vikasji mentioned we are able to draw 84% of our gas from the lower subsidized portion. So that is why the gas cost on an overall business has improved. Also, we have the windmills wherein it kind of compensates for the electricity costs which have been incurred by CERA. In the last year, a couple of windmills were under repair, so we

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were not able to draw from there. So, once we have come to the current year, all those draws have again resumed from the windmills, the ones which were under repair. So, both these factors combined, like increased drawal from the windmills and the increased drawal from GAIL, have led to a reduction in the fuel and gas cost.

Raj Shah: Okay. So, moving forward, what we can expect as a percentage of sales, what should be the power and fuel cost?

Vikas Kothari: As a percentage of sale, it is 1.3%, 1.4%.

Deepak Chaudhary: It should remain at those levels

Vikas Kothari: Yes.

Moderator: We'll take the next question from the line of Prem Choudhary from Pinc Wealth.

Prem Choudhary: I have two questions. First, the margin difference between premium, entry and mid-level. And second, our order book, current order book from project banks, from project business.

Deepak Chaudhary: See, As I told earlier, the margins for the sanitary ware between the entry, premium and mid are more or less the same. It is slightly higher for the premium ones, but more or less, it varies differently across the various SKUs, across various ranges. But in sanitary ware, even the entry levels enjoy pretty good margins, comparable with the premium margins. In faucetware, there will be a slight difference. The entry won't enjoy such high margins as compared to the premium ones.

As for the respect of the order book, I cannot give you the numbers as such. But as I said earlier, as compared to December, the total order book has gone up by 15% to 20% for projects.

Prem Choudhary: Okay. And the execution period for the project bank?

Deepak Chaudhary: Yes. It is normally like to be happening, but it's a continuous process. So order banks, the older ones keep on getting executed and we have new orders that keep on coming in. The validity of an order for the price that we quote is the valid for one year.

Prem Choudhary: Okay. That's it from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Deepak Chaudhary: Thank you, everyone, for attending this call and for sharing interest in Cera Sanitaryware Limited. Should you need any further clarification, would you like to know more about the Company, please feel free to reach out to me or CDR India. Thank you once again for taking time to join the call. Thanks a lot, and bye.

Moderator: Thank you, members of the management. On behalf of Cera Sanitaryware Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: Nov 2024

CSL/2024- 25/335  
21st November , 2024

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA  
Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 13  
th November, 2024  
Ref: Regulation 30 of the SERI (LODR) Regulations, 2015

With reference to our letter CSL/2024- 25/316 dated 30th October, 2024 , intimating you about the Q 2 FY202 5 Earnings Conference Call held on 13th November, 2024, please find attached the transcript of the aforesaid conference call.

The same is available on the website of the company, i.e. [www.cera -india.com](http://www.cera -india.com)

We hope you will take the same on your records.

Thanking you,  
For Cera Sanitaryware Limited.

Hemal Sadiwala  
Company Secretary  
Encl: As Above

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Cera Sanitaryware Limited  
Q2 & H1 FY25 Earnings Conference Call Transcript  
November 13, 2024

Moderator : Ladies and gentlemen , good day and welcome to the earnings conference call of Cera Sanitaryware Limited. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mayank Vaswani of CDR India. Thank you and over to you.

Mayank Vaswani: Good morning, everyone, and thank you for joining us on the earnings conference call for Cera Sanitaryware Limited , which is being hosted for the second quarter and first half of financial year 2025 , the earnings of which were announced yesterday.

We have with us today , the management team comprising Mr. Vikas Kothari - CFO; and Mr. Deepak Chaudhary - VP, Finance and Investor Relations.

We will start with brief opening remarks from the management, following which we will open the call for Q&A. A quick disclaimer before we begin ; - some of the statements made in today's conference call may be forward -looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier. I would now turn the call over to the management for

their opening remarks .

Deepak Chaudhary: Good morning , everyone. On behalf of the management team of CERA Sanitaryware Limited , I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on the operations and strategy , following which our CFO , Mr. Vikas Kothari will run you through the key financial highlights.

Building on the challenges of the first quarter , Q2 FY25 continued to face market pressures , which was further intensified by an extended monsoon season. Despite these headwinds, Cera recorded revenues from operations of Rs. 490 crore and profits after tax of Rs. 68 crore for Q2 FY25, achieving a year -on-year growth of 6.3% and 19.7%, respectively. EBITDA for the quarter was 88 crore , marking a marginal increase of 0.8%.

These results underscore the resilience of our core business segments and our ability to adapt and perform in a complex environment. Compared to Q1 FY25, this gradual demand uptrend strengthens our optimism for a steady recovery as we progress into the second half of FY25.

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In terms of segment contributions, sanitaryware and faucet ware accounted for 46% and 41% of the total revenues, respectively. We are optimistic about the continued recovery in demand in the second ha

If of FY25 and our ability to effectively leverage this momentum to drive growth. New product development across all segments accounted for 34% of total sales in this quarter.

To address the impact of rising input costs, namely brass prices, wherein prices increased by 18% between March and June, we implemented a strategic price adjustment in September 2024, applying a 6% increase for faucets and 1% increase for sanitaryware. These pricing adjustments are expected to help cushion our margins in the upcoming quarters, supporting our ability to maintain profitability in a challenging cost environment.

We remain focused on gradually expanding our footprint in the luxury segment. The ongoing expansion of SKUs across our premium brands, Senator and Lux e, will enrich our presence in this market, catering to the increasing demand for high -value, design -centric bath room solutions. As consumer preferences evolve towards luxury properties and sophisticated fittings, we are enhancing our product range offerings, including innovations such as electronic toilets, touch -free flushing with vibe sense , tankless sensor closets, etc. , to meet these expectations. While it may take some time for significant results to materialize, our strategic efforts have established a robust foundation for future growth, and we are confident of the long -term potential of our high -end offerings. Having said this, our flagship brand Cera continues to perform well across key markets. The expanded faucet ware capacity, which now stands at 4 lakh units per month, is yielding positive results, with utilization rates steadily improving.

There remains a noteworthy opportunity in the growing faucet ware segment, with demand further driven by a shorter replacement cycle compared to other categories. We have seen subdued traction in the sanitaryware segment in the recent months but are confident that our pickup is around the corner, which will allow us to capitalize on strong growth potential of this segment. As a result, we are well placed across both sanitaryware and faucet ware segments to capture growth opportunities.

Land acquisition for sanitaryware greenfield project has been completed. The construction of the new facility would be completed in 18 months from the zero date. It is not expected that expansion shall start in the current financial year, looking at the current market situation. The start date shall be revisited at the end of the current financial year.

With adequate inventory levels, we have optimized our production strategy to balance production and inventory, achieving faucet ware capacity utilization of 93% and sanitaryware capacity utilization at 89% in Q2 FY25. These initiatives will strengthen our ability to effectively meet anticipated demand, and we expect enhanced performance as the market continues to stabilize and grow.

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Our planned CAPEX for FY25 stands at Rs. 25 crore , of which we have already deployed Rs. 11 crore by H1 FY25. These investments are directed towards key operational enhancements, including upgrades to our sanitaryware and faucet ware

facilities, improvement to customer touch points and advancements in IT infrastructure. This CAPEX aligns with our strategy to drive operational efficiency and consistently deliver high quality products.

In terms of marketing, Cera continues to maintain strong visibility in the market. Our advertising spends are on track, with Rs. 16 crore allocated in Q2 FY25 compared to Rs. 15 crore in Q2 of FY24. This level of investment reinforces our brand's presence and supports our premiumization efforts, particularly in Tier-2 and Tier-3 towns where we see growing demands.

Since the launch of the Retailer Loyalty Program, we have enrolled over 21,700 retailers with more than 3.6 lakh invoices recorded.

d. This program has been

instrumental in driving loyalty and supporting retail sales. Of the total retail sales amounting to Rs. 97 crore, 39% are eligible for loyalty rewards. We continue to see strong engagement with our loyalty program, which underpins our market position and fosters stronger partnerships within the retail network.

As part of our strategic initiatives, we are also strengthening our B2B sales approach. B2B sales contributed 37% of Q2 revenue, demonstrating our selective focus on project sales that align with our profitability and margin goals. We believe that balancing our B2C and B2B sales channels while optimizing inventory levels enable us to effectively capture growth opportunities across various varied market segments.

During the quarter, we successfully concluded the buyback of shares amounting to Rs. 130 crore. The buyback involved purchase of 108,333 fully paid-up equity shares at Rs. 12,000 per share, effectively returning part of the surplus cash to shareholders. This initiative, along with our consistent and steadily increasing dividend payments over the years, reinforces our commitment to delivering value to our shareholders while upholding a robust financial foundation.

Our business fundamentals remain strong, supported by five key pillars:

- First, our operational excellence with advanced automated processes in our sanitary ware and faucet ware facilities.
- Second, our disciplined capital management, which has strengthened our financial position.
- Third, our efficient operations, including just-in-time vendor arrangements, streamline inventory management, and the focus on receivables.
- Fourth, our strong distribution network, built over many years, which ensures the ability and accessibility of Cera products, enhancing our market reach and customer satisfaction.

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- Finally, our commitment to innovation drives continuous improvement in our product offerings, ensuring we meet evolving customer needs and maintain a competitive edge in the market.

To summarize; Q2 FY25 marked an encouraging period as we observed early signs of recovery within a relatively challenging macro-led environment, and we anticipate improved performance in the second half of this financial year. As we expect an uptick in the demand, Cera is poised to capitalize on the growth momentum. The Company remains committed to its strategic initiatives aimed at sustaining growth, enhancing brand visibility, and strengthening its market presence. We are confident that our focus on innovation, advancement, and financial prudence, coupled with our inherent strengths, position us to effectively navigate any macroeconomic uncertainties and drive value for our stakeholders. With this, I would like to hand over to Mr. Vikas Kothari – our CFO, who will present the operational and financial highlights for the quarter ended 30th September 2024. Thank you, and over to you, Mr. Vikas Kothari.

Vikas Kothari: Thank you, Deepak. A very good morning to everyone. I will now provide a brief overview of the Company's financial performance for the quarter and half year ended 30th September 2024.

In Q2 FY25, revenue from operations stood at Rs. 490 crore as against Rs. 461 crore in Q2 FY24, registering an increase of 6.3%. EBITDA in Q2 FY25 stood at Rs. 88 crore as against Rs. 87 crore in Q2 FY24. EBITDA margins for the current quarter stood at 17.3% as against 18.4% in Q2 FY24, registering a decrease of 110 basis points. This decline in margin was mainly on account of increase in 'opex' cost, which is partially offset by favorable absorption.

Gas prices remained favorable during the quarter. The average gas price from GAIL was Rs. 28.46 per cubic meter in Q2 FY25 as opposed to Rs. 28.72 per cubic meter in

Q2 FY24. The average gas price from Sa

barmati, which rose to Rs. 53.89 per cubic meter in Q2 FY25 from Rs. 44.53 per cubic meter in Q2 FY24. The positive trend is further supported by increased drawal of gas from GAIL reaching 78% in Q2 FY25 compared to 70% in Q2 FY24. The weighted average cost of gas in Q2 FY25 was Rs. 33.95 per cubic meter, which is notably below the industry average. Gas cost constitutes 1.55% of the total revenue.

For the quarter under review, revenue contributions were as follows : sanitaryw are at 46%, faucet ware at 41%, ti les at 10% and wellness at 3%.

On a Y-o-Y basis, faucet ware revenue increased by 20%, wellness by 38% , while sanitaryw are revenue decreased by 6% and ti les by 11%. The sanitaryware and faucet ware segments remained the cornerstone of our business and have contributed 87% of the total revenue.

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In Q2 FY25, 41% of our sales were in the premium category, 34% in mid category and 25% in entry -level category.

Profit after tax was Rs. 68 crore in Q2 FY25 as compared to Rs. 57 crore in Q2 FY24, registering an increase of 19.3%. EPS for the quarter stood at Rs. 52.44 versus Rs. 43.74 in Q2 FY24.

In terms of the working capital management, inventory days increased from 73 days to 80 days, receivable days increased from 29 days to 33 days and payable days decreased from 42 days to 41 days. Consequently, the net working capital days increased from 60 days to 72 days in Q2 FY25.

Regarding the sales distribution, Tier-1 cities accounted for 34% of the total sales, Tier-2 cities - 21% and Tier-3 cities led with 45% of total sales.

For H1 FY25, the Company reported net revenues Rs. 888 crore consistent with H1 FY24, EBITDA - Rs. 160 crore , a decrease from Rs. 171 crore in H1 FY24, profit after tax - Rs. 115 crore , a slight increase from Rs. 113 crore in H1 FY24. Overall, the Company maintained stable revenues and profit on Y-O-Y basis.

As on September 30, 2024, our cash and cash equivalents stood at Rs. 659 crore , marking a decrease of Rs. 92 crore or 12.3% compared to the previous corresponding quarter. This reduction was mainly on account of buyback offering during the quarter.

In conclusion ; I would like to emphasize that Cera remains dedicated to upholding strong financial discipline and effectively managing our resources to drive profitability. Our focus on operational efficiency and strategic initiatives will ensure as we continue to strengthen our financial performance.

With this, I would now request the moderator to open the line for Q&A. Thank you so much.

Moderator: We will now begin the question -and-answer session. We will take our first question from the line of Jenish Karia from Anti que Stock Broking.

Jenish Karia: While your commentary on premiumization is very encouraging, however, we can see that in your premium mix , which has fall en down to 41% during the quarter and also in your gross margin. So, c onsidering the faucet ware segment mix has improved to 41% compared to 36% in the last year, the gross margin do not reflect the similar performance. So, any highlight on that, why the gross margin is not reflecting the premiumization?

Deepak Chaudhary: In respect of the gross margin, the one thing which we would want to highlight is that the premium offerings as well as the entry levels both have been kind of stressed because of the market conditions . Also, in the last few quarters , if you see

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the amount of discounts that we have been offering , has gone up. Now the encouraging trend which has been happening in this particular quarter is that the discounts have started to kind of pull back. We have reduced our discounts as opposed to the previous few quarters. We are at same levels as we were in the previous y

ear . So, that is one positive trend which has happened that the discounts have come down. But simultaneously , especially in the faucet ware segment , the costs have gone up compared to the previous year , that the impact on the gross margins is not visible. The premiumization drive , which you are talking about that is something which will yield results over a period of time , but on a quarter -on-quarter

basis, the larger impact comes in on account of the discounts and the cost impacts. So, we have been able to maintain margins in the kind of, we can say, the stressed environment which is prevailing right now and that has been primarily because of the kind of discounts which we have been able to pull back which has been slightly hampered by the extra cost increase which has happened from the last year's corresponding quarter.

Jenish Karia: And could you quantify the discounts and reason for increase in other expenses on a sequential and Y-o-Y basis?

Deepak Chaudhary: Discounts have come back to the previous level. If I compare with immediate preceding quarters, discounts have come down by something like 1.25% to 1.5%, and the cost increase is happening across all segments like especially in faucets, the brass prices have increased significantly. There have been increases on account of the inflationary impact also, like our salary costs, they go up on a regular basis on a yearly basis. They would be increasing on an average by roughly 10.5% to 11%. So, the gas costs have kind of remained stable. So, we have been benefited by, to that extent, in respect of the gas costs. So, the inflationary impact is there ...

Jenish Karia: I was asking about other expenses.

Deepak Chaudhary: In other expenses, most of the expenses are unique in nature; like most of them have happened in this particular quarter. I will just give you a breakup of the major expenses which have led to the increase. One would be, we have carried out the buyback during this particular quarter. So, there were buyback expenses that was to the region of Rs. 1.8 crore. Power generation costs have gone up; they have gone up by something like Rs. 4 crore. That has been mostly an account of reduced generation from our wind farm. Normally, what happens is; when the wind farm which we have that generates power, so we get a credit for that, and our own power bill goes down. So, in this particular quarter, the power generation was down because of which the fuel and power costs went up by Rs. 4 crore. There were some showrooms that we had closed. We had to write off some assets in that respect. So, loss in respect of that came to something like Rs. 1.15 crore. And rental increases was in the region of Rs. 1 crore. So, that will kind of explain, roughly, I think, Rs. 7 to Rs. 8 crore of increase in the other expenses.

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Jenish Karia: That's very helpful. My next question is on the balance sheet; we did a Rs. 130 crore buyback. But if I look at the cash flow statement, it shows around Rs. 160 crore. So, am I missing something or am I reading it wrong?

Deepak Chaudhary: You are right. Rs. 130 crore was the amount of buyback; and you have to also pay tax on that separately. As of now till October, if you are conducting a buyback till the period of October, before October, then the buyback tax liability was on the Company itself. Now when you do a buyback next time, that tax liability will not be on the Company. It will be on the person who is receiving the buyback money, on the shareholder. That balance which you are seeing is on account of the taxation.

Jenish Karia: Do you want to revise your long-term guidance that you have given of Rs. 2,900 crore revenue? Also, the recovery that you mentioned in second half that you seeing, is it majorly from the

project's business because our B2B mix also has been improving, i.e. the B2B sales mix?

Deepak Chaudhary: Regarding the first question, whether we are wanting to revise a guideline of Rs. 2,900 crore by March 2027; see when we were making the projections, we had already factored in that the first two quarters of the current financial year would not be going as strong. And we foresee that with the kind of upswing which should happen in H2, we should be ending the current year with kind of high single-digit growth kind of a situation. And we foresee 20% plus kind of growth in the next two years. And that guidance which we have given for 2,900, as of now we would want to continue with that. There is no change in respect of the 2,900 by March 2027. Your second question was in respect of?

Jenish Karia: The recovery that we are seeing, is it majorly from the project side of the business in tier-1 cities and like that because our B2B sales mix has been increasing?

Deepak Chaudhary: Correct. If you look at the total project business, in the last six months from March to September, it has gone up by around 15%. And we anticipate a strong project demand in the coming half year also. But we are anticipating that this pickup in the retail segment should also happen in H2, because most of the factors which was there were specific factors which were operating this first half year. There were elections, there were extended monsoon, there was kind of an extreme heat wave. So, we don't foresee that same thing should be happening in H2. And we anticipate

that along with the project, the retail business should also pick up .

Jenish Karia: So, if project mix is increasing, should our margin for this year be around 14 %-15% only or should we get back to 16 %-18% rates?

Deepak Chaudhary: No, we should be having margin in the range of 16 %-17%. We had done something like 14.3% in the current quarter . With the price increase implemented in faucet ware , a 6% increase happened in faucet ware , 1% in sanitaryware ; so, the total impact in that respect in the second quarter rather in the second half should be to the extent of 1.5%. And the increase in volume etc. , will enable us to better lead to

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better absorption of fixed cost . So, we should be back in that range of 16 % to 17% in the coming H2.

Jenish Karia: When you say we expect 20% growth in the next two years, why don't we prepone our sanitary ware capacity expansion and why wait till the end of the year?

Deepak Chaudhary: The reason is that if you look at the current capacity utilization, we are something at 88%-89% for sanitaryware . We have adequate, we can take it up to something like 120% which we have been doing in the recent past, like if you go back, let's say, by 1-1.5 years, we were something like 115 %-220% capacity utilization was the working of the sanitaryware plan t. So, we have quite some leg room over there to increase capacities. Second , what has happened is with the reduction in the demand in the sanitaryware segment, the mix has also changed within the sanitaryware plan t. Earlier there were quite a few items which we were outsourcing which have now with the kind of reduction in optic and an increase in the inventory , we have changed from outsource to in -house . So, once the demands start picking up, we have even scope for again changing all these products which we have started manufacturing in-house to back to outsource . So, we have space to increase our production. One is that we can increase our production by , we can say , from 89% to 115% to 116 % which we were doing earlier. And second is that we can again change the mix. The items that we have brought in -house can again be outsourced. Plus, we also have a kind of inventory which we have built up over thi

s period which can also take care

of any interim demand spikes which can happen in between the time that we take up, start and complete our new sanitaryware project . So, in view of all these situations, we are holding up till the end of the year to take a view again and then start the project.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Sir, in your opening remarks, you had said about the expansion of our products in the luxury and the premium segment ; whereas on the number side if I look at for a quarter at least , your other side of the business growing or their contribution has increased . So, whatever the launch or the strategy change you are doing is going to impact or reflect in the coming quarters ?

Deepak Chaudhary: Yes, I will just try to answer that in the kind of the demarcation that we do in our business. The luxury segment which we talk about is something that we are trying to explore . We have mostly been in the entry level, mid-level and the premium segment , and the entry level is more where the multinationals are operating . So, we have now started up a program where we want to , let's say , within the next three years to five years , we want to have a total turnover of at least 10% coming from this luxury segment , but this program is going to take some time . As of now we are in the process of building and refurbishing the kind of revamping our total luxury portfolio . So, as of now we are in the process of revamping the products. This we anticipate should be completed by the end of the current financial year wherein we will be having a total revamped portfolio and the formal launch of that should be

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coming by the end of the current year. Next stage would be the kind of you can say , placement of that particular product for which we will be having kind of 50 branch stores which would be kind of dealing exclusively with these products , only the luxury products , not displaying a high -end products , not mixing it with the regular products . So this we intend that by March we should be having roughly 25 stores ready and balance 25 should be coming in within the next financial year .

So, the luxury segment is a kind of long -gone program which will take some time , and it will be more or less a target of three to five years as I said before by which we are targeting 10% of our revenues should come from this segment . And the balance , the effort is always there to try to be like introducing products in the premium



segment and that movement is again a gradual affair. You find that currently more of our offerings even within the entry range and more moving towards the higher price level. So, that is something which was happening on a continuous basis, and you will find that it has started lifting the results in a more phased manner much sooner than as we expect for the luxury segment.

Praveen Sahay: The next question is related to the faucet ware which has given some 23% of growth on the Y-o-Y side. Also, you mentioned about 6% increase in the prices which has been undertaken. So, in the 23%, 6% is the prices, rest is the volume growth you had done?

Deepak Chaudhary: No. This 6% which has happened, that will be happening more in the future. This price hike was announced by the middle of September. So, the effect would be coming in the future period i.e. in H2. But the impact, again, would not be 6% because what happens is the project business is something where the price increase takes some time to materialize, because most of the business is where the orders are already locked in, and the effect of price increase would take some time to come in. So, in the H2 on the basis of your price increase it will be to the effect, you can expect an increase more

on the effect of 6% in to, you can say, 60%, a rough cut 3.5% in the faucet ware.

Moderator: We will take our next question from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: On the faucet segment where we have displayed growth, I believe you have mentioned that project is one part, but otherwise the retail was soft. So, has the discounting been more to gain market share and we have pushed volumes? Was that a strategy for the quarter?

Deepak Chaudhary: Can repeat your question?

Udit Gajiwala: Sir, for the faucet we have seen huge growth versus our peers have definitely underperformed as per their numbers. So, these discounts and initiatives as per your remarks you have rolled back. But during the quarter, was there a discounting thing or higher incentives given to push the volumes?

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Deepak Chaudhary: No, there has been no increase in discount in faucet ware. In fact, as I mentioned earlier, vis-a-vis the immediate previous quarter, the discounts have come down. So, in faucet ware we are seeing an actual increase in volume, both in the project as well as in the retail market. That is primarily on account of the fact that we believe that the retail business in faucet ware is benefiting because of the fact that it has a shorter replacement cycle as opposed to your sanitaryware. Also, because the total average cost of a faucet ware is much lower as opposed to that of a sanitaryware, whenever a discretionary spending kind of goes down, you will find that higher spending items is held back and we feel that on account of that, the sanitaryware market is not doing as well as faucet ware. So, faucet ware, because of its shorter replacement cycles as well as, you can say, lower kind of pricing as compared to sanitaryware and other categories, they have been kind of having an upswing in the current quarter, both in the retail as well as projects. We anticipate that even going forward, sanitaryware, which had been muted in the retail segment, should also start looking up and in the coming H2 or maybe in the next year, we should start seeing that be reflecting in the sanitaryware segment also. To again summarize and answer your question; there was no discounting in faucet ware. It was an upswing in both the retail as well as the project B2B segment, upswing in the volumes.

Udit Gajiwala: And when we look at your remarks stating that a 20% kind of a growth is possible for coming two years; so, does that mean that we are in a cycle where with the pickup and handover of real estate, we may see sanitaryware, faucet demand picking up or it's more to do with the new construction, if you can just throw some light.

Vikas Kothari: So, regarding this point of the growth, which is coming in the coming next few years; so when we prepared our guidance for reaching Rs. 2,900 by March '27, we had taken detailed ground-level inputs as well as from our internal team. And we found that considering this up to H1, there is going to be slowness, which is evident also and is seen with the competitors also. We see that from H2 that the things will improve and we will see upswing in retail segment also. Projects, like Deepak mentioned; already if we compare the previous six months' data, there is an upswing because post COVID, whatever the projects which have started are going to be reaching their completion stage. And this will enable us to achieve our estimated growth, which is going to be 20% roughly in financial year '26 and '27 to reach out to our guidance what we have given.

Moderator: We will take our next question from the line of Mithun Aswath from Kivah Advisors .

Mithun Aswath: You mentioned that the second half is looking better, so I just wanted to get your thoughts in terms of ; do you t

hink the sanitaryware which has declined in this quarter, do you see a pickup happening there in the second half , and obviously faucet ware is growing . So for the full year, what sort of kind of overall growth would we end up with? Also , with this price hike you have taken in faucet ware , do you see margins improving quarter -on-quarter ? You have taken some hike also on the sanitaryware side. So, just wanted your sense on would there be improvements in

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margins as well in the next two quarters. That was my first question. My second question...

Deepak Chaudhary: I will take your first question first. Regarding your overall growth, like faucet ware as well as the sanitaryware, for the entire year, we are anticipating that we should be ending with kind of a high single -digit kind of growth. As I mentioned when we were answering the previous question, that the retail segment as of now in sanitaryware has been not doing well. The project segment has already started showing some signs of improvement in the sanitaryware segment . So, we anticipate that the H2 going forward, once the retail market also picks up, we should be ending up with stronger volumes in sanitaryware. Faucet ware , we have already started showing good growth numbers. We expect that this should continue in H2 also . So, with the retail segment picking up, we should expect to end the entire year with high single -digit kind of growth . In respect of margins, we anticipate that we should be reaching back to that level of 16% to 17% for the Company as a whole, because price increase will be giving us some leeway in terms of improvement of the margins. But the cost pressures have also been there , costs have also increased . So, on an overall basis, we anticipate that with the price increase, we should be having a benefit of 1.5% . So, we should be ending up in the same range of 16 % to 17% for the second half.

Mithun Aswath: 16% to 17 % , right , you mentioned ?

Deepak Chaudhary: Correct.

Mithun Aswath: And just wanted a better sense ; there is no capacity expansion happening in sanitaryware in the next couple of years . It is going to take 18 months to set up . So, your Rs. 2,900 -crore revenue target is not with this expansion, right?

Deepak Chaudhary: That is correct, because as I explained earlier, we have a lot of leeway within our current facility to increase capacity and with the kind of inventory that we are having right now, plus the kind of outsourcing arrangement that we have with our partners. All these factors taken together; we feel we are comfortable with the kind of volume increases which will happen over the next two years . So, within the next two years for reaching the 2,900, we don't anticipate any capacity challenges with the current plant .

Mithun Aswath: So, this new capacity of sanitaryware would give you growth from FY28 onwards, right?

Deepak Chaudhary: Correct.

Mithun Aswath: And what is that CAPEX and what sort of revenues can we achieve from that?

Deepak Chaudhary: The CAPEX , we are planning it in two phases . In the 1st phase , the capacity increase would be something like 1.2 million pieces per annum . So, for that, the capital expenditure would be in the region of Rs. 130 crore , and this is including the

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expenditure that we have already done for acquisition of land, that would be in the region of Rs. 25 crore to 30 crore , and the expected revenues from this expansion in Phase 1 should be in the region of Rs. 300 crore per annum.

Moderator: We will take our next question from the line of Prakash Kapadia from Spark PMS .

Prakash Kapadia: Earlier there were some supply disruptions from China, one of our large competitors was hinting at . So currently what is the scene r

io? Have the supply disruptions been

okay , is it easy or difficult to import from China , are costs going up ? If you could give us some sense?

Vikas Kothari: I can speak in respect of Cera. For C era, we will find that we have reduced our China imports to a great extent . Most of the items that we were importing earlier from China, we have been able to internalize, and we have started manufacturing those items within our own plant . The total Chinese import now constitutes only 3% of our

total revenue and is in the region of Rs. 13 crore only right now . So, for us, it is not making any difference as to what is happening in China . We are mostly producing mostly from our plant or outsourcing from Mo rbi.

Prakash Kapadia: But in general, costs have gone up, are they the same , is it easy or difficult to import from China ? Any trade sense you are getting?

Deepak Chaudhary: Earlier the main problem which had happened was the container rates had gone up to very high levels. They have now normalized. In between there have been a few spikes because of the Red Sea and other disruptions which are happening across the world. But more or less those problems which had occurred in between at that time have now been resolved.

Prakash Kapadia: And you mentioned about real estate delivery being the driver in the medium term.

So, typically , post -COVID all of these projects were launched and even now we are seeing real estate buoyancy in terms of sales happening. So, how does one get the trajectory in terms of your sales and the delivery sales or registration data ? Because we have primarily focused on tier-2, tier-3 cities , and that's been a large part of our sales and whatever we are reading, sensing about real estate sales has been pretty buoyant , but it's been very metro specific also . So, how do we try and relate that to in terms of our visibility ? If you could give us some sense , that would be very helpful.

Deepak Chaudhary: Most of the sales which have been happening in the metro cities have been pre - sales. As our products are installed at the last stage, the impact of that sales which has been happening in the growth buoyancy which we have been seeing in the real estate will start reflecting when the projects start getting completed, they reach the completion stages . So, typically a real estate project would take five years to six years to reach the completion stage . So, we can now anticipate that with post -COVID the projects which have started sometime in 2021 should be getting completed by more or less next financial year '25-'26 and '26-'27. So, the impact should start coming over there. You can see the kind of the break which you are seeing with most of

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the figures has been reported in respect of metro cities. That is mostly because these figures reported are more in respect of larger builders , but the same buoyancy which is there in metros are also there in Tier-2 and Tier-3 cities , but they are not reported as much . So, the same cycle which we are seeing in metros is happening over there also and over there also , we expect that coming next two years , the delivery should start happening.

Prakash Kapadia: And that would add and lead to confidence to our sales trajectory growth because that's a large part of our business tier-2, tier-3, right , that's the right way to look at it, right?

Deepak Chaudhary: Correct.

Moderator: We will take our next question from the line of Naysar Parikh from Native Capital .

Naysar Parikh: So, my question is that you spoke about sanitaryware, faucet ware and why the demands are slightly different. Can you also talk about in similar lines on rural and urban ? Earlier there was a slowdown in rural , but recent FMCG commentaries suggest that we could be seeing some uptick in rural, slowdown in urban and things like th

at. What are you seeing at your end?

Deepak Chaudhary: For us , we have still not started seeing that upstream in the retail in the rural segment . So, our sense would be that it has started happening slightly in the faucet ware , but it has not happened in the sanitary ware . But going forward , we are hopeful that even the retail segment in the rural should start picking up , but your question as you said , it started happening in the FMCG. Do we see in the case of sanitaryware and faucet, faucet slightly yes , but sanitaryware still not visible. It should happen in the next H1 and the coming years.

Naysar Parikh: And you mentioned that H2 is slightly looking better . So just based on the outlook on, you know , based on the sales that the real estate sector is seeing the kind of because the real estate obviously doing very well. There is a lag for us which is understandable , but still the lag seems to be rather long because on one side , real estate companies are showing stellar numbers, but we are struggling. So, is it raw materials? Is it competition or is it actually just end demand which is not there?

Deepak Chaudhary: So, as you mentioned yourself, there is a long gestation period for real estate. So, most of the buoyancy which we are seeing right now is in respect of presales. So, we should be seeing that translating into our numbers once we start reaching completion in the next , let's say, 2 to 3 years. So, we have to wait for the baby to come out , we can't rush it.

Naysar Parikh: And what about the competition ? Because especially in these kind of environment

where we are seeing the demand is low, but a lot of peers who are in tiles and pipes, they are obviously setting up plants for sanitaryware , faucet ware , etc. So, the number of players in a small market relatively is obviously increasing drastically. And

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on the other side, some of the Italian players are also being more aggressive. So, how do you look at competition now in this environment?

Deepak Chaudhary: We are not concerned about the competition because as you mentioned, like most of the other pipe companies, paint companies, etc. have also started with the sanitaryware and faucet ware business. But we find that most of them are mostly bulk sourcing from Morbi and trying to sell within a very basic kind of product. So, they are more in lines with the unorganized market. And those are not the markets that we are present, or want to enter. So, as of now we are not concern with these new players which have started coming up. The question would be why they are coming in , because they are as of now looking at the same real estate buoyancy which has been happening. And that is wh y they want to be present when the sales translation actually starts happening. So, we are already present with a very strong distribution network , with a very strong brand and a very strong promotional kind of spend which we do. So, we do not anticipate that they would be too much of a challenge. Once the upswing happens, we are well -positioned to capture the market.

Naysar Parikh: Do you think the upswing is still one or two years away, right?

Vikas Kothari: Correct.

Moderator: We will take our next question from the line of Vinamra Hirawat from JM Financial .

Vinamra Hirawat: My question was on faucet ware and sanitaryware. Firstly , you mentioned that faucet ware is getting stronger orders from the B2B side . So any one -time sale in faucet ware that pushed up the numbers substantially this quarter? And could I also know the differences in margins between sanitaryware and faucet ware ?

Deepak Chaudhary: There is no one -time kind of a thing which can push up the sales to such an extent. As I mentioned earlier also that the project demand has been going strong and in faucet ware the retail demand had also p

icked up in this particular quarter . So, it is not on account of pickup , it is not on account of a single large bulk order which we have received. In respect of the margin, we find that there is a difference at the gross margin levels between the sanitaryware and faucet , mainly an account of the high input cost in case of faucet ware , which is brass. But this margin is kind of made up in terms of the distribution logistic cost . Sanitaryware being kind of bulky item, the distribution cost s is much higher , the logistic costs are much higher. In case of faucet ware that is lower, which kind of offsets the difference in the gross margins, so that at the EBITDA level, we are able to get the same margins more or less for both sanitaryware as well as faucet .

Vinamra Hirawat: And secondly, your interest cost as a percentage of debt has been increasing substantially for the past couple of years. Any co lor on this as to why the percentage is going up?

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Deepak Chaudhary: The interest cost has not really gone up , the interest cost in the sense that the interest on our borrowings ...

Vinamra Hirawat: Yes, interest as a percentage of your debt.

Deepak Chaudhary: I got your question. I am just coming to that. It has not gone up. Why that interest finance cost has gone up , when you are looking at the profit and loss account is on account of the fact that we make our accounts based on IndAS and as per IndAS whenever we do a long -term arrangement in respect of rentals which we have been doing for our various showrooms that we have open and also mostly for our new warehouse that we have taken up, which became operational in Q2, so once it became operational, it's a long -term arrangement of 9 to 10 years wherein the future rental payments are capitalized and then you need to provide for depreciation and interest on that. So, what happens is the rentals don't come into the profit and loss account . Instead of that, the rentals go away , and you have depreciation and interest coming in instead of the rentals. So, that is why because of this reason you will find both depreciation as well as the interest has gone up by roughly Rs. 60, 60 lakhs on account of this reason alone .

Deepak Chaudhary: So, it is kind of notional . It is coming as a rental under normal accounting , but instea d of rental, it is coming as interest and your depreciation. Our total drawing CC limit is

something like Rs. 100 crore , whereas we normally draw only to the extent of Rs. 15 to 20 crore . The data has remained static in the last few quarters . That has not changed.

Vinamra Hirawat: And this is also in the case 2 -3 years ago, like whenever you opened showrooms, warehouses, it was capitalized, and it was recorded in the finance co st. That is what you guys used to do 2 -3 years ago as well?

Deepak Chaudhary: Correct. See, we are a cash -rich Company . We are having a huge amount of cash balances in our balance sheet . So, there is no reason why we would be taking up debt. So, interest, if it goes up, can only be on account of actual debt which has been taken, which has not happened in our case. Only interest cost which you are seeing, which is going up, is on account of the IndAS effect only.

Moderator: We will take our next question from the line of Utkarsh Nopany from B OB Capital.

Utkarsh Nopany: My first question is regarding your revenue growth guidance, which you have given earlier. So, our revenue growth has been flat in the first half of FY25. So, are we looking to grow our revenue in mid -teens in the second half of FY25 to clock high single -digit growth for this fiscal year?

Deepak Chaudhary: That is correct. Like, as I mentioned earlier, we should be ending the current year with higher single -digit growth.

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Utkarsh Nopany: And, on the APM gas, I just wanted to know, will there be any impact to us due to the change in APM gas allocation policy by the Government?

Vikas Kothari: I think as far as our arrangement is concerned, since we are having a mix of both GAIL and Sabarmati , so the impact Sabarmati is having the gas prices, which are more market driven, whereas from GAIL , we are getting at the subsidized rate . So, in our case, specifically in the case of Cera , we do not see any sort of major impact.

And secondly, the important thing is the draw als, which we are making from the subsidized source that is GAIL , that has also increased. It is ranging between 75 % to 78%, we draw from GAIL . So, that is making us more favorable in terms of gas prices.

Deepak Chaudhary: Gas that comes from GAIL is from localized well. So, that is an exclusive arrangement that the GAIL is having with the few companies within the particular Mehsana area . So, any other change which is happening will not affect our draw als from GAIL . That can only be supplied to these localized companies which are already having that supply.

Utkarsh Nopany: So, just wanted to know the share of GAIL gas is likely to remain stable at around , say, 75% to 78% going forward for us?

Vikas Kothari: This is more of a stable pattern because what we see over the last, I would say , 1.5 years, we are drawing the similar quantum of gas from GAIL . So, we do not see any major challenge in terms of drawing, reaching out to the maximization of gas from GAIL .

Utkarsh Nopany: If you can just give some sense, what is your ad spend budget for the second half of FY25? And if you can also provide your sales breakup by region wise into North , South , East, West and center?

Vikas Kothari: So as far as spends are concerned, so despite of all these challenging headwinds which are there in terms of market conditions and all, considering the publicity spends being the long -term measure, what we want to continue and what we want to showcase in terms of our different products and especially now working on the luxury segment also, so we have not compromised with respect to our publicity spends . So, publicity spends for the quarter ended 30th September 24 , it was around Rs. 15.5 crore versus previous corresponding quarter around Rs. 14.9 crore . So, that is there. And what's your second question?

Utkarsh Nopany: What is the sales break up by region wise into North , South , East, West and Central ?

Vikas Kothari: So, as far as the breakup is concerned for Q2, North it was around 33% , then West , it was 21%, South leading by 36% and East 9%.

Moderator: Thank you. Ladies and gentlemen , we will take that as the last question for today. I now hand the conference over to the Management Team for closing comments. Over to you , sir.

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Vikas Kothari: Thank you everyone for attending this call and for showing interest in CERA Sanitaryware Limited . Should you need any further clarification or would like to know more about the Company , please feel free to reach out to me or CDR India. Thank you once again for taking time to join the call. Thank you .

Moderator: Thank you , sir. On behalf of CERA Sanitaryware Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: Feb 2025

CSL/2024- 25/42 5  
17th February, 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 12th February , 202 5  
Ref: Regulation 30 of the SERI (LODR) Regulations, 2015  
With reference to our letter CSL/2024- 25/407 dated 3  
rd February, 2025 , intimating you  
about the Q 3 FY2025 Earnings Conference Call held on 12th February , 202 5, please find  
attached the transcript of the aforesaid conference call.  
The same is available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.  
Thanking you,  
For Cera Sanitaryware Limited.

Hemal Sadiwala  
Company Secretary  
Encl: As Above

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Cera Sanitaryware Limited  
Q3 & 9M FY25 Earnings Conference Call Transcript  
February 12 , 2025

Moderator : Ladies and gentlemen , good day and welcome to the Q3 FY 25 earnings conference call of Cera Sanitaryware Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “\*” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh of CDR India . Thank you , and over to you , Mr. Singh .

Devrishi Singh: Good morning , everyone , and thank you for joining us on Cera Sanitaryware Limited's earnings conference call, for the third quarter and nine months of the financial year 2025. The earnings of this period were announced yesterday.

We have with us today , the management team comprising Mr. Vikas Kothari - CFO; and Mr. Deepak Chaudhary - VP, Finance and Investor Relations.

We will start with brief opening remarks from the management, following which we will open the call for Q&A. A quick disclaimer before we begin ; - some of the statements made in today's conference call may be forward - looking in nature, and a detailed note in this regard is contained in the results

documents , that have been shared with all of you earlier.

I would now turn the call over to the management for their opening remarks.

Thank you , and over to you , sir.

Deepak Chaudhary: Thank you , Devrishi . Good morning, everyone. On behalf of the management team of Cera Sanitaryware Limited , I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on the operation and strategy , following which our CFO , – Mr. Vikas Kothari will run you through the key financial highlights.

In Q3 FY25, while we initially witnessed early signs of demand improvement, market conditions remained challenging as persistent headwinds continued to suppress growth. As a result, demand did not pick up as expected previously. Despite these headwinds , we achieved a 2.9 % year -on-year growth , increasing revenue from Rs. 437 crore to Rs. 449 crore . EBITDA for the quarter stood at 71 crore , reflecting a 5.2% de -growth on a Y-on-Y basis.

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Our Sanitaryware and Faucetware segments contributed 50% and 37% to our revenues , with the B2B segment gaining traction even as retail demand remains subdued. Our strong brand equity , diverse product portfolio , operational discipline, and inherent strengths help us navigate most of these macro -led demand challenges to a large extent, reducing the impact that would

otherwise have been more significant.

CERA , – our flagship brand, continues to demonstrate resilience and is expected to sustain its growth trajectory in the long run. At the same time, we continue to take necessary initiatives to strengthen our presence in the growing luxury segment with Senator emerging as a new horizon, alongside , Cera Luxe . These brands cater to evolving consumer preferences with a diverse range of offerings , including Red Dot award -winning electronic toilets, designer art basins, colorful Sanitaryware and faucet fixtures , thermostatic diverters and high -performance showers and a comprehensive range of Wellness products such as OxySpa , and air and water massage bathtubs . Our product development efforts are progressing well and in Q3 FY25, we successfully developed 158 new SKUs in the Senator brand and launched 104 new SKUs under the CERA brand .

Alongside continuous innovation, we are expanding our exclusive store network and enhancing product displays. By the end of FY25, we aim to establish 20 to 25 exclusive Senator stores and thereafter we will establish another 50 stores in the following year, enabling scaling up to 75 stores by FY 26. In existing stores, we are ramping up displays with Luxe products set to be showcased in over 100 existing stores by the end of next year. Further, we are strengthening our tile offerings with a focus on high -end value -added products, including large 6x4 slabs.

While our expansion in the luxury segment will take some time to translate into significant results, we are confident that our strategic efforts will position us well to capitalize on its long -term growth potential of the segment.

The expansion of our Faucetware manufacturing capacity to 4 lakh units per month continues to yield positive results with utilization rates improving sequentially. We see strong replacement demand in this segment, which presents a significant growth opportunity.

While demand in the Sanitaryware segment has remained subdued in the recent months, we are confident that the growth trajectory will regain momentum as the overall market environment improves. The B2C segment has been sluggish but with evolving consumer preferences , urbanization trends , and the gradual recovery in real estate combined with regular cycles of renovation and upgradation , we expect demand to pick up over time.

The Union Budget announced on February 1, 2025, introduced several positive measures aimed at boosting consumer sentiment and discretionary spending.

The reduction in income tax rates are expected to enhance disposable income , thereby increasing homebuyers' affinity to spend and hence stimulating demand in the building materials industry. Additionally, the

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allocation of Rs. 15,000 crore under the SWAMIH Fund to complete stalled



housing projects is anticipated to accelerate the completion of over 1 lakh housing units , further supporting the real estate sector. These initiatives are expected to positively impact market demand for our products.

On the production front, our focus remains on optimizing production efficiency and balancing inventory. Faucetware capacity utilization stood at 91% while Sanitaryware capacity utilization was 90% during the quarter. These levels ensure that we are well -positioned to meet the anticipated demands in the future.

Our planned CAPEX for FY25 stands at Rs . 25 crore , with Rs . 15 crore already deployed during 9 MFY25. These investments are directed towards manufacturing enhancement , retail experience improvements , and IT infrastructure advancements, all aimed at strengthening our operational efficiency and product quality.

Our advertising and marketing spend for the quarter stood at Rs. 14 crore as compared to Rs . 22 crore in Q3 FY24. The Company continues to reap

the

benefits of the sustained efforts it has undertaken in this area over the years.

Our brand ambassador , Kiara Advani , along with our advertising tagline , "CERA , this is your space , play it your way " has played a key role in enhancing brand recall while targeted advertising across multiple platforms ensures widespread visibility. Additionally, we have increasingly liberalized social media platforms such as LinkedIn, Instagram, Facebook, and YouTube to reach niche audiences. Collaborations with social influences have further amplified our brand presence , driving deeper engagement and increasing visibility among younger, digitally savvy consumers.

The Retailer Loyalty Program remains a key initiative in strengthening our engagement with channel partners. As of Q3 FY25, we have enrolled 23 ,000 plus retailers with more than 4 lakh inv oices recorded under the program.

Retail sales linked to the program contributed to 42% of the total retail revenue, reinforcing a strong retailer engagement.

While demand in the B2C segment remains sluggish , the B2B segment continues to gain momentum, contributing 35% of the Q3 FY25 revenues. This shift underscores our ability to cater to institutional buyers, developers, and large -scale projects , reinforcing CERA 's position as a preferred brand in the industry. Maintaining an optimal mix of B2C and B2B sales remains a priority, allowing us to enhance sales predictability while capitalizing on diverse market opportunities.

To summarize, Q3 FY25 continue d to reflect the sluggish demand environment.

However, as we are reaching the end of the fiscal year, we anticipate closing the year with lower single -digit growth only. Going forward, CERA is strategically positioned to capitalize on the anticipated recovery. Our diverse products portfolio , continuous introduction of new SKUs and extensive dealer networks enable us to meet evolving customer preferences effectively. With over 4 decades of industry expertise, a well -established brand , strong

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management , a robust balance sheet , and disciplined financial practices, CERA remains committed to upholding strong corporate governance.

Furthermore, our in -house manufacturing and R&D capabilities strengthen our competitive edge , ensuring we are well -equipped to navigate short -term challenges and create long -term value for all stakeholders.

With this, I would like to hand over to Mr. Vikas Kothari , our CFO , who will present the operational and financial highlights for the quarter ended 31st December 2024. Thank you , and over to you , Mr. Vikas Kothari.

Vikas Kothari: Thank you , Deepak. A very good morning to everyone. I will now provide a brief overview of the Company 's financial performance for the quarter and nine months ended 31st December 24.

In Q3 FY25, revenue from operations stood at Rs . 449 crore as against Rs . 437 crore in Q3 FY24, registering an increase of 2.9%. EBITDA excluding other income in Q3 FY25 stood at Rs . 59 crore on the same lines as Q3 FY24. EBITDA margins excluding other income for the current quarter stood at 13.2 % as against 13.6% in Q3 FY24, registering a marginal decrease of 40 basis points.

This decline in margin was mainly on account of increased operating expenses, which is partially offset by favorable publicity spends.

Gas prices remained favorable during the quarter. The average gas price

from GAIL was Rs . 28.29 per cubic meter in Q3 FY25 as opposed to Rs. 28.78 per cubic meter in Q3 FY24. The average gas price from Sabarmati which rose from Rs. 55.41 per cubic meter in Q3 FY25 from Rs. 47.56 per cubic meter in Q3 FY24. This positive trend is further supported by increased drawal of gas from GAIL reaching 81% in Q3 FY25. The weighted average cost of gas in Q3 FY25 was Rs. 33.53 per cubic meter, which is notabl

y below the industry average.

Gas cost constitutes 1.56% of our total revenue.

For the quarter under review, revenue contributions were as follows : -

Sanitaryware at 50%, Faucetware at 37%, Tiles at 11% and Wellness at 2%. On a Y-o-Y basis, Faucetware revenue increased by 6%, Tiles by 5% , and Wellness increased by 24%, while Sanitaryware revenue marginally decreased by 0.3%.

The Sanitaryware and Faucetware segments remain ed the cornerstone of our business and have contributed 87% of the total revenue.

In Q3 FY25, 44% of our sales were in premium category, 34% in mid category and 22% at entry -level category.

Profit after tax was Rs. 46 crore in Q3 FY25 as compared to Rs. 51 crore in Q3 FY24, registering a decrease of 9.9%. EPS for the quarter stood at Rs . 35.56 versus Rs. 39.12 in Q3 FY24.

In terms of the working capital management, inventory days increased from 79 days to 85 days, receivable days from 27 days to 33 days, and payable days decreased from 46 days to 42 days. Consequently, the net working capital increased from 60 days to 76 days in Q3 FY25.

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Regarding the sales distribution , Tier-1 cities accounted for 35% of our total sales, Tier-2 cities - 21% and Tier-3 cities l ed with 44% of total sales.

For the 9 months ended 31st December 2025, the Company reported net revenue of Rs. 1,337 crore , register ing an increase of 1% on Y-o-Y basis. EBITDA, excluding other income, was at Rs . 185 crore , a decrease from Rs. 202 crore in 9M FY24. Profit after tax stood at Rs. 161 crore with a slight decrease from Rs. 164 crore in 9M FY24 . Overall, the Company maintained stable revenues and profit on Y-o-Y basis.

As on December 31st, 2024 , our cash and cash equivalents stood at Rs. 662 crore , marking a decrease of Rs. 106 crore or 13.8 % compared to the previous corresponding quarter. This reduction was mainly on account of buyback offering during the second quarter.

In conclusion, I would like to reiterate the Company 's confidence in its ability to improve overall performance going forward. As the demand cycle strengthens, we are well positioned to capitalize on improving market trends. CERA remains committed to maintaining strong financial discipline, optimizing resource utilization, and further enhancing its financial performance in the coming quarters.

With this, I would now request the moderator to open the line for Q&A. Thank you very much.

Moderator: We will now begin the question -and-answer session . The first question is from the line of Archana Gude from IDBI Capital .

Archana Gude: I had two questions. Firstly, on the margin front , - this is a consecutive second quarter where the B2B segment has performed better for us compared to retail. Given the overall commentary from other companies as well , it doesn't seem like the recovery will happen sooner than expected. In this context, achieving a margin of 16% to 17% in the near term may be challenging. Your comments on this would be helpful, sir.

Vikas Kothari: So, Archana , regarding margins, as we have addressed many times in the past , despite challenging market conditions, the Company has maintained consistency in preserving margins .

If you see EBITDA without other income for the quarter, it is in line with what it was on a Y-o-Y basis, reflecting stability in earnings . The marginal decline, which is seen on an overall basis in maintain ing 16%, is largely due to demand factor s. So, we think that once demand improve s, the margins will return to the estimated 16 % to 17% range .

Archana Gude: Sure, but sir, a ny tentative guidelines you would like to give us, so maybe , you know , somewhere H2 of FY 26, so we will be back to that kind of margin ?

Vikas Kothari: Yes, so as far as our efforts are concerned , even if we are not seeing any substantia

I growth as far as revenue drive is concerned , but in terms of the

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margins we are quite confident that we are going to achieve this 16 % to 17 % in the next one or two quarters .

Deepak Chaudhary: Archana, I would like to just mention one other thing apart from what Mr. Vikas said. A large portion of this drop in margin is coming on account of a little bit of extra discounts which is going on because of the sluggishness which is prevailing in the market. As soon as the market starts improving, you will find that we have kind of already toned down on the discounts , we have taken it like at a bottom level right now. We are not increasing discounts any further. But with the improvement in the sale, you will find that as soon as we start rolling back the discounts, those margins which had dropped by, let's say, we are at 13 .5% right now, will again go back to that level , which was earlier, 16 % to 17 %.

Archana Gude: Sure, that was helpful . Sir, secondly , the price hike what we took in Q2, so were the challenges on getting it absorbed given that the demand is very sluggish and, you know , maybe was it that was a wrong timing by our end ?

Vikas Kothari: So, regarding the price rise, what we have taken in the last quarter, mainly in case of Faucetware . So, the Faucetware , if you see the segment, it has consistently growing as reflected in our past performances in few quarters also. In this Q3 FY25, we recorded a Y-o-Y growth of 6%. But while this growth appears lower compared to the quarter 2 financial year where we have achieved roughly 20 % growth in Faucetware , it is important here to note that the last quarter's performance was partially influenced by a price increase in process.

So, ahead of this price adjustment, dealers stocked up beyond their immediate requirement, which is roughly contributing an increase of 8 to 10% of additional sales in quarter 2. As a result, some of those excess stocks were liquidated in quarter 3 , impacting growth figures. Despite all these, we still achieved a healthy growth of 6% on Y-o-Y basis, which reinforces the strength and demand for our Faucetware segment.

Deepak Chaudhary: And Archana like we had explained in the previous con call also, when we are taking the price increase, the primary reason for taking the price increase was a sharp movement in the brass prices which is a predominant constituent of the total cost of the Faucetware . It was an increase of something like 20% in the first 3 -4 months. Then it stabilized , but still, it will be in the region of 8 % to 10% over the March numbers. So , that price increase was kind of absolutely essential not only for us but for all the players in the industry if they want to maintain any kind of decent margins on the product.

Archana Gude: Okay . So, we seen flattish net sales in 9M FY25 on a Y-o-Y basis, given the situation . Are we still sticking with to a high single -digit sales growth for the full year of FY25?

Deepak Chaudhary: No, we will not be ending FY25 with high single -digit growth . It will be more in the range of lower single -digit growth.

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Archana Gude: And sir, how has January and the first half of February been for us?

Deepak Chaudhary: January and February so far have been better compared to last year on a year -on-year basis. But still, we do not anticipate achieving high single -digit growth as projected earlier. It will be more in the lines of lower single -digits.

Archana Gude: Okay , thank you so much , sir, and all the best.

Moderator: The next question is from the line of Mithun Aswath from Kivah Advisors .

Mithun Aswath: Just wanted to understand - when we listen to companies in the paint sector, they indicate that demand has bottomed out

, and they are seeing some

green shoots in January and February , possibly even starting in December. Are you observing similar trends ? Do you see that demand has bottomed out and signs of demand picking up on the consumer side, or is it too early to say that demand is starting to improve?

Vikas Kothari: So, your question is forward -looking . As far as demand in the building materials industry is concerned , we do not yet see clear indications that the bottom has been reached, as challenges in the retail segment persist .

While there is an increase in project orders, sluggishness in the retail market continues to impact overall demand. However, with the recent budget

announcements and the RBI's relaxation in interest rates, we expect some improvement in spending, which had been on hold for some time. That said, the next one or two quarters may still be challenging.

Mithun Aswath: Right. And it has been a couple of years of stagnant growth. Looking at historical trends, post-COVID, there was a significant demand surge across the building materials sector, followed by two to three years of sluggishness. Do you see this as a typically cycle? And is rural demand currently performing better than urban demand?

Deepak Chaudhary: You are correct – there was a boom just after COVID, but sluggishness set in around Q3 of FY23-24, and it has continued for the last 4-5 quarters. As Mr. Vikas mentioned, there are some green shoots in the project segment, and with the budget announcements and interest rate reductions, we expect improvement on the retail side as well. However, it is difficult to make a firm prediction until we see actual improvements on the ground. We will have a clearer view after Q4 and will be in a better position to provide insights in our next concall.

Mithun Aswath: One last question on expansion. You had identified land for a new facility, but given the current demand conditions, would you consider postponing it? Given our healthy balance sheet, do you think it makes sense for us to be ahead of the market and expand? Also, have you been able to gain market share against the competition in this sluggish market?

Vikas Kothari: Regarding the greenfield project, as we have already mentioned in our Q2 concall, the land acquisition is complete. Once initiated, the project will take

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roughly 18 months from the zero date. However, given the market uncertainties, we do not expect expansion to begin in the current financial year. Looking to the market instability, we will revisit this decision at the end of the financial year.

Now, coming to your question with regards to that in future if there is going to be any sort of good demand and the present time could be a better opportunity to get the plant constructed. So, we have the mitigating plans already built up, so, which can be catered through three arms.

One is the inventory base which we have built-up can suffice the requirement in terms of short-up of demand.

Second is the capacity utilization. So, currently, we are smartly managing our production and inventory, and basis that we are not utilizing our plant capacities fully, so that they can reach out to the fullest level.

And thirdly, we have a very flexible outsourcing model which can support in terms of whenever there is unexpected demand spikes.

These measures ensure that we can meet demand efficiently without committing to new capacity at this stage. But bringing the plant at this point of time, we will address this thing once we end this financial year. And then we will take a suitable decision in terms of the operating plans what we are going to prepare for the next financial year and how we see and drive the growth in the next coming two years.

On market share, all the tier-companies are deliveri

ng similar, more or less they

are all facing the demand pressure and the numbers are not good. So, the market itself has shrunk. So, I don't think there is a question of any sort of decline in market share or something which has gone out of from one sector to another sector. So, this is a short term whatever the influence which is going on across the industry is the pain has been taken by all of us, and we are quite hopeful that with this real estate business where the project banks have increased, in our case it has increased by 15% if we compare with March, and their conversions will soon start from the next financial year. So, things will be getting back to normal, but the retail market which we see that is still it is sluggish. Still there are a few initiatives which are taken by the Government and the RBI, so we are hopeful that they will be converting into the demand scenarios being picked up.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: So, the first question is related to your commentary. You mentioned that an extra discount was given, leading to some contraction in the margin.

However, I can see that your gross margin has improved sequentially, while your operating margin has declined. So, is that an increase in operational

expenses has led to the contraction in operating margin or by the discount?

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Deepak Chaudhary: It's a mix of both . Discounts have increased, and at the same time, inflation has played a role , leading to a rise in other costs beyond the gross margin . So, both factors have contributed. However, on a year -on-year basis , our margins would have been higher had the discounts not been at their current levels.

Praveen Sahay: So, essentially, this discount has been in place for the last nine months, and that's why sequentially, the gross margin has not contracted?

Deepak Chaudhary: Correct. The increased discounts started from Q3 FY24 and have continued since then . But we have kind of bottomed out now , - the discounts are not increasing further .

Praveen Sahay: Okay. Could you also provide the nine -month price hike for Faucet ware and Sanitaryware ? And are you still maintaining your guidance of Rs. 29 billion by March 2025?

Vikas Kothari: Regarding the price hike, we have taken an average increase of 6% in Faucetware and 1% in Sanitaryware. While the year -on-year growth appears to be 6%, this is not entirely due to the price hike. A direct 6% price hike does not immediately translate into a 6% increase in average realization, as project orders often have pre -agreed pricing, and new rates apply only to fresh orders. The effective price realization in Q3 was approximately 2%, while the remaining 4% growth was volume -driven, indicating stable demand despite market conditions.

Praveen Sahay: And the guidance , - are you maintaining Rs. 29 billion ?

Vikas Kothari: Regarding the guidance, so definitely this question needs to be answered. So , we are optimistic and committed in terms of meeting our projected target, what we have set i.e Rs. 2,900 crore by March 2027. This is supported by our strong project pipeline , and if retail growth improves , we are confident of meeting our growth targets . However, there is a caveat that this is contingent upon the market recovering as expected . We will provide a more detailed assessment at the end of the financial year when we have better visibility.

Praveen Sahay: Thank you , sir, all the best.

Moderator: The next question is from the line of Ritesh Shah from Inve stec.

Ritesh Shah: Sir, my first question is on the captive and outsourcing mix for Sanitaryware and Faucetware for Q3 and 9M FY25.

Deepak Chaudhary: For Q3, the mix for Sanitaryware was 58% outsourced and 42% manufactured in-house, while for Faucet

ware, 48% was outsourced and 52% was manufactured.

Ritesh Shah: And for the nine -month period?

Deepak Chaudhary: For 9M FY25, Sanitaryware was 57% outsourced and 43% manufactured, while Faucetware remained at 48% outsourced and 52% manufactured.

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Ritesh Shah: Thanks for the data points. As a follow -up, given that land expansion has been completed and the zero-date commissioning is in 18 months, are we comfortable increasing the outsourcing share to 50%, 55%, or even 60% to meet our revenue target of Rs. 2,900 crore by March 2027? What is the management's comfort level in this regard?

Deepak Chaudhary: The way this functions is that our plant capacity utilization has fluctuated. Previously, we had reached up to 120% capacity utilization, but in recent quarters, we have operated at 80 -85%, with Q3 at approximately 90%. To keep the plant running efficiently, we have adjusted the mix. Earlier, we manufactured value -added and complex pieces in -house while outsourcing simpler products. However, as utilization declined, we brought some outsourced products in -house.

As demand picks up, we will first adjust this mix , - outsourcing those products again. Once we reach the optimal mix, we can scale capacity back up to earlier levels. Internally, at the right mix, we have scope to increase capacity by 50 -60%, along with additional outsourcing flexibility. Given this, we see no challenge in meeting demand over the next couple of years with our current capacity in both Sanitaryware and Faucetware.

Ritesh Shah: Understood. My next question is on working capital deterioration. Could you explain the changes in each line item and the reasons behind them?

Deepak Chaudhary: As Mr. Vikas Kothari mentioned in his remarks, total working capital days increased by 16 days - from 60 to 76 days. Inventory days increased from 79 in Q3 FY24 to 85 in the current quarter. This is due to balancing plant utilization with demand. Since demand hasn't picked up as expected, we have maintained production levels, resulting in higher inventory. However, this can be liquidated once demand improves.

Receivable days increased from 27 to 33, primarily due to a change in our cash discount (CD) policy this quarter, reducing CD sales from 76% to 70%. While this increased receivables, it also reduced the cash discount we were passing on. We are reviewing this and may revert to the earlier policy if needed.

Payable days decreased from 46 to 42, as our vendor mix has shifted toward MSME suppliers, requiring payments within 45 days as per regulations.

Moderator: The next question is from the line of Resha Mehta from GreenEdge Wealth .

Resha Mehta: On the demand front, you mentioned that the project segment is performing better than retail. For 9M FY25, could you quantify the growth in Sanitaryware and Faucetware across projects and retail?

Vikas Kothari: Currently, retail accounts for 65 -66%, while projects contribute 34 -35%. This ratio is similar for both Sanitaryware and Faucetware.

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Resha Mehta: Okay . And this share has remained similar year -on-year, or would that have got skewed towards ...

Vikas Kothari: On a nine -month basis, the project segment has grown. For 9M FY25, retail contributed 62%, projects 37%, and exports 1%. In Q3 FY25, the split was around 65:35. Compared to historical levels of 70:30, projects have increased by about 2% year -on-year.

Deepak Chaudhary: Looking at a longer trend, our historical retail -to-project ratio was typically 70:30, which has now moved to 65:35, or even 63:37 on a nine -month basis.

Vikas Kothari: 35 to 37, correct.

Resha Mehta: Right, but for a nine month, it's 32, right?

Deepak Chaudhary: 37.

Resha Mehta: 37, sorry , Okay. The other one was, you

know, your two brands Lux e and

Senator. So , what would be the revenue salience of these two brands currently in our portfolio and the margins? And also, when we look at, you know, ad spends, since now, you know, we have three brands, right? And the luxury brands, the premium brands are also focused. How do we decide, you know, to spend between these three brands?

Deepak Chaudhary: Luxe and Senator are still in the early stages of launch, so their revenue contribution is currently limited. However, over the next two to three years, we expect these brands to contribute about 10% of our total revenue. Based on our Rs. 2,900 crore revenue target for March 2027, Luxe and Senator should generate Rs. 290-300 crore by then.

Senator is set to launch soon, with 20 -25 exclusive stores expected by April.

These will be at premium locations, offering a distinct retail experience separate from the existing CERA stores. For Luxe, we aim to have 100 stores by FY26, mainly through upgr ades of existing displays.

Margin -wise, both Luxe and Senator will have significantly higher margins than the core CERA portfolio. However, as pricing and positioning are still being refined, it will take some time before we can provide concrete margin figures.

Moderator: The next question is from the line of Udit from YES Securities.

Udit Gajiwala : Just wanted your comments on the increasing competition, as we've seen new catalogs coming in from large conglomerates in the bathware segment.

How do you see this competition playing out? And could it impact your margins going forward, considering it might turn into a volume -driven market over the next few years?

Deepak Chaudhary: We've seen these conglomerates enter the market before , - paint companies, pipe manufacturers, and tile companies have all ventured into this space.

However, they have struggled to replicate their success in Sanitaryware and Transcript of CERA Sanitaryware Ltd. Q3 FY25 Earnings Call Page 12 of 14  
Faucetware. Typically, they reach a revenue mark of Rs. 40-50 crore but find it difficult to achieve the margins and growth they anticipated.

This industry is tough to crack, and we don't see new entrants posing a major challenge. Our focus remains more on existing players and the current

demand environment rather than new competitors entering the market.

Udit Gajwal : Okay , sir. On a related note, regarding the price hikes taken over the first nine months, how do they compare with those of your peers?

Deepak Chaudhary: In Faucetware, most players have taken similar price hikes, except for one competitor who didn't raise prices. In Sanitaryware, while we implemented only a 1% price increase, our competitors raised prices by 4 -5%. However, given the current market conditions, much of these price hikes are being offset through discounts.

Udit Gajwal : Understood , sir. Thank you, sir.

Moderator: The next question is from the line of Samyak Jain from Marcellus Investment Managers .

Samyak Jain: You mentioned that stock levels have increased to maintain minimum plant utilization. If the weak demand scenario persists for another 6 -9 months, will you continue with this strategy, or will you adjust stock levels based on demand?

Deepak Chaudhary: I'll break this into two parts , - Faucetware and Sanitaryware. For Faucetware, adjusting plant utilization is relatively easy since the process is machine -driven, and most of the labor is on a piece -rate or contractual basis. The proportion of fixed costs in the Faucetware facility is also low. Therefore, we don't foresee significant inventory buildup in this segment.

However, in Sanitaryware, scaling down production is more challenging. Skilled labor, particularly in processes like casting, is hard to find. Even if we wish to reduce production, letting go of skilled workers isn't feasible. That's why we've shifted some outsourced products to in -house manufacturing

to maintain a balanced production level.

That said, if weak demand continues for a prolonged period, we will reassess inventory and utilization levels accordingly. But this challenge is more relevant to Sanitaryware than Faucetware.

Samyak Jain: Got it, sir. Thank you very much.

Moderator: The next question is from the line of Akshay Chheda from Canara Robeco Mutual Fund .

Akshay Chheda: On demand, we've shifted our mix from 70:30 to 65:35, with B2B growing. Even within the 65% retail share, we serve B2B clients via retailers. So, if 70% of our

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demand is from new construction and 30% from replacements, why is retail softness affecting us so much? Shouldn't B2B within retail provide some stability? Also, has competition from incumbents, Morbi players, or MNCs intensified, impacting us?

Deepak Chaudhary: I will address the second part first. Like a gain, as I mentioned earlier, it is not so much about competition intensity. Of course, they are coming at the fringes and taking away small, small numbers, which would have otherwise maybe come to us or the unorganized sector. But it is not so much the competition from the new incumbents, but more about the demand situation which is playing out right now.

To address your question that the bulk of the demand comes in from the new construction. So , we have kind of found that the new construction portion, even for the like, apart from the metros, for the second and third Tier-towns, the construction activity has also slowed down , which is kind of affecting our demand over there also.

So, post this budget, we are hopeful that the spending should be increasing over there , and we should see an uptick, but we will have to wait for a couple of quarters to see whether it actually translates.

Akshay Chheda: Okay, sir. Thank you.

Moderator: The next question is from the line of Omkar Ghongade from Shree Investments.

Omkar Ghongade: In this tough environment, how are you expanding your retail footprint to tap into untapped markets?

Deepak Chaudhary: Given the external challenges, we focus on optimizing costs within the Company . As I mentioned earlier, the discounts we are offering have bottomed out. We are taking several measures to reduce costs. For example, we are addressing logistics, which account for about 9% to 10% of our total costs, and exploring ways to reduce those costs. We are also focusing on reducing labor costs. Previously, most of our labor costs were fixed. Now, we are shifting toward a more variable labor cost structure, allowing us to scale

back on production and reduce labor costs when necessary.

Additionally, we have been working on reducing insurance costs, which total around Rs. 16 -17 crore annually. We have already made significant cuts and aim to reduce them further. We also continue to benefit from our gas supply from GAIL, which is less impacted by market price fluctuations.

The primary strategy is to keep focusing on internal improvements while the external environment remains tough. We've identified weaker markets, such as the East and Tamil Nadu, where we are not performing well. During this challenging period, we are focused on strengthening these areas.

While external market conditions improve, our efforts will continue on cost optimization and addressing our weaknesses. We are also seriously pursuing

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the premium segment through Senator and Luxe, with the goal of these segments contributing 10% of our total revenue by 2027. The focus is on internal efforts until the external market conditions improve.

I came across a phrase recently: "Success is the sum of small efforts repeated day in and day out." So, we will continue making small improvements until the market improves, positioning ourselves to

capitalize on those improvements when the market turns favorable.

Omkar Ghongade: Thanks for the detailed answer. Another question, - how are you adding to the retail network? What's the strategy, and to what extent do you plan to grow?

Deepak Chaudhary: For our retail network, our annual target is to add 300 to 350 display centers. These display centers are typically part of dealers' showrooms. Vikasji, do we have the latest numbers for the retail rooms, including the current quarter?

Vikas Kothari: I'll provide the numbers. As of December, we have around 1,682 display centers, categorized by store size. This includes 218 CERA Style Galleries, 191 CERA Style Hubs, and approximately 1,273 smaller CERA Style Centers.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Deepak Chaudhary: Thank you, everyone, for attending this call and for showing interest in Cera Sanitaryware Limited. Should you need any further clarification or would you like to know more about the Company, please feel to reach out to me or CDR India. Thank you once again for taking the time to join the call.

Moderator: Thank you. On behalf of Cera Sanitaryware Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.



## Call: May 2025

CSL/2025- 26/43  
16th May, 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 10th May, 2025  
Ref: Regulation 30 of the SERI (LODR) Regulations, 2015  
With reference to our letter CSL/2025- 26/31 dated 28  
th April, 2025, intimating you about  
the Q4 FY2025 Earnings Conference Call held on 10th May, 2025, please find attached the  
transcript of the aforesaid conference call.

The same is available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.  
Thanking you,  
For Cera Sanitaryware Limited.  
Hemal Sadiwala  
Company Secretary  
Encl: As Above

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Cera Sanitaryware Limited  
Q4 & FY25 Earnings Conference Call Transcript  
May 10, 2025

Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of Cera Sanitaryware Limited.

As a reminder, all participant lines will meet the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “\*”, then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh of CDR India. Thank you and over to you.

Devrishi Singh: Good morning, everyone and thank you for joining us on the earnings conference call for Cera Sanitaryware Limited for Q4 & FY25 earnings which were announced yesterday. We have with us today the management team comprising Mr. Vikas Kothari – CFO; and Mr. Deepak Chaudhary – VP, Finance & Investor Relations of Cera Sanitaryware .

We will start with brief opening remarks from the management , following which we will open the call for Q&A. A quick disclaimer before we begin - some of the statements made in today's conference call may be forward - looking in nature and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier.

I will now turn the call over to the management for their opening remarks.  
Thank you and over to you, Deepak.

Deepak Chaudhary: Thank you, Devrishi . Good morning, everyone. On behalf of the management Team of Cera Sanitaryware Limited, I would like to welcome you all to our earnings conference call. I will begin by sharing some updates on the operations and strategy , following which our CFO – Mr. Vikas Kothari , will run you through the key financial highlights.

I am delighted to share that we concluded the financial year 2025 on a positive note , supported by stable margins and steady performance across key segments. Our focus on operational efficiency and disciplined cost management has been instrumental in sustaining profitability and supporting our performance.

The operating environment in Q4 remained subdued with continued softness in consumer demand across end -markets. Despite this, the Company managed to deliver satisfactory performance for the quarter , largely driven

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by our strong business fundamentals , sustained focus on cost and efficiency , and consistent execution across key verticals.

Revenue from operations in Q4 FY25 stood at Rs. 578 crore , registering a year -on-year growth of 5.7%. EBITDA stood at Rs. 121 crore with improved margins at 20.4%.

Our Faucetware segment recorded a year -on-year growth of 9.6% , supported by resilient demand and good

acceptance of our wider range of

SKUs . In the Sanitaryware segment, while demand remain ed subdued, we remain optimistic that structural drivers such as urbanization, rising disposable income, desire for improved living standards, as well as home renovation and upgradation cycles will support the recovery over time. In Q4 FY25, the Sanitaryware and Faucetware business contributed to 48% and 40% of the total revenues , respectively. During the quarter, capacity utilization stood at 95% for Faucetware and 90% for Sanitaryware .

At the same time, the B2B segment continue d to gain traction , contributing 40% of revenues during the quarter , up from 35% in Q4 FY 24. We are witness ing strong pre -order momentum from the real estate sector, supported by ri sing construction activities and higher disposable income s. Cera's longstanding brand equity and track record of quality and reliability ha s enabled us to consistently win project orders, further strengthening our B2B growth trajectory.

FY25 demonstrated our ability to execute across multiple strategic fronts, despite the challenging demand environment. We enhance d the product portfolio with the launch of approximately 431 new SKUs across the Cera and Senator bran ds and undertook a comprehensive portfolio reinvention through the establishment of our dedicated design center at our factory. This has help ed drive innovation in categories such as designer basins, c lean profile water faucets and PV D coated faucets .

During the year, we also significantly expanded our retail footprint , launching over 342 new stores and expanding our Company owned Cera E xperience Centers at Mohali, Jaipur, Pune and Lucknow , taking the total to 13 across India. Our retailer loyalty program continued to scale effectively , now engaging over 24,400 retailers. Additionally, we strengthen ed our market presence through participation in leading industry forums across cities such as Kochi, Vijayawada, Lucknow and Siliguri.

We continue to take progressive steps in evolving our brand architecture and sharpening our premium and luxury positioning. Our flagship brand Cera continue d to perform well, while our premium brands Cera Luxe and Senator are poised to gain momentum in an evolving market landscape. Backed by a fairly defined product road map and supported by in-house design , manufacturing and R&D capabilities, we are prepared for a focused scale up in FY 26 and beyond.

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- There has been substantial progress on the Senator brand. The complete product range has now been finalized, covering faucets , Sanitaryware and Wellness products to offer a full spectrum of bath solutions.

- In a significant strategic move, we are setting up a dedicated team under the leadership of Mr. Ramesh Baliga, Chief Business Officer, to exclusively drive the Senator brand. This move demonstrates our increased commitments to developing Senator as an independent premium retail brand.

- As part of efforts to deepen engagement with the architect and design communities, we have partnered with the Festival of Architecture & Interior Designing as a powered-by sponsor. This platform will enable us to showcase Senator's full range across curated events in metro cities. This association includes exclusive branding, product demonstrations and direct connects with key industry stakeholders. We believe this will significantly boost the Senator's visibility in the premium design ecosystem.

- Our flagship Senator stores have already begun operations, with 17 stores functional as of March 2025. And we plan to open approximately 40 to 45 Senator stores during FY 26. Separately, Cera Luxe products are also set to be prominently showcased in over 50 stores by the end of FY 26. While this scale up will take place over time, the initiatives underway t

oday lay a strong foundation to capture

long-term growth opportunities in the premium and luxury segment.

Our advertising and marketing spend for FY 25 stood at Rs. 54 crore. Our brand ambassador, Kiara Advani, continues to play a vital role in reinforcing brand identities and driving consumer engagement. We executed high impact campaigns during the Lok Sabha and Delhi elections across 40-plus national and regional news channels, significantly enhancing the brand visibility. This was further amplified through strategic media placements on platforms such as Big Boss OTT and Big Boss Tamil, helping us deepen our connect with younger and regional audiences.

We are seeing strong traction from digital campaigns across popular social media platforms. With strategic influencer collaborations further enhancing visibility and weakening engagement with our aspirational consumers.

- We are increasingly adopting AI-driven automation and hyper local marketing to improve campaign efficiency and through personalized communication.

- Our Unboxing Smiles initiative – which aligns showroom displays with biannual product launches - has also helped energize the channel partners and consumer excitement around the new collections.

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- We also launched an e-commerce platform during the year, a significant step in our digital strategy, allowing consumers to browse and order products online, while enabling fulfillment through 200-plus onboarded channel partners. This initiative strengthens our omnichannel capabilities and opens new demand and revenue opportunities across touch points.

During the quarter, Cera began implementing a robust dealer management system to enhance billing transparency and operational accountability. The system automates invoicing and integrates directly with our internal software platform. We have already onboarded our top 50 dealers and plan to expand this to 150 to 200 dealers over the next six months. This will greatly enhance the data and analytics available within the Company, providing further insights on trends across products, designs, regions, micro markets, etc. During FY25, we incurred the total CAPEX of Rs. 22.84 crore with investments directed towards enhancing manufacturing infrastructure, upgrading retail experience centers, and strengthening our IT and digital backbone. We also allocated capital towards display enhancements and strategic brand building initiatives to support our premiumization agenda. Building on these efforts, we have earmarked the CAPEX of Rs. 24 crore for FY 26, comprising largely of routine investments along with targeted spending on brand

development initiatives.

To summarize, FY 25 was a year of steady execution amid a soft demand environment. Our overall market recovery was slower than expected, we maintained healthy margins, expanded our premium product portfolio, and deepened our presence across both retail and project channels. As we move into FY26, our focus remains on building our brand, strengthening distribution, and advancing digital and customer experience capabilities. With a strong legacy, trusted brand, financial discipline and fully integrated manufacturing operations, Cera is well-positioned to drive long-term growth and create sustained value for all stakeholders.

With this, I would like to hand over to Mr. Vikas Kothari – our CFO, who will present the operational and financial highlights for the quarter-ended 31st March, 2025. Thank you and over to you, Mr. Vikas Kothari.

Vikas Kothari: Thank you, Deepak. A very good morning to everyone. I will now provide a brief overview of the Company's financial performance for the quarter and year ended 31st March 2025.

In Q4 FY25, revenue from operations stood at Rs. 578 crore, registering an increase of 5.7% from Rs. 547

crore in Q4 FY24. EBITDA excluding other income stood at Rs. 106 crore as against Rs. 92 crore in Q4 FY24. EBITDA margins excluding other income for the current quarter stood at 18.3% as against 16.8% in Q4 FY24, registering a healthy increase of 150 basis points. The rise in the margins was primarily driven by effective cost management, enhanced

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operational efficiency and favorable operating leverage resulting from increased revenues.

Gas prices increased during the quarter. The average gas price from GAIL was Rs. 28.68 per cubic meter in Q4 FY25 as opposed to Rs. 28.35 per cubic meter in Q4 FY24. Similarly, the average gas price from Sabarmati rose from Rs. 55.62 per cubic meter in Q4 FY25 from Rs. 50.12 per cubic meter in Q4 FY24. Drawal of gas from GAIL was at 73% and from Sabarmati at 27% in Q4 FY25. The weighted average cost of gas in Q4 FY25 was Rs. 36.03 per cubic meter, which is notably below the industry average. Gas constitutes 3.5% of our total revenue.

For the quarter under review, revenue contributions were as follows: -

Sanitaryware at 48%, Faucetware at 40%, Tiles at 9% and Wellness at 3%. On a Y-o-Y basis, Faucetware revenues increased by 9.6%, Tiles by 4.7%, Wellness increased by 46.7%, while Sanitaryware revenues marginally decreased by 1.6%. Our core segments, Sanitaryware and Faucetware contributed 88% of the total revenue.

In Q4 FY25, 42% of our sales were in the premium category, 35% in mid category, and 23% at entry level category.

Profit after tax for the quarter stood at Rs. 86 crore, registering an increase of 14.1% from Rs. 75 crore in Q4 FY24. EPS for the quarter stood at Rs. 66.36 versus Rs. 57.69 in Q4 FY24.

In terms of the working capital management, inventory days increased from 70 days to 79 days, receivable days from 34 to 44 days, and payable days decreased from 44 days to 43 days. Consequently, the net working capital increased from 60 days to 80 days in Q4 FY25.

Regarding the sales distribution, Tier-1 cities accounted for 35% of our total sales. Tier-2 cities, 21%; and Tier-3 cities led with 44% of the total sales.

For FY25, the Company reported net revenue of Rs. 1,915 crore, registering an increase of 2.4% from Rs. 1,871 crore in FY24. EBITDA excluding other income was at Rs. 291 crore, a slight decrease from Rs. 294 crore in FY24. Profit after tax stood at Rs. 247 crore as against Rs. 239 crore in FY 24. Overall, the Company maintained its stable revenues and profit on a Y-o-Y base.

As of March 31st, 2025, our cash and cash equivalents stood at Rs. 719 crore.

In conclusion, we remain confident in Cera's financial resilience and long-term growth potential. With a strong foundation in place, we are well positioned to benefit from improving market conditions as demand gradually recovers. Our focus will continue to be on prudent financial management, efficient capital utilization, and sustained margin discipline to drive value creation in the quarters ahead. Going forward, Cera remains focused on

consistently improving its financial performance and is well poised to create greater value for all its shareholders.

With this, I would now request the moderator to open the line for Q&A. Thank you very much.

Moderator: We will now begin the question -and-answer session. We will take our first question from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Good margin improvement in the quarter . So, the first question is related to margin improvement only . As you had already mentioned , operational efficiency and some cost management led to the margin improvement. Can you give us the way forward , - how sustainable is this kind of a margin ? And what kind of a specific cost management you had done? One , I can

understand , is related to the advertisement , which was done on a Y-o-Y side, but apart from that , what else you had done? And going forward, is that sustainable or not?

Vikas Kothari: So as you have rightly said, the margins have improved in the 4th quarter . And overall , if we see the margins, what we generally say is in the range of 15% to 16%, and that has been proven through our past performance s also. So , the way forward is also very clear - margins will be within this range . Now, coming to the part of what has played a role in terms of the improvement - this 1.5% improvement , which is there, this is contributed by a 0.10% improvement of gross margin. Then we have the publicity savings , which contributed 0.5%, and cost effective measures , mainly in production overhead s and sales and marketing expenses , that contributed 0.9%, - overall , leading to 1.5% in terms of improvement in the margin s.

Praveen Sahay: Okay . And the second question is related to the working capital , which has increased - especially the receivable s. So, is it because your institutional business is increasing - is that the main reason , or is there something else to note ? And what is the way forward ?

Deepak Chaudhary: As Vikas ji mentioned in the concall , - inventory days have increased from 70 to 79 , receivables from 34 to 44 , and payable days have reduced from 45 to 43. So, net working capital days have gone up from 60 to 80 days. Now , your question was specifically related to our receivable days. The receivables have not gone up on account of the project business . Project business last year constituted 35% of our total sales. If you look at the previous quarter , Q3, it was in the region of 37%. In this quarter , it has gone up to something like 40%. So , we are in the same range, 35 % , 37%, 40%, - 35% to 40% on a year -on-year basis and 37% to 40% on a sequential quarter basis.

So, this increase that we are seeing is not on account of the project business.

This is mainly on account of a change in the credit policy. The cash credit policy that we used to have earlier that has undergone a change in the recent past. This has resulted in changes in the cash discounts that we offer to customers who pay before time . In this context, earlier our total discounted

sales - city sales - constituted something like 74% . In Q4, this has gone down to 67%. So , this is the primary reason why the receivable days have gone up. If you look at a slightly higher aging - for more than three months - we are at the same level which we were in Q3 as well in the full financial Year ' 24. As of May, this has already come down from 44 days to 38 days at the end of April. So, going forward, we do not anticipate this to be a challenge. It's more of a kind of adjustment that is happening because of the change in the CD policy . Going forward , we can expect the same level of debtors as which were there earlier.

Praveen Sahay: Okay . Helps sir. Thank you.

Moderator: We will take our next question from the line of Lakshmi narayan KG from Tunga Investments.

Lakshminarayan KG: Sir, when I look back at the last four quarter calls , you have been alluding to slowness in demand. So, when we started last financial year till now , why has there been a slowness in demand ? Can you just elaborate as to what led to this? What has been your read ? And how it is different now from earlier ?

Deepak Chaudhary: The slowness in demand is mostly in the retail sector . In the project sector as we have mentioned earlier , it has been going up. If you look at the proportion

of our project sales vis-à-vis the total sales, it has persistently gone up. Two years ago, project sales accounted for about 30%, with 70% being retail. This went up to 35% in FY24, and by Q4 F

Y25, we are looking at approximately 40% coming from projects. So there has been slowness in demand in the retail sector.

These factors have been, maybe over a period of time. The real sluggishness started, I would say, around Q3 of FY24. And since then, that trend has continued due to various factors - regional factors as well as the elections which happened in the last year. Now exact cause for that slowness and demand is very difficult to pinpoint, but we are hoping that once the slowness in the retail demand improves, we can expect greater momentum in our total revenues also.

Lakshminarayan KG: Got it. Now, is it more prevalent in the sanitary segment for retail, or is it prevalent in the Faucetware segment in retail?

Deepak Chaudhary: The slowness in demand is across both segments, but we have been experiencing that slowness more in the Sanitaryware segment. In faucets we have typically grown by 10% in FY24 as well as in FY25. But that is essentially because of the fact that we are a much smaller player in the case of faucets as opposed to being one of the largest players in the industry. So, even in a slow market, it enables us to gain market share from others. In Sanitaryware, being one of the largest players over there, that becomes a little more difficult to sustain growth in revenues, while the demand is sluggish.

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Moderator: We will take our next question from the line of Moksh Ranka from Aurum Capital.

Moksh Ranka: I wanted to understand our scale up of the Tiles business. Could you just help me understand - currently freight rates are down, so the over-supply which was there for the tile segment should not be an issue. Is my understanding correct?

Vikas Kothari: So, regarding the Tiles business - if you see the composition of Cera, the Sanitaryware and Faucetware contribute almost 88% of our total revenue, and Tiles contribute around 10% of our total revenue. And in case of our business model, Tiles business is fully outsourced, where we operate on a zero inventory model.

Our larger focus in terms of including this as part of our portfolio is to provide a full solution to the consumer. So, whenever there are consumer requests in terms of sanitary and faucet products, tile offerings are also given. Largely we have different ranges - starting with vitrified Tiles, GVTs, DG wall Tiles. So GVTs almost constitutes 50% of our total tile sales.

So, ideally, our focus is largely on sanitary and faucet ware. And in case of tile business, this is offered in terms of the complete package solution to the consumer.

Moksh Ranka: Okay. The margins in the Tiles business would be lower than the Sanitaryware and Faucetware, right?

Vikas Kothari: Correct.

Moksh Ranka: What exactly would be our margins, like how much lower would they be compared to our average 15% to 16% margin for the Tiles business?

Vikas Kothari: So, we provide the complete financial performance. We do not disclose the margins. But the margins are lower, as you have rightly said than those of Sanitaryware and Faucetware.

Deepak Chaudhary: The margins in Tiles business are in single digits.

Moderator: We will take our next question from the line of Rudraksh Gupta from Navneet Family Office.

Rudraksh Gupta: I have two questions. I would request you to throw some light on the export opportunity referred to in the earlier call of Q4 FY24. Is this arising out of the tariff situation and supply chain realignment? Or does the Company see it as a strategic focus area for exports?

Deepak Chaudhary: As of now, export constitutes a small portion of our total revenues. With the tariff situation, we do feel that there is an opportunity for us to grow a little.

But it is not something that we anticipate will grow by leaps and bounds.

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Currently, we are at around 3.52% of our total revenues, we do not anticipate it to grow to double digits or something like that. But this actually presents us with an opportunity - let's see how it goes forward. So, more time will enable us to gauge the real impact of the tariffs and what kind of opportunities are actually present.

Rudraksh Gupta: Okay. And the second question is - the Company has guided for potential revenue of Rs. 2,900 crore by FY27. Given this aspiration, are you still comfortable and confident of being able to achieve the same?

Vikas Kothari: So, the guidance was given in a scenario where the market would perform well or market conditions would be positive. As we have seen, market conditions have remained subdued for almost six consecutive quarters, primarily due to the weak retail demand. So, the projections we made were based on the anticipation that market growth would be 7% to 8% in the Sanitaryware segment and 12% to 13% in the Faucetware segment. And we had expected to outperform the market by 6% to 7%.

However, in the actual scenario, the market growth has consistently fallen short of our expectations. But to be on the positive side - in spite of this challenging environment, - our project pipeline remains very good. We are confident of meeting our growth target as the retail momentum improves. So, the idea here is that it is dependent on market conditions. Once market conditions improve, we will outperform the market by 6% to 7% through our strong execution and focused strategic initiatives.

Rudraksh Gupta: Okay, sir. Thank you.

Moderator: We will take our next question from the line of Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: Sir, my questions are on the industry. The real estate cycle has generally been steady over the past four to six quarters, with some weakening possibly over the last one or two quarters. So overall, across the industry - and I'm referring to your competitors as well - could you shed some light on why volume growth is coming in slower? If we look at the real estate launches that took place about two to three years back, intuitively that demand should be coming into the system now, probably in FY25. But that hasn't really happened across the industry. Any particular reasons you think that is? And also, have you seen any pricing pressure in sanitaryware or tiles during FY25?

Deepak Chaudhary: Yes, Sonali, I'll take your second question first - on pricing pressure. There has been some pricing pressure in FY25. With the slowness in demand prevailing during the current year, the industry has been facing over supply and overcapacity, resulting in most players offering higher discounts. As a result, even our discounts have gone up slightly over the past year, which has prevented us from taking price increases during this period.

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We have tried to balance this by improving efficiency and cost management so that our profitability and margins remain intact. Going forward as well, we do not anticipate reducing our prices in the immediate near future. This view is based on the sluggishness that continues in the current quarter - Q1 FY26. Regarding the first part of your question about the industry and real estate: as you mentioned, the typical real estate cycle would be in the range of three to four years. So, projects that began in FY21 or FY22 should be nearing completion in FY25 or FY26. We have already started seeing that upswing in our project business over the past year, and we anticipate that FY26 should translate into even stronger numbers.

Sonali Salgaonkar: Sir what is the quantum of price cuts that you have taken, or rather the level of discounting that you have taken in FY 25

? And my last question is about

Tiles - I understand you outsource majority of your Tiles business, but what are your views on Morbi exports? And also, going forward in FY26, do you expect exports to resume?

Deepak Chaudhary: I will talk about the price cuts first, which you asked in the first part. We do not have formal price cuts in our business. What we do is adjust the quantum of discounts that typically go up. So, over the last one year, in the retail sector, our discounts would have gone up by something like 0.5% to 0.75%, that is on the retail side. In the project business things are a little more complex because it depends upon the size of the order. But on an average, the same level

could have gone up in the project business as well. So that was in respect of price cuts .

In tiles exports , we do not have too much of export s, as Vikas mentioned . We are mostly in the business of just loading and doing trading within the domestic market. So , we will not be the right people to comment on the exports position, on an industry -wide basis.

Sonali Salgaonkar: Sure. Thank you, sir.

Moderator: We will take our next question from the line of Pranav Mehta from Equirus Securities.

Pranav Mehta: Congratulations on good profitability improvement . Sir my first question is if you can share the absolute breakup of Sanitaryware , Faucetware and Tiles and other categories for Q4 FY25 versus Q4 FY24. And my second question was related to the Rs. 34 crore credit balance write -back in the operating cash flow. So wanted to understand where exactly in the P&L this effect has been taken ?

Vikas Kothari: So, regarding the first question - the breakup of the revenue : in Q4, Sanitaryware was 48% , Faucetware was 40%, Wellness was 3% , and Tiles was 9%.

Pranav Mehta: Sir, if a bsolute breakup if y ou can give , that would be helpful.

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Vikas Kothari: So Sanitaryware it is Rs. 269 crore , Faucetware it is Rs. 2 22 crore , Wellness it is Rs. 16 crore , and Tiles it is Rs. 53 crore .

Pranav Mehta: Okay . And sir, similar in Q4 FY24?

Vikas Kothari: For the full year ?

Pranav Mehta: Sir, for Q4 FY24, if you can share for full year, it would be good as well .

Vikas Kothari: For the previous year's quarter, the Sanitaryware figure was Rs. 273 crore , Faucetware was Rs. 202 crore , Wellness was Rs. 10.96 crore and Tiles was Rs. 50.7 crore .

Pranav Mehta: Okay.

Vikas Kothari: And regarding your question with respect to the write -back s - there are some excess provision s which were provided earlier ; they have reversed . So, the amount you are referring to is reflecting in the balance sheet.

Pranav Mehta: So the impact on the P&L - is that of the Rs. 34 crore ?

Vikas Kothari: Yes.

Pranav Mehta: That's it from my side. Thank you.

Moderator: We will take our next question from the line of Udit Gajiwala from YES Securities.

Udit Gajiwala : Sir in terms of the real estate demand that you mentioned in your opening remarks, what is the kind of traction you are seeing there ? And is it an order book kind of business for you?

Deepak Chaudhary: As I mentioned earlier, the project constitute d 30%, which has gone up to 35% and then 40% in Q4. The way it functions is that , depending upon the number of bathrooms which are being offered, it's classified as a project business. If it is classified as a project business, the kind of discounts which are typically offered is higher.

You're right - depending on the size of the project, deliveries can vary over time. For larger projects, in different states, you will find it varies.

But let's say we talk about Gujarat; - we find that in the larger projects ; the builder would typically have a sample home constructed right at the time they start the project . And they would take an order at tha

t point , so that

deliver ies happen after some time . It may not have to start immediately – deliveries usually happen over a period of time . Typically , deliveries are spread over the period of two to three years, normally two years .

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For smaller projects, you typically find that once you get the order , deliveries start within a very short time frame and also get completed quickly . So, it depends on the kind of builder and the size of the project. Typically , you can say that it's 50:50 - 50% of the deliveries happen in the first year , and 50% in the next year for larger projects .

Pranav Mehta: Understood. And the CAPEX that we had deferred for Sanitaryware - so there are no plans on it as yet , or are you still considering any timeline?



Deepak Chaudhary: So as of now it is on hold . We have purchased the land , as we have communicated earlier also. The land acquisition is complete, but the construction activity we be evaluated on a quarterly basis , depending upon the demand scenario . As of the end of the year, we are not intending to start the construction.

Pranav Mehta: Understood. Thank you , sir.

Moderator: We will take our next question from the line of Samyak Jain from Marcellus.

Samyak Jain: My first question is , while you gave us some color on the discounting aspects , I just wanted to understand whether you see the discounts have peaked out ?

Or going forward , do you expect them to increase on account of the slowdown in demand ? Would appreciate your thoughts on this.

Deepak Chaudhary: The discounts have kind of flattened . If you look at , as I mentioned earlier also, the slowness started in Q3 of FY 24. So in the first few quarters it was an increasing trend of discounts. But in the last couple of quarters the discounts have stabilized and are remaining constant at that level reached by , let's say, Q2 FY25. So now they are stable. We are not seeing an increasing trend. In fact , we expect them to improve - the discounts to again become lower going forward.

Samyak Jain: Got it. And my second question is on faucets . In Q2 FY25, there was some channel restocking due to the price increase , and that led to some liquidation in last quarter. So , has the liquidation of the restocking been done or completed in Q4? Or you think some reduction in stock is still pending ?

Vikas Kothari: So, as you have rightly said, the price rise was taken - I think from October onwards – and there was an impact . We saw this in Q2, where growth appeared higher due to the price increase . Now, if you see the Q4 figures, so the growth is 10%. And if we need to characterize this growth , the volume has increased by 2.8% , the product mix has improved by 3.5% , and the price impact - which is now stabilized , with liquidation being completed - has contributed an impact of 1.7%.

Samyak Jain: Okay , sir. Thank you so much.

Moderator: We will take our next question from the line of Jenish Karia from Union AMC.

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Jenish Karia : The first question is with regards to the premiumization that we are planning. So, considering we are planning to ramp up the Senator and Luxe brands , which will largely be in-house manufactured , and considering we are still guiding for Rs. 2,900 crore of revenue in the next two years - hoping that retail demand will revive - why don't we go ahead with the CAPEX instead of delaying it?

I understand we still have capacity and we can outsource , but considering the premiumization and hope of demand revival - and the fact that even if we announce the CAPEX next quarter , it will take two years to commercialize - just your thoughts on whether we will be missing out on the upcycle in demand due to a short fall of capacity , or no

to be able to properly capture the premiumization that we are trying to do because of a short fall in capacity . Just your thoughts on that front .

Deepak Chaudhary: Jenish , you are right that we are undertaking a premiumization drive. As Mr.

Vikas mentioned earlier, Senator and Luxe – as we shared in previous calls – are expected to contribute 10% of our revenues over the next three years .

The product in Senator and Luxe are a mix of in-house manufacturing as well as outsourcing . Some products are always outsourced - for example, in the faucet range , most of the showers, spas etc. are always on an outsourced model and are not manufactured in-house.

So, the premiumization drive is not something that is necessarily for driving the manufacturing capacity. The manufacturing capacity is primarily driven by the main core segment of Cera. So , until we start seeing an improvement in demand , it is not really making sense for us to start with the expansion project. We are closely monitoring the situation . As you mentioned, it will take roughly 18 months from the start of the project to get completed to be operational.

So, once we start seeing demand improvement, we can start and complete it within 18 months. In the meanwhile, we have adequate inventories and outsourcing arrangements which can take care of any incremental upsurge in demand which happens in the interim period. So we do not see there's a challenge within that 18-month period which could result in any losses.

Jenish Karia : Yes, that answers my question. The second question is on the marketing spend. So , although your premium products will be at 10 % , 12% of the revenue over the next three years, can we see an aggressive marketing expense going forward, maybe 2 .5% to 3% is the range, an additional 50, 60 basis points for the premium products that we are driving ?

Vikas Kothari: So, as far as our marketing spend s are concerned , we are strategically reviewing the scenarios in terms of the current market position , and we are focusing on those particular spends where we think that , in the current scenario , the ROI - in terms of reach and share of voice - is higher.

So, like we have mentioned , Senator and Cera Luxe are brands which are added in our family Cera . So definitely there is an allocation of the budget in

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FY26 also. And the spends will be made considering the market dynamics and how we want to target each of these brands.

Moderator: We will take our next question from the line of Akshay Chedda from Canara Robeco Mutual Fund.

Akshay Chedda : Sir, two questions from my side. First is on this B2B side , you said that it was 40% in 4th quarter . So, can you give the contribution for the full year that is FY 25, what was the B2B share ? That was one . And related to that is , what is the ratio the Company is okay with, would Company be okay to take it to 50 , 60 or what it? That is one. Secondly on this retail piece , - is retail actually remaining flat for us or is it growing for us? Thirdly, what is the reason for sequential decline in the gross margin , because that is a steep at around 250 basis ? Of course, it remains in the guided range , but still if you can talk a bit on this .

Deepak Chaudhary: Akshay, too many questions at one time , I will try to remember and answer them one by one. First you asked B2B 40% at Q4, what was there for the full financial year ? For the full financial year, the project composition was 38% of our revenues. This was for B2B, FY25. Can you repeat the balance part of your question ?

Akshay Chedda: Sir on the retail side , sir, is it actually remaining flat for us or is it degrowing?

Deepak Chaudhary: If you see our total revenues, we have been growing at 5%, 6%. And if you look at the proportion of the project business, it has been growing

as a proportion of our total revenue. So , retail has been more or less remaining constant.

I think you also asked whether we anticipate the project business to grow further in the coming years . That will totally depend upon how the retail business picks up , because we are seeing traction in the project business. As I have mentioned in our earlier calls as well, we do not have too high a difference between the margins in the project and the retail business - that would be something like , you can say , 5% to 6%.

So, the difference in the margins - even if the project business proportion increases , as you mentioned, from let's say 40% to 50% , - it could impact margins by , you can say 10% of 5% differential that exist between the project and the retail . On an overall basis , it will impact us by 0 .5%. So , we are not too worried about that , because we are hopeful that the retail business could be picking up in the future. And this proportion should ideally remain at 40 % to 45%. But even if it increases , the impact on our EBITDA margins would not be too great .

Akshay Chedda: And sir, the third question on the gross margin, I mean , sequential decline , any specific reason you would like to call out?

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Vikas Kothari: No. As you can see, the gross margins for the quarter , or if you see in terms of , you are talking about quarterly ? Quarterly , 1st Quarter it was 55% and now it is 50%. Your question is why it is declining, correct ?

Akshay Chedda: Yes sir.

Vikas Kothari: So, in terms of the gross margins, if you see , full year basis if you see for the FY25, our gross margin is 52.51 % , and the previous year if you see FY24, it is 52.86 % . So there is a slight decrease you can say in terms of the overall gross margin on the overall full year basis.

Akshay Chedda: Okay , thank you.

Moderator: We will take our next question from the line of Shubham Pa dhiar from

Tomohar a Investment Managers.

Shubham Padhiar : My question is on the strategy side . So, I am asking about the strategy aspect. So, as of now we are positioned as an entry level brand, so how are you going to differentiate ourselves and compete in the market as a premium brand going forward?

Vikas Kothari : I think your understanding in terms of positioning Cera is not correct. So , we are a mass premium brand with the portfolio or based on the portfolio and products we focus on . As you have seen , over a period of past few years , we have seen a steady increase in demand for premium products as well .

So now , we are strategically introducing our two new brands - Cera Luxe and Senator - which will show our premium face , and these two brands will contribute around 10% of our total turnover in the next two to three years.

Shubham Padhiar : Okay . And how are we going to compete with the existing players in that segment , like any table plan?

Vikas Kothari: So, for the Luxe and Senator , we are now completely focus ed on how we can compete with competitors. As part of a stepwise approach, what we have done is: there is a separate team which is going to focus on th e Senator brand , under the leadership of Mr. Ramesh Bali ga, as mentioned in our concall. Then , we are separately focusing on flagship stores. So , as on 31st March we were already having 17 stores for the Senator , and this year we have targeted roughly 40 to 45 more stores to add on to this.

Apart from that, the complete portfolio - which is premium in nature - is now almost finalized and is going to be displayed across all these flagship stores. We are also connecting with our architects through the Architect Connect initiative and other influencers , which will help in showcasing the product and its technical strength s, enabling us to compete with the competition.

Shubham Padhiar : Thank yo

u.

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Moderator: We will take our last question from the line of A asim from DAM Capital.

Aasim Bharde : Just one question . I couldn't quite pick up the reason for sequential gross margin decline, 53 % down to 51 %. Is it due to higher discounting or another measure to push sales , because the reduction in cash discount s on debtors should ideally have improved gross margin sequentially?

Deepak Chaudhary: The reduction in discounts have not happened ; we are anticipating it will happen in the future. As of now, the discounts in the current financial year have increased vis-à-vis the previous year. See what happens is , the gross margin is influenced by both the kind of discounts which are being offered as well as these efficiencies which are going into the composition of the cost of the product , both on the procurement side as well as the manufacturing side. So the discounts have increased over the last one year. The decrease in the gross margin is only to the extent of 0.4%. The discounts may have increased by more than 0.4% , but the cost efficiencies have helped offset the impact of the increasing discounts . So what Mr. Vikas was saying that on an overall basis from FY 24 to FY 25, decreas e in gross margin is only going to be the extent of 0.4%.

Pranav Mehta: Is it also a mix -led thing there, Faucetware might have done better Q-on-Q, could that also be a reason ?

Deepak Chaudhary: It could be because gross margin is influenced by so many factors, so such small deviation s will keep on happening on a year -on-year and a quarter -on-quarter basis. It is very difficult to pinpoint the exact reasons have gone into Q1 to Q2, Q2 to Q3, where the changes may be around 1% and 2% . But on an overall yearly basis, it has more or less remain ed constant - from 52.86 % to 52.51%.

Pranav Mehta: Sure, thank you, Deepak.

Moderator: I now hand over the call to the management team for closing comments.

Deepak Chaudhary: Thank you , everyone , for attending this call and for showing interest in Cera Sanitaryware Limited. Should you need any further clarification, or would like to know more about the Company , please feel to reach out to me or to C DR India . Thank you once again for taking the time to join the call . Thanks for that.

Moderator: Thank you , sir. On behalf of Cera Sanitaryware Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your line s.

Disclaimer: This is a transcription and may contain transcription errors. The

transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: Aug 2025

CSL/2025- 26/130  
13th August, 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 7th August, 2025  
Ref: Regulation 30 of the SE BI (LODR) Regulations, 2015

With reference to our letter CSL/2025-26/114 dated 29th July, 2025, intimating you about the Q 1 FY2026 Earnings Conference Call held on 7th August, 2025, please find attached the transcript of the aforesaid conference call.  
The same will be available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.

Thanking you,  
For Cera Sanitaryware Limited,

Hemal Sadiwala  
Company Secretary  
Encl: As Above

Transcript of CERA Sanitaryware Ltd. Q 1 FY26 Earnings Call Page 1 of 16

Cera Sanitaryware Limited  
Q1 FY26 Earnings Conference Call Transcript  
August 07, 2025

Moderator: Ladies and gentlemen, good day and welcome to the earnings conference call of CERA Sanitaryware Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “\*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh from CDR India. Thank you and over to you, sir.

Devrishi Singh: Thank you, Neerav. Good morning, everyone, and thank you for joining us on the earnings conference call for CERA Sanitaryware Limited for Q1 FY26 earnings which were announced yesterday. We have with us today the management team comprising Mr. Vikas Kothari -- CFO, and Mr. Deepak Chaudhary – VP, Finance, and Investor Relations.

We will start with brief opening remarks from the management, following which we will open the call for Q&A. A quick disclaimer before we begin. Some of the statements made in today's conference call may be forward-looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier.

I will now turn the call over to the management for their opening remarks.

Thank you and over to you, Deepak.

Deepak Chaudhary: Thank you, Devrishi. Good morning, everyone. On behalf of the management team of CERA Sanitaryware Limited, I would like to extend a warm welcome to all of you on our Q1 FY26 conference call. I will begin by sharing a brief update on our operational and strategic progress, following which our CFO, Mr. Vikas Kothari, will give you the financial highlights for the quarter. In backdrop of continued softness in consumer demand across key markets, we are pleased to report a stable performance for this quarter. Our Faucetware segment recorded a year-on-year growth of 13.4%, supported by stable demand and continued acceptance of our expanded SKU portfolio. In contrast, demand in sanitaryware segment remained soft during the quarter. However, we remain confident that long-term tailwinds will gradually aid recovery in this category.

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Over the past few years, we have consistently focused on building a stronger, more agile organization through deeper brand segmentation, new channel strategies, and a sharper innovation pipeline. We remain confident that these actions will translate into tangible momentum across key growth levers going forward as and when the market conditions improve.

Our B2B segment continues to gain momentum, contributing 38% of revenues during

the quarter, compared to 36% in Q1 FY25. We are witnessing healthy order inflows from the real estate sector, driven by increased construction activity and improved developer sentiment. There are strong brand equity, product reliability and execution capabilities have helped deepen our presence in the B2B space, further strengthening our position as a preferred partner for large-scale projects.

- I would like to update you on two key strategic initiatives. The Company has been consistently advancing its strategy for the Senator brand, which is positioned at the top end of our portfolio. To give you a bit more color, Senator today boasts of a much-expanded portfolio, with eight full sanitaryware ranges and nine faucetware collections, and a newly introduced wellness range, including whirlpools, steam cables, and high-end showers. This makes it a comprehensive solution for the discerning premium customer. We are engaging in close relationships with the architects and HNIs, supported by a dedicated sales and business development team of over 50 professionals trained specifically for the luxury segment.

- As of Q1 FY26, we have 23 Senator channel partners, with showroom displays upgraded to 650 to 800 square feet, to create a more immersive brand experience.

- Our target is to operationalize around 45 to 50 stores by FY26 end. Importantly, these dealers are new and exclusive to Senator, ensuring brand purity and focus. The pricing strategy is competitive with other luxury brands but offer better margins to our partners.

- We have also introduced a dedicated institutional catalog and pricing to address project-led premium demand - a first for this brand. These actions reflect a significant shift in our approach. Senator is no longer a tactical strategy; it is now a fully developed brand platform designed to capture a larger share of the luxury segment and drive long-term value creation. We believe the groundwork we are laying today positions Senator for meaningful traction as the market environment improves. In parallel, during Q1 FY26, we successfully launched a new value brand, "POLIPLUZ" marking CERA strategic entry into deep value segment. POLIPLUZ is thoughtfully designed to cater to the aspirational needs of households in tier 4 cities, towns, and villages, targeting an approximately Rs. 9,000 crore market currently dominated by the unorganized players.

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- POLIPLUZ will offer both PTMT and brass variants and follows a distinct

go-to-market strategy via hardware stores. We aim to appoint 140 distributors with about 5,000 retail touchpoints by the end of one year, supported by a 70 -member field force. Product pricing is positioned midway, bridging the typical gap between the low -cost PTMT and high -end brass products to gently push upgradation among the rural consumers. To build mindshare among influencers, we have also extended our popular StarPlumber loyalty program to this new channel.

- Despite being an affordable offering, POLIPLUZ is expected to be margin -accretive, with margin levels comparable to or even better than our current blended margins.

- Early market feedback has been encouraging, and we believe that this initiative will open up meaningful, long -term growth opportunities for CERA in this under -penetrated segment.

By establishing clear brand segmentation and tailoring our product and channel strategies to suit each target group, we are not only expanding our market reach but also ensuring a sharper focus and positioning across categories. This inclusive approach, spanning a wide range of price points, material preferences, and regional demand clusters, reinforces our ability to adapt to changing market dynamics while staying true to our core values of quality, innovation, and customer trust . While the scale -up will take

place

over time, the initiatives underway today lay a solid base to capture future opportunities.

While the timing of a broad -based recovery remains uncertain, we remain optimistic about the future prospects of the industry. The long -term outlook is expected to stay strong, supported by continued formalization of the sector, rising aspiration of the consumers, and supporting policy initiatives such as urban redevelopment, housing schemes, and sanitation infrastructure. These structural drivers, coupled with a strong brand and distribution reach, place us well for sustained outperformance.

We believe that the investments we are making today in brands, in distribution, and in product innovation, will position CERA to benefit disproportionately when the market conditions improve. Our focus remains on building an organization that is future -ready, resilient, and aligned with the evolving aspirations of the Indian consumers.

To conclude, Q1 FY26 was marked by stable performance despite a challenging demand environment. While the near -term softness is persisting, we remain confident in the long -term potential of the industry and our own preparedness to capitalize on the future opportunities. With ongoing investments in brand architecture, channel segmentation, and new product development, backed by strong in -house capabilities, our strategic focus remains on disciplined execution, deeper consumer connect, and creating long -term value for all stakeholders.

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With this, I would like to hand over to Mr. Vikas Kothari, our CFO, who will Present the operational and financial highlights for the quarter -ended 30th June 2025. Thank you, and over to you, Mr. Vikas Kothari.

Vikas Kothari: Thank you, Deepak, and a very good morning to everyone. I will now take you through a brief overview of the company's financial performance for the quarter -ended 30th June 2025 .

Revenue from operations for Q1 FY26 stood at Rs. 419 crore, marking a 5.4% increase over Rs. 398 crore in Q1 FY25.

EBITDA remained stable at Rs. 72 crore compared to the same quarter last year. EBITDA margin declined slightly to 16.4% from 17.5% in Q1 FY25, primarily due to inflation -driven cost increases and initial expenses related to the launch of new brands, Senator, and POLIPLUZ.

Gas costs witnessed an increase during the quarter, with the weighted average cost standing at Rs. 33.17 per cubic meter in Q1 FY26 compared to Rs. 31.64 per cubic meter in Q1 FY25. Despite the rise, our costs remained well below the industry average. During the quarter, the gas consumption was sourced 84% from GAIL and 16% from Sabarmati. Overall, gas costs as a

percentage of revenue stood at 3.6%.

For the quarter under review, revenue contributions were as follows: -

Sanitaryware at 50%, Faucetware at 39%, Tiles at 10% and Wellness at 1%. On a YoY basis, Faucetware revenues grew by 13%, Tiles by 5% and Wellness by 15%, while Sanitaryware revenues remained largely flat. Our core categories, Sanitaryware and Faucetware together, accounted for 89% of the total revenues.

Capacity utilization stood at 92% for Faucetware and 86% for Sanitaryware during the quarter.

In terms of the product positioning, 43% of our sales came from the premium category, 35% from mid -segment and 22% from entry -level products.

From a geographical standpoint, tier 3 cities led with 42% of sales, followed by tier 1 at 36% and tier 2 at 22%.

Profit after tax stood at Rs. 47 crore broadly in line with the previous year's quarter. Earnings per share for the quarter was Rs. 36.08 compared to Rs. 36.11 in Q1 FY25.

In terms of the working capital management, inventory days increased from 75 to 80 days, receivable raised from 32 to 38 days, and payable days increased from 41 to 43 days, leading to a YoY increase in the net working capital from 66 to 75 days

. However, on a sequential basis, working capital has improved by five days, reflecting enhanced operational discipline and stronger collection efforts.

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As of June 30, 2025, our cash and cash equivalents stood at Rs. 778 crore. For FY26, we have marked a total Capex outlay of Rs. 23 crore. This includes routine maintenance as well as select investments towards brand building and expansion of our retail footprints. We will continue to follow a disciplined capital allocation approach aligned with our long -term strategic priorities. We remain confident in CERA's financial strength and long -term growth prospects. Backed by a robust balance sheet, ongoing efficiency improvements, and prudent working capital management, we are well positioned to navigate near -term uncertainties and seize emerging opportunities as the demand environment gradually recovers. With this, I would now request the moderator to open the line for Q&A. Thank you very much.

Moderator: We will now begin with the question -and-answer session. The first question is from Archana Gude from IDBI Capital.

Archana Gude: I have two to three questions. So, firstly on the project sales side - that part has been growing quarter -on-quarter over the last few quarters. So, can you help us understand how it would be as a percentage of sales in the near future? And also, could you help us with what kind of margins would typically be there and the micro -markets which are seeing exponential growth in the project business?

Vikas Kothari: Regarding the project part, if you see over the last few quarters, the real estate market has been moving well, and this is also evident in CERA's project bank portfolio. On a YoY basis, if we compare Q1 with Q1 of last year, we have registered a growth of 32% in our project bank. These are the project orders we have won, and we have been seeing a positive trend in the project bank over the last two to three quarters. We expect this trend to continue. Considering the overall positive macroeconomic trends visible in our sector, liquidity conditions are improving, which will also support our retail segment. So, I think the project business is growing, and we have been securing large -value contracts over the last three to four quarters.

Archana Gude: So, could you provide some guidance on the margin profile and highlight any micro markets which are experiencing growth?

Vikas Kothari: Yes. So, as far as the project business is concerned, definitely the margins are a little lower compared to retail. They are lower by 6% -7% on account of higher discounts being offered in the project category.

Archana Gude: Okay. Is it possible to bifurcate the project sales among the Senator , Cera Luxe and Cera?

Deepak Chaudhary: As of now, these categories are just developing. So, the sales numbers in respect of Senator and Cera Luxe is negligible. We will maybe start updating you by the end of the year when the numbers start becoming significant. So,



as of now, you can say that most of the numbers that we are reporting is coming from CERA.

Archana Gude: Got it. So, maybe one more question on POLIPLUZ - sir, can you help us understand the pricing strategy, outsourcing mix and number of SKUs we should expect in FY26?

Deepak Chaudhary: Like in respect of POLIPLUZ, I will just give you a broad outlook in respect of the product, the launch, and the market that we are intending to target. As the Chairman has mentioned in his press release also, that POLIPLUZ is intended to target the tier 3, 4 and the rural market. Now, this is one segment where CERA has been completely absent till date. And with the launch of this POLIPLUZ, we are targeting the consumers, which are kind of untouched by the CERA products.

So

, primary consumer right now, as we are saying, are the ones who are using the PTMT products. So, we have launched a slew of polymer products as well as brass products. The brass products have been priced at a point which is midway between the current offerings of CERA and the PTMT products, which are being currently offered by the unorganized players. So, the idea is to pull them from the current buying pattern towards the more aspirational and more longer-lasting products, which will also meet the price point as well as the quality needs of the particular range of consumer.

Apart from that, we are also targeting a kind of replacement market because we are targeting items which will be kind of small value, but which will be replaced very pretty fast. So, that will consist of, you can say, the cisterns, the seat covers, the health faucets, the connecting pipes, a slew of other such polymer products, which currently we are doing it for our own products, but we are not targeting the replacement market. So, the idea is over here that rather than targeting as a kind of being bundled with our original products along with our sanitaryware products and along with our faucetware products, these are targeted more as a replacement market. So, the idea is that margins would be good. We are expecting that the margins should be higher than what we are getting for our blended margin, which we are getting for our current range of products. EBITDA margin should be in the range of 24% to 25% for this POLIPLUZ range that we are talking about. At the same time, we are also offering a higher margin to the distributors, like the kind of margins which we are offering to the distributors, will also be quite high so that it becomes attractive for them to stock also the products from their point of view. Main selling point would be the kind of quality that we will be offering and the kind of price range that we will be offering with the CERA backing. So, the topline target for the current year would be kind of in the region of Rs. 25 crore to Rs. 30 crore because as of now we are still onboarding the team and the sales should be starting by let us say end of September, beginning of October. So, we will be having only six months in the current year and by let us say end of three years we are targeting that it should be constituting something like 5% to 7% of our total turnover for the POLIPLUZ range.

Archana Gude: Right, that helps. And lastly, will it be completely outsourced for manufacturing?

Deepak Chaudhary: As of now it will be outsourced. Like the brass products, maybe some things will be in-house and some things will be outsourced, but the polymer parts will be completely outsourced. As we go forward, depending upon the volume, once we reach a critical volume, maybe we will have our own plant coming up. But as of now it will be completely outsourced.

Archana Gude: Thank you so much and all the best.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: My question is related to the segment performance in entry, mid and premium. In the last two years, and even for this quarter, if I look at your mid-segment it has outperformed your entry and the premium segment. So, these launches, whether it is a Senator or the POLIPLUZ, are in the view of improving your entry and the premium category way forward, - is it the case? Secondly,

even while giving a higher distribution margin in the value product which you had launched, you are talking about the margin being on the higher side. Also, mostly you will outsource manufacturing as well. So, can you please give some more color on like how the margin would be at the same level as what we are doing right now?

Deepak Chaudhary: I will take your question in two parts. The first part you asked was whether we

are launching the Senator and the POLIPLUZ to supplement the mid-range that has been the strongest in our case. I have a completely different view on this. The way we see it within the Company is that both Senator and POLIPLUZ are targeting a customer base which currently CERA is not targeting. POLIPLUZ is very different, going one level below the entry range that CERA has. The pricing, the product profile, and everything are completely different from the products currently offered by CERA. So, it is not really trying to bolster the entry range of CERA. It is a range that is different from what we are offering in CERA and caters to a customer segment which is different from what we are currently catering to at CERA.

The same is true for Senator. Senator is targeting a more premium customer than CERA. CERA generally targets the mass premium range. Senator targets upper-end customers such as HNIs and higher, and more projects at the premium end. So, both are targeting customers who are currently not being serviced by the CERA product profile.

In respect of the margin, the kind of margins that we are having, in spite of being outsourced and why we are getting higher margins, - in the case of Senator, higher margins are obvious because it is more of a premium offering. So, the kind of margins and pricing are naturally higher than what we are getting for the CERA segment. In case of POLIPLUZ, what we have been able to source is at quite a good margin. We have been able to source products at prices which are quite reasonable. We are confident that the margins we are talking about are something that is very easily achievable.

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Praveen Sahay: Thank you for that. How much is the advertisement expense for this quarter?

Vikas Kothari: So, for the quarter, the advertisement expense was around Rs. 9.3 crore as compared to Rs. 11.4 crore in previous year's quarter. This differential, is due to a phasing impact as certain activities are planned in the subsequent quarters. So, that will be taken in Q2 or Q3.

Praveen Sahay: Right sir. And the last question is related to your guidance - in the last quarter you had given a target to outperform the industry by 6% -7% and reach 29 billion by March '27 along with a margin of 15% -16%. Where do you stand on this? Are you maintaining this?

Vikas Kothari: So, as far as the earlier targets which we have given with respect to reaching Rs. 2,900 crore by March '27, this was based on the assumption that the markets will perform and that future growth will depend on the sustained recovery in retail demand. However, we have seen that while demand challenges are likely to persist in the early quarters of this financial year, in addition to the slowness over the past six to seven quarters, we expect that signs of recovery will start in the second half of the year. This is supported by certain positive macroeconomic trends which are already visible in the current scenario. The rural economy is gaining momentum driven by a strong harvest, increased Government spending, and structural reforms. Liquidity conditions have also improved, and the retail segment is showing some signs of recovery.

Apart from that, as we have clearly stated, our project business is also performing well, with growth in terms of the overall project bank. With these improving fundamentals, we remain focused on our earlier guidance that we will outperform the market by 6 %-7%, based on the expectation that recovery in the segment will materialize. The earlier guidance of reaching Rs. 2,900 crore was based on the assumptions that market growth would be around 7%-8% for sanitaryware and 12% -13% for faucetware, with the goal of outperforming this market growth by 6% -7%. However, market growth has fallen short of expectations. That said, our long-term strategies remain intact,

driven by innovation, operational excellence, and market expansion. In this

regard, as Deepak mentioned, we have already launched Senator and POLIPLUZ to cater to different segments of consumers. Therefore, we believe the guidance of 6% -7% outperformance will hold once the market starts recovering.

Praveen Sahay: Thank you, sir and all the best for future.

Moderator: The next question is from Akash Shah from UTI Mutual Fund.

Akash Shah: I just have two, three questions. I wanted to ask how much cost has been recorded in the P&L for the Senator and POLIPLUZ brands?

Deepak Chaudhary: As of now, the cost incurred for Senator and POLIPLUZ has been quite minimal, as the onboarding only started in July. So far, the P&L would mainly reflect staff costs, etc. I can, however, give you a broad outlook for the full -

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year projections once both brands are fully operational and the entire team is in place. We are projecting that the staff cost for Senator and POLIPLUZ, taken together, should be in the range of Rs. 13 crore to Rs. 15 crore per annum once the full team is onboard. Out of the total publicity budget earmarked for the Company, a specific portion has also been allocated for Senator, POLIPLUZ, and Luxe.

In the first year, spending for Senator will be focused largely on setting up showrooms. POLIPLUZ will not require much brand publicity support initially; the first year will mainly involve setting up distributors and building the retail channel. From the next year onwards, we expect more expenses toward publicity. Out of the Rs. 60 crore we typically spend annually on publicity, around Rs. 11 crore to Rs. 12 crore should be allocated to Senator and Luxe together.

Akash Shah: Right. So, Rs. 11 to 12 crore for the Senator and Luxe brands, and the rest, Rs. 35 to 40 crore, would be for the CERA brand?

Deepak Chaudhary: Correct. Okay.

Akash Shah: And also, just wanted to understand - this quarter, we saw around 5% growth on a base of minus 6% growth in the first quarter FY25. So, on a two -year CAGR basis, there has been some decline in absolute revenue. So, just wanted to ask, going forward – let's say we hope for some recovery in second half - are we broadly implying that the growth in full year FY26 would be less than 10%? What is the broad thought process and expectation on topline growth front in FY26? And if we can break it up in to the sanitaryware as well as the faucet segment, what is the growth - that will help?

Vikas Kothari: So, I think I have answered the question regarding the outlook part, both short -term and long -term. But since you have asked about this year's roadmap and how we will progress, we are progressing strongly in terms of operational excellence and the market reach. Now, talking about what is going to be the number at the end of the financial year FY26, so, with the expectations what we are having and with some positive trends what we are seeing on the macroeconomic levels, we understand that the momentum, early signs of recovery have started and we see that this will continue over a period of time. But always I used to say this is subject to how actual the market will perform. But we understand that with the type of recoveries what we see from H2 onwards, we expect that we will be ending with a higher single -digit number or maybe start of this double -digit number.

Moderator: The next question is from line of Udit Gajiwala from YES Securities.

Udit Gajiwala: My question is pertaining to the margin outlook for the Company. So, when you look at the project business, since it is growing, the margins are a bit under pressure, and you also mentioned that it is lower than the retail segment. And though you are growing your Senator and the new brand now, it will still be 5% to 7% of sales in the coming years. So, at least f

or the coming two to three

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years, do we see that the margins will be sub -15% for the Company, given that the major growth will be from projects now?

Deepak Chaudhary: We expect that the margins should be maintained at the region of 15% to 17% that we have been maintaining in the last few years. We do not anticipate a very high jump coming in as you mentioned, because of the fact that Senator would be constituting a small proportion of the total sales in

the next two to three years. But because of the fact that the project portion is increasing, we do not anticipate too much of challenge in the overall margin of the Company, because we have been taking measures for controlling costs also at the operational side. So, from our perspective, that number of 15% to 17% is something that is a holy grail and we intend to maintain for the next two, three years.

Udit Gajiwala: Okay, sir. Understood.

Moderator: The next question is from Naysar Parikh from Native Investment Managers.

Naysar Parikh: So, my question was that, obviously the market is not good right now, but just from a competition perspective, what are the threats that you are currently seeing? If you can just elaborate on that, are we losing market share in any segment? That would be helpful. And especially when the market does well and some of the smaller players, such as Kajaria, etc., who are not big in sanitaryware or faucetware, start getting aggressive, what is our thought around that? So, any thought on that would be helpful.

Deepak Chaudhary: You are talking about the threats from the competition. Now, basically what we have found is that over the last six to seven quarters, where the market has not been doing too well, it has been subdued, the major kind of problems that we are facing in the market is the kind of discounts which have been offered by the competition. Because of the fact that they have already got good capacities and the market has not been too great. So, the discounts have kind of gone up. So, we have been trying to hold on to the kind of margins that we have making in a particular sector, both in the project as well as in the retail sector. So, we anticipate that once the retail market starts improving, even from the competition side, the kind of higher discounts, which have been going at their end, should start coming down and reach a level where everybody would want to make profits. That would be true for also the new entrants which are there, because as of now they are more intent on trying to gain volume. So, as of now, the broad threat which is there in the market is the kind of pricing which is prevailing because of the fact that have been overcapacity with the existing players and also capacity addition by the new players which have come in. But that will be, if you talk on a long-term perspective, something which is a short-term problem. And as the market improves, that threat should disappear.

Naysar Parikh: So, is it fair to assume that to protect our margins, we have lost some market share in certain pockets, maybe?

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Deepak Chaudhary: We have not lost market share, but you can say, not been selling like the other competitions where they have compromised on margins and have been totally focused on gaining volume. We have kind of maintained our volumes and also maintained our margins.

Naysar Parikh: And if you can just elaborate, what are we doing, - some points you may have alluded to – in terms of protecting our dealer, distribution, or project level clients. Because as the market improves, people are not seeing profitability now. But as they start seeing volumes and profitability, nothing stops them from expanding, right? Everyone has like one plant, very little capacity and they all

have capital and private equity backing. So, once the market improves, they will also start investing. So, when that scenario happens, how do we protect our market share and our dealers? What are we doing today to ensure that when they come aggressively, we do not lose market share at that time and we are not prone to the same discounting then?

Deepak Chaudhary: See, the capacity additions have in fact already happened. We find that most of the players which have come in, they have already started putting up their own plant. So, that is where the current situation has evolved, because the capacity additions have come in at a point of time where the market has not grown. The capacity additions happened in anticipation of a growth in the market, because post-COVID there was a huge surge in the kind of demand which was there in the market. That prompted kind of capacity additions from both the incumbent players as well as the new players which had come in. So, capacity additions have already happened and we do not anticipate further capacity additions to happen once the growth starts coming in. It has already happened. So, once the growth is

there, we will find that the kind of situation which is prevailing right now will reverse.

Moderator: The next question is from the line of Pranav Mehta from Equirus Securities.

Pranav Mehta: I wanted some clarity on the absolute numbers on the sanitaryware, faucet, and tiles that you had done in this quarter and similarly correspondingly in Q 1 FY25, if you can help with that?

Deepak Chaudhary: For sanitaryware, I will tell you the current quarter numbers first. In sanitaryware, the turnover was Rs. 208.67 crore. Faucetware was Rs. 161.85 crore and wellness was Rs. 6.29 crore and tiles was Rs. 42.61 crore. I will just repeat the numbers. Sanitaryware Rs. 208.67 crore, faucetware Rs. 161.85 crore, wellness Rs. 6.29 crore and tiles Rs. 42.61 crore. The corresponding number for Q1 FY25 was sanitaryware Rs. 209.23 crore. So, we are comparing with Rs. 208.67 crore in the current quarter vis-à-vis Rs. 209.23 crore in the previous quarter. So, it is more or less flat. Faucetware was Rs. 142.70 crore in the previous quarter, we have Rs. 161.85 crore in the current quarter, so, it is a growth of 13.4%. Wellness Rs. 5.49 crore, against that, we have Rs. 6.29 crore, 14.6% growth. And tiles was Rs. 40.59 crore, we have Rs. 42.61 in the current quarter, growth of 5%.

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Moderator: The next question is from Girish Choudhary from Avendus Spark.

Girish Choudhary: Firstly, on the capital allocation, I just wanted to check. Last year, we did a buyback at close to Rs. 12,000 per share and if you look at the current price, it is almost 50% down. You also alluded that we have a very limited Capex budget this year and close to Rs. 800 crore of cash. So, are you thinking of implementing one more buyback or in general, how are you thinking about capital allocation?

Deepak Chaudhary: We have been steadily increasing our dividend payout. If you see, we were earlier paying something like Rs. 13 three-four years back. From that, we have come to Rs. 65 payout in the current year. So, dividend has been steadily increasing. And we expect that this kind of dividend, which we have been increasing in the past few years, that should be steadily maintained and increase in the coming years also.

In respect of buyback, as of now, it is uncertain. Like, we do not have any plans right now. And that can be only told to you once the Board decides something in that respect that we are going to have a different, another buyback or something like that. But as of now, we can talk about the dividend kind of policy which is, we can say, is increasing in a steady manner.

Girish Choudhary: Okay, got it. Secondly, again just on the market share and let us say the core

sanitaryware business part, right, I mean, we are seeing the business to decline despite a very low base, right, last year also, same quarter we had a decline and you also mentioned that you have been maintaining volumes, but the absolute revenues are declining. So, how should one read this, - is this also due to higher discounting which you are doing or also a function of lower price points? I understand the market is depressed. But, I mean, if you can help us understand this revenue decline?

Deepak Chaudhary: The primary reason for the kind of decline which has happened in the sanitaryware sector, since you being in the market you have to answer within your question itself. But to give you a broad profile in respect of the kind of what is happening in the sanitaryware within CERA, like, if we talk about the kind of product profile which we had, let us say, four to five years back and the kind of product profile which we are having right now, that has undergone a complete change. Earlier, like a gain, if I go back three to four years back, the kind of products were basic. It was something that we used to sell in large volumes.

Now, you will find that we are moving more towards products which are high value. We have internalized most of the items that we were kind of importing from China that we have internalized and we have started manufacturing within our manufacturing facility. So, the product profile has undergone a change.

Now, you will find that the sanitaryware market per se also is different from that of faucets, in the sense that the life cycle of a sanitaryware product is very different from that of faucets where replacement which happens,

happens at a much longer period as opposed to faucetware. So, there has been a kind of glut which has come into the sanitaryware kind of market and within CERA. But we have already started seeing trends which have now in the sense that there was no further decline in the current quarter and we anticipate that in the coming quarters also that trend should be reversing.

Girish Choudhary: But the specific question was, like you said, you maintained volumes, right?

But we are seeing revenue declines and at the same time, you are telling your positioning, or you have seen premiumization. So, I mean, there is some disconnect there, right? I mean, is it a market share loss then?

Deepak Chaudhary: So, that is what I am trying to explain that the kind of product profile that has happened in the case of sanitaryware is different from what we were having earlier. Earlier, it was smaller items, larger volumes at lower price points. Now, we have moved to lower volumes, higher price points and the pricing which is there with respect to competitors. Because you are in the market, you have to match the kind of prices which are being offered by the competition. But more or less, we have maintained margins. The kind of profile has completely undergone the change within the sanitaryware system itself.

Girish Choudhary: Okay. So, have we also taken discounts over the last one to two years?

Deepak Chaudhary: The kind of discounts that we have taken, it has gone up by something like, you can say, 2% -3% in the last six, seven quarters, which has now started on a stabilizing mode. We have not started reversing it, but it is not going down any further.

Girish Choudhary: Got it.

Moderator: The next question is from Bhavin Rupani from Investec.

Bhavin Rupani: We have taken some credit writeback in FY25 to the tune of Rs. 34 crore. So, can you just tell us what the number was in Q1? My second question is on the outsourcing mix. Can you tell us what the outsourcing mix is in faucet and sanitaryware segments? And my third question is on sanitaryware Greenfield expansion, - what is the status as of now?

Deepak Chaudhary: Okay. I will answer

it in reverse order. For the sanitaryware Greenfield expansion, we have already undertaken the purchase of land, and the land acquisition has been completed. But the construction on the land has not yet started. We will take a view by the end of the current year. We do not anticipate the construction to start within this current year. By the end of the current year, we will review again, and based on how the market conditions have changed over the next six to nine months, we will take a view on whether we need to start construction by the end of the year.

In respect of the outsourcing mix, I will just tell you, in case of sanitaryware, outsourcing was 57%, manufacturing was 43% and in case of faucetware, outsourcing was 48% and manufacturing was 52%. I will repeat that again. In case of sanitaryware, 57% and 43% for outsourcing and manufacturing

respectively, and for faucetware, 48% and 52% for outsourcing and manufacturing, respectively.

Coming to your first question in respect of the credit writebacks, the credit writebacks were mostly on account of provisions that we had done in respect of the turnover discounts which are given to the sales to our dealers. Now, the discounts which are provided for are based on the estimate that the dealers would be meeting their targets. Once we found that the dealers were not meeting their targets, the actual discounts came out to be much lower than what we had provided for. That led to a writeback in the previous year. In the current quarter, I will just tell you the figure for the amount of writeback which has been there. The writeback has been to the extent of Rs. 2.73 crore compared to Rs. 6 crore in the previous quarter.

Bhavin Rupani: Alright. Got it, sir.

Moderator: The next question is from the line of Samyak Jain from Marcellus Investments.

Samyak Jain: So our sanitaryware revenue in the quarter has been flattish, whereas we have grown in faucetware by 14%, and our projects business has grown by 32% YoY basis. So, would it be fair to assume that the growth that we are getting on the project side is majorly from the faucetware instead of sanitaryware? I just wanted to know your thoughts on that.

Deepak Chaudhary: The project business have not have grown by 32%. What Vikasji mentioned was that the kind of projects that we have won in the current quarter is higher by 32% as opposed to the corresponding Q1 of the previous year. The sales would be translating in the next few quarters. But that gives you an idea about the kind of trend where it is moving for project allocation. Your question was that most of the increase in the project has been from the faucetware side; - I do not have that number ready with me right now. So, maybe I can get back to you on that on an offline basis as to what kind of growth has happened in the faucetware and in the sanitaryware in respect of the project segment.

Samyak Jain: Sure sir. But directionally, what would be a bigger portion in the project sales?

Deepak Chaudhary: I think the kind of proportion that we have for our overall numbers for the Company would be true for the project segment also.

Samyak Jain: Sure sir. Got it.

Moderator: The next question is from the line of Parikshit Gupta from Fair Value Capital.

Parikshit Gupta: I just have one question. You mentioned that you already see signs of a turnaround of market demand. Can you please articulate which specific economic segment, - is it the more mass premium segment or a relatively more premium Luxe segment that you are seeing the recovery in? And if you could also give this answer for both sanitaryware and faucetware please?

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Vikas Kothari: So, regarding the revival of the recovery in the luxury segment, we have seen over the past few q

uarters that it is growing, and that is where we are also coming up with our Senator brand and CERA Luxe brand. So, that is one area which is growing. The area which was largely impacted was the mass premium category, where the demand was sluggish and continues to be so. But what we are saying is that this segment is also now seeing some traction in terms of revival. So, our expectation is that the numbers we have seen right now with respect to Q1, where we have achieved 5.4% YoY growth in this mass premium segment, will further strengthen over a period of time.

Parikshit Gupta: Understood, sir. This is helpful.

Moderator: The next question is from Utkarsh Nopany from BOB Capital.

Utkarsh Nopany: My first question is on the margin side. So, if we see our EBITDA margin has contracted on a YoY basis despite a weak base of last year which got affected due to the general election. So, I wanted to understand whether the market condition was so depressed in the current June quarter that we are not able to pass on the commodity cost inflation pressure to the consumers?

Deepak Chaudhary: See, we have not taken a price increase in sanitaryware for quite some time. In faucetware, we took a 6% price increase in the previous year, sometime around September. So, if you are talking about price increases, we would need to have a significant revival in the market. And as I mentioned earlier, it has to come in from the competitors also, wherein everybody is then pricing their products in the right manner. So, as of now, we are more intent on trying to maintain the margins we currently have.

To be very specific, if we talk about the current quarter, the gross margins were slightly down on account of the increase in input prices; roughly by 1.5% the gross margins had come down. But apart from that, we have been able to maintain the margins. The increase in cost - there has been a slight increase in the cost with respect to the employee cost. That is again on account of the annual increase which keeps on happening on a regular basis. Typically, this year the average increments to the staff were in the region of 10% -10.5%, and the staff cost roughly constitutes around two-thirds of our total employee cost. So, that will be translating into something like, on a quarter-on-quarter basis (Q4 to Q1), about a 6% -6.5% increase in the cost.

So, the costs, which are fixed in nature, have been increasing, and in the 1st quarter, it results in a marked increase. But we are confident that, going forward, as the full year goes by and we have an increase in volume in the subsequent quarters, on a full-year basis, we should be able to maintain that margin of 15% -17%.

Utkarsh Nopany: Okay. And the last question is, what is your credit write -back amount for the Q4 FY25?

Deepak Chaudhary: Q4 FY25, I do not have the figure with me right now. Maybe I can give it to you again on an offline basis. The write -back you are talking in respect of Q4?

The Q1 numbers I had already told you, like it was something like Rs. 2.73 crore.

Utkarsh Nopany: Because there has been a sharp fluctuation in your margin on a quarter -on-quarter basis. So, I just wanted to understand, is it only because of the credit write -back amount?

Deepak Chaudhary: Part of it would be on account of that. Because the credit write -back happened in one of these, I think, Q4, where there was a substantial write -back, if I remember correctly. So, that fluctuation would be there to that extent.

Utkarsh Nopany: Okay. Thanks a lot, sir.

Moderator: Ladies and gentlemen, due to time constraint, we will take that as the last question. I now hand the conference over to the management for closing comments.

Deepak Chaudhary: Thank you, everyone for attending this call and showing interest in CERA Sanitaryware Limited. Should you need

any further clarification or would like to know more about the Company, please feel free to reach out to me or to CDR India. Thank you once again for taking time to join the call. Thank you and bye.

Moderator: On behalf of CDR India, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.



## Call: Nov 2025

CSL/2025- 26/191  
17th November , 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 12th November , 2025  
Ref: Regulation 30 of the SE BI (LODR) Regulations, 2015

With reference to our letter CSL/2025- 26/17 5 dated 30th October, 2025 , intimating you about the Q 2 FY202 6 Earnings Conference Call held on 12th November , 2025, please find attached the transcript of the aforesaid conference call.

The same will be available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.  
Thanking you,  
For Cera Sanitaryware Limited,

Hemal Sadiwala  
Company Secretary  
Encl: As Above

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Cera Sanitaryware Limited  
Q2 & H1 FY '2 6 Earnings Conference Call  
November 12, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Cera Sanitaryware Limited earnings conference call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devrishi Singh rom CDR India.

Devrishi Singh: Good morning, everyone, and thank you for joining us on the earnings conference call for Cera Sanitaryware Limited for Q2 and H1 FY '26 earnings , which were announced yesterday. We have with us today the management team comprising ; Mr. Vikas Kothari - CFO; and Mr. Deepak Chaudhary - VP, Finance and Investor Relations of Cera Sanitaryware. We will start with brief opening remarks from the management, following which we will open the call for Q&A.

A quick disclaimer before we begin. Some of the statements made in today's conference call may be forward -looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier.

I will now turn the call over to the management for their opening remarks. Thank you, and over to you, Deepak.

Deepak Chaudhary: Good morning, everyone. On behalf of the management team of Cera Sanitaryware Limited, I would like to extend a warm welcome to all of you to our Q2 FY '26 earnings

conference call . I will begin by sharing a brief update on our operational and strategic progress, following which our CFO, Mr. Vikas Kothari, will take you through the financial highlights for the quarter.

In the backdrop of demand environment that remains subdued, particularly on the retail side, we are pleased to report a steady performance this quarter. Our Sanitaryware segment delivered a year -on-year growth of 1.4%, supported by stable demand and continued traction in our product portfolio. While the Sanitaryware segment continued to face headwinds, the pace of contraction moderated compared to the previous quarters. We believe that improving macro fundamentals and policy measures, including the recent GST changes will aid recovery in retail demand over time.

As indicated in our previous earnings calls, I would like to reiterate that over the past few years, we have continued to strengthen the organization's strategic foundation through sharper brand segmentation, differentiated channel strategies and a focused innovation agenda. These initiatives are already enhancing our market readiness and execution agility. We believe that as the demand cycle turns upward, the

se efforts will translate into meaningful growth momentum across the business.

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Our B2B segment continued to demonstrate healthy traction during the quarter, supported by steady order inflows from the real estate sector and sustained construction activity. Project sales accounted for 39% of our top line in Q2 FY '26. We continue to benefit from our strong brand equity, execution reliability and deep relationships across the developer ecosystem, which are enabling us to participate in larger and more complex projects. This remains an important growth pillar for us and helps balance the current softness in retail demand.

Another important initiative during the quarter was the rollout of our 'Dealer Management System ' (DMS) , which marks a major step in strengthening our distribution network and improving data visibility. We have successfully onboarded about over 200 dealers so far with system integration and data connectors now activated at their end. Since each dealer operates on a different platform, achieving this level of alignment has been a challenging task, and we are proud to have made strong progress on this front. The DMS gives us better visibility into secondary sales, dealer -wise inventory and retail coverage, information that was earlier not available in real time. This enhanced visibility will improve accountability, track market movement more closely and support faster and more informed decision -making. Over time, the system will also aid better demand planning and channel management. We plan to extend DMS coverage to more dealers in the coming quarters.

On the strategic front, our premium brand, Senator and recently launched Polipluz continue to make encouraging progress.

On Senator : We remain firmly on track to achieve our FY '26 flagship rollout target of 45 to 50 stores with 28 stores already operational as on date. The format and positioning are designed to create a more immersive brand experience backed by an expanded product range, a dedicated dealer network and a focused engagement model. Over the past few months, we have strengthened the team structure, bringing on board experienced professionals across sales, business development and brand activation to drive the execution at scale.

On Polipluz : We have ramped up our efforts on Polipluz , our differentiated offering aimed at deep value segment where the unorganized market still holds significant share. The team build -out is nearly complete, and we have initiated targeted on - ground activations and promotional campaigns to establish brand presence in key Tier 3 and Tier 4 markets. At present, Polipluz is being distributed through 38 distributors and 650 dealers with a target to expand the network to 100 distributors and 2,000 dealers by March 2026.

The early response for both the brands has been encouraging, validating our approach of segmentation of the portfolio to address distinct consumer and channel opportunities. In the quarters ahead, we will continue to expand distribution reach, enhance market visibility and build on this early momentum.

Innovation and new product development remain core to our strategy. During the quarter, new product launches contributed about 33% of the overall sales, reflecting our continued focus on keeping the portfolio contemporary and relevant. On our new designs, our new designs are developed through regular market feedback and are 'designed to trend ' , aligning with evolving consumer preferences and emerging style

themes. We will continue to strengthen our design and innovation pipeline to ensure sustained differentiation across categories.

By strengthening our brand segmentation and aligning products and channels with different customer segments, we are expanding our market reach while maintaining

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clear focus across categories. This approach, which covers a wide range of price points and regions gives us flexibility to manage short-term challenges while staying focused on our core values of quality, innovation and customer trust. These ongoing efforts are building a solid foundation for future growth as market conditions improve. While the exact timing of a broad-based retail recovery is still evolving, we remain optimistic about the long-term growth trajectory of the industry. Structural drivers such as continued formalization, rising consumer aspirations, urban redevelopment and housing programs and sanitation initiatives remain intact. Alongside these, policy measures such as the recent GST changes should aid sentiment and activity over time. Taken together with our brand strength and distribution reach, we believe the category remains well placed for steady expansion.

We continue to invest in brands, distribution and product innovation to stay ahead of evolving consumer needs while maintaining firm cost discipline. The benefits of ongoing cost optimization initiatives and operational efficiencies are visible in strengthening of our ability to sustain margins in a mixed demand environment. Furthermore, during the quarter, we completed the exit from two of our LLPs; Race Polymer Arts LLP and Packcart Packaging LLP, effective from 29th of September of this year, thereby streamlining our portfolio and sharpening our focus on core categories. With the divestment in these two entities, Cera does not have any subsidiaries and hence, will report numbers on a stand alone basis only henceforth.

To conclude, Q2 FY '26 underscores stable execution in a soft retail environment, coupled with steady traction in project sales and encouraging strategic progress. As we move into the second half of the year, we remain cautiously optimistic about improving demand trends and confident in our ability to respond with speed and scale. Our ongoing investments in brand architecture, channel segmentation and new market development, supported by strong internal capabilities are building a robust platform for sustained growth. We remain focused on disciplined execution, enhancing consumer engagement and creating enduring value for all stakeholders. With this, I would like to hand over to Mr. Vikas Kothari, our CFO, who will present the operational and financial highlights for the quarter ended 30th September 2025. Thank you, and over to you, Mr. Kothari.

Vikas Kothari: Thank you, Deepak, and a very good morning to everyone. I will now take you through a brief overview of the Company's financial performance for the quarter and half year ended 30th September '25.

Revenue from operations for Q2 FY '26 stood at INR 488 crore, remaining largely flat compared to INR 490 crore in Q2 FY '25.

EBITDA without other income was at INR 67 crore as compared to the corresponding quarter of the previous year at INR 70 crore. EBITDA margin slightly declined from 14.2% in Q2 FY '25 to 13.8% in Q2 FY '26, primarily due to increase in input costs. However, the said impact is partially mitigated by improved operational efficiency and cost optimization program.

Gas costs witnessed a slight decrease during the quarter with the weighted average cost standing at INR 33.79 per cubic meter in Q2 FY '26 compared to INR 33.95 per cubic meter in Q2 FY '25. Our costs remain well below the industry average, reflecting the benefit of our balanced sourcing strategy and operational efficiencies. During the quarter, gas consumption was sourced 80% from GAIL and 20% from Sabarmati. Overall, gas cost as a percentage to revenue stood at 3.6%.

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For the quarter under review, revenue contributions by segment were as under: -  
Sanitaryware at 47%, Faucetware at 40%, Tiles at 11% and

Wellness at 2%. On a Y-o-Y

basis, Sanitaryware revenue grew by 1.4%, Tiles by 3.1%, Wellness by 3.2%, while Faucetware revenues declined by 3.5%. Revenue from Faucetware segment appears lower Y-o-Y, mainly due to the high base of the previous period, which was driven by the price increase implemented then.

With no price revision taken in the current financial year, sales volume have remained healthy, and the apparent decline reflects the base effect rather than any weakness in the underlying demand. Our core categories, sanitaryware and faucetware together accounted for 87% of the total revenues.

On the capacity utilization front, capacity utilization stood at 85% for Sanitaryware and 97% for Faucetware during the quarter under review. In terms of product positioning, 42% of our sales came from premium category, 36% from mid segment and 22% from entry-level products. From a geographical standpoint, Tier 3 cities led with 41% of sales, followed by Tier 1 at 36% and Tier 2 at 23%.

Profit after tax stood at INR 57 crore as compared to previous year's quarter at INR 68 crore. The profit after tax appears lower mainly due to deferred tax income recognized in the previous year arising from a change in the capital gain tax rate on long-term investments. The current year's figures reflect normal operations without this one-time tax impact.

Earnings per share for the quarter was at INR 43.92 compared to INR 52.44 in Q2 FY '25.

In terms of the working capital management, inventory days increased from 80 to 83 days. Receivables raised from 31 to 33 days, while payable days remained stable at 39 days, leading to a Y-o-Y increase in net working capital days from 72 to 77 days. For the half year under review, the Company reported net revenues of INR 907 crore, an increase of 2.2% as compared to H1 FY '25. EBITDA without other income was at INR 120 crore, a decrease from INR 126 crore in H1 FY '25 and the profit after tax reported at INR 103 crore, a decrease from INR 115 crore in H1 FY '25.

As of 30th September '25, our cash and cash equivalents stood at INR 736 crore. For financial year '26, we have earmarked a capex outlay of around INR 23 crore. This primarily covers the routine maintenance requirements, along with focused investments to strengthen our brand presence and expand our retail footprint. Our capital allocation approach continues to remain prudent and aligned with our long-term strategic priorities, ensuring that every rupee is deployed with clear visibility on returns and long-term value creation.

We remain confident in Cera's financial resilience and its ability to deliver sustainable performance through cycles, supported by a healthy balance sheet, continued focus on operational efficiency and prudent working capital management, we are well placed to navigate the current environment with agility. Our disciplined capital allocation and cost optimization initiatives provides us with the flexibility to invest in strategic priorities and capitalize on emerging opportunities as the demand environment improves.

With this, I would now request the moderator to open the line for Q&A. Thank you very much.

Moderator: We will now begin the question-and-answer session. The first question comes from the line of Archana Gude with IDBI Capital.

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Archana Gude: Congrats on the sequential improvement earnings. I have three questions. Firstly, on full year FY '26 earnings; - in the last earnings call, you guided for high single-digit sales growth and given we have grown just 2% in H1 of FY '26. Is the net sales growth of 13%, 14% doable in H2 FY '26? Or do we have to rework the growth guidance, both on topline as well as operating margin front?

Deepak Chaudhary: We continue to be optimistic about the H2 performance. Like we have done 2% in H1,

we anticipate that H2 will be improving with all the macroeconomic factors being positive. So we anticipate that we should be ending H2 with something like 10% to 12% of a growth number. So that for the full year, we should end up at something like 7% to 8% growth for the full year.

Archana Gude: Sure, sir. But then that also means we need to slightly reduce our operating margin guidance also?

Deepak Chaudhary: Operating margin should be remaining at that region of 14.5% to 15% that we are seeing right now. Typically, because the numbers are smaller in the first half, you will find that operating margins are also slightly lower. Once the numbers improve in H2, which is typically higher than H1 by typically, it is 45% in the first half and 55% of our total sales coming in the second half. So, with improved volumes, the margins automatically improve in the quarter 3 and quarter 4. So, we should continue to maintain margins in the range of 14.5% to 15%.

Archana Gude: Sure, sir. So, you spoke about capitalizing on this emerging macro demand tailwind. Can you help us understand it better in terms of any particular product segment is witnessing higher demand? Or is there any specific regional level revival? Also, how

has the performance been in October and early November so far ?

Vikas Kothari: As far as the macro factors are concerned, whatever numbers we have told or the initial expectation we have given in H1, remains conditional on the recovery in the end market demand. But we see very positive signs in macro environment like the interest rates are stable, steady GDP growth is there, increased Government spending on housing and infrastructure and the recent rollout of GST 2.0, which simplifies the tax framework. So, overall, all these factors are encouraging in terms of improved H2, like Deepak highlighted earlier. And our understanding is that we will be able to reach the numbers, but we remain cautiously optimistic about the demand recovery, we stated would happen in H2 FY '26.

Archana Gude: Sure, sir. In October and November, did we witness some green shoots in demand or was it still okay-ish; and do we need to give some more time to see the actual recovery ?

Vikas Kothari: So, just to give you an overview, what we have seen is over the past several quarters, the demand is sluggish across all the categories. But what we have seen in H1, or towards the late start of H1, is that the Sanitaryware segment in our case, which was almost muted or in some quarters was degrowing, that degrowth has been arrested. And for the last two quarters, if you have seen, in this quarter, I think we have grown by 1.4%.

And Faucetware is growing at a good speed, except this quarter, which was just a onetime adjustment in terms of the price rise that we took last year. So, Faucetware again is growing at a speed of 8% to 10%. So our understanding is that the growth, which is going to be there will come in H2, and we will definitely be able to see better months coming in the H2.

Archana Gude: Sure, that was pretty helpful. Thank you so much and all the best, sir.

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Moderator: The next question comes from the line of Praveen Sahay with PL Capital.

Praveen Sahay: My first question is related to the divestment. So, in the press release, you had mentioned that you have received a consideration of around INR 18.7 crore. So is that booked in the P&L for Q2 or yet to be booked ?

Vikas Kothari: So Praveen, thank you very much for asking the question. Just to update, as we have already given our financials also, the Company has divested its stake in two subsidiary LLPs i.e Race Polymers Arts LLP and Packcart Packaging LLP.

This is owing to the relatively lower business magnitude and limited strategic relevance, and with respect to the focus that we want to develop in our core bu

siness

activities. So that was the event which occurred in Q2 before the closure of Q2.

And regarding the deal which was completed, the total consideration we have received for these two LLPs is what you have rightly told is INR 18.75 crore. And we have recorded the profit on divestment of INR 5.54 crore, which forms part of this Q2 and is in other income.

Praveen Sahay: Okay, thank you for that. Second question is related to your guidance of 7% to 8% growth on the overall side. You also mentioned that the retail is a bit slow. And to offset that, you are entering in the project business. Now it is up to 39% contribution from the project business. So, the way forward in the latter year, we will see this contribution to increase further to bring the growth ?

Deepak Chaudhary: Praveen, it is very difficult to say, because whether the project size would as a proportion of the total business would be growing or not. Essentially, that is totally dependent upon how the demand revives. If retail improves, then obviously, this proportion will remain same and then over a period of time, steadily decline to the levels that we anticipate of 35%. But if that sluggishness continues, then obviously, this proportion will most probably remain at this level or maybe again go up slightly. But that will totally depend upon the kind of growth which happens in retail.

In the shorter term, let us say, for the H2 kind of the numbers that we are seeing, we think that it should remain at the current levels at the level of 40% because we have started seeing green shoots in the retail environment also. So we anticipate that it should be remaining in the level of 39%, 40% for the current year ending March '26.

Praveen Sahay: Okay. Secondly, on the brands, Senator and Polipluz. So, are there any contribution so far from these two brands in our numbers?

Deepak Chaudhary: Currently, it is more about the setting up of the team, setting up of the distribution channel and getting the products in place. So as of now, there are no significant numbers. The costs have started coming in, but the sales will be starting in Q3 and Q4.

We anticipate that we should be ending the year with both these brands at something in the region of INR 40 crore to INR 45 crore.

Praveen Sahay: Sorry, I missed. How much you said? INR 40 crore , INR 45 crore ?

Deepak Chaudhary: Correct. For Senator and POLIPLUZ taken together for the next two quarters?

Praveen Sahay: Okay , good to hear that. Thank you, sir, and all the best.

Deepak Chaudhary: Thanks.

Moderator: The next question comes from the line of Jaspreet Arora with Equentis PMS.

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Jaspreet Arora: The segment -wise growth rate that you mentioned, just to clarify that sanitaryware registered 1% growth and faucets minus 3%, that was for Q2?

Vikas Kothari: Right.

Jaspreet Arora: Okay , and what would be, sir, for H1, the similar number?

Vikas Kothari: So, if you talk about H1, so in case of H1, Sanitaryware has grown by 0.58%, Faucetware has grown by 3.5%, Wellness has grown by 8.2% and Tiles have grown by roughly 4%. So overall growth in terms of H1 is 2.2%.

Jaspreet Arora: So, faucets had grown 3% ?

Vikas Kothari: Yes.

Jaspreet Arora: 3% plus and despite quarter 2 being negative. So the first quarter growth was very good ?

Vikas Kothari: Yes. So , you will see the impact in Q3, because like I told, in case of Faucetware, the price increase impact last year was taken because of the rising brass prices. And because of that anticipation, preorder bookings were done, resulting in a corresponding growth of roughly 20%; - that was a onetime impact.

But overall, we are quite positive in terms of Faucetware demand. So there is a good demand in Faucetware. The impact , if you see for H1, was around 3.5%. The growth in Q1 was partly offset by this

onetime effect. But we are quite positive that by the end of the year, the numbers which we are saying roughly 8% to 10% growth in Faucetware, seems achievable .

Jaspreet Arora: Okay. So full year, we are saying 8% to 10% faucet revenue growth?

Vikas Kothari: Yes.

Jaspreet Arora: And what would be the volume and price mix within this?

Deepak Chaudhary: Volume and price mix is very difficult to say in case of Faucetware because both in case of sanitaryware as well as Faucetware because it is a completely mixed basket. And we have a lot of SKUs, which are in completely different price ranges. So we will always go by in terms of the revenue growth.

Jaspreet Arora: But some idea, would a large part be price , I understand sanitaryware is difficult. Or even there , yes, so if you take one standard product or whatever, just to get a sense because volume at the end of the day is a barometer of how the economy is growing. Price is always secondary. I mean that is not in our hands.

Deepak Chaudhary: See if you look across, let us say, last 3, 4 years, there has been hardly any price increase which has been taken. Last year, we have taken a price increase of roughly on an average, it was working out to 5.5% to 6% for Faucetware. Even that, you will find that the price increase takes some time to get implemented because of the fact that for all the projects, you will have prices which are more or less remaining constant for the delivery period, which would be typically something from 1 year to 1.5 years. So, for projects, the rise starts happening only after the certain time lag. In retail also because the dealers normally you have an effective date, but the pickup starts happening only after some time. So the price increase has been only to the extent of

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6% last year. Apart from that, everything what has come, the increases which are coming are coming on account of volume only.

Jaspreet Arora: Okay. And we are saying that for the second half against 2% -odd growth in revenue in the first half, in second half, we are expecting closer to 12% to 13% revenue growth.

Is that what you said?

Deepak Chaudhary: Correct.

Jaspreet Arora: Okay. And just to understand that part, you mentioned there are certain macroeconomic factors which will come into play. So what I could not understand, what were those macroeconomic factors which were absent in 1H and which will now come into force in 2H?

Vikas Kothari: No. So , like I talked about, there is a freeze as far as discretionary spending from the consumer side is concerned.

Jaspreet Arora: There is a freeze ? Slowdown. You mean a slowdown.

Jaspreet Arora: Yes, you mean there is a slowdown in discretionary spending ?

Vikas Kothari: Yes. So, with all the positive signs which are coming, like the interest rates are stable, we see that a lot of spending is happening from the Government side as well. And all these factors, we believe will help us in terms of changing the mindset of the consumer in terms of whatever decisions they have postponed. So they will start initiating those decisions. And this will support the building material industry, including our sanitary and faucet industries as well.

Moderator: The next question comes from the line of Resha Mehta with Green Edge Wealth.

Resha Mehta: So, just two questions, actually clarifications. Maybe I missed the opening remarks, but you have guided for a 7% to 8% overall top line growth for the full financial year? Or is that just for H2?

Deepak Chaudhary: For the full financial year.

Resha Mehta: And within that, faucets will grow in double digits. Is that understanding right?

Deepak Chaudhary: Correct, yes.

Resha Mehta: Got it. And also, you mentioned that the 2 new brands, Senator and Polipluz will contribute to INR 40 crore, INR 45 crore in H2?

Deepak C

haudhary: Correct.

Resha Mehta: And in terms of gross margin, so why did we see a compression in gross margin this quarter?

Deepak Chaudhary: Gross margins is more or less remaining the same. You will find that across quarters; there will always be a variation of 1% or 2%. But otherwise, it is always in that range of 52% to 55%. The discounts, typically, you will find that the gross margin is a function of two things. One is the kind of discounts which is being offered by the Company. Second would be the cost of the products that we are selling. So discounts have kind of remained stable over the last couple of quarters, you can see vis-a-vis Q1, we have seen that discounts are not going up. They are stabilized.

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But if you look at in comparison with the previous quarter, you will find a slight 0.5% kind of a difference between the kind of discounts we offered in Q2 of the previous year as compared to Q2 of the current year. But now that discount trend has been arrested.

So, there are a lot of factors which go into making that the kind of stock which was being uploaded, the kind of mix which has been sold. So there is a slight variation on a quarterly basis. But overall basis, you will find that the gross margin remains constant.

Resha Mehta: Right. And any input cost inflation?

Vikas Kothari: So, regarding the input cost, largely what we have seen is that the brass cost, which has shown an increase last year, after that, it remained within the range of INR 590 to INR 600 per kg. So that remains there. But again, when we talk about the current scenario, as of November. The metal price, the brass price has again taken a sharp increase. It is beyond INR 600, roughly around INR 620 or INR 630. So that is one factor which has impacted the margins, and the profitability. So we are cautiously watching this in terms of any subsequent rise and if the brass prices are continuously on a rising trend, that will be taken care of. But we are right now reviewing the market scenarios in terms of the metal market.

And with respect to other prices, other input prices like clay and feldspar chemicals, which are used. There is an increase versus Q2 of last year. So those prices have increased slightly. But largely, the focus is with respect to the brass prices. So, what we are smartly doing is with these price increases, we are improving, offsetting, or partially offsetting the impact with our improved operational efficiencies and the ongoing cost optimization initiatives, we are taking across the categories.

Resha Mehta: But no price hikes being planned, right?

Vikas Kothari: Yes, it is not planned because I think in the month of October, November, the brass prices have grown drastically. But still, we want to see the pattern. And then if we see there is an impact because in case of Faucetware, almost 60% to 65% of the cost of the product pertains to the input cost. And if we see the stable trade in terms of the price increase, then we may take a decision. But right now, there is no such plan.

Resha Mehta: All right, thank you.

Vikas Kothari: Thank you.

Moderator: The next question comes from the line of Karan Bhatelia with A msec.

Karan Bhatelia: With respect to the Senator and Polipluz portfolio, while you mentioned that INR 45 crore, INR 50 crore could be seen in the current year. How do we see next 2, 3 years in terms of revenue potential and the scale up in the margin profile as well?

Deepak Chaudhary: In respect of the margin profile, like Senator will have slightly higher margins as opposed to the kind of mix that we are having right now. We expect that it should

have margins to the tune of 20% to 22%. Polipluz , we expect it to be slightly higher. It should be in the range of 25%. The kind of volumes and the numbers that we have projected for

the next 2 years, like this should be contributing to something like INR 150 crore of turnover from Senator and Polipluz taken together.

Karan Bhatelia: Right. And what kind of new product launches we have seen in the core category of sanitaryware , faucet for first half and the expansion in the network?

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Deepak Chaudhary: There has been no new launches in Sanitaryware and Faucetware because we had quite a few launches in the last couple of years. Our product portfolio has undergone a complete change in the last 2 years. So this year, the launches were mostly in Polipluz and in Senator, where the new products , all the new range has been launched. So for the first half, there were no further launches in sanitaryware and in faucets.

Karan Bhatelia: Okay, that is it from my end.

Moderator: The next question comes from the line of Syed Nawaz, an Individual Investor .

Syed Nawaz: So, I have a few questions about the premium products that we are launching, specifically the Senator brand and Polipluz . Since the Company is transitioning into the premium market segment where 42% to 43% has been the average contribution to the overall revenues. How are we expecting to compete in the segment where we have already established players in the Sanitaryware segment, such as Hindware and some other players as well who specifically cater to the premium category ? What is the marketing position of the Company how are we looking to further capture the market in the premium segment?

Deepak Chaudhary: See, Cera has a long standing , like we have been in the premium segment for quite some time. But now we are trying to go a level up from the premium segment that we are already present to address the one which is being currently catered to more of the multinational brands. So, the idea is to have a completely different kind of a product profile. The kind of products we are having for Senator is very different from what we are currently have in our Cera portfolio. So, there is an upgradation in the kind of both the aesthetics, the kind of features and complete different product profile, which we are offering for Senator. The kind of experience that will be offered to the consumer would be also very different. For this particular brand, we are targeting a completely new set of dealers, a new set of showroom and a customer experience, which will be very different from what i s available for the Cera portfolio. So, the idea is to reach a set of consumers, which is not as of now being addressed by the Cera. There was no focus right now for those particular products. So the idea behind Senator is to give a more focused drive on the premium segment.

Syed Nawaz: Any marketing burn or any marketing spends, etcetera ? Because as you said that we are entering into a new segment altogether, which has not yet been explored by Cera. So are we expecting any marketing burn as well?

Deepak Chaudhary: Like in the first year, like we are talking about, let us say, the two quarters which have gone by and also the H2, the focus would be mostly on the getting the showrooms ready and also more on the acting on the influencers, getting the influencers on board, making them aware about the brand because they are the ones who kin d of bring in the consumer and the final decision tilt happens because of them.

So, in the first year, it will be mostly focused on getting products and showrooms ready.

So, the total spend that we intend to do would be carved out of the total budget that we have. We expect it to be in the range of INR 10 crore to INR 12 crore . From next year onwards, you will find that, that amount would increase, both for Senator as well as for the Polipluz also.

Syed Nawaz: And I have another question about the forecasted profits that we have discussed. More specifically, again, it would

be a very novice statement to make from my side, but I have observed that there is a reduction in the amount of sales achieved . And historically, again, at least in 4 or 5 years, we see that there is a slight reduction in the revenue of the Company . I have studied the data for the past 10 years. And I just

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wanted to get clarity , on whether we are looking at a sluggish market or at least lower demand in terms of real estate development projects being undertaken? Or what is the exact reason behind the fall in revenue or fall in the general demand for the



products?

Deepak Chaudhary: See, if you look at , as you are mentioning in respect of Cera, we had a good growth, let us say, till 2 years back or rather 3 years back from which the numbers have stagnated. We have been in the region of INR 1,800 crore to INR 1,900 crore over the last 3 years. So as you mentioned, the demand has been sluggish. It has been especially true for the retail segment over the last, you can say, 7, 8 quarters, 2 years. But over a period of time, we have found that our project business has started growing traction. The project which business which used to constitute something like 30% earlier has now gone up to 39%. And we anticipate that once the retail demand picks up, that growth, which has been missing over the last 7, 8 quarters, should again be back on track.

Moderator: The next question comes from the line of Lakshmi Narayan with Tunga Investments.

Lakshmi Narayan : Sir, I observed that in the sanitaryware category, the competition is quite high, and we see that an entrant who has been restricted to Faucetware has actually started getting traction in sanitaryware. Now does that explain some amount of slowness in our growth? That is my first question. Second , - how the realization of sanitaryware improved in the last 1 year or so? And what is the average realization for sanitaryware for us?

Vikas Kothari: So, like you told, in terms of the entrants or in terms of the players who are dealing in Faucetware, they have got an opportunity to come into the sanitaryware segment also. So, we have seen for the last several quarters that there are new entrants who have entered into the bathware zone. So again, since we are seeing that the market itself is not very growing because of the sluggishness in the environment . Overall, the comment from Cera's side would be that Cera being a brand which is established for more than four decades and with product lines, quality and other things well established , brand loyalty and the type of innovation we put in our products, is going to be a sustainable model.

Again, with respect to comparison with the new entrants, the service differentiation, we provide in terms of after sale and the wide dealer network we have, that is the plus point . So, there is an opportunity for them in a period where demand is sluggish . But on a long -term basis, we are quite confident that once the demand pattern will improve, definitely, our revenues will improve as we have projected in terms of the overall growth.

Lakshmi Narayan: Just on that one, if I look at some of the housing sales, etcetera , at least in the premium segment or even in the INR 50 lakh to INR 1 crore , the registrations in top metros continue to grow. And even some of them have actually taken possession . So, I am just trying to understand what is the correlation one can actually expect between that and our industry growth because there seems to be some kind of disconnect, though we always know that only towards the end people actually install the sanitaryware, but somehow it is not adding up. Can you just explain to me why is this?

Deepak Chaudhary: What you are saying is correct. Like if you look at the scenario which has happened post-COVID, the growth traditionally, Cera has been there in the

premium and the

mass premium brand. And the growth over there in those particular markets have been kind of stagnant. You have had quite a new players who have been coming in over there. You also have a segment which has been growing quite well, the

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premium, the luxury segment, the metro market, where you will find that a few players have been able to capture that market, where Cera was not having a very strong presence. So that is the idea that we have come out with that brand Senator, which is targeted towards the market, which is as of now showing traction .

Moderator: The next question comes from the line of Arun Baid with ICICI Securities.

Arun Baid: Sir, just one clarification. You said your margins will be 14.5%, 15%. This is for the full year, right?

Deepak Chaudhary: Correct, yes.

Arun Baid: And second thing is in the first half of this year, how much money we would have booked in the P&L with regards to Polipluz and Senator because of expense for the employees?

Deepak Chaudhary: In the current half year, which has ended, the sales have been marginal because it was more about getting the products and the leadership in place. So , the amount of sales in the first quarter is kind of negligible.

Arun Baid: No, I am asking for expense because you must have hired people, branding expense you have done, how much would that be?

Deepak Chaudhary: See, for the kind of showroom development, which has happened, it is an ongoing

thing. The cash outflow happens, but the actual expenditure comes in by way of depreciation, which will be happening over the next, you can say, a few quarters. In terms of branding, there would have been some expense. We have not initially categorized it specifically for Senator, what amount has been spent. The main impact would be on the people front, where we anticipate that for these two brands taken together, we would be having an annualized expenditure of something like INR 15 crore, you can say INR 14 crore to INR 15 crore for the full year. So the team development had started. So, a part of that expenditure would have been, the main expense would have gone into Senator and Polipluz.

Arun Baid: So, roughly the first half, would it be right to assume that you would have spent, I am talking of the employee expense only, around INR 5 crore to INR 7 crore would be the right assumption for the first half?

Deepak Chaudhary: It will be in the range of, yes, INR 5 crore.

Arun Baid: Okay. And the second thing is, you mentioned that INR 150 crore is what you budget from these 2 brands. This is by FY '27?

Deepak Chaudhary: Correct. FY '27.

Arun Baid: Okay, thank you very much.

Moderator: The next question comes from the line of Jaspreet Arora with Equentis PMS.

Jaspreet Arora: Just to clarify, sir, you mentioned this extra income or a one-off income of INR 5.5 crore. So, the PBT of INR 72 crore would become whatever lesser by that much, right? INR 66 crore, INR 67 crore. Is that how to read it, the recurring PBT?

Deepak Chaudhary: The EBITDA without other income is in the range of INR 67 crore as opposed to INR 69.60 crore in the previous corresponding quarter.

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Jaspreet Arora: And the PBT of INR 72 crore includes this INR 5.5 crore of exceptional income?

Deepak Chaudhary: Yes. INR 5.5 crore. Correct.

Vikas Kothari: Yes. It is with other income, correct.

Jaspreet Arora: Okay, that helps. And just lastly, are there any measures within the cost side, particularly on the fixed side? I understand on the variable side, it might be difficult, - there is already inflation and price increase is difficult.

So, on the cost side, because other building material companies are doing a fair bit on the

cost side, on the fixed cost side, whether it is salaries or overheads, do you have any scope for adjustments there to ensure that the margins do not dip beyond a point?

Deepak Chaudhary: See, this is a continuous exercise. Like over the last eight quarters where we have not witnessed an increase in revenue, the top line has not been growing. You find that the kind of margins that we have been able to maintain has been primarily because of the fact that we have undertaken a continuous basis cost optimization program. That is across the functions, across all categories, across all functions. So other players may have started doing it now, and that is why...

Jaspreet Arora: No, any specific areas you can highlight? Sorry to cut, any specific areas you want to highlight and also give the impact because this is a little bit generic what you are saying, which we appreciate. But quantum will help rather than generic and specific areas where you have done something?

Deepak Chaudhary: That is what I am trying to explain that it is not some one area which is kind of...

Jaspreet Arora: But the biggest area, the top two areas, because you will understand the quantum that way, and the quantum if you can share? As a percentage of revenue, how much from what to what?

Deepak Chaudhary: One area where we have really tried to extract more value and not increase is the publicity spend. If you look at the kind of publicity spend that we have been doing earlier, you find that it has more or less remained constant or has slightly decreased. So one would be that area.

Second area has been the kind of efficiencies which we have been able to get within the plant. Efficiencies is not by way of expense kind of reduction only. It is the kind of output that we are able to generate with the same amount of resources. That has gone up tremendously both in the sanitaryware as well as the faucet plant. How it really helps is that earlier you were incurring all costs for gaining a certain amount of output. Now the same cost, slightly increased cost is going for a much higher level of output. So essentially, the kind of rejections which you were having earlier. If you look at the sanitaryware plant, you will find that this is a major, major issue. Across, you will find that whenever a new player is setting up a plant in sanitaryware, they find it extremely difficult to stabilize because of the fact that rejections are extremely high. If you introduce a new product, you will find the rejections go up and it takes time

to stabilize. So we have been able to kind of bring out higher efficiencies over there, reduce the level of rejections so that earlier you were incurring all costs and then throwing away the piece. Now you find that you are incurring the cost, but you are getting a higher output so that your costs are getting spread over a larger number of units.

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Jaspreet Arora: Understood. And the employee cost, - inflation looks to be 4% to 5% in the first half. Is that how to read for the full year employee cost inflation?

Deepak Chaudhary: Typically, the employee cost because for the staff, it has gone up in the range of 10.5% to 11%. For the workers, you will find that it will be in the range of 5%. But we are anticipating a wage increase to happen in the second half. So that should take it for the whole year to be in the range of, let us say, 7% to 8%, if that happens in this year.

Jaspreet Arora: Okay. 7% to 8% for the full year, the entire wage bucket?

Deepak Chaudhary: Correct.

Jaspreet Arora: All right, this really helps. Thank you so much for the clarification and best wishes.

Deepak Chaudhary: Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I would now like to hand the confere

nce over to

the management for closing comments.

Deepak Chaudhary: Thank you, everyone, for attending this call and showing interest in Cera Sanitaryware Limited. Should you need any further clarification or would like to know more about the company, please feel free to reach out to me or to CDR India. Thank you once again for taking the time to join the call. Thank you .

Moderator: On behalf of Cera Sanitaryware Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

## Call: Mar 2026

CSL/2025- 26/251  
9th February, 2026

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 5th February, 2026  
Ref: Regulation 30 of the SE BI (LODR) Regulations, 2015

With reference to our letter CSL/2025 -26/230 dated 28th January, 2026 , intimating you about the Q 3 FY2026 Earnings Conference Call held on 5th February, 2026 , please find attached the transcript of the aforesaid conference call.  
The same will be available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.  
Thanking you,  
For Cera Sanitaryware Limited,

Hemal Sadiwala  
Company Secretary  
Encl: As Above  
Page 1 of 13

Cera Sanitaryware Limited  
Q3 FY '26 Earnings Conference Call  
February 05, 2026

Moderator: Ladies and gentlemen, good morning, and welcome to the Q3 FY '26 Earnings Conference Call of Cera Sanitaryware Limited. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded, and the duration of the call is 45 minutes.

I will now hand the conference over to Mr. Mayank Vaswani from CDR India for opening remarks.

Thank you, and over to you, Mayank.

Mayank Vaswani: Thank you, Ryan. Good morning, everyone, and thank you for joining us on the earnings call for Cera Sanitaryware Limited for the Q3 FY '26 earnings, which were announced yesterday. We have with us today the management team comprising Mr. Vikas Kothari, CFO ; and Mr. Deepak Chaudhary, VP, Finance and Investor Relations at Cera Sanitaryware. We will start with brief opening remarks from the management, following which we will open the call for Q&A.

A quick disclaimer before we begin. Some of the statements made in today's conference call may be forward-looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier. I would now like to turn the call over to the management for their opening remarks. Over to you, Deepakji.

Deepak Chaudhary: Thank you, Mayank. Good morning, everyone. On behalf of the management team of Cera Sanitaryware Limited, I would like to warmly welcome you to our Q3 FY '26 earnings conference call.

I will begin by sharing a brief update on our operational and strategic progress, following which our CFO, Mr. Vikas Kothari, will take you through the financial highlights for the quarter.

During the quarter, the company delivered a healthy top line growth of 11.1%. This follows the

sequential recovery witnessed in the previous quarter where revenues grew in the range of 5% to 6%, indicating a steady strengthening trend. The improvement reflects a gradual revival in the market conditions as well as the company's improved market traction.

The current momentum provides confidence that the recovery is structural in nature and that the expectation is that this growth trajectory will remain sustainable in the near term, supported by improving demand conditions and continued operational focus.

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The real estate sector continues to witness a healthy residential up cycle along with increasing premiumization, driving demand for higher -value building and lifestyle products. In parallel, rural demand has shown a meaningful recovery. Encouragingly, we are seeing early signs of a modest improvement in underlying demand conditions across both Faucetware and Sanitaryware.

While near -term consumption trends remain uneven, we continue to see green shoots across categories and channels. And our strategic initiatives over the past 2 years are helping us to navigate the space with greater agility. As we have shared over the last few quarters, our focus has been on steadily strengthening the company's strategic foundation.

This includes sharper brand positioning, more clearly defined channel strategies and a disciplined approach to innovation. These efforts are improving our preparedness and execution capabilities, and we believe that they place us in a stronger position to capture growth as demand conditions gradually improve.

Importantly, our strong brand equity, execution reliability and long -standing relationships with developers continue to enable participation in larger and more complex projects, making this segment an important support pillar during the current demand cycle. On the strategic front, Senator and POLIPLUZ continue to remain key levers to build out the next phase of our brand architecture. During the quarter, our efforts remain centred on strengthening the organizational structure, manpower and supporting infrastructure across both the initiatives.

For Senator, the team structure is now largely in place and the rollout of flagship stores is progressing steadily. With 32 stores currently operational, the company is now adopting a more calibrated approach towards further expansion. This is aimed at sharpening per store performance metrics and ensuring that the operating fundamentals are firmly established as the format scales.

The brand continues to be positioned around a differentiated retail format supported by a dedicated channel strategy, a focused engagement model and an expanding product portfolio. While the balance sheet provides ample growth capital, the company remains committed to disciplined execution as it scales this initiative.

POLIPLUZ also continues to be in the investment and buildup phase. The team buildup is now largely complete, and we are focused on strengthening distribution, on -ground execution and market presence across select value -focused markets. At this stage, our priority remains on establishing the operating framework and execution capabilities rather than near -term scale. At present, POLIPLUZ is being distributed through 65 distributors and 750 dealers.

Over the past few years, we have continued to sharpen our brand segmentation and align product propositions and channel strategies with distinct customer segments. This portfolio -led approach enables us to address a wide range of price points and regional demand patterns while retaining flexibility to manage near -term volatility without diluting long -term brand positioning.

While near -term retail demand continues to remain uneven, the long -term fundamentals of this category remain intact. Structural factors such as improving housing quality, urban redevelopment, rising

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consumer aspiration and increasing formalization continue to support the long -term demand outlook for branded bathroom solutions.

We also expect border policy measures aimed at supporting consumption and housing activity to remain helpful for category sentiment over time. When combined with our established brands, extensive distribution network and execution capabilities, these strengths provide us with confidence in the near - to long -term opportunity.

As highlighted earlier, the rollout of our dealer management program remains an important ongoing initiative

and is progressing steadily. Going forward, the system will help improve visibility into secondary sales and channel inventory over time, enabling more informed decision -making and tighter channel management.

The company's retailer loyalty program with over 28,000 enrolled retailers is planned to transition from the current manual invoice upload and verification process to a fully automated system once the dealer management system stabilizes.

Going forward, purchases made through BMS -enabled dealers are expected to be captured automatically with loyalty points credited without retailer intervention. This digital shift is intended to enhance efficiency, improve accuracy and deliver a faster, more seamless experience for the retailer ecosystem.

During the quarter, capacity utilization stood at 102% for Faucetware and 82% for Sanitaryware. We continue to focus on disciplined cost management and operational efficiency across the supply chain,

operations and distribution, aimed at protecting margins and strengthening the resilience of the business amid input cost pressures and a mixed demand environment.

To summarize, while demand conditions may take some additional time to normalize, our focus continues to be on disciplined execution, strengthening our operating fundamentals and preparing the organization for the next phase of growth. With a strong balance sheet, a diversified portfolio and sustained investments across brands, channels and systems, we believe that we are well positioned to navigate the current environment and capture opportunities as demand conditions improve over time. With this, I would like to hand over to Mr. Vikas Kothari, our CFO, who will present the operational and financial highlights for the quarter ended 31st of December 2025. Thank you, and over to you, Mr. Kothari.

Vikas Kothari: Thank you, Deepak, and a very good morning to everyone. I will now take you through a brief overview of the company's financial performance for the quarter and 9 months ended 31st December '25. Revenue from operations for the quarter stood at INR499 crore as compared to INR449 crore in Q3 FY '25.

EBITDA without other income for the quarter was at INR51 crore as compared to INR59 crore in the corresponding quarter of the previous year.

EBITDA margins stood at 10.2% in Q3 FY '26 as compared to 13.2% in Q3 FY '25. This decline was primarily driven by an increase in trade discounts and elevated brass input costs impacting both manufacturing and procurement. Margins were also weighed down by higher publicity spend, which

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was a phasing impact and pre-operating expenses associated with POLIPLUZ and Senator brand launches.

Gas costs during the quarter increased with the weighted average cost at INR35.70 per cubic meter in Q3 FY '26 as compared to INR33.53 per cubic meter in Q3 FY '25. During the quarter, gas consumption was sourced 69% from GAIL and 31% from Sabarmati. Overall, gas cost as a percentage of revenue stood at 3.8%.

Prices remained unchanged during the period. At the same time, input costs, particularly brass, clay have moved meaningfully in the recent period. Given the sustained nature of these cost pressures, we have recently announced a calibrated price increase both in Faucetware as well as Sanitaryware. This approach is intended to balance margin protection with market competitiveness.

For the quarter under review, revenue contributions by segment was broadly as follows: Sanitaryware at 48%, Faucetware at 40%, Tiles at 10% and Wellness 2%. On a Y-o-Y basis, Sanitaryware revenue grew by 6.4%, Faucetware by 18.2%, Tiles by 5.7% and Wellness by 29.4%. Our core categories, Sanitaryware and Faucetware together accounted for 88% of the total revenues.

Capacity utilization during the quarter stood at 82% for Sanitaryware and 102% for Faucetware. From a product mix perspective, 44% of sales were from premium segment, 35%

from mid-segment and 21%

from entry-level products. Geographically, Tier 3 cities accounted for 41% of sales, followed by Tier 1 at 36% and Tier 2 at 23%. Profit after tax stood at INR24 crore as compared to previous year's quarter at INR46 crore.

During the quarter, we recorded a onetime impact under exceptional items following the implementation of the New Wage Code. The revised wage structure has resulted in an increase in long-term employee benefit liabilities. We have recognized an incremental impact of INR12.2 crore towards gratuity and INR6.26 crore towards leave salary liabilities under exceptional items in the statement of profit and loss.

Earnings per share for the quarter was at INR18.35 compared to INR35.56 in Q3 FY '25. On the working capital front, inventory days decreased from 85 days to 84 days. Receivables decreased from 34 days to 33 days, while payables remain stable at 38 days, leading to a Y-o-Y decrease in net working capital from 81 days to 79 days. As of 31st December '25, our cash and cash equivalents stood at INR757 crore. Our capital expenditure plan for financial year '26 remains measured with an outlay of around INR13.2 crore by end of December '25. This was largely directed towards routine maintenance, along with selective investments to strengthen brand presence and retail initiatives. Capital allocation continues to be guided by disciplined return visibility and a strong focus on maintaining balance sheet strength.

Overall, our financial position remains healthy, supported by a strong balance sheet, disciplined cost management and prudent working capital practices. This provides us with the flexibility to navigate the current operating environment while continuing to invest selectively in strategic initiatives. We believe this balanced approach positions the company well to deliver sustainable performance and create long-term value as demand condition improves over time.

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With this, I would now request the moderator to open the lines for Q&A. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use their handsets while asking a question.

Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to two questions per participant and rejoin the question queue. One moment please, while we poll for questions. We take the first question from the line of Jaspreet Singh from Equentis PMS.

Jaspreet Singh : Yes hi, good morning , everyone . My question is related to the EBITDA margin drop. So, the 300-basis point drop in EBITDA margin and gross margin, just trying to confirm it is largely coming from faucets and largely because of the brass price increase. Can you confirm?

Vikas Kothari: So, as we have told in our brief review, so I will reiterate again. So, the drop in margins, EBITDA margins by 3%, this was primarily driven by the increase in the trade discounts. So, discounts largely increased on account of the participation, higher participation in our projects. If you see, our project spends have increased by 12%, if you compare the Y -o-Y comparison. Retail, in case of retail segment, discounts were broadly stable.

Additionally, the COGS increased mainly due to the increase in the input cost. So brass prices have increased by roughly 12%. And this elevated brass prices have impacted both in manufacturing as well as the external procurement costs. And apart from that, we have some higher spend in Q3 with respect to publicity, which was the phasing impact and some preoperative costs related to Senator.

So overall, if we see, to mitigate this impact of increased brass prices, we have recently announce

d the

price increase both in case of Faucetware as well as Sanitaryware. I hope I have answered your question.

Jaspreet Singh: Yes, yes, you have beautifully explained. Thank you so much. So, just related to that, you know I have not seen 10% kind of EBITDA margin in the last decade also, I do not have data prior to that handy, I mean we have not seen 10% margin for Cera on an annual basis, maybe quarterly it happened. So, I am just surprised and confused and you know disappointed at the same time, that a quarter back or let us say we were guiding of 14 % to 15% kind of a margin?

And what changed so much in 3 months or 4 months or 6 months that suddenly the trajectory shifted to 10% and even there we are now talking of calibration, calibrated price increases. So, what has so drastically changed in the world of building materials and Cera given it is a branded product, that we see a 10% EBITDA margin, multi -decade low and I do not know when it will go back to 15%. So, your views on that please ?

Deepak Chaudhary: See, what is happening is we are looking at 1 quarter, and we are trying to extrapolate it that it is going to be there for the future also. So, we do not anticipate that this is going to be the trend going forward.

Once we go into Q4, you will find that the top line even otherwise in Q4 is much larger, which leads to a better absorption in fixed cost. So, it has been due to some of the phasing impacts that some costs in Q3 has been higher.

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For example, as Mr. Vikas mentioned, the publicity costs have been in a phased manner been higher in Q3. Like the total budget for the year remains the same. But for Q3, the expenditure has gone up. Same way for CSR activities also, the bulk of the expenditure has happened in Q3. So, it is higher during this particular quarter. Also, as we have embarked on that new ventures of Senator and POLIPLUZ. So, this is a kind of impact which has started happening from Q3.

And once the top line also starts coming in Senator and POLIPLUZ, we will find that it will be able to absorb and account for better margins. So, this is a one -off kind of a thing and not something which is expected to remain on a steady basis of the future. Going forward in Q4 by itself, you will find that we will be returning back to the margins of at least 13%, 14% that we had been having in the last few quarters. So, to summarize, I will say it is a one -off kind of a thing and is not expected to continue as a trend.

Moderator: Thank you. We take the next question from the line of Sunny, who is an Individual Investor. Please go ahead.

Sunny : Hello, sir. Am I audible?

Vikas Kothari: Yes, we can hear you.

Sunny : Yes. So, I just wanted to know, we were earlier one or a couple of years back projecting a 17% revenue growth over the next 2, 3 years. So what is it happening that even though the real estate sales from 2022 or '21 onwards were very good, that this -- our sales has been highly stagnant over the last 3 or 4 years, and we are unable to even grow our market share or our sales even though you are holding on to our margins, barring increase in brass prices or whatever ? So, when do you expect this above 15% revenue growth in the future given that the real estate cycle had started some time back and the construction companies were doing well ? So, if you can throw some light on that.

Vikas Kothari: Yes. So just to answer your question, like , you are right that for the last 2 years, there had been stagnancy in the growth. But if you have been listening to our calls, you will find that we have been projecting that H2, we expect the revival to happen. And in fact, Q3, we see that it has been growing by 11.1%.

And Q2 also, we have grown by in the range of 5% to 6%.

So, the growth trajectory has already started happening, and we are confident that even Q4, we should be able to maintain this kind of growth. And we should b

e ending the year as we projected in the earlier

con-call by roughly 7% to 8% on an overall full year basis. So now we find that the kind of stagnancy which had come in the retail market has started improving. And going forward, we expect it to be much better.

Moderator: Thank you. We take the next question from the line of Varun Julasaria from 360 ONE Capital. Please go ahead.

Varun Julasaria: Yes. Hi, sir. Thank you for the opportunity. I just wanted to know, sir, if this growth for the current quarter was due to pre-buying before the price hike? Or was there actual improvement in demand?

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Deepak Chaudhary: So, there is an actual improvement in demand. If you look at our growth even in Q2, we have grown by 5% to 6%. In fact, the price increase has happened only yesterday. The announcement has been made only yesterday. So Q3, there was no talk about any price increase. It is only in Q4 yesterday that the price hike has been announced. So, there would be some traction in Q4 on account of this, but Q3 is purely on account of the improvement in the demand and the initiatives which has been taken by the company.

Varun Julasaria: And sir, how much was the price hike which we took? And how much was the increase in raw material cost that has come?

Deepak Chaudhary: The brass prices have fluctuated widely over the last, you can say, the entire year. In Q3, it has risen by something like 12%. In January, again, it has gone up significantly. If you look at the entire purchase of the 9 months of the financial year, from March -- April to December, you will find that the average price was something like INR640 for brass per kg, which has gone up to something like INR800 in January over the last few days. So, it is a sharp increase which has happened in -- particularly in January. And also, there was a 12% rise in the month of -- sorry, in the quarter of Q3.

Moderator: Thank you. We take the next question from the line of Arun Baid from ICICI Securities. Please go ahead.

Arun Baid: Hi, sir. Just a few point, data points. You mentioned that publicity cost was higher in Q3. Can you share that number? Also, the spend done on Senator and POLIPLUZ in the last 9 months and particularly in Q3. At the same time, what you announced is about 11% plus price increase in case of Faucetware and 4% plus in case of Sanitaryware. Is that sufficient to cover whatever increase has happened?

Deepak Chaudhary: I will just take your questions one by one. First, you asked was in respect of the publicity spend. How much it has happened in absolute numbers in the current quarter? In current quarter, the publicity spend was INR17.27 crore as opposed to INR13.87 crore in the corresponding quarter of the previous year.

So, there is an increase of something like INR3.5 crore to INR4 crore in publicity spend. Second question was in respect of -- if you can repeat the question again?

Arun Baid: So, the spend we have -- the ad spend in for 9 months, if you can give, that will be helpful? And Senator and POLIPLUZ cost incurred in the first 9 months and also in Q3?

Deepak Chaudhary: In Q3, we spent something like INR6 crore in POLIPLUZ and Senator. This was including for salaries, which was in the region of INR3.6 crore and promotional traveling and other expenses in relation to Senator and POLIPLUZ, which accounted for the rest. The publicity spend for the entire year for 9 months has been something like INR35.58 crore for the entire 9 months of the current fiscal year.

Arun Baid: Versus how much last year, 9 months?

Deepak Chaudhary: 9 months last year was INR40.89 crore.

Arun Baid: And sir, one more question which I had with regards to this was that Senator and POLIPLUZ, there are no sales, right? We have not booked anything sales-wise?

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Deepak Chaudhary: No. In Q3, the total sales up to the end of 9 months, the total sales was in the region of INR7 crore to

INR8 crore for Senator and POLIPLUZ taken together. And we had earlier projected something like INR40 crore for the full year, but we would like to revise that we should be ending at more like INR20 crore for the current year because the stores have been taking some time to get ready. So, we expect to do something like, more like INR20 crore and not INR40 crore, INR45 crore, which we re projected earlier in respect of these 2 brands.

Arun Baid: And sir, you do not mention the numbers spent on Senator and POLIPLUZ for 9 months, you mentioned for this quarter, INR6 crore?

Deepak Chaudhary: INR6 crore was for this quarter. For the whole year, it would be in the region of -- because most of the spending has started coming in Q3 only, the other promotional spending, etcetera. Before that, the team building spends were there. So, for the full year, it would be in the region of, you can say, INR8 crore to INR9 crore.

Arun Baid: And you had projected INR150 crore from this -- both these brands next year. That is in place, right?

Deepak Chaudhary: That should be in the region of, because we are projecting something like, you can say, INR8 crore to INR9 crore in the current quarter also. So next year, we should be able to do once the scale-up is complete, more in the region of, you can say, INR100 crore to INR120 crore.

Vikas Kothari: So, largely, once this Q4 will be ended, so we are -- we will be preparing our detailed budget exercise, taking into consideration market feedback and all. So, we will come out with the numbers as part of the next year achievements -- to-be-achievements for both these newly launched brands.

Arun Baid: And sir, regarding my question about that price increase which you have taken, is that sufficient to cover whatever cost increase you have seen till date?

Deepak Chaudhary: Yes, the price increase will be sufficient to cover the kind of increases which have happened till date. Obviously, if it keeps on increasing at the current trend, then again, we will have to revisit the position. But as of now, the kind of increases which have happened, the price increase will be able to adequately cover it.

Arun Baid: Sir, one more feedback we have from dealers is you were the last guys to announce a price hike. The



leader in Faucetware had taken a price hike somewhere in January. Any reason why you are delaying it till 1st of March, that is the date you have given to dealers, right?

Deepak Chaudhary: See, it is a matter of what -- how we perceive the price rise and how our total cost dynamics are working. We find that the market leader has not taken a price rise since quite some time, whereas we had in September '24 taken a substantial price increase in Faucetware. So that price increase was kind of helping us to maintain our margins. Also, the fact that our operational capability in Faucetware has improved significantly.

And even with the cost increase in the brass, because of other operational parameters, the overall cost, we were able to manage quite well and the margins were being maintained. That is why the need for that price increase in between did not arise. But we cannot expect everything to be like a total aligned  
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movement in case of prices from all the players. So, it is totally based on the kind of margin pressures which are being put within the company. And that was based on that, that we have taken in September '24, and we are taking it right now.

Arun Baid: So, sir, after this price increase, if I get it right, in FY '27, you will go back to -- assuming there are no more cost increases, you will go back to your margin rate of 15%, 16%, which you used to look at earlier. Is that correct?

Deepak Chaudhary: Correct. Correct. Correct.

Arun Baid: And...

Moderator: Arun, I would request you to please join back the queue for follow-up questions.

Arun Baid: Thank you.

Moderator: Thank

you. We take the next question from the line of Nikhil Gandhi from Bajaj Life Insurance. Please go ahead.

Sujeet: Yes, this is Sujeet from Bajaj Life. Thank you for the opportunity. Just wanted to check with you, in the previous cycle during COVID years when the prices rose in Sanitaryware and Faucetware, did you benefit, players like you who are large, do they benefit typically in cycles like that in terms of market share gain from the smaller players?

Deepak Chaudhary: Sir, your question is not clear. Can you repeat it again?

Sujeet: Okay. So, do you benefit in a rising prices scenario? When raw material prices rise, the industry takes a price hike. Large players like you in Faucetware and Sanitaryware, do they benefit? In the previous cycle when this happened in COVID, did you gain market share?

Deepak Chaudhary: You will find that whenever there is an input cost rise, that is something which is affecting the industry as a whole and you will find that sooner or later that will be leading to a price increase by not only the larger players, but also by the smaller players also. So, on an overall basis, a price, cost increase led price increase is not something which is going to affect the market share of individual players. You will find that over a period of time once everybody takes a price increase that market share stabilizes. It is not that on a rising cost scenario larger players are able to take in higher price increases and are able to garner higher market shares.

Sujeet: Okay. Secondly, in the con call today you have already explained that for projects you had to give higher discounts, right?

Deepak Chaudhary: Correct, yes.

Sujeet: So, can we say that currently the demand remains muted?

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Deepak Chaudhary: No, the demand has started going up. If you see that we have grown by 6% and 11.2% over the last two quarters. The total share of projects within the business has remained constant at the same 38 %-39% which has been not only there in Q2 and Q3, but also there in you can say previous year Q2, Q3 and Q4, as well as current year Q1.

We have been towards that number for quite some time now. Typically, our project share used to be 30%, but that was something like 2.5 to 3 years back and we have steadily risen from you can say mid of 2022-'23 to a number of 35% and now to 37 %-38%, which is holding steady. So, it is not that in this particular quarter by itself the project numbers have gone up.

The numbers have been growing over the period of time where because of the fact that retail had been kind of sluggish. Now with the retail also picking up, you will find that this number would either remain constant or will start going down going forward.

Sujeet: So just to get this right, in periods when the overall demand is sluggish, because retail is still the higher portion close to 60 % to 63%, correct? In those periods, what is your game plan to basically till the time the demand remains muted to kind of accelerate sales growth? When you do not have tailwind from the industry?

Deepak Chaudhary: See, whenever there is an outside pressure, what we typically try to do is that we try to improve our operations, look inwards, try to improve operations, try to improve our product line. That is what we have been doing over the last couple of years when the demand had been muted.

We have introduced a slew of products, we have introduced brands where we felt that there was a market growth and we were not present, and we have undertaken a lot of operational efficiencies to improve and maintain margins in spite of the kind of external pressures which are there. So, the idea is that periods when the retail is not doing well or the external pressures are there, try to be prudent inward,

try to do more of, you know, operational efficiencies and product kind of expansion.

Sujeet: So, one last question is then do you actually ge

t higher sales growth because of the product interventions and product introductions?

Deepak Chaudhary: Now we are anticipating that we are well -positioned because we have introduced a slew of products in the last couple of years, the market has already started showing signs of improvement. Both project has been doing quite decent in the recent past and retail also has started showing green shoots. So, we now anticipate that going forward we should be able to maintain this momentum of double -digit growth in Q4 as well as in the coming financial year.

Moderator: Thank you. Ladies and gentlemen, we request you to restrict to two questions per participant. We take the next question from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: Yes. Hi, sir. Thanks for the opportunity. Sir, my first question is related to price hike. Sorry if I missed that. What is the price hike that we have taken yesterday for Sanitaryware and Faucetware?

Deepak Chaudhary: The kind of indication that we have given to the market is on an average it will be 4% for Sanitaryware and 11% for Faucetware.

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Bhavin Rupani: Got it. Sir, a couple of data points. What is our outsourcing proportion for Sanitaryware and Faucetware?

Deepak Chaudhary: I will just give you the number for Q3.

Bhavin Rupani: Yes.

Deepak Chaudhary: In Sanitaryware, the outsourcing was 61%. And in Faucetware, the outsourcing was 47%.

Bhavin Rupani: Perfect. And one last question on capex. So , Faucetware, we are running at almost 102%. Any capex plans for the year?

Deepak Chaudhary: Like we had already taken the brownfield expansion where we have gone up from 3 lakhs to 4 lakhs, and we had undertaken civil facilities, which have been completed to take it from 4 lakhs to 6 lakhs.

So, with these, whenever we feel that the demand is sustained and that we will be able to keep on having a kind of sustained production requirement we can go from 4 lakhs to 6 lakhs within a span of, you can say, 3 to 4 months because only balancing equipment needs to be done. Otherwise, the plant is ready.

Moderator: Thank you. We take the next question from the line of Mithun Aswath from Kivah Advisors. Please go ahead.

Mithun Aswath: Yes. Hi, sir. There was a plan to put up a new Sanitaryware facility .

Deepak Chaudhary: Can you speak a little louder?

Mithun Aswath: Yes, hi. There was a plan to put up a new Sanitaryware facility. I think the land was purchased for the same. Just wanted to know what is the status of that?

Deepak Chaudhary: You are right. The land is already purchased, but we have not commenced the construction activity for the plant. That we are going to take a view at the end of Q4, depending upon the market situation at that point of time, whether we need to start construction immediately or defer it even further.

Mithun Aswath: Sir, that definitely does not sound good as a prognosis, right? To wait for the market to grow and then you will put up the plant or you do not want to put up the plant ahead of demand actually picking up?

Deepak Chaudhary: So, it is a total kind of scenario in relation to the demand and the production capability. What has happened within the last couple of years, as I keep on mentioning again earlier also, that the facilities within the plant itself has undergone a lot of change. The kind of efficiency that we were able to achieve earlier, we are able to do much better than that.

So, we have been able to, without putting up a new greenfield project, create a plant within the plant, a new plant within the plant because our manufacturing capabilities and the production output that we are able to achieve within the plant has gone up significantly. Also, what has happened during this last, you can say, a couple of years is that the mix has changed.

Earlier, the idea was that most of the complex pieces used to be produced within the plant and the

simpler ones, the low value -added products used to be purchased from outside. Now with the kind of

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muted demand, which was there in the last couple of years, this shift has also happened in the production, which is being done currently in the plant.

So, a few of the outsourced items, which were -- have now been taken in-house. And once we find that the demand is improving, we can take again these products to the outsourced partners for the -- increase the capacity within the plant, take the plant to full manufacturing capability.

So, we have a lot of scope in the next couple of years to be able to manage from the current plant by itself. So, it is not a function of trying to follow the demand. It is a function of being able to understand the exact production capability vis -a-vis the demand.

Moderator: Thank you. We take the next question from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude: Hi, sir. Thank you for the opportunity. Sir, you spoke about EBITDA margin getting back to 15%, 16% going forward. Can you help us understand what kind of net sales growth you are pencilling there ?

Deepak Chaudhary: See, Essentially, as I mentioned, this was a one -off kind of a quarter wherein a large amount of phasing impact has happened, which has led to a reduction in the EBITDA margin. So typically, we have been maintaining margins in the region of 13% to 14%, which even otherwise will be normal, and we expect

to be back to those margin levels in Q4 itself. And that should be -- that is something which is sustainable across going forward.

And coming back to that from 13, 14 to that range of, you can say, 15% to 17% because we have already started growing and we have started seeing the top line increasing, you will find that as these numbers sustain and the top line continues to grow, the -- and these one-off kind of things are not there. So, you will find that those margins of 16%, 17% should be looking very likely in the second half of next financial year. But we should be back to that 13%, 14% level in Q4 itself.

Archana Gude: Sure, sir. Sir, also, if you can talk about the micro markets, you spoke that there is some green shoots maybe, you know, going forward. So, any particular markets you would like to talk about where we are seeing that the demand is picking up barring the project sales?

Deepak Chaudhary: I think as I mentioned in earlier questions also that the company has been taking a lot of initiatives in respect of the product profile and also the kind of market where it is not too strong. So, we have been looking at in the last, you can say, 3, 4, 5 quarters as to which markets we are not really doing well and have been concentrating a lot on those markets.

And it is these markets which have now started showing results, wherein earlier, if you see the total distribution profile of Cera, most of the sales used to come in from South, wherein Kerala used to lead. Now the trend has been reversed. You will find that at the UP is the leading in the entire zones. And the zone of Bihar, Jharkhand, which used to be extremely poor has also started showing a reversal. So, it is the kind of small, small initiatives, which has started leading to kind of improvement in the overall kind of sales. And going forward, you will find that the initiatives which we have taken earlier will sustain the kind of growth that we have been able to achieve in the last two quarters.

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Archana Gude: Sure, sir. That was helpful. Thank you so much and all the best for coming quarters.

Deepak Chaudhary: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question, and we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Mayank Vaswani: Thank you, everyone, for attending this call and for showing interest in

Cera Sanitaryware Limited.

Should you need any further clarification or would like to know more about the company, please feel free to reach out to me or to CDR India. Thank you once again for taking the time to join the call.

Moderator: Thank you. On behalf of Cera Sanitaryware Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

## Call: May 2026

CSL/2026 -27/34  
14th May, 2026

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring  
Rotunda Building, P J Towers  
Dalal Street, Fort, Mumbai – 400001.  
Scrip Code :532443  
Scrip ID: CERA To,  
National Stock Exchange of India Limited  
Exchange Plaza  
Bandra Kurla Complex  
Bandra (East)  
Mumbai – 400051.

Scrip Code: CERA

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on 9th May, 2026  
Ref: Regulation 30 of the SE BI (LODR) Regulations, 2015

With reference to our letter CSL/202 6-27/20 dated 28th April, 2026, intimating you about the Q 4 FY2026 Earnings Conference Call held on 9th May, 2026 , please find attached the transcript of the aforesaid conference call.

The same will be available on the website of the company, i.e. [www.cera-india.com](http://www.cera-india.com)

We hope you will take the same on your records.

Thanking you,  
For Cera Sanitaryware Limited.

Hemal Sadiwala  
Company Secretary  
Encl: As above

Transcript of CERA Sanitaryware Ltd. Q 4 FY26 Earnings Call Page 1 of 14

Cera Sanitaryware Limited  
Q4 & FY26 Earnings Conference Call  
May 09, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the earnings conference call of Cera Sanitaryware Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devrishi Singh of CDR India. Thank you, and over to you, Mr. Singh.

Devrishi Singh : Good morning, everyone, and thank you for joining us on the earnings conference call for Cera Sanitaryware Limited for Q4 FY26 earnings, which were announced yesterday. We have with us today the management team comprising Mr. Vikas Kothari – CFO ; and Mr. Deepak Chaudhary – VP Finance and Investor Relations of Cera Sanitaryware. We will start with brief opening remarks from the management, following which we will open the call for Q&A.

A quick disclaimer before we begin . Some of the statements made in today's conference call may be forward -looking in nature, and a detailed note in this regard is contained in the results documents that have been shared with all of you earlier. I would now turn the call over to the management for their opening remarks. Thank you, and over to you .

Deepak Chaudhary : Thank you, Devrishi . Good morning, everyone, and a warm welcome to you all for

joining us for the Q4 and full year FY26 earnings conference call of Cera Sanitaryware Limited. I will begin by sharing a brief overview of our operational and strategic developments during the quarter, following which our CFO, Mr. Vikas Kothari, will take you through the financial performance in greater detail.

During the quarter, the Company delivered an improved performance with revenues growing in double digits at 11.4% on a year-on-year basis. Sanitaryware and faucetware accounted for 46% and 43% of the revenues, respectively, during the quarter.

This performance further builds on the early signs of recovery that we had started witnessing from Q3 and reinforces our confidence that demand conditions are gradually improving. Importantly, this improvement is being led by our core product categories, where we are seeing relatively better traction given our strong positioning in the mass and mid-segments.

From a broader perspective, the underlying drivers for the building materials sector continue to remain supportive. We are seeing a more balanced recovery across segments with traction in both urban markets and select Tier 2 and Tier 3 regions. This is encouraging for our core product categories as demand conditions continue to stabilize.

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Sanitaryware Ltd. Q 4 FY26 Earnings Call Page 2 of 14

During the quarter, we implemented a calibrated price revision across faucetware and sanitaryware effective from March 1st, primarily to offset the increase in input costs, particularly in brass. Going forward, we expect continued volatility in the key input prices, including metals and energy costs, over the near to medium term. While these pricing actions have been undertaken in a measured manner, we continue to maintain a balanced approach keeping in mind both margin protection and market competitiveness. Pricing decisions will remain dependent on movements in input costs and overall demand conditions.

On the margin front, we have continued to see some pressure during the quarter with margins remaining below our normal range, largely on account of higher input costs as well as on account of continued trade discounts. We have already compensated for the higher costs by increasing prices in both sanitaryware and faucetware segments. As operating conditions stabilize, we expect to progressively regain better control over discounts, which should support a steady improvement in margins over time.

The Company has identified certain focus markets, mainly the Northeast, West Bengal, Uttarakhand, Bihar, Tamil Nadu, Madhya Pradesh, Jharkhand, Goa, Chhattisgarh, and Odisha as a part of its growth strategy initiated some time ago. Continuous efforts undertaken across these regions to strengthen distribution and market interventions have contributed meaningfully to the growth achieved by the Company so far.

From a portfolio perspective, FY26 has been an important year in strengthening our overall brand architecture, particularly through our initiatives under Senator and Polipluz. Both brands have made steady progress during the year with key building blocks now largely established across product portfolio, team structure, distribution, and market presence.

Under Senator, we have successfully expanded our retail footprint with 40 flagship stores operational during the year and are targeting to scale this up to 60 stores by next financial year. Under Polipluz, we have onboarded 102 distributors and 1,120 dealers during FY26, with a target to expand the network to 200 distributors and 2,000 dealers by the end of FY27. These initiatives are currently in the investment and brand-building phase, where the focus remains on strengthening positioning, expanding reach, and building long-term brand equity. Given the nature of this phase, we expect the outcomes to play out progressively over time with a more visible contribution to growth as these initiatives scale up. With the foundational elements now largely in place, our focus will increasingly be on strengthening execution and driving progressive scale-up over the coming periods. Backed by a strong leadership team and relevant industry experience in building established brands, we remain confident about the long-term potential of these initiatives.

At the same time, as we continue to invest in these emerging brands, the core Cera brand remains central to our growth strategy and continues to be the primary driver of volumes and overall business performance. As mentioned earlier, we are seeing improved traction in this segment supported by gradual recovery in retail demand as well as continued momentum in the project business.

Cera Luxe is also gradually strengthening our presence in the premium and

contemporary segment, supported by an expanding product portfolio and improving market visibility.

Given our strong positioning across our core segments, we expect a significant part of the growth going forward to be driven by the core Cera brand, where we have established scale, distribution reach, and strong brand recall.

Transcript of CERA Sanitaryware Ltd. Q 4 FY26 Earnings Call Page 3 of 14

On the brand and marketing front, we are strengthening

our overall communication

strategy with a sharper focus on enhancing brand visibility across segments. During FY26, our marketing and publicity spends stood approximately at INR 49 crore, and we expect this to increase in FY27 as we step up our brand-building initiatives across key channels.

We are working towards rolling out a series of focused campaigns across digital, social, and on-ground platforms. This will include the introduction of a new brand ambassador, which we expect to announce in the near term and which we believe will further enhance brand visibility and engagement across the key markets. Overall, these initiatives are aimed at strengthening our brand positioning and supporting our growth strategy going forward.

In addition, we have been strengthening our brand visibility through strategic franchise and institutional tie-up with leading consumer-facing brands across India. These include association with well-recognized names such as McDonald's, Tea Post, Conplex, JSW One Homes, Shalby Hospitals, Federal Bank, and other prominent brands across sectors.

From a supply side perspective, as most of you are aware, the industry has been witnessing disruptions in parts of the unorganized sector, particularly in Morbi, due to gas availability challenges arising from the ongoing geopolitical situation. In response to this environment, we are increasingly undertaking internalization of certain sanitaryware product categories, which is expected to enhance supply reliability and strengthen our ability to cater to demand requirements more efficiently. While gas prices remain elevated and are unlikely to ease in the near term, Cera has remained relatively insulated from these disruptions. This is supported by our continued gas sourcing arrangement, including supplies from GAIL at relatively subsidized rates, which have ensured operational continuity.

In addition, we have been able to effectively service demand through our existing inventory levels and manufacturing capabilities, enabling us to maintain supply in a market where several players have faced disruptions. This has also provided an opportunity to liquidate inventory and support offtake during the period, leading to improved demand visibility. Overall, while the external environment remains challenging, we are well-positioned to navigate the current situation without any material disruption to production or supply in the near term. At the same time, we continue to closely monitor the situation and remain focused on ensuring operational stability and responsiveness across our network.

On the operations front, we continue to focus on improving manufacturing efficiencies and strengthening our supply chain. In faucetware, we continue to witness strong traction with operations running at high utilization levels. During March 2026, we manufactured 4.3 lakh pieces, reflecting a healthy demand momentum. In view of the strong demand visibility, we are undertaking capacity expansion to increase the production capacity to 5 lakh pieces per month with minimal capex outlay of approximately INR 5 crore. The enhanced capacity is expected to become operational from Q4 FY27 onwards.

To summarize, while the near-term environment continues to present certain challenges, we are seeing gradual improvement in demand conditions supported by a strong market position and execution focus. Importantly, we are beginning to see early signs of strengthening across key demand drivers and as these trends sustain, we expect this to translate into more visible growth momentum over the coming periods. Our priority remains on disciplined execution, strengthening our operating

Transcript of CERA Sanitaryware Ltd. Q 4 FY26 Earnings Call Page 4 of 14

fundamentals and building a robust platform for future growth. With a strong balance sheet, diversified product portfolio and continued investments across br

ands,

channels and systems, we believe that we are well-positioned to navigate the current

environment and capture growth opportunities as demand conditions continue to improve over time.

With this, I would like to hand over to Mr. Vikas Kothari to run you through the financials of the Company.

Vikas Kothari: Thank you, Deepak and a very good morning to everyone. I will now take you through a brief overview of the company's financial performance for the quarter and year ended 31st March '26.

Revenue from operations for the quarter stood at INR 644 crore as compared to INR 578 crore in Q4 FY25.

EBITDA excluding other income for the quarter was at INR 98 crore as compared to INR 106 crore in the corresponding quarter of the previous year. EBITDA margins stood at 15.2% in Q4 FY26 as compared to 18.3% in Q4 FY25. This decline was primarily driven by continued pressure on gross margins led by elevated brass input costs and higher trade discounts. Margins were also impacted by pre-operating expenses related to the Senator and Polipluz formats.

Gas costs during the quarter remained stable with the weighted average cost at INR 35.55 per cubic meter in Q4 FY26 as compared to INR 36.03 per cubic meter in Q4 FY25. During the quarter, gas consumption was sourced 64% from GAIL and 36% from Sabarmati. Overall, gas cost as percentage of revenue stood at 2.3%.

Input costs, particularly brass continued to remain at elevated levels, while other input costs such as clay also witnessed some upward movement during the period. In response to these sustained cost pressures, the Company implemented calibrated price revisions of 4% in sanitaryware and 11% in faucetware towards the later part of the quarter.

These revisions were largely applicable to the retail segment, while project business remained relatively insulated due to pre-booked orders. This approach is intended to balance margin protection with market competitiveness.

For the quarter under review, revenue contributions by segment was broadly as follows: Sanitaryware at 46%, Faucetware 43%, tiles at 9% and wellness at 2%. On a Y-o-Y basis, sanitaryware revenue grew by 10.7%, faucetware by 24.3%, wellness by 31.2%, while tiles declined by 8.3%. Our core categories, sanitaryware and faucetware, together accounted for 89% of the total revenues.

Capacity utilization during the quarter stood at 70% for sanitaryware and 106% for faucetware.

From a product mix perspective, 41% of sales were from premium segment, 38% from mid-segment, and 21% from entry-level products. Geographically, Tier-3 cities accounted for 40% of sales followed by Tier-1 at 36% and Tier-2 at 24%.

Profit after tax stood at INR 77 crore as compared to INR 86 crore in the corresponding quarter of the previous year. Earnings per share for the quarter stood at INR 59.96 compared to INR 66.36 in Q4 FY25.

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On the working capital front, we continued to see improvement across key parameters during the quarter, with inventory days decreasing from 79 days to 71 days, receivables reducing from 37 days to 33 days, while payables stretched from 38 days to 40 days. This resulted in a Y-o-Y reduction in net working capital from 78 days to 64 days.

As of 31st March '26, our cash and cash equivalents stood at INR 853 crore.

On capital expenditure front, the capital expenditure for FY26 remained measured with an outlay of around INR 14.5 crore by end of March '26. This was largely directed towards routine maintenance along with selective investments towards strengthening our brand presence and retail initiatives.

Overall, our financial position remains healthy, supported by a strong balance sheet, disciplined cost management and prudent working capital practices. While the operating environment continues to be impacted by input cost pressures, the steps taken during the quarter,

including calibrated price revisions and a continued focus on cost efficiencies, position us well to navigate near-term challenges. We remain focused on maintaining financial discipline while continuing to invest selectively in strategic initiatives and believe this approach should support steady and sustainable performance going forward.

With this, I would like the moderator to open the lines for Q&A.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Many congratulations for the good set of numbers. The first question is related to the

demand. So, if I look at that from Q3 to Q4, we can clearly see that the retail has done better in Q4. And also, in the commentary and opening statement, you had said that the retail channel has shown encouraging recovery. So how are you going to see FY27, the retail demand, because the retail has been quite muted for the past few quarters? Now we have started seeing some improvement. So, how are you going to see the growth in retail, the way forward. And second thing is on the institution contribution? Because institution contribution has also increased in the last four years from 32% to 38% with a good growth. So, where do you see the balance between institution and retail in the coming years?

Deepak Chaudhary: I will just take you through the journey of how this progress in demand has been over the last couple of years. If you see, we had entered a phase of sluggish demand from Q3 of FY '23-'24. During that period, the project demand continued to remain strong, but retail had entered into a sluggish kind of a situation. Since Q3 of the current financial year, we have started seeing an improvement in the retail demand, and we saw this sustaining through Q4 also.

If we see the month of April also, we have seen a good surge in retail; it has continued in the current quarter also. So, we are hopeful that going forward, the kind of demand recovery that we have seen in the retail segment should continue in the full year of FY27. And the kind of traction that we are seeing in project, we find that it has increased from something like 30% a couple of years back, to 35% and then now to something like 39% -40%. With the improvement in retail demand, we expect that this percentage should now remain stable. So, going forward, we expect that the proportion of retail and project should now remain stable at 60% for retail and 40% for the project business.

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On an overall growth perspective, we have started seeing improvements in volume. And going forward, we expect that there should be good traction in the volume in both the sanitaryware and faucet, more so in the faucetware segment, even during the period where the demand used to be sluggish, we have consistently seen improvements in the faucetware demand. Going forward in FY27, we expect that faucetware should continue to grow at 10% to 12% in volumes, and sanitaryware should be in the range of, you can say, 7% to 8% in FY27 also.

Praveen Sahay: Okay, so that 7% to 8% or 10% to 12% is the volume growth what you are indicating for?

Deepak Chaudhary: Correct.

Praveen Sahay: Next question is related to the price, because last quarter also you indicated 4% in the sanitary ware and 11% in the faucet ware, but eventually we indicated that from March onwards we started seeing gradual price increase. So, what challenges basically had you faced, especially in taking the price hike, because the brass prices have been quite high for the last couple of quarters? But the price hike has been first announced and now March actually has been taken. And the second related to pricing is how much more price hikes do you expect, as you had indicated also that the brass prices and also the clay

prices have increased. How much more price hikes

you expected to take to maintain your margin guidance of a 14% around?

Deepak Chaudhary: You are right that the input situation has been challenging in the last one quarter or so, especially in light of the geopolitical situation which developed in the month of February. Brass prices had started moving upwards even before that. And in the last three-four months it has gone up from something like late 600 to early 700. From that it has gone up to something like 800 to 850 which is prevailing right now.

Now, if I see on a year-on-year basis, there would have been an increase of something like 29% -30% in the brass prices. Now, effectively we have taken a price increase of 11% in the month of March. In the month of April, we had taken a surcharge of 10% in the case of sanitaryware and 5% in the case of faucetware. And now again we have taken a price increase of 8% in the case of sanitaryware and 5% in the case of faucets. We have removed the surcharge, and we have gone in for a price increase. So, effectively over a period of two months, we have taken a price increase of 12% in the case of sanitaryware and 16% in the case of faucetware.

Now, these prices are only effective on the retail portion. And for the projects, the prices are expected to, as per our norms they remain stable for the period of one year from the time it is booked into our system.

So, on an average, if I assume that projects would be starting and would be completing and there would be a six-month kind of an average wherein the new price effect would take place in the case of projects, we can expect this kind of price



change to start reflecting in the project business from, let us say, in another five to six months. But in retail, it has already been implemented, and the impact will be visible from, like it is already visible from March. And it will be visible in Q1 more because it will be a full kind of a quarter where the price increase has remained effective. Now, in respect to how well we have been able to cover our raises in price, you will find that in case of brass we have more or less been able to cover the kind of price increases with the kind of price increases that we have taken. Slight deviation is there. We have to absorb some kind of price increase in the brass.

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Typically, if I see, the price increase has been 30% over the last one year. And if I assume that it constitutes something like 60% of my brass constitutes 60% of my cost. So, the effective impact on my COGS would be in the region of 18%. And I have taken a price increase of 16%. So, that is still a kind of 1% or 2% which is left as a gap between the pricing and the kind of price increase, cost increase which has happened in the case of brass.

But that we intend to calibrate by way of discount controls, as we are expecting that now that the demand has started recovering, we will see better discounts management going forward. So, that couple of percentage points that we are still lagging behind in the case of price increase should be made up by way of better discount management.

In case of sanitaryware, the clay etcetera, has increased, but the bulk of the price impact comes in on account of gas. Like most of the players in the Morbi have been severely impacted because of the rise in the kind of prices which have happened in the prices of gas. And also in the month, in the coming quarter, we expect that even though Morbi plants have started opening up. Typically, the first quarter is in the case of sanitaryware a little slow in the case of Morbi because one, especially this will be too more so in the current quarter because even though while they have started opening up, most of the labour would have gone back home at the time when the plants were closed. And it will be a gradual

process by which the labour would come in, and the plant plants will start opening up again.

Also, that we find that during Q1, it is a monsoon period. And during that period also you will find that the production in Morbi in case of sanitaryware remains slow. So, it will only be at take some time beyond Q1 when you can expect that the Morbi would be becoming fully operational in case of sanitaryware. So, that is an opportunity for us because players who are not having their own kind of manufacturing facility and are sourcing mostly from Morbi will find it go a little tough unless and until they have built up stocks heavily earlier. So, we anticipate that the current situation would be playing well for us going forward in Q1 and Q2.

Praveen Sahay: Thank you so much for the elaborative answer. The last question from my side is related to the brand, because we did a lot of investment in Senator and Polipluz in terms of distribution and product last year. So, if you can give me some color on how much of the revenue in FY26 you had generated from these brands and what is our target, is there any revision in the target for the revenue for FY '27?

Deepak Chaudhary: Okay, in case of Senator and Polipluz, in case of Senator we generated revenue of in the region of INR 10.5 crore in the full year FY26. In Polipluz, we generated something like INR 8.5 crore. Total these combined generated total revenue of INR 19 crore approximately. And for FY27, we are projecting that Senator should be able to generate roughly INR 40-45 crore and the Polipluz would be in the range of INR 30 to INR 35 crore. Total, we expect that these two brands taken together should give us roughly INR 70 to INR 80 crore.

Praveen Sahay: And with the breakeven?

Deepak Chaudhary: In the current quarter, there was a small loss if we take into account the kind of publicity expenses that we have been putting in. Going forward in the FY27 also, we will have a lot of publicity being carved out for this particular segment, Senator. If I exclude publicity expenses, then we will be making a small profit, but if I take in the publicity expenses also, then it will be a little maybe not in the current year, but next year when we will start making profits after taking into account all the publicity costs as well.

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Pravin Sahay: Thank you so much and all the best.

Moderator: The next question is from the line of Utkarsh Nopany from Anand Rathi.

Utkarsh Nopany: My first question is regarding the revenue growth guidance for FY27. So, earlier you have mentioned that we are expecting sanitaryware volume to grow at 7% to 8% rate and faucet ware at 10% to 12% rate for FY27. And given the price hike which we have implemented in the last two -three -month period, is it fair to understand that we are targeting sanitaryware revenue to grow at a healthy teen rate and faucetware revenue to grow at more than a 20% rate for FY27 ?

Vikas Kothari: Thank you for asking the question. So, as you have seen the last year was stressed in terms of different activities, market conditions, geopolitical and all, within those constrained situations also, we have delivered INR 2,050 crore in terms of the overall revenue.

Going forward based on how the market demand is doing, we have seen that quarter 3 and quarter 4 have built the confidence in terms of continuity of the upward trend. So, basis that we have we have estimated in terms of the revenue growth which is going to be there for financial year FY27.

So, with the demand trend continuing to grow upward, we expect the overall growth of around 18% to 20% next year. In this, if I have to categorize by segment, in sanitaryware segment, we expect 12% growth driven by favourable volume impact of 7% and price impact of 5% to 6% because like, Deepak has explained it is a combination of both

project and retail. Retail will be driven by the price increase, whereas in case of projects pre -orders will be at the old rate and the new orders will be at the increase rates. And similarly in case of faucetware, we expect a growth of 18% which is going to be driven by favourable volume impact of 10% to 12% and price impact of 8%.

So, overall if we see if we see how the things are moving today and how we have capitalized different adverse scenarios into opportunities, we expect that if such trend continues, the overall growth will be between 18% to 20%.

Utkarsh Nopany: Second thing, on the margin side, you have initially mentioned that the trade discount, which was going on, is still continuing. So, just wanted to understand, we are seeing pretty good demand recovery in the retail segment, and the supply side has also got impacted because of the gas supply disruption. So, why we are we still continuing with the trade discounts?

Vikas Kothari: So just to give you an understanding in terms of the margins ; - if you see for the whole year, keeping aside this recent scenario of gas and all, the margins were stressed, the reason being the trade discounts which were offered to counter the subdued demand. Also they kept on increasing. So, from Q3 onwards, as we have seen ; discounts are not something that can be immediately controlled, it is a gradual journey. So like we mentioned, discount management will be controlled this year. We have already started taking steps from Q1 onwards, and this will further strengthen in the coming quarters.

So, as far as margin decline is concerned, the two factors which have largely impacted the gross margin are the rise in the input cost, mainly the brass prices which have gone up by 29% which has now been sufficiently taken care of through the price rise to offset the impact of increased cost. And secondly, the elevated trade discounts. So, these trade discounts are again can be corrected in the coming quarters.

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So, if you have seen the margins in Q4, they have shown an uplift from 10.2% in Quarter 3 to 15.2%, and the growth which we are witnessing right now in terms of the demand aspect, - we see that if this trend continues, we will be able to sustain the EBITDA margins at around 14% to 15%.

Utkarsh Nopany: Okay, and one question was regarding the capacity utilization. So, if you can give some sense of what was the capacity utilization of our sanitaryware plant in March and April. And do you see any disruption in our sanitaryware operation, say in the June quarter period, and what kind of sanitaryware inventory were we carrying at the end of March '26 and what is the status of our greenfield sanitaryware plant ?

Vikas Kothari: So, regarding the capacity utilization, we have rightly stated, in case of sanitaryware in March we were operating at 70% of our total capacity, and in case of faucetware we were operating at 106% of our total capacity.

So, ideally speaking, in case of sanitaryware in the month of March, we had an advantage in terms of the inventory levels. So, adequate inventory levels played a critical role in ensuring uninterrupted market supplies and meeting customer demand during this period.

And what has happened is in March we have taken a decision to close one kiln, which

was temporarily shut down to manage the operational efficiency because in March the visibility was very poor in terms of gas supplies prices and all. So, we have taken this as an opportunity and since we were having the inventories built up, that has proved favorable in terms of meeting out the customer demand. And in the month of April also, we have taken the decision to remain closed with one kiln. We will be soon getting second kiln operational, and we hope that in terms of the demand and what is there and there are certain products

s which we have taken internalized from

Morbi. So, I think this capacity which is running at 70% -75% will further improve in the coming months.

Moderator: The next question is from the line of Varun Julasaria from 360 ONE Capital.

Varun Julasaria : For this quarter, how was the growth driven by price hikes and how much was driven by volume for Q4?

Vikas Kothari: So, largely if you see the success in terms of the growth which is there in this quarter is largely driven by volume. So, largely it is driven by volume growth of 12% and with an improved product mix of 3% to 4%. However, there was some adverse price impact of 3% because of discounts and all that we discussed. So, largely it is a volume -driven growth for the quarter.

Varun Julasaria : And in faucetware, how much capacity are we increasing? We planned for 6 million, right?

Vikas Kothari: No. So just to give you an update in terms of how faucetware is progressing. So, with the brownfield expansion that we have taken earlier, we have increased our capacity from 3 lakh pieces per month to 4 lakh pieces. And last year was basically a milestone for us where we have operated to reach out to 4 lakh. And in the month of March, we have completed 4,30,000 pieces per month.

And with the demand trend going upward, we are further increasing this capacity from 4.30 lakh per unit to 5 lakh per unit by debottlenecking and by putting some efforts within the brownfield setup that we have built earlier with a minimal capex of around INR 4 crore to INR 5 crore.

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Varun Julasaria : Okay, understood. And our exposure to Morbi, like we also have a fair bit of exposure on outsourcing, so how much are we exposed to Morbi and say other regions comparatively for our sanitaryware and faucetware requirements?

Deepak Chaudhary: That outsourcing percentage we always keep on disclosing. I will just tell you the figures right now also, what is the kind of proportion of outsourcing versus in-house. In case of sanitaryware, you will find that the outsourcing proportion in the Q4 was to the extent of 60%, and in case of faucetware it was to the tune of 46%. 60% for sanitaryware and 46% for faucetware.

Now, in the current scenario, as I was mentioning that in the Q4, because of the kind of gas prices impact which has happened and also the availability of gas which has become restricted in the month of March onwards, - we expect that sourcing from Morbi in Q1 of the current financial year would be a little sketchy. And that is because we have adequate inventories that we will be able to manage a large portion of Q1 and also some portion of Q2.

And that is why what we have also done during this period, we have also undertaken a drive for internalizing the kind of products which were currently outsourcing from Morbi. So, those are expected to be available for sale from Q2 onwards, by which time we have adequate inventories within the Company to take care of any demand which is there for these products.

Varun Julasaria : But sir, is large part of this outsourcing is from Morbi only, or do we have other suppliers in the North and other regions?

Deepak Chaudhary: In sanitaryware, it is a multiple source, but it is mostly from Morbi, the multiple suppliers mostly from Morbi.

Varun Julasaria : Okay, thank you so much.

Moderator: The next question is from the line of Bhavin Rupani from Investec India.

Bhavin Rupani: The first question is on inventory, - you mentioned that you have inventory of 1 or 2 quarters. But if you look at our balance sheet, it shows somewhere around 70 days.

So, I am assuming that some portion of that could be attributed to raw material costs as well. So, can you tell us, stripping out, what is the finished goods inventory that we have?

Deepak Chaudhary: The finished goods inventory as of March 2026 was INR 303 crore

as compared to

December, which was INR 365 crore. The December 2025 was INR 365 crore, and we

ended March with INR 303 crore. And at the end of April also we are in the same region, INR 300 crore roughly, we are maintaining currently.

Bhavin Rupani: So that is somewhere around one quarter, right, sir?

Deepak Chaudhary: So, it does not function like that. Because we are also manufacturing. So manufacturing is also continuing right now. So, we have certain inventory, which is of manufacturing, and certain inventory which is for outsourcing materials. So, as I mentioned earlier, the kind of outsourcing material that we have within the kind of entire kitty is adequate for taking kind of the forecast that we have for the next 2 to 3 months.

So, 3 months further, we do not anticipate any challenge. And by that time, as the internalization drive would start giving us the kind of SKUs which were there from Morbi. And also, it is not that Morbi is entirely closed. They will have problems and will not be

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able to give the kind of materials which were given earlier, but they are still able to supply some amount of material which will be coming in from Morbi. So, we are comfortable with the overall situation and we are comfortable in respect of availabilities.

Bhavin Rupani: All right. And sir, what I understand is our tiles business is also completely outsourced. So, do we see any impact on tiles going ahead in Q1 and Q2?

Deepak Chaudhary: Tiles will be impacted, because in the month of March, also later part of March, most of it is dependent upon outsourcing. We are able to do some amount of sales because some inventory was there with the suppliers. But it is essentially totally driven by outsourcing. And if the plants do not open up and we are not able to get that procuring material from outside, the tiles portion, we expect that during Q1 will be impacted.

Moderator: The next question is from the line of Pranav from Equirus Securities.

Pranav Mehta : I just wanted to understand if you can throw some light on the strategy for both Senator and Polipluz for the next, let us say, two to three years? How do you want to scale up this business and how premiumization trend will be a key driver for this?

Deepak Chaudhary: See, as we have been mentioning in the earlier calls also that Polipluz will be the primary driver for the entry segment. This will be mostly the kind of brand which will be for the purpose of rural segment and the areas which are more Tier 4 in nature. So, we are already, as I mentioned in my call also earlier also, set up something like 100 distributors right now with 1,000-plus dealers, and we intend to take it up to 200 distributors and 2,000 dealers in the next financial year.

For Senator, the idea would be that it will be more of a premium and luxury brand, and that is why the concentration is more on opening brand stores, flagship brand stores across the country. We have already opened something like 40 stores in the current year, and we intend to take it up to 60 in the next financial year.

Also, apart from the retail presence, we are wanting to take a strong presence in the project segment also and we intend to introduce a separate series project range for the Senator brand. That will be already in the process and should be there by, you can say, another couple of months. So, apart from the retail, we will also be driving strongly in the project segment in the Senator portfolio.

Pranav Mehta : Sure. And after the price hikes, are we at a level to which, let us say, the other brands are, or are we still slightly below them?

Deepak Chaudhary: Typically, the pricing of Cera has been, on an MRP level been higher than what other brands have been. So, in the current situation, we have taken a price increase in line with our own cost structure, and the kind

of price increases that have happened. The other branded players have also taken similar price increases. You will find that the price increase more or less is in line with what others have taken. It will be slightly, you can say, more for some brands, slightly less for some brands, but it is more or less because this is something which has affected each and every player. You will find that most of them have taken price increases in the line of, you can say, 16% to 18% in the case of faucets and 10% to 12% in the case of sanitaryware for most players.

Pranav Mehta : And sir, we are in the same line, right?

Deepak Chaudhary: Yes, we are on the same lines.

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Pranav Mehta : Thank you.

Moderator: The next question is from the line of Aasim from Dam Capital Advisors.

Aasim Bharde : Two questions from my side. One on this FY27 revenue growth expectation. So, you

said sanitaryware will grow 12%, faucets 18%. Then I cannot understand how your overall revenue growth will be 18% or 20%. So, what explains the balance?

Vikas Kothari: Yes, regarding this part, we have given the broad understanding with respect to our major segments, that is sanitary and faucetware. There are other segments also within the pipeline, so we have tiles and CC. So, our understanding is that once this Morbi situation, which has now started opening from May onwards, improves, tiles and construction chemicals, they are going to contribute around INR 250 crore, a growth of 20 -plus percent. And with respect to the Senator and Polipluz, our newly introduced brands, they will be contributing around INR 70 to INR 80 crore. So, overall if you see in terms of the overall revenue from all these, that will lead to 18% to 20% growth next year.

Aasim Bharde : Okay, understood. And the second bit on numbers. So, quarterly employee cost in Q4 is down Q -o-Q. Any reasons that you can attribute to this? And what should be the quarterly run rate ahead, and the capex number that you estimate for FY27?

Deepak Chaudhary: I did not get your first part. You are talking about the employee cost?

Aasim Bharde : Yes, the employee cost. INR 59 crore for Q4, I think is down about 1% -2% Q -o-Q. I just wanted to understand if there is anything you want to call out behind the decline.

Deepak Chaudhary: No, actually what had happened is that typically, if you see our expenditure which has been happening on a quarter -on-quarter basis, it has been in the region of INR 65 crore. So, Q1 was roughly INR 65 crore, Q2 was also INR 65 crore.

In Q3, once the wage code was announced, we had taken certain assumptions that based on the kind of liabilities which will be coming up, there would be an additional expense of something like INR 5 crore. That is why you will find that there was an expense of INR 70 crore in Q3. But in the current quarter, once we have got a better understanding of the wage code and related laws and how it is going to be implemented, there is an exceptional item of INR 10 crore of write -back, wherein we had put in something like INR 18 crore in Q3 for gratuity and PL liability, wherein we believe, the liability would be only in the region of INR 7.5 to INR 8 crore, and so that there is a write -back of INR 10 crore coming in as an exceptional item. Similarly, in the wage expenses also, that during that period we had provided for certain expenses related to the wage code, which we are now anticipating will not be there. So, that is why that expense of INR 65 crore, which was INR 70 crore in the Q3, has now come back to INR 60 crore in Q4. Going forward, we expect that the employee expenses should increase in the range of 10% on the basis of normal wage hikes and the incremental salary increases that are normally there. Also, in the case of labor, there might be some long -term settlement which is now pending,

which will impact the only the labor portion, the wage portion, not the salary cost. How much that impact will come would be depending upon the nature of negotiation which happens with the workers. And that impact should start coming in from that depending upon when that negotiation actually happens.

In respect of the capex program, typically our capex is in the range of, you can say, INR 28 to INR 30 crore. In this particular year, we are anticipating a total capex of

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something like INR 45 crore. This includes normal capex of roughly INR 25 crore which will typically do on a year -on-year basis, roughly INR 5 crore is there for the faucetware expansion, I am talking about within this INR 30 crore, there is INR 5 crore for faucetware expansion.

And also, another INR 15 crore has been budgeted for acquisition of some more office space which we are planning to acquire in the current financial year. That will be in the range of INR 15 crore. So, total capex taking everything together, the routine, the faucetware expansion of INR 5 crore, and this office space acquisition of something like INR 15 crore, would be in the region of INR 43.42 crore.

Aasim Bharde : Okay, thank you.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: A small question from my side. You have INR 853 crore of cash. So, what is the usage, way forward? Have you decided that?

Vikas Kothari: So I think this is a question which is asked every time. So, the idea is that whatever the cash position on which we are sitting, we are equally respecting it in terms of distributions also. So, this time, we have given a healthy dividend, declared a healthy dividend payout, which is now INR 75 per share, almost 1,500% of the face value. So that is there.

Apart from that, in terms of the greenfield project, which we will evaluate, as we have seen that the traction is coming right now with respect to demand. So, the right time

to start construction of the greenfield will be seen in the coming quarters. So there, the greenfield project was initially estimated at around INR 130 crore, of which land portion has already been purchased, that is at INR 27 crore. And considering the two years' inflation, so our understanding is when we are going to construct the first phase, if we conclude in terms of construction this year, then it will cost around INR 150 crore. So, these are the current things which are in the pipeline. Apart from the capex, what we have shown as our routine or some incremental capacity expansion, what we are doing. Going forward, we will evaluate the scenarios in terms of how the market is doing, and accordingly we will take action in terms of future investments.

Praveen Sahay: So, INR 150 crore, apart from INR 27 crore on the land, which you had already incurred?

Management: Yes.

Praveen Sahay: Okay, thank you and all the best.

Moderator: The next question is from the line of Karan Bhatelia from Asian Market Securities.

Karan Bhatelia: I just wanted to understand what kind of launch expenses we have booked for Senator and Polipluz in the current year and what kind of number we can see for the next two-three years when we want to have a net EBITDA of 20-25% on this portfolio?

Deepak Chaudhary: In the current year, the expenses in Senator were mostly focused on opening the brand stores. So, we have spent something like INR 4 crore in the current year because this expansion etc. has started from, let us say, after three months from the start of the year. So, we would spend something like INR 4 crore over here.

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In the period going forward, now that store expansion has mostly happened, like we have opened 40 stores in the current period, we intend to go

another 20 in the next

year to take it to 60. But the now that we have bought in the space all the infrastructure in place, now we will also need to spend on the other activities wherein we will be spending on exhibitions, architects, consultants, catalogues, print media, and advertising activities. So, for the next year, we expect that INR 10 to INR 12 crore would be going in for the Senator publicity etc.

Karan Bhatelia: Sir, more so I was referring to the total expense which includes team building exercise, store opening and other overheads. So, we had losses this year. So, just wanted to get the broad math right?

Deepak Chaudhary: The salary expenses for Senator and Polipluz in the current year were in the region of INR 6.5 crore for Senator and INR 3.3 crore for Polipluz. Going forward, we expect INR 8.5 crore for Senator and INR 7 crore for Polipluz, 15.5 crore for both of them taken together.

In publicity, we expect to do something like INR 10 to INR 12 crore next year. So, salary expenses are not going to be constant. As of now, the total the structure has already been setup. And so that amount would now be remaining more or less constant at INR 15.5 to INR 16 crore. Publicity as for the next year is budgeted as 10-12, may increase again going forward in FY28.

Karan Bhatelia: Right. So, this year losses were what, to the tune of INR 15-16 crore?

Deepak Chaudhary: This year the total losses were in the region of INR 7 crore for Senator and for Polipluz it was in the region of INR 1.5 crore. The total losses were in the range of INR 8.5 crore.

Karan Bhatelia: Thank you.

Moderator: Ladies and gentlemen, in the interest of time, we will take that as the last question. I now hand the conference over to the management for closing comments.

Deepak Chaudhary: Thank you, everyone, for attending this call and for showing interest in Cera Sanitaryware Limited. Should you need any further clarification or would like to know more about the Company, please feel free to reach out to me or to CDR India. Thank you once again for taking the time to join the call.

Moderator: On behalf of CDR India and Cera Sanitaryware Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.